

AN ELEMENTARY TREATISE ON BUSINESS



*Being a First Course in the Forms, Duties and Dealings of
Commerce*

T. TIR, A. NILL

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First edition

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*A Most Extraordinary Case of Complete Romantic
Deficiency — RU, MGT 30 Batch · Atwif Taiyeba
Parsha*

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TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches An Elementary Treatise on Business one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.

PREFACE

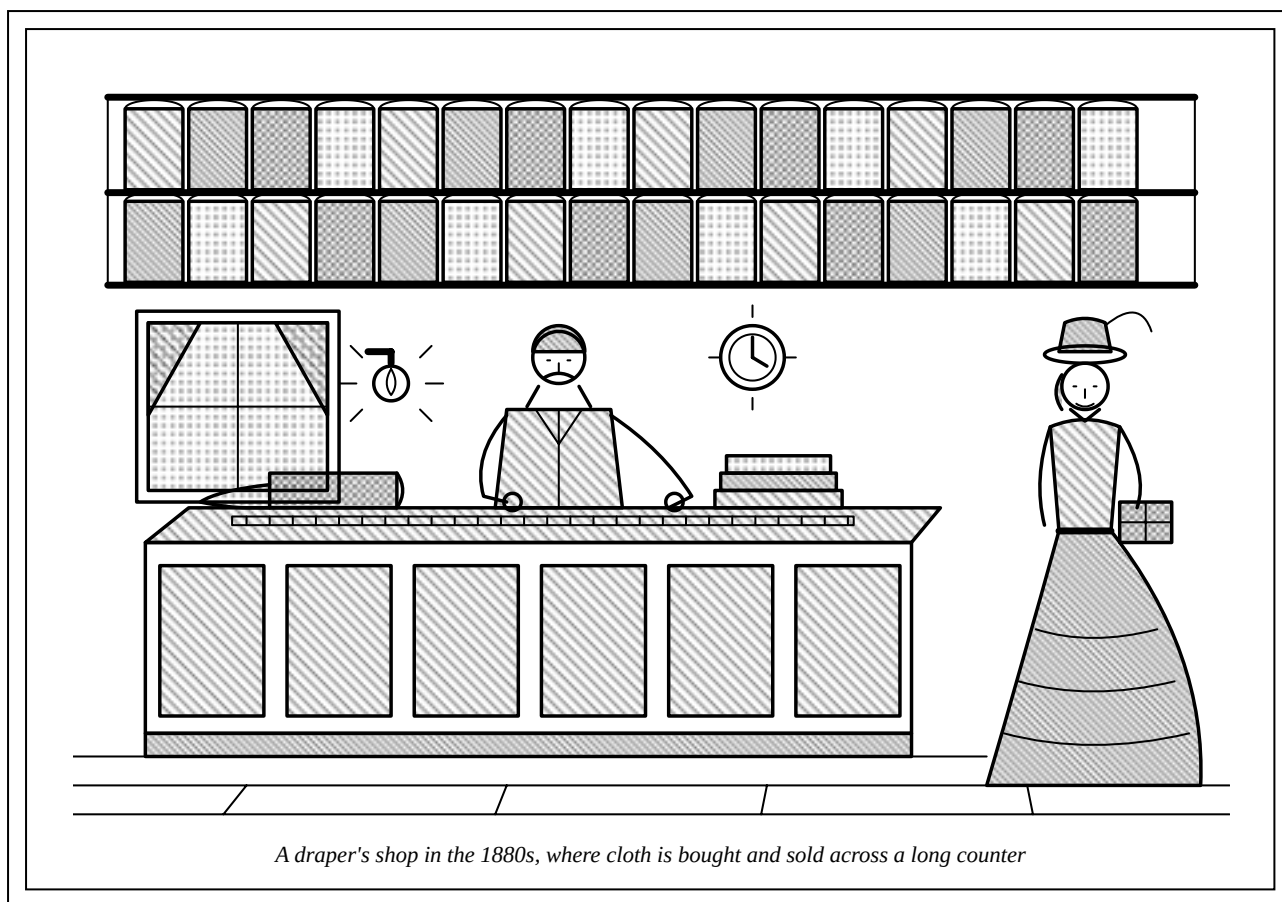
This treatise was written for the reader who has never studied commerce and wishes to begin properly. We have tried to say each thing once, plainly, and in its right place.

The book moves from the nature of business and the forces about it, through the several forms of ownership, to the wider world of foreign trade and the combinations of great concerns. A reader who takes the chapters in order will find that each rests upon the one before.

Where a word has a special meaning, it is explained at its first use and gathered into the glossary at the end. The questions at the close of each chapter are answered at the back of the book; we advise the reader to attempt them first.

If this book spares a single student an hour of needless confusion, its labour is repaid.

T. Tir, A. Nill



CHAPTER I

What Business Is

Who made the shirt you are wearing, and why did they sell it to you?



This chapter explains in plain words what a business is and why people establish one. It shows how business work divides into trade, commerce and industry, and into four main branches. It follows one bookshop in Dhaka, Meghna and Sons, as a case file. It also teaches you how to read this book and its special words.

This chapter needs no earlier knowledge, only your own experience of buying and selling.

A puzzle: you made almost nothing that you use, yet all of it reached you.

Many people worked to bring one shirt to you.

The puzzle: why do strangers work for you and then sell you the result?

The answer is an arrangement in which each person does one kind of work and depends on others for the rest.

The book marks new words, gives recaps and asks pause questions; slow going at first is normal.

Case-file paragraphs describe one invented bookshop whose facts stay the same in every chapter.

Two neighbours swap what each has in excess; the swap is exchange.

GO SLOWLY HERE.

An exchange is giving something to receive something; a need is something people must or strongly wish to have.

Money removes the need to find a partner who wants exactly what you have.

You will need: nothing. This chapter begins at the beginning. It assumes only that you have bought and sold things in daily life.

Look at what you are wearing and holding at this moment. Perhaps there is a shirt, a pen, a phone and a cup of tea. Now ask a harder question: how many of these did you make yourself? For almost every reader, the honest answer is none.

Yet every one of these things reached you. Someone grew the cotton for the shirt. Someone spun it into thread, wove the thread into cloth and sewed the cloth into a shirt. Someone carried the shirt to a shop. Someone in the shop handed it to you, and you handed over money in return.

Here is the puzzle. Dozens of people worked to produce that shirt, and not one of them knew you. Why did they not keep the shirt for themselves? Why does a stranger spend days of work on something and then give it to you for a few notes and coins?

The answer is not kindness, although kindness exists. The answer is an old and very useful arrangement between people. Each person does one kind of work well, and each person depends on others for everything else. The arrangement has a name, and that name is the subject of this book. Section 1.1 begins with its simplest form: two neighbours and a bag of rice.

A word about how to use this book. A new word appears in heavy type the first time it is used, and a plain definition follows at once. The same definition is repeated in a short note beside the text and again in the glossary. Each section ends with a short recap that begins with the words *Before moving on*. Questions marked Pause and check let you test yourself before you continue. Many students find the first chapters slow, because every word is new. That is normal, and the book goes slowly on purpose. A note in the margin that reads Go slowly here marks the places where it takes most care.

Paragraphs that begin with the words *Case file, illustrative*. describe one bookshop, Meghna and Sons, in Dhanmondi, a district of Dhaka, the capital of Bangladesh. The shop is an example made for this book. Its dates and figures are kept as in a file of records, and they are the same in every chapter.

* * *

1.1 WHY PEOPLE DO BUSINESS

Imagine a village with two neighbours. One is a farmer whose field gave more rice than her family can eat. The other is a fisher whose boat brought more fish than his family can eat. Each has something extra, and each lacks something. The farmer has no fish, and the fisher has no rice. They agree to swap: 2 kg of rice for 1 kg of fish.

This swap is an example of exchange. An exchange happens when one person gives something to another person and receives something in return. Both people gain, because each now holds something more useful to them than what they gave. The reason for the swap is a need. A need is something a person must have, or strongly wishes to have, such as food, clothing, shelter or learning.¹

Direct swapping has a weakness. The farmer wants fish today, but the fisher may not want rice today. Each must find a partner who has what they want and who wants what they have. Money removes this weakness. Money is what

¹ Swapping one thing for another without using money has a special name, *barter*. Barter still exists today in some local markets, but it is slow, as the next paragraph shows.

everyone in a country accepts as payment. With money, the farmer sells rice to anyone who wants it. She then buys fish from anyone who sells fish. The number of possible exchanges grows greatly.

As exchanges grow, some people give all their working time to supplying things to others. One person grows rice only to sell it. Another weaves cloth only to sell it. A third teaches children and receives fees. For these people, exchange is no longer an occasional swap. It is their daily occupation, and their income depends on it.

Before we name this occupation, three words need plain meanings. Goods are physical things that a person can touch and keep, such as rice, a shirt or a book. A service is work done for someone, such as teaching or cutting hair; the person receives the work, not a thing to keep. Section 1.3, 'Branches of Business', defines service fully. A customer is a person or organisation that pays for goods or services. People also say buyer or client; this book uses the word customer.

The occupation has a name. **Business** means an activity that provides goods or services to others in exchange for money, aiming to earn a profit. A shop that sells exercise books to schoolchildren is a business. A family that grows rice only to eat is not, because it provides nothing to others in exchange for money. People also say enterprise, firm or concern; this book uses the word business. The word profit is explained in a few paragraphs.

DEFINITION

Business: an activity that provides goods or services to others in exchange for money, aiming to earn a profit.

Read the definition in parts. First, an activity: regular work, not one act. Second, goods or services: something is provided. Third, to others in exchange for money: the buyer pays. Fourth, aiming to earn a profit: the intention matters. A business that fails to earn a profit is still a business, because it aimed at one. A charity that gives its goods away free is not, because it asks for no money.

PAUSE AND CHECK 1.P1 A neighbour cooks lunch every day for her own family. A café cooks lunch every day for strangers and takes payment. Which of the two matches the definition of business, and which part of the definition decides it?

Why does anyone establish a business? The main reason is **profit**. Profit is what remains of a business's income after all its costs have been paid. Income is the money a business receives from its customers. Costs are the money it pays out in order to operate, for example for goods bought from suppliers, for rent and for wages. A supplier is a business that sells goods to another business. People also say vendor; this book uses supplier.

Take the smallest example we can. A fruit seller buys 10 mangoes from a supplier at Tk 20 each. Her cost is $10 \times \text{Tk } 20 = \text{Tk } 200$. She sells all 10 mangoes at Tk 30 each. Her income is $10 \times \text{Tk } 30 = \text{Tk } 300$. In words, profit equals income minus costs, so her profit is $\text{Tk } 300 - \text{Tk } 200 = \text{Tk } 100$. For this first example we ignore every other cost, such as the fare to the market.

Now change one number. Suppose the market is quiet and she sells all 10 mangoes at Tk 15 each. Her income is $10 \times \text{Tk } 15 = \text{Tk } 150$. Her cost is still Tk 200. Her income is Tk 50 less than her cost, so she has a loss of Tk 50. A loss is

Some people give all their working time to supplying others, and this is the start of business.

Goods are physical things, a service is work done for someone, and a customer pays for either.

Goods. Word in use. In daily life, "good" describes quality, as in a good meal. In business, goods are physical things that are bought and sold.

Business is an activity that provides goods or services to others for money, aiming to earn a profit.

Business. An activity that provides goods or services to others in exchange for money, aiming to earn a profit.

The definition has four parts, and a failed business still fits it.

Profit is income less all costs, and a loss is the reverse.

Profit. What remains of a business's income after all its costs have been paid.

Profit. Word in use. In daily life, profit can mean any benefit, as in "she profited from the advice". In business, it means money only: income less costs.

A fruit seller shows profit with the smallest numbers.

GO SLOWLY HERE.

If costs exceed income, the result is a loss.

the opposite of a profit: it happens when costs are greater than income. This is why the definition says "aiming to earn a profit". Aiming is not the same as earning.

The shop's 2025 figures show profit with real-sized numbers.

Case file, illustrative. Meghna and Sons, a family-run bookshop in Dhanmondi, Dhaka, was opened on 4 April 1996 by its owner, Nurul Meghna, with Tk 400,000. The owner is the person who owns the business; people also say proprietor, but this book uses owner. In 2025 the shop's income from sales was Tk 14,400,000. Its costs were purchases Tk 9,800,000, rent Tk 720,000, wages Tk 2,940,000 and other costs Tk 190,000, a total of Tk 13,650,000. Profit for 2025 was Tk 14,400,000 – Tk 13,650,000 = Tk 750,000.

The figure below shows business as a cycle: resources in, goods and services out, money back.

Everything in this section can be drawn as one cycle. To read the figure, begin at the left and follow the arrows. Solid arrows show goods, services and resources. Dashed arrows show money. The business takes in resources, such as workers, materials and a building. It uses them to provide goods or services. Customers receive these and pay money. Part of the money pays for new resources, and the cycle begins again. Any money left after all costs is the profit.

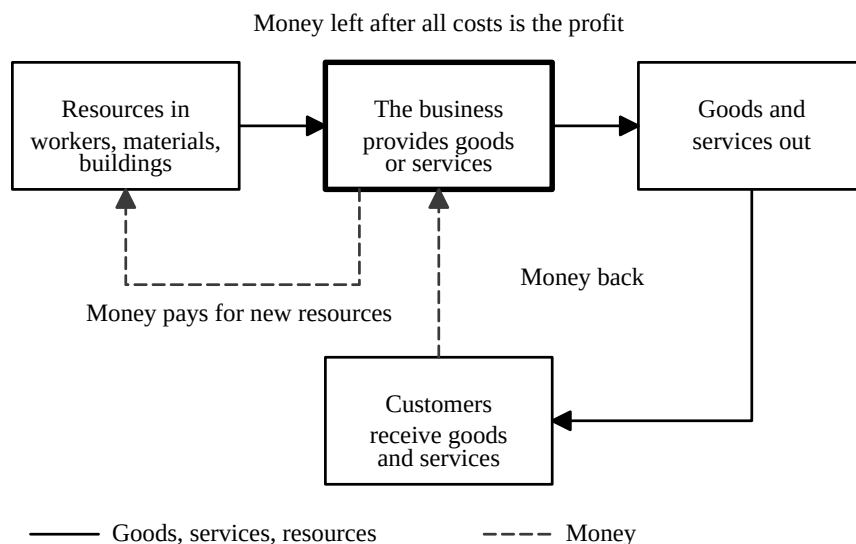


FIG. 1.1. *The business cycle: resources go in, goods and services go out, money comes back*

Recap: exchange, business, profit and loss.

Before moving on. People exchange because each has needs and each has something extra. Business is exchange made into a regular occupation: it provides goods or services to others for money and aims at profit. Profit is income less costs; if costs are higher, the result is a loss. You should now be able to say, in one sentence, what a business is and what profit means.

* * *

1.2 TRADE, COMMERCE AND INDUSTRY

A puzzle: many different kinds of work stand behind one schoolbook.

Pick up a schoolbook from any shelf. Before it reached the shelf, it passed through many hands. Someone cut the trees that gave the wood pulp for the paper. Someone made the paper, and someone printed the pages and bound them. A driver carried the finished books to the shop. A shop assistant placed one on the shelf. These people do very different work. Is there a plain way to sort their work into groups?

Three words sort this work: trade, commerce and industry.

Business people use three words for this sorting. We take them one at a time, because students often confuse them.

We begin with the one nearest to your own experience, which is buying and selling.

Trade is the buying and selling of goods, carried out to earn a gain from the difference in price. A trader buys notebooks from a maker at Tk 40 each and sells them at Tk 50 each. The difference of Tk 10 on each notebook is the trader's gain, before any costs are paid. A trader does not make the notebook. The trader brings it from the person who made it to the person who wants it.

Trade does not work alone. The trader's notebooks must be carried, stored, paid for, protected and made known to customers. The services that help trade in this way are called aids to trade. The next table shows the five main aids. Read each row from left to right: the aid, its work, and the difficulty it removes.

FIVE AIDS TO TRADE AND THE DIFFICULTY EACH REMOVES

AID TO TRADE	WHAT IT DOES	DIFFICULTY IT REMOVES
Transport	Carries goods from one place to another	Distance between maker and customer
Warehousing	Stores goods until they are wanted	Time between making and buying
Banking	Holds money, moves payments and lends	Shortage or risky handling of money
Insurance	Pays the owner if goods are lost or damaged	Risk of loss by fire, theft or accident
Advertising	Tells customers what is for sale	Customers not knowing what exists

Goods begin with a producer, a person or business that makes or grows them. Put trade and its aids together and you have commerce. **Commerce** is trade together with the services that help goods move from producer to customer, such as transport and banking. The notebook trader, the lorry that carries the notebooks and the bank that holds the trader's money all belong to commerce. Notice that trade is part of commerce, not a rival to it.

The third word is industry. **Industry** is the branch of business that produces or changes goods, from raw material to finished product. A raw material is a natural material before any work is done on it, such as cotton, clay or timber. The cotton farmer, the mill that spins the cotton and the factory that sews shirts are all in industry. The maker of a notebook is in industry. The trader who sells it is in trade.

The next table compares the three words. Each row follows one word. Read across to see what the word covers and who in the schoolbook story belongs to it.

INDUSTRY, TRADE AND COMMERCE COMPARED

WORD	WHAT IT COVERS	WHO BELONGS TO IT IN THE SCHOOLBOOK STORY
Industry	Producing or changing goods	The tree cutter, the paper maker and the printer
Trade	Buying and selling goods	The shop that buys books and sells them
Commerce	Trade together with its aids	The shop, the driver, the bank and the insurer

Trade is buying and selling goods to earn a gain from the difference in price.

Trade. The buying and selling of goods, carried out to earn a gain from the difference in price.

Five services help trade; they are called aids to trade, and each removes one difficulty.

Commerce is trade together with its aids.

Commerce. Trade together with the services that help goods move from producer to customer, such as transport and banking.

Industry produces or changes goods.

Industry. The branch of business that produces or changes goods, from raw material to finished product.

A table compares the three words using the schoolbook.

The groups overlap, because one business can perform more than one kind of work.

Recap: industry produces, trade buys and sells, and commerce adds the aids to trade.

A puzzle: four workers do very different work, yet all four belong to business.

Business divides into four main branches, shown as a tree.

The groups are tidy in an example but untidy in life. A baker mixes and bakes bread, which is industry, and sells it from the same counter, which is trade. One business can therefore belong to two groups. We then ask what the main activity is, and we classify the business by that answer. Notice also the shape of the sorting: commerce contains trade, so the three words are not three equal boxes.

PAUSE AND CHECK 1.P2 A courier firm carries parcels for shops. Is it industry, trade or an aid to trade? Give your reason in one sentence.

Before moving on. Industry produces or changes goods. Trade buys and sells them. Aids to trade, such as transport, warehousing, banking, insurance and advertising, remove difficulties that stand between producer and customer. Commerce is trade together with its aids. You should now be able to say which of industry, trade or an aid to trade describes a given activity, and to give the reason.

* * *

1.3 BRANCHES OF BUSINESS

Consider four people on one morning. A fisher pulls a net from a river. A potter shapes a clay pot. A builder lays bricks for a school wall. A teacher explains fractions to a class. All four work, and all four are paid. Yet their work is not the same. How shall we sort it?

Business people sort it into four main branches: extractive industry, manufacturing industry, construction and service. The figure below draws them as a tree. To read it, start at the top, where the whole of business stands, and follow the lines downward. Each lower box is a smaller kind of business. The dashed line near the bottom shows where commerce fits, a point we return to at the end of this section.

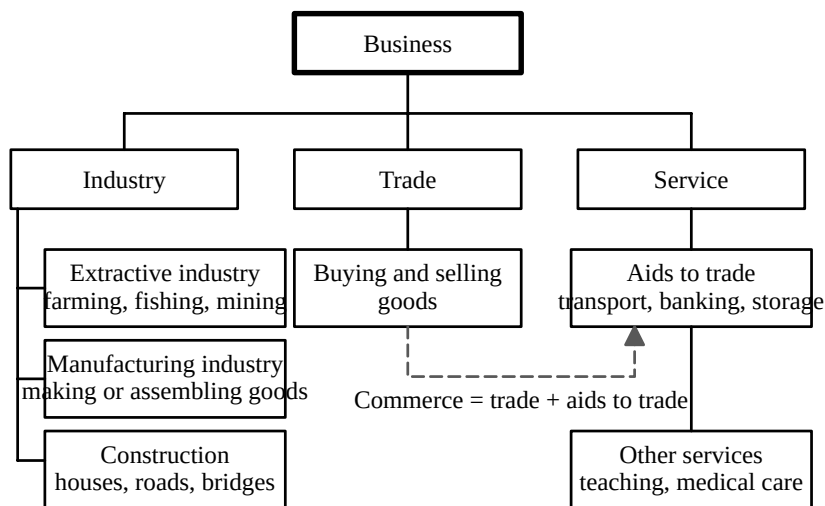


FIG. 1.2. *The branches of business drawn as a tree*

Extractive industry takes natural materials from the earth, sea or land.

Extractive industry. Business that takes natural materials out of the earth, sea or land, such as farming or fishing.

The first branch starts nearest to nature. **Extractive industry** is business that takes natural materials out of the earth, sea or land, such as farming or fishing. Mining coal, cutting timber and growing jute also belong here. The fisher's net, the farmer's plough and the miner's drill serve one purpose: to obtain a material that nature provides. Extractive industry usually comes first in a chain of work, because the other branches need its materials.

The second branch changes materials into goods that people can use. **Manufacturing industry** is business that turns materials into finished goods by making or assembling them. Making means shaping materials, as a potter shapes clay or a mill spins cotton into thread. Assembling means joining ready-made parts, as a workshop joins wheels, frame and chain to form a bicycle. The potter, the paper mill, the garment factory and the printing press all belong to manufacturing industry.

The third branch is construction. Construction is the building of structures that stay where they are built, such as houses, schools, roads and bridges.² It uses materials from the other two branches, for example bricks, steel and cement, and joins them on the site. The builder who lays the school wall is in construction.

The fourth branch is the most varied. A **service** is work done for a customer that gives value but is not a physical thing owned afterwards, such as banking or teaching. The teacher in our morning example provides a service. So do the doctor, the bank clerk, the barber and the driver. The aids to trade in section 1.2 are all services. That is why the tree places them under service, and why commerce, shown by the dashed line, joins trade to those aids.

The next table compares goods with services. Read each row as a question asked about the same two kinds of output.

GOODS AND SERVICES COMPARED

QUESTION	GOODS	SERVICES
What does the customer receive?	A physical thing	Work done for the customer
Does the customer own something afterwards?	Yes	No
Example	A bicycle	Repairing a bicycle
Another example	A school uniform	Teaching

Real businesses often supply both. A restaurant provides food, which is a good, and serving at the table, which is a service. When a business supplies both, ask what the customer mainly pays for, and classify by that answer. The restaurant is mainly selling meals; a hospital is mainly selling care.

Before moving on. Extractive industry takes materials from nature. Manufacturing industry makes or assembles finished goods. Construction builds fixed structures. Service is work done for a customer, and the aids to trade belong to it. You should now be able to name the four branches and to give one example of each.

* * *

Manufacturing industry turns materials into finished goods by making or assembling them.

Manufacturing industry. Business that turns materials into finished goods by making or assembling them.

Construction builds structures that stay where they are built.

A service is work done for a customer; the customer owns no physical thing afterwards.

Service. Work done for a customer that gives value but is not a physical thing owned afterwards, such as banking or teaching.

Service. Word in use. In daily life, a service can be a religious ceremony, a bus route or polite help in a shop. In business, a service is work done for a customer.

A table compares goods and services using new examples.

Many businesses supply both, so we classify by what the customer mainly pays for.

Recap: four branches, with goods and services distinguished.

² Some writers place construction inside manufacturing. This book lists it as a separate branch, because its product is fixed in one place and is not carried to customers.

1.4 SCOPE AND CHARACTERISTICS OF BUSINESS

The scope of business is the full range of activities it covers.

Business has five common features: money, regular dealing, profit, risk and customers' needs.

A good businessperson combines honesty, knowledge, judgement of risk, steady work and skill with people.

Recap: scope, five characteristics and five qualities.

The scope of business is the full range of activities that it covers. From sections 1.2 and 1.3, that range is industry in three forms (extractive, manufacturing and construction), trade, the aids to trade and other services.

The characteristics of business are the features that nearly all businesses share. First, business involves exchange for money. Second, it is regular: one sale by a person who does not normally sell is not a business. Third, it aims at profit. Fourth, it carries risk, because profit is not certain and a loss is possible. Fifth, it exists to satisfy customers' needs, because customers pay only for what they need or want.

A good businessperson shows five qualities. Honesty, because customers return to those they trust. Knowledge of the goods or services sold. Judgement of risk, which means accepting risks that can be reasoned about and avoiding those that cannot. Steady work, because a business needs attention every day. Skill in dealing with people, including customers, suppliers and staff.

Before moving on. Scope is the range of activities that business covers. Business is regular, aims at profit, carries risk and serves customers' needs, all in exchange for money. You should now be able to name the characteristics of business and the qualities of a good businessperson.

* * *

WORKED CASE: CLASSIFYING MEGHNA AND SONS

A worked case applies the chapter's ideas step by step to one situation.

The situation: what the shop does, what it spends and which services it uses.

The question has three parts: the group, the branch and the gap between selling and buying.

Step one: the shop buys and sells goods without changing them, so it is in trade.

Step two: sales less purchases is Tk 4,600,000, and rent, wages and other costs reduce it to the profit.

Step three: the bank, courier and insurer are aids to trade, which places the shop within commerce.

A worked case applies ideas to a situation. It is not a model answer to a question; it shows how to reason, one step at a time. We use the case file of the bookshop.

Case file, illustrative. Situation: Meghna and Sons buys new books and stationery from publishers and sells them to schoolchildren, families and libraries. In 2025 its sales were Tk 14,400,000 and its purchases were Tk 9,800,000. It used a bank, a courier and insurance, and the insurance of its stock cost Tk 36,000 a year. The shop manufactures nothing.

Question. Is the shop in trade, commerce or industry? Which branch does it belong to? What does the gap between sales and purchases show?

Reasoning. Step one. We ask what the shop does with goods. It buys books and stationery from publishers and sells them without changing them. Industry produces or changes goods, and the shop does neither. Trade is the buying and selling of goods for a gain from the difference in price, and the shop does exactly that. The shop is in trade.

Step two. We measure the gain from the difference in price. Sales less purchases is Tk 14,400,000 – Tk 9,800,000 = Tk 4,600,000. This is not yet the profit, because rent, wages and other costs remain. Those three costs total Tk 720,000 + Tk 2,940,000 + Tk 190,000 = Tk 3,850,000. So profit is Tk 4,600,000 – Tk 3,850,000 = Tk 750,000, which agrees with the figure in section 1.1.

Step three. We examine the services the shop uses. The bank removes the difficulty of handling money. The courier removes the difficulty of distance. The insurance removes the risk of loss of stock. All three are aids to trade. Trade together with its aids is commerce, so the shop belongs to commerce through its trade.

Step four. We choose the branch. The shop does not take materials from nature, does not make goods and does not build. A shop assistant who helps a customer choose a book gives a small service, but customers pay mainly for the book. The main activity is therefore trade, with services around it.

Conclusion. Meghna and Sons is in trade, inside commerce, and it uses three aids to trade. *Check.* Does the shop fit the definition of business? It is an activity, regular since 4 April 1996. It provides goods, books and stationery, to others, schoolchildren, families and libraries. It receives money, sales of Tk 14,400,000. It aims at profit and earned Tk 750,000 in 2025. All four parts hold.

Step four: the shop mainly sells goods, so its branch is trade and none of the four industry branches.

Conclusion and check: trade within commerce, and each part of the definition of business holds.

IN SHORT

To classify an activity, ask three questions: does it make or change goods, does it buy and sell goods, or does it help goods move to customers?

* * *

SUMMARY

Business is an activity that provides goods or services to others in exchange for money, aiming to earn a profit. Profit is income less all costs, and a loss is the reverse. Trade is buying and selling goods. Commerce is trade together with its aids. Industry produces or changes goods and has extractive, manufacturing and construction forms. Service is work done for a customer. Business is regular, risky, aimed at profit and driven by customers' needs.

The chapter in a few lines.

THINK IT THROUGH

Reason from the definitions, and write your conclusion in a few sentences.

1.T1 A tailor makes shirts to order for individual customers. The tailor wants to grow by buying ready-made shirts from a factory and selling them in a second shop. Describe which branches of business are involved before and after the change.

1.T2 A bakery has a bad year, and its costs are greater than its income. Is it still a business? Use the definition and the word "aiming" in your answer.

Two problems apply the chapter to new situations.

WHERE PEOPLE GO WRONG

Some students think profit is all the money a business receives. It is not. Income is the money received. Profit is what remains after all costs are paid. In 2025 the shop's income was Tk 14,400,000, but its profit was Tk 750,000.

Some students treat trade and commerce as two separate groups. Commerce contains trade and adds the aids to trade. Every trader belongs to commerce, but not everything in commerce is trade.

Some students believe a business that makes a loss has stopped being a business. The definition says aiming to earn a profit, not always earning one. A business with a loss is a business that has not yet reached its aim.

Some students think industry means only factories with chimneys. Farming, fishing and mining are also industry, in its extractive form. A fisher is in industry.

Mistake one: confusing profit with income.

Mistake two: treating trade and commerce as equals.

Mistake three: thinking a loss ends a business.

Mistake four: thinking industry means only factories.

Mistake five: thinking a service is not real business.

Some students believe that only things that can be held are real business. A teacher or a bank clerk provides a service, and a service is a full branch of business.

In 1759 Josiah Wedgwood began his own pottery works, a manufacturing business.

Josiah Wedgwood was born in 1730 in Burslem, a pottery town in Staffordshire, a county in central England. In 1759 he began his own pottery works in Burslem. This was manufacturing industry. Wedgwood and his workers turned clay into plates, cups and ornaments, and then sold them to customers for money, aiming at profit. Each part of the definition in this chapter can be found in his work.

In 1769 he opened a larger works named Etruria, with a village for its workers.

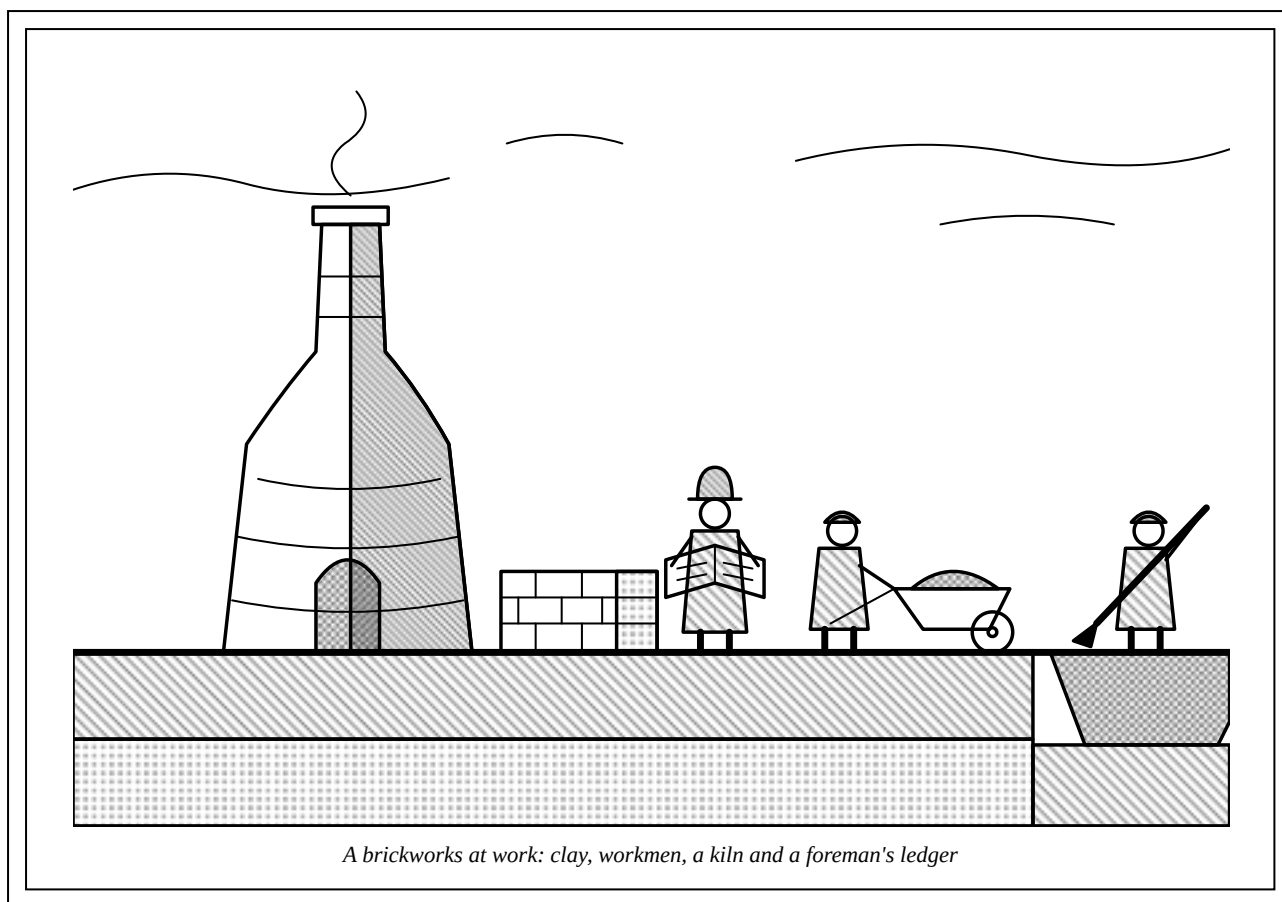
In 1769 Wedgwood opened a new and larger works in Staffordshire, which he named Etruria, working in partnership with Thomas Bentley, a merchant from Liverpool, a port city in north-west England.³ A merchant is a person who buys and sells goods in trade. The works included a village where workers and their families could live. The name Wedgwood is still used on pottery today.

IN HISTORY

REVIEW QUESTIONS

- 1.1 In the case file, name the group (trade, commerce or industry) that best describes Meghna and Sons, and name the three aids to trade that the shop used.
- 1.2 Classify each activity as industry, trade or an aid to trade, and say which of them belong to commerce: (a) a farmer growing jute; (b) a stall selling bananas; (c) a courier carrying parcels for a bookshop; (d) a bakery baking bread; (e) a bank lending money to a shop.
- 1.3 Suppose, as a what-if only, that Meghna and Sons began to print its own notebooks in a workroom behind the shop. Which new branch would it enter, and would it still be in trade?
- 1.4 Give one example of a good and one example of a service that are not in this chapter, and explain the difference between the two.
- 1.5 A vegetable stall in a market buys from farmers each morning. List the aids to trade the stall is likely to use, and say which difficulty each one removes.
- 1.6 A stationery stall buys 50 notebooks at Tk 20 each and sells all 50 at Tk 25 each. It also pays Tk 100 to carry the notebooks to the stall. Find the profit, showing each step.
- 1.7 Follow a cotton shirt from field to customer. Name each stage, state its branch of business, and name two aids to trade used along the way.
- 1.8 Name four characteristics of business, and explain why risk is one of them.

³ Wedgwood named the works after Etruria, an ancient region of Italy, because he believed the ancient vases he admired were Etruscan. Historians say that belief was mistaken.



CHAPTER II

Factors of Production

How many different things must be gathered before one book is sold?



Every business, large or small, needs the same four kinds of resource, and each kind earns its own kind of payment. This chapter names the four, shows what each one earns, and explains how a business brings them together. We follow one bookshop in Dhaka through 2025 and visit a famous factory in Michigan.

YOU WILL NEED

From Chapter 1, 'What Business Is', section 1.1 'Why People Do Business', you need the meaning of business and trade. From the same chapter, section 1.3 'Branches of Business', you need the idea that businesses belong to different branches. Nothing else is assumed.

One book sold in two minutes depends on many things that existed before the customer arrived.

The customer's payment is shared among everyone who helped make the sale possible.

Economists sort what every business needs into four kinds, each with its own payment.

A tea stall shows, on a small scale, what a seller needs before selling anything.

GO SLOWLY HERE.

Each kind of resource a business uses is called a factor of production.

Factor of production. A resource used to make goods or provide services; economists name four: land, labour, capital and enterprise.

A customer walks into Meghna and Sons, a bookshop in Dhanmondi, Dhaka, and chooses a novel. She pays at the desk and leaves with the book in a paper bag. The sale takes two minutes. Yet before those two minutes could begin, many things had to exist. A room had to be found. Shelves had to be built. Books had to be bought and carried to the shop. Someone had to find the book and take the payment. Someone had to decide that all this effort was worth making.

When the customer pays, the money does not stay in one place. Part of it pays the landlord, the person who owns the room and lets it to the shop. Part of it pays the staff. If the year goes well, a part remains for Nurul Meghna, the owner, who opened the shop on 4 April 1996. Here is the question hidden in this scene: why does each person receive a share, and why is each share a different kind of payment?

Economists study how people use limited resources. They noticed that, whatever a business sells, the things it needs fall into four kinds. A bookshop, a brickworks and a bank all need the same four. Each kind earns its own kind of payment. This chapter names the four kinds, one at a time, and shows what each earns. We shall go slowly, because these words return in almost every later chapter.

* * *

2.1 LAND AND NATURAL RESOURCES

Begin with something smaller than a bookshop: a tea stall on a street corner, where selling tea is a small act of trade.¹ To sell one cup, the seller needs a spot where customers can stand. The seller needs water, tea leaves and sugar, which come from rivers, fields and farms. The seller needs a kettle and a stove. The seller needs the work of making and serving each cup. The seller also needs a plan, and the courage to risk money on it. These needs are of different kinds, and the kinds have names.

Economists call each kind of resource a **factor of production**. A factor of production is a resource used to make goods or provide services. The tea stall uses several: a spot to stand, the seller's work, a kettle, and the decision to open. The word *factor* means a contributing part, as in "one factor in a success". Economists name four factors: land, labour, capital and enterprise. This section teaches the first. The next two sections teach the others.

¹ Recall: business and trade, Chapter 1, 'What Business Is', section 1.1 'Why People Do Business'.

The first factor is **land**. Land means all natural resources a business uses, including ground, water, minerals and forests. The tea stall uses land twice: the spot where customers stand, and the water drawn from nature. A brickworks uses more, because it digs clay from the earth. The key feature of land is that nature provided it. No person made the river or the clay, although people may carry the water or dig the clay.

Every factor has a reward. A reward is the payment that the provider of a factor receives when a business uses it. For land, the reward is rent. Rent is the payment made to the person who lets a business use land or space. If the tea seller rents a corner from a landlord, the monthly payment for that corner is rent. Rent is agreed in advance, and the business pays it in a good year and in a poor year.

Case file, illustrative. In 2025 the factor land at Meghna and Sons was the rented shop space of 900 square feet in Dhanmondi, Dhaka. The rent was Tk 60,000 a month, which is Tk 720,000 for the year. Rent is therefore the reward of land in this case file.

Many students find this point confusing, because a shop is a building, and people make buildings. Economists separate the ground from the building on it. Strictly, ground, water and minerals are land, while a building is made by people and belongs with a later factor in this chapter. In this case file we count the rented shop space as land, because the shop pays one rent for the space in that place. Keep the strict meaning in mind and the confusion disappears. A second limit is that nature supplies a limited amount of land, so good locations are scarce.

Before moving on. A factor of production is a resource used to make goods or provide services. Land, the first factor, is every natural resource a business uses, and its reward is rent. A building is strictly not land. You should now be able to say, in one sentence, what land is and what it earns.

2.2 LABOUR

You may already know this factor from your own life. Suppose you help in a relative's shop on Friday afternoons, and at the end of the week the relative pays you. You have given time and effort to a business, and you have received a payment for it. The shop could not serve its customers as well without you. This is the second factor in its simplest form.

The second factor is **labour**. Labour means the physical and mental work people give to a business, paid for with wages. A shop assistant who lifts a heavy box of books gives physical work. An assistant who advises a customer which novel to choose gives mental work. Most jobs contain both. Labour covers every kind of work done for a business, from carrying boxes to keeping the accounts.

The reward of labour is wages. Wages are the payment a business makes to people for their work. They are usually agreed before the work is done, and the business pays them whether or not the year is a good one. Some people are paid by the hour and some by the month, but this book uses one word, wages, for all such payments, because the idea is the same.

The first factor is land: every natural resource a business uses.

Land. All natural resources a business uses, including ground, water, minerals and forests.

Land. Word in use. In daily life, land often means a plot of ground that a person owns. In this subject, land means every natural resource a business uses, including water, minerals and forests.

Every factor earns a reward; the reward of land is rent.

The shop's rent in 2025 shows land and its reward in figures.

Strictly, buildings are not land, and nature supplies a limited amount of land.

Section 2.1 ends with a recap and a sentence the reader can test.

Most readers already know the second factor from their own experience of work.

GO SLOWLY HERE.

Labour is the work people give a business, whether of the body or of the mind.

Labour. The physical and mental work people give to a business, paid for with wages.

The reward of labour is wages, which are usually agreed in advance.

At the shop, seven staff received wages of Tk 2,940,000 in 2025.

If an owner also serves customers, the question arises whether that work is labour.

GO SLOWLY HERE.

Splitting a job into small tasks can help workers make more.

Dividing the tasks removes the lost time and raises the output.

This method has a name: division of labour.

Division of labour. Splitting a job into small tasks so that each worker repeats one task and becomes faster.

Adam Smith described the gain in 1776, using a pin factory.

Division of labour also has costs, and it works best where the market is large.

Section 2.2 ends with a recap and a sentence the reader can test.

A kettle and a plan show the last two factors.

Case file, illustrative. In 2025 the factor labour at Meghna and Sons was its 7 staff. The total wages for the year were Tk 2,940,000. Wages are therefore the reward of labour in this case file.

A question is waiting here. Suppose an owner stands at the desk all day, serving customers. Is that work labour, or is it something else? Section 2.3 answers this. For now, keep the question in mind, and notice that the answer must separate two different things that one person can do.

Now meet an idea that changes how labour is used. Imagine two workers who make paper bags for the shop. Each bag needs two tasks, folding and gluing, and each task takes one minute. A worker who does both tasks alone loses half a minute each time the worker changes tools, so every bag takes three minutes. In one hour, one worker makes $60 \div 3 = 20$ bags, and two workers make 40.

Now let one worker only fold and the other only glue. Nobody changes tools. After the first minute, which the folder spends alone, a finished bag appears every minute. In one hour the two workers make close to 60 bags, instead of 40. The same two people, working for the same hour, make one and a half times as many.

The method is called **division of labour**. Division of labour means splitting a job into small tasks so that each worker repeats one task and becomes faster. The bag example shows two gains: no time is lost in changing tools, and skill grows from repeating one task. Machines add a third gain, because a machine can be built for one small task.

The Scottish thinker Adam Smith (1723 to 1790) described this idea in 1776, in his book *The Wealth of Nations*. He wrote about a small pin factory where about eighteen operations were shared among ten workers. He reported that the ten, working together, made upwards of 48,000 pins in a day, and that one worker alone could hardly make twenty. His point has lasted: when work is divided well, labour produces more.

The method has limits. Repeating one task all day can become dull, and a dull task can lead to mistakes. Workers depend on each other, so one absence can slow the whole line. The method also needs a large market, because dividing the work only pays when the business can sell all the extra output. A small shop with a few customers a day gains little from it.

Before moving on. Labour is the physical and mental work people give to a business, and its reward is wages. Division of labour splits a job into small tasks so that each worker repeats one task. It raises output, but it can make work dull and workers dependent on each other. You should now be able to say what labour is, what it earns, and why dividing tasks can raise output.

2.3 CAPITAL AND ENTERPRISE

Return to the tea stall. The seller has a spot and the seller's own work, but still cannot sell tea without a kettle, a stove, cups and a store of tea leaves. Where did these come from? Someone made them, and the seller either paid for them or borrowed money to buy them. After the kettle is bought, the seller must also decide how much tea to make, where to stand and what price to ask. These two needs, goods that people have made and the act of deciding, are the third and fourth factors.

The third factor is **capital**. Capital means man-made goods and money used to produce other goods, such as machines, tools and stock. Stock, in this sense, means the goods a business holds ready for sale; for the bookshop, it is the books on its shelves. A kettle is capital. So are a shop's shelves, a baker's oven, a lorry, and the money used to buy such things. Nature gave us land; people made capital.

PAUSE AND CHECK 2.P1 A tea seller owns a kettle, draws water from a river, and stands on a corner of pavement. Which of these three is capital, and which are land?

The reward of capital is interest. Interest is the payment made to the provider of capital for letting the business use it for a period. A small example shows the idea. If a person lends a business Tk 1,000 for a year and is repaid Tk 1,050, the extra Tk 50 is interest. Interest, like rent and wages, is agreed in advance.

Case file, illustrative. In 2025 the factor capital at Meghna and Sons was stock of Tk 3,500,000 plus fittings of Tk 600,000, a total of Tk 4,100,000. The case file gives no separate figure for interest.

Many students believe that capital means money only. The definition shows otherwise: shelves, tools and stock are capital even though they are not cash. Money counts as capital when it is used to buy such goods or to let a business operate. A second point: when owners use their own money, they often pay interest to nobody, and the reward of that capital is then usually counted inside profit.

The fourth factor is **enterprise**. Enterprise means the act of organising the other factors and accepting the risk of loss in the hope of profit. The tea seller who chooses the corner, buys the kettle, hires a helper and accepts that some days nobody may buy is practising enterprise. This person stands to lose money if the plan fails. Some writers also call a business an enterprise, a firm or a concern. In this book, business names the organisation, and enterprise names this factor only.

The reward of enterprise is profit. Profit is different from the other three rewards because it is not agreed in advance. It depends on how the year goes: it may be large, small, or a loss. This is why enterprise differs from labour. A member of staff receives wages even in a poor year. The person who supplies enterprise receives a reward only if something remains.

Now we can answer the question left open in section 2.2. An owner who serves customers all day gives labour, and the reward for that work is wages. The same owner who organises the shop and accepts the risk gives enterprise, and the reward is profit. One person can supply both factors. Each factor still earns its own kind of reward, and we keep the two apart.

Case file, illustrative. In 2025 the factor enterprise at Meghna and Sons was Nurul Meghna, the owner. The reward for enterprise was a profit of Tk 750,000.

All four factors are now named, and a table can set them side by side. Read each row from left to right: the factor, what it was at the shop in 2025, and the reward it earned. The figures come from the case files above.

GO SLOWLY HERE.

Capital is man-made goods and money used to produce other goods.

Capital. Man-made goods and money used to produce other goods, such as machines, tools and stock.

Capital. Word in use. In daily life, capital can mean the chief city of a country, or any large sum of money. In this subject, capital means man-made goods and money used to produce other goods.

Capital earns a reward called interest, paid for the use of money or goods.

The shop's capital in 2025 was stock plus fittings.

Capital is not only money, and an owner's own money earns its reward inside profit.

The fourth factor is the act of organising the business and accepting the risk of loss.

Enterprise. The act of organising the other factors and accepting the risk of loss in the hope of profit.

The reward of enterprise is profit, which is not agreed in advance and may become a loss.

One person can supply two factors, and each factor earns its own reward.

The shop's enterprise in 2025 was Nurul Meghna, with a profit of Tk 750,000.

A table now sets the four factors and their rewards side by side.

THE FOUR FACTORS AT MEGHNA AND SONS, 2025

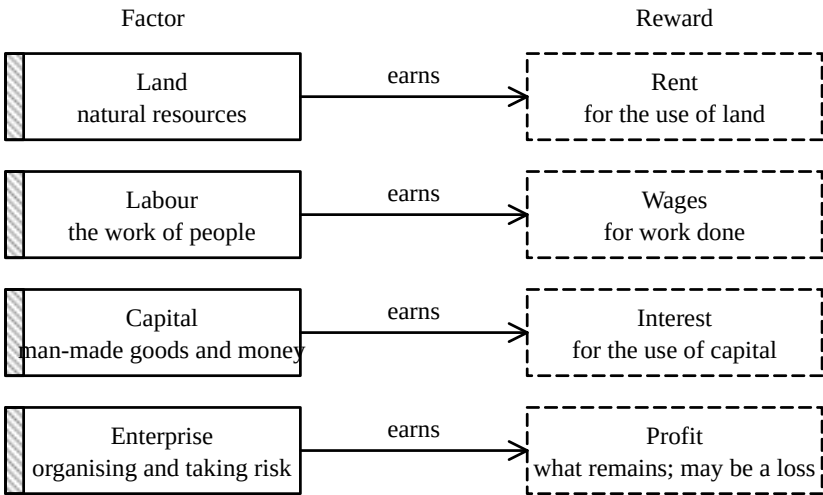
FACTOR	AT THE SHOP IN 2025	REWARD
Land	Rented shop space, 900 square feet	Rent: Tk 720,000
Labour	7 staff	Wages: Tk 2,940,000
Capital	Stock Tk 3,500,000 plus fittings Tk 600,000; total Tk 4,100,000	Interest: no separate figure in the case file
Enterprise	Nurul Meghna, the owner	Profit: Tk 750,000

PAUSE AND CHECK 2.P2 Which of the four rewards in the table is not agreed in advance, and why does that matter to the person who receives it?

Before moving on. Capital is man-made goods and money used to produce other goods, and its reward is interest. Enterprise is the act of organising the other factors and accepting the risk of loss, and its reward is profit. Rent, wages and interest are agreed in advance, but profit is not. You should now be able to name all four factors and the reward each earns.

2.4 HOW THE FACTORS COMBINE

Start with a question. Could a bookshop operate with land alone? An empty room sells nothing. Could it operate with labour alone, staff with no books and no room? Again it sells nothing. Every business needs all four factors together, as a cook needs ingredients, a stove, skill and the decision to cook. The figure below shows the pattern. Read it from left to right: each factor on the left earns the reward on the right.



A business uses all four together

FIG. 2.1. Four factors of production and the reward each earns

The proportions differ from one business to another.² A brickworks relies heavily on land, because it digs clay, and on capital such as kilns. A bookshop relies on stock, which is capital, and on staff, which is labour. A software business may use almost no land but a great deal of labour. No factor can be removed entirely, but the importance of each depends on the business. Each person also sees the factors differently: the landlord sees rent, the employee sees wages, and the owner sees profit or loss.

² Recall: branches of business, Chapter 1, 'What Business Is', section 1.3 'Branches of Business'.

Section 2.3 ends with a recap and a sentence the reader can test.

No business can produce with one factor alone, so the question is how to mix them.

The mix of factors differs between businesses, and no single mix suits all.

The owner often has a choice of mix. A machine, which is capital, may do the work of several workers, who are labour. Each choice changes the rewards that must be paid. The machine brings a cost of purchase or interest and no wages; workers bring wages. The owner, who supplies enterprise, carries the risk of choosing wrongly.

Factors also differ in how easily they move from one use or place to another. This is called their mobility. The table below introduces the four in words first: land cannot move at all, labour moves with effort, capital moves easily if it is money and slowly if it is a machine, and enterprise moves when a person starts a different business. Read each row as a factor and how freely it moves.

HOW EASILY EACH FACTOR MOVES

FACTOR	HOW EASILY IT MOVES	EXAMPLE
Land	It cannot move, although its use can change	A plot changes from farm to shop
Labour	It moves with effort, training and cost	A worker moves to another city
Capital	Money moves easily; machines move slowly	A loan goes to a new business
Enterprise	It moves when a person starts again	A baker opens a second business

Before moving on. Every business combines all four factors, in a mix that suits its work. An owner may choose a different mix, such as a machine instead of workers, and each choice carries different rewards and risks. Factors differ in mobility. You should now be able to say why no business can do without any one factor.

A WORKED CASE: SORTING THE SHOP'S FIGURES

Case file, illustrative. In 2025 Meghna and Sons used rented shop space of 900 square feet at Tk 60,000 a month; 7 staff with total wages of Tk 2,940,000; stock of Tk 3,500,000 and fittings of Tk 600,000; and Nurul Meghna as owner, with a profit of Tk 750,000.

Question. Name the factor behind each item, give its reward, find the yearly rent for each square foot, and find the average wages for each member of staff.

Reasoning, part one. The rented space is land, and its reward is rent: 12 months $\times$ Tk 60,000 = Tk 720,000. Rent for each square foot is Tk 720,000 $\div$ 900 square feet = Tk 800 a year. The 7 staff are labour, and their reward is wages of Tk 2,940,000. Average wages are Tk 2,940,000 $\div$ 7 = Tk 420,000 for each member of staff.

Reasoning, part two. Stock and fittings are capital: Tk 3,500,000 + Tk 600,000 = Tk 4,100,000. The case file gives no separate figure for interest. Nurul Meghna, who organises the shop and accepts the risk, supplies enterprise, and the reward is the profit of Tk 750,000. Rent and wages were agreed in advance, but the profit was whatever remained.

Conclusion. Land earned rent of Tk 720,000, labour earned wages of Tk 2,940,000, capital was worth Tk 4,100,000, and enterprise earned profit of Tk 750,000. *Check.* Multiply back: Tk 800 $\times$ 900 = Tk 720,000, and Tk 420,000 $\times$ 7 = Tk 2,940,000. Also Tk 4,100,000 - Tk 600,000 = Tk 3,500,000. All three agree with the case file.

An owner can often choose between factors, such as a machine instead of workers.

Factors differ in how easily they move from one use or place to another.

Section 2.4 ends with a recap and a sentence the reader can test.

The worked case applies the four factors to the shop's 2025 figures.

The question asks for each factor, its reward and one calculation each for land and labour.

Steps one and two sort the land and labour figures and calculate.

Steps three and four sort the capital and enterprise figures.

The conclusion names each factor with its reward, and the check tests the arithmetic.

* * *

*Four factors earn four rewards,
and each has its own kind of risk.*

*A workshop owner must choose
between one machine and three
more workers.*

*Capital is not only money; it also
includes made goods such as tools
and stock.*

*Land is not only farmland; it
includes all natural resources.*

*An owner's reward is not wages
unless the owner also works.*

*Division of labour is about small
repeated tasks, not equal sharing
of tasks.*

*In 1913 Henry Ford's factory
combined labour, capital and
division of labour on a moving
line.*

SUMMARY

Every business combines four factors of production. Land, the natural resources, earns rent. Labour, the work of people, earns wages. Capital, the goods and money that people have made, earns interest. Enterprise, which organises the others and carries the risk, earns profit. Division of labour splits a job into small tasks, with gains and costs. At the shop in 2025, rent was Tk 720,000, wages were Tk 2,940,000, capital was Tk 4,100,000, and profit was Tk 750,000.

THINK IT THROUGH

A small workshop sews covers for books. It receives more orders than its two workers can finish. The owner can buy a sewing machine, which one person can operate, or can hire three more workers who sew by hand. Use the four factors to reason about the choice.

2.T1 Which factor is the machine, and which factor are the three workers? Name the reward paid in each choice.

2.T2 Both choices commit the owner to payments agreed in advance. Who carries the risk that orders may fall, and which factor does that person supply?

2.T3 Suppose the owner would also operate the machine personally. Which two factors does the owner then supply?

WHERE PEOPLE GO WRONG

Capital means money only. This is incomplete. Capital means man-made goods and money used to produce other goods, so shelves, ovens and stock are capital too.

Land means farmland. This is too narrow. Land includes ground, water, minerals and forests, wherever a business uses them.

The owner's reward is wages. Wages reward work, which is labour. Profit rewards organising and accepting risk, which is enterprise. One person can earn both, but the two rewards are different.

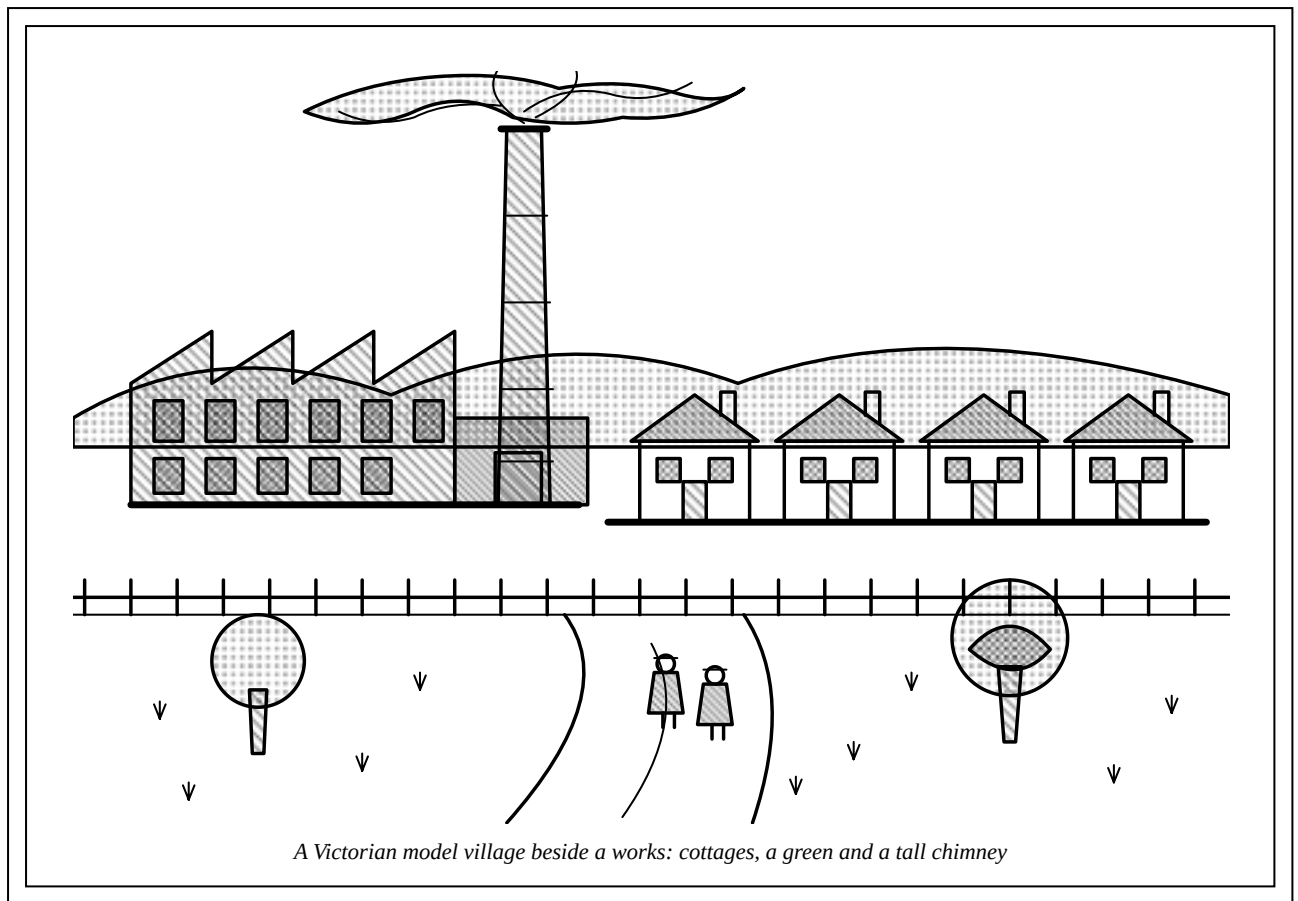
Division of labour means sharing all tasks equally. It means the opposite: each worker repeats one small task. It also has costs, such as dull work and dependence.

IN HISTORY

Henry Ford (1863 to 1947) was an American manufacturer who built the Model T car at the Ford Motor Company, first sold in 1908. In 1913, at the Highland Park factory in Michigan, United States, the company introduced moving assembly lines. Before then, a car stayed in one place while workers brought parts to it. On the moving lines, the work travelled past each worker, who repeated one small task. Assembling a car chassis, which took more than twelve hours, fell to about ninety minutes by 1914. Labour, capital in machines and conveyors, and division of labour were combined, and Ford and his managers took the decision and the risk.

REVIEW QUESTIONS

- 2.1 Name the factor and the reward for each income: a landlord who lets a shop room; a shop assistant paid each month; a person who lends money to a business and is repaid with extra; an owner who keeps what remains after all costs.
- 2.2 Explain why enterprise differs from labour, using Nurul Meghna and a member of the shop's staff.
- 2.3 Compare two shops. Shop A is a street stall with a hand cart. Shop B is a supermarket with shelves, scanners and many staff. Which factors weigh most in each?
- 2.4 A farmer rents a field, hires two helpers, buys a tractor and decides which crop to grow. Name each factor and its reward.
- 2.5 A trader buys cloth from a supplier and sells it to customers. Give one example of each of the four factors for this trader.
- 2.6 Using the paper-bag example, explain division of labour and name one cost of it.



CHAPTER III

Objectives of Business and What Makes It Succeed

If profit is the point of a business, why would a shop give books away?



This chapter explains why a business exists and what aims it sets for itself. It separates economic, social and human aims and shows how a business balances them. It then describes what a business needs in order to last: planning, goodwill and sound finance. The bookshop Meghna and Sons supplies the case file.

This chapter builds on profit from Chapter 1 and on capital from Chapter 2.

A puzzle: the shop wrote down four aims for 2026, and only one is about profit.

The fourth aim costs the shop money and brings in nothing directly.

The puzzle: if business aims at profit, why write down aims about training and gifts?

The chapter answers in three steps: why profit matters, what other aims exist and what a business needs to last.

A household shows what a good plan looks like: an amount, a time and a purpose.

Recall: profit, Chapter 1, 'What Business Is', section 1.1 'Why People Do Business'.

GO SLOWLY HERE.

An objective is a clear aim to be reached within a stated time.

Objective. A clear aim that a business tries to reach within a stated time.

Objective. Word in use. In daily life, "objective" can mean fair and free of personal feeling, as in an objective report. In business, an objective is an aim.

An economic objective is an aim measured in money, such as profit, sales or market share.

Economic objective. An aim that can be measured in money, such as profit, sales or market share.

You will need: Chapter 1, 'What Business Is', section 1.1 'Why People Do Business', where profit is defined; and Chapter 2, 'Factors of Production', section 2.3 'Capital and Enterprise', where capital and enterprise are taught.

Case file, illustrative. Meghna and Sons wrote down four aims for 2026. First, raise profit from Tk 750,000 to Tk 900,000. Second, supply 12 schools' libraries; in 2025 it supplied 4 schools. Third, train 7 staff in customer service, for 14 hours each. Fourth, give 200 books a year to a school library.

Read the four aims slowly. The first aim raises profit directly. The second aim adds to the shop's customers. The third uses 14 hours of each staff member's time. The fourth is the strangest. The shop will give away 200 books that it has bought, and it will receive no money for them.

In Chapter 1 we learned that a business aims at profit. Here is the puzzle. If profit is the point, why does the shop write down aims about training and gifts? Is the shop careless with its money? Or does it understand something about business that the definition alone does not show?

This chapter answers in three steps. Section 3.1 explains why profit matters. Section 3.2 explains the other aims and how they fit with profit. Section 3.3 explains what a business needs in order to last, because an aim is useless to a business that does not survive. Many students find this chapter slow, because aims and good names cannot be touched. For that reason, every idea here is tied to a number or an example.

* * *

3.1 THE PURPOSE OF A BUSINESS

Begin with a household. A family says, "We will save Tk 1,000 each month for 12 months, to pay school fees." This is more useful than saying, "We will save some money one day." The first plan has an amount, a time and a purpose. We can also check it: after 12 months the family holds Tk 12,000, or it does not.

A business makes plans of the same kind. An **objective** is a clear aim that a business tries to reach within a stated time. The wish "the shop should do better" is not an objective, because it has no amount and no time. The aim "raise profit from Tk 750,000 to Tk 900,000 during 2026" is an objective, because it has both.

Some objectives can be counted in money. An **economic objective** is an aim that can be measured in money, such as profit, sales or market share. Sales means the money a business receives from selling. Market share means the part of all sales in one area that a single business wins. If readers in a town spend Tk 1,000,000 on books in a year, and one shop receives Tk 200,000 of it, the shop's market share is 20%.

Why is profit the first economic objective? The reason is survival. **Survival** is a business's ability to keep operating by covering its costs year after year. Take the smallest example. A stall receives Tk 1,000 a month and pays costs of Tk 1,100 a month. It loses Tk 100 each month. If the owner holds Tk 300 in savings, the savings last 3 months, and then the stall must close. A stall that earns a profit has the opposite experience. Each month leaves money in hand for repairs, for a bad month and for the owner's reward.

Here is the rule. Profit is the owner's reward, but before that it is the sign of survival. A business that covers its costs this year and next year is able to continue. A business that does not is slowly spending the money it started with.

PAUSE AND CHECK 3.P1 A stall receives Tk 2,000 a month and pays costs of Tk 2,250 a month. The owner holds savings of Tk 1,000. If nothing changes, after how many months are the savings used up?

Owners ask a second question: is the profit large enough for the money I put in? Capital is the money and equipment that the owner puts into the business; Chapter 2 teaches it fully. The measure is called return on capital. In words, return on capital equals profit divided by capital, multiplied by 100. In symbols, $R = P \div C \times 100$, where R is the return as a percentage, P is the profit for a year and C is the capital. With the smallest numbers, a profit of Tk 100 on capital of Tk 1,000 gives $100 \div 1,000 \times 100 = 10\%$. Each Tk 100 of capital earned Tk 10 of profit. The worked case at the end of this chapter applies the formula to the shop.

Growth is the second aim of this kind. Growth means an increase in the size of a business, measured by sales, customers, staff or number of shops. A business grows in order to serve more customers, to compete with larger rivals and to earn a larger profit. The shop's second aim is a growth aim. It plans to supply 12 schools' libraries, which is three times the 4 schools of 2025, and the sales to those libraries can be measured in money.

Growth has limits, and fast growth can threaten survival. A business that grows must usually buy stock or hire staff before the new customers have paid. It then needs enough money to wait. A larger business that cannot pay its bills fails, while a smaller business that pays them survives. Section 3.3 returns to this point under the heading of sound finance.

Different people see these aims differently. The owner looks first at profit and return on capital. A manager, who directs the daily work, looks at sales and market share, which the manager can influence. An employee, who is paid to work for the business, looks at whether the business will last long enough to keep the job.

Before moving on. An objective is a clear aim with an amount and a time. An economic objective is an aim measured in money. Profit is the first such aim because it makes survival possible, and return on capital tests whether the profit is large enough for the money invested. Growth increases the size of a business but needs money to support it. You should now be able to say why a business needs profit even when it has other aims.

* * *

3.2 SOCIAL AND HUMAN OBJECTIVES

Return to the fourth aim in the case file. The shop will give 200 books a year to a school library

Survival is the ability to keep operating by covering costs year after year, and profit makes it possible.

Survival. A business's ability to keep operating by covering its costs year after year.

GO SLOWLY HERE.

The rule: profit is the owner's reward and, first, the sign of survival.

Return on capital compares a year's profit with the money invested, as a percentage.

Recall: capital and enterprise, Chapter 2, 'Factors of Production', section 2.3 'Capital and Enterprise'.

GO SLOWLY HERE.

Growth means becoming larger; it serves more customers but needs money to support it.

Fast growth is dangerous when a business grows faster than its money allows.

Owner, manager and employee look at these aims differently.

Recap: objective, economic objective, survival, return on capital and growth.

A puzzle: why would a business give away books it paid for?

A social objective is an aim to benefit people outside the business.

A human objective is an aim to benefit the people who work in the business.

A table compares the three kinds of aim using the case file.

Aims can pull in different directions, because money spent on one aim is not available for another.

GO SLOWLY HERE.

Three ways to balance the aims: limit the cost, choose aims that serve both, and keep survival first.

The limit: a business must not raise profit by breaking the law or harming people.

The figure below shows three kinds of aim as three overlapping rings.

and will receive nothing. Why would a business give away books that it paid for?

An aim to benefit people outside the business is called a social objective. Examples are gifts to schools, fair prices, honest dealing and care for the neighbourhood. The gift of 200 books is a social objective. It helps children to read, and the benefit goes to the school and not to the shop.¹

A second group of aims concerns the people who work in the business. An aim to benefit them is called a human objective. Examples are fair pay, safe conditions, respect and training. The shop's third aim is a human objective. Training 7 staff for 14 hours each is $7 \times 14 = 98$ hours of learning, and the benefit goes first to the staff, who gain skill.

The next table sets the three kinds of aim side by side. Read each row from left to right: the kind of aim, who gains most from it, and the aim from the case file that matches it.

ECONOMIC, SOCIAL AND HUMAN AIMS COMPARED

KIND OF AIM	WHO GAINS MOST	AIM FROM THE CASE FILE
Economic	The business and its owner	Raise profit from Tk 750,000 to Tk 900,000
Economic (growth)	The business and its customers	Supply 12 schools' libraries
Social	People outside the business	Give 200 books a year to a school library
Human	The people who work in the business	Train 7 staff, 14 hours each

Now we meet a difficulty. Money spent on a gift or on training is money not kept as profit. The 200 books were bought with the shop's money. The 98 hours of training may be hours when staff are not selling. In this way, social and human aims may conflict with the economic aim. Many students find this hard at first, because it seems that a business must choose between doing good and earning money. The next paragraphs show why the choice is seldom so sharp.

A business balances its aims in three ways. First, it limits the cost. The gift is 200 books a year, not all of the shop's stock, so the sacrifice has a known size. Second, it chooses aims that serve more than one purpose. Training that improves customer service also helps sales. Third, it keeps survival first, because a business that fails can help no one. Balancing means giving each aim its place and not allowing one aim to destroy another.

There is a limit on the other side. A business must not raise profit by harming people or by breaking the law. Paying staff less than the law allows, or selling unsafe goods, may raise profit for a short time, but it is neither social nor human. In every country national law sets some minimum standards, and the owner must learn those of the country where the business operates.

The figure below draws the three kinds of aim as three rings. Each ring is one kind of aim. Where two rings overlap, one action serves both kinds at once. Training staff in customer service, for example, serves the human aim and, by pleasing customers, the economic aim. The centre, where all three rings overlap, is an action that serves every kind of aim together. The best plans try to place their actions where the rings meet.

¹ Chapter 6, 'Social Responsibility of Business', studies the duties of business towards society in full.

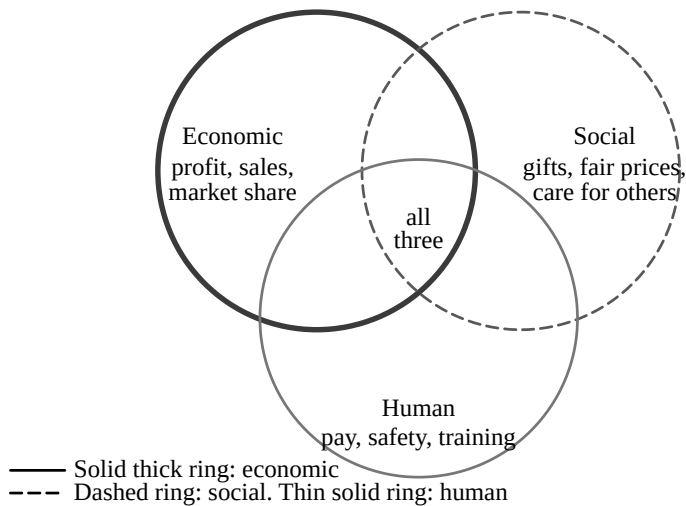


FIG. 3.1. Economic, social and human aims as three overlapping rings

THREE KINDS OF AIM

An economic aim is measured in money. A social aim benefits people outside the business. A human aim benefits the people who work in it.

Before moving on. A social objective benefits people outside the business. A human objective benefits the people who work in it. These aims cost money and may conflict with profit, but a business can balance them by limiting the cost, choosing aims that serve more than one purpose and keeping survival first. You should now be able to name the three kinds of aim and give one example of each.

* * *

3.3 WHAT A BUSINESS NEEDS TO SUCCEED

Imagine two shops that open on the same day in the same street. Both write down the same aims. Five years later one thrives and the other has closed. What differed? Luck may play a part. But the two shops also differed in what they had in place, and those differences can be studied.

Start with the meaning of one word. A prerequisite is something that must be in place before something else can happen. A journey has prerequisites: a map, fuel and a road. A business has prerequisites of success too. The factors of production, such as land and labour, supply the inputs, and a product that customers want gives the business a reason to exist. Beyond these, three prerequisites matter to every business: planning and foresight, customer goodwill and sound finance.

Planning is deciding in advance what to do, with what means, and by when. Foresight is looking ahead to judge what may happen. A plan answers four questions: What do we want? How much? By when? With what means? The shop's aim to supply 12 schools' libraries shows why this matters. Before the aim can be reached, the shop must decide how many books to buy, when to buy them and how to pay for them.

Recap: social and human objectives, and three ways to balance them with profit.

A puzzle: two shops with the same aims, one thriving and one closed.

A prerequisite is something needed before something else can happen; a business has several.

Recall: factors of production, land and labour, Chapter 2, 'Factors of Production'.

GO SLOWLY HERE.

Planning is deciding in advance what to do, and foresight is judging what may happen.

Plans can fail when the world changes, so they must be reviewed.

Goodwill is the good name a business earns with customers, which brings them back and is worth money.

Goodwill. The good name a business earns with customers, which brings them back and is worth money.

Goodwill takes years to earn and can be lost quickly.

Sound finance means having enough money at the right times, keeping records and borrowing with care.

Interest. Word in use. In daily life, interest means curiosity or attention, as in an interest in music. In finance, interest is the price paid for borrowing money, shown as a percentage of the amount borrowed each year.

Interest uses part of the profit, so borrowing must earn more than it costs.

A table compares the three prerequisites and what goes wrong without each.

Recap: prerequisites, planning and foresight, goodwill and sound finance.

Plans have limits. The future cannot be known, and a plan made in January may not fit September. A sensible owner therefore reviews the plan at fixed times and changes it when the facts change. Foresight is not prediction. It is preparation.

The second prerequisite cannot be touched or counted in a cash box. **Goodwill** is the good name a business earns with customers, which brings them back and is worth money. A customer who found honest prices, careful advice and the right book in stock returns, and tells friends. Each return visit is a small payment that the shop did not have to win again.

Goodwill takes years to earn and can be lost at once. One act of dishonesty can undo what hundreds of honest sales built. For the owner, goodwill is something of value that does not appear on any shelf. If the owner sells the business, the buyer may pay more for a shop whose customers return than for one whose customers do not. The shop was opened on 4 April 1996, and every year since has added to its name or taken from it.

PAUSE AND CHECK 3.P2 Name one thing a shop could do this week to earn goodwill, and explain how goodwill could later be worth money.

The third prerequisite is sound finance. This means three habits. The first is to have enough money at the right times, so that bills are paid when they are due. The second is to keep records of money received and paid. The third is to borrow with care. Borrowed money must be repaid with interest. Interest is the price of borrowing, shown as a percentage of the amount borrowed each year. If a business borrows Tk 1,000 at 10% a year, it pays $1,000 \times 10 \div 100 = \text{Tk } 100$ in interest each year.

Consider what this means. Suppose the borrowed Tk 1,000 helps the business to earn an extra Tk 80 of profit in the year. The business pays Tk 100 in interest to earn Tk 80, and it ends the year Tk 20 worse off. Borrowing is wise only when the extra profit is greater than the interest. Fast growth with borrowed money is therefore risky, as section 3.1 warned.

The next table compares the three prerequisites. Read each row as a pair: what the prerequisite gives and what is likely to go wrong without it.

THREE PREREQUISITES OF SUCCESS

PREREQUISITE	WHAT IT GIVES	WHAT GOES WRONG WITHOUT IT
Planning and foresight	Direction and preparation	Surprises, and stock bought too late or in the wrong amount
Customer goodwill	Customers who return	Customers go elsewhere
Sound finance	Money to pay bills on time	Unpaid bills and survival at risk

Before moving on. A prerequisite is something needed beforehand. Planning and foresight give direction. Goodwill brings customers back and is worth money. Sound finance keeps bills paid and borrowing under control. You should now be able to name three prerequisites of success and say what goes wrong without each.

* * *

WORKED CASE: READING THE AIMS OF MEGHNA AND SONS FOR 2026

A worked case applies the chapter to one situation, step by step. We use the aims in the case file.

Case file, illustrative. Situation: the aims written down for 2026 are to raise profit from Tk 750,000 to Tk 900,000; to supply 12 schools' libraries, against 4 schools in 2025; to train 7 staff in customer service, for 14 hours each; and to give 200 books a year to a school library. The shop's profit in 2025 was Tk 750,000, and its return on capital in 2025 is found from capital of Tk 4,100,000.

Question. (a) Is each aim economic, social or human? (b) By how much, and by what percentage, does the profit aim raise profit? (c) How many hours of training are planned? (d) What was the return on capital in 2025?

Reasoning. Step one, part (a). We ask who gains. The profit aim is economic, because profit is measured in money. Supplying 12 schools' libraries is an economic growth aim, because the sales to those libraries can be measured in money. Training the staff is human, because the staff gain. Giving 200 books is social, because the school library, outside the business, gains.

Step two, part (b). *Given:* profit now is Tk 750,000, and the target is Tk 900,000. *Find:* the rise and the percentage rise. *Formula:* in words, rise equals target minus present profit, and percentage rise equals rise divided by present profit, multiplied by 100. *Steps:* $900,000 - 750,000 = 150,000$. Then $150,000 \div 750,000 = 0.2$, and $0.2 \times 100 = 20$. *Answer:* the aim raises profit by Tk 150,000, which is 20%. *Check:* 20% of Tk 750,000 is Tk 150,000, which matches the rise.

Step three, part (c). The plan trains 7 staff for 14 hours each, so the total is $7 \times 14 = 98$ hours. *Check:* $10 \times 7 = 70$ and $4 \times 7 = 28$, and $70 + 28 = 98$.

Step four, part (d). *Given:* profit Tk 750,000 and capital Tk 4,100,000. *Find:* return on capital for 2025. *Formula:* in words, profit divided by capital, multiplied by 100; in symbols, $R = P \div C \times 100$. *Steps:* $750,000 \div 4,100,000 = 0.1829$ to four decimal places. Then $0.1829 \times 100 = 18.29$, which rounds to 18.3.² *Answer:* the return on capital in 2025 was 18.3%. *Check:* 18.3% of Tk 4,100,000 is about Tk 750,300, which is close to Tk 750,000. The small difference comes from rounding.

Conclusion. The four aims include two economic aims, one human aim and one social aim. The profit aim raises profit by 20%, the training totals 98 hours, and the 2025 return on capital was 18.3%. *Check.* Does each aim fit the definition of an objective in section 3.1? Each states an amount, and each is tied to 2026 or to a year, so each is an objective.

A worked case applies the chapter to the shop's written aims for 2026.

The situation: four written aims, the 2025 profit and the 2025 capital.

The question has four parts: classify the aims, measure the profit rise, count the training hours and find return on capital.

Step one asks who gains from each aim.

Step two finds the profit rise as Tk 150,000, which is 20%.

Step three multiplies 7 staff by 14 hours to give 98 hours.

Step four applies the return-on-capital formula to give 18.3%.

Conclusion and check: the aims cover all three kinds, and each has an amount and a period.

IN SHORT

To classify an aim, ask who gains: the business (economic), people outside it (social) or the people who work in it (human).

² Rounding to one decimal place means keeping one digit after the decimal point and adjusting it by the digit that follows. Here 18.29 becomes 18.3.

* * *

SUMMARY

The chapter in a few lines.

An objective is a clear aim with an amount and a time. An economic objective is measured in money, and profit comes first because it makes survival possible. Social objectives benefit people outside the business, and human objectives benefit the people who work in it; a business balances all three kinds and keeps survival first. To last, a business needs planning and foresight, customer goodwill and sound finance.

THINK IT THROUGH

Two problems apply the chapter to new situations.

Reason from the definitions, and write your conclusion in a few sentences.

3.T1 When does a social aim conflict with profit? Give one example from a shop, and say how the shop might reduce the conflict.

3.T2 A baker plans to double the number of customers in one year. Name two things the baker must have in place first, and explain why growth that is too fast could threaten survival.

WHERE PEOPLE GO WRONG

Mistake one: believing that profit is the only objective.

Some students believe that profit is the only objective of a business. Profit comes first, because survival depends on it, but businesses also set social and human objectives. The shop's four aims for 2026 show all three kinds.

Mistake two: treating a wish as an objective.

Some students treat any wish as an objective. A wish such as "do better" has no amount and no time. An objective states both, so that we can check afterwards whether it was reached.

Mistake three: thinking survival means a large profit.

Some students think survival means earning a large profit. Survival means covering costs year after year. A small, steady profit can allow survival, and a large profit in one year does not guarantee it.

Mistake four: confusing goodwill with friendliness alone.

Some students think goodwill is only friendliness. Goodwill is the good name a business earns with customers, which brings them back and is worth money. Friendliness helps, but honesty, quality and reliability matter as well.

Mistake five: believing that social aims always reduce profit.

Some students believe that social aims always reduce profit. They cost money at first, but they may build goodwill, which brings customers back. The effect depends on the aim and on its cost.

IN HISTORY

In 1879 the Cadbury brothers moved their chocolate factory to a new site and named it Bournville.

In 1879 the brothers George and Richard Cadbury moved their cocoa and chocolate factory out of the centre of Birmingham, a large city in central England. The new site lay about four miles to the south, and they named it Bournville. The firm was a business in the sense of Chapter 1: it made goods, sold them for money and aimed at profit.

From 1893 George Cadbury bought land for a model village, built from 1895, to house workers decently.

In 1893 George Cadbury bought 120 acres of land close to the works. From 1895 homes were built there for workers, designed by a young architect, William Alexander Harvey. The aim was decent homes at prices that workers could afford, with open

space around them.³ This was a human objective placed beside the economic one.

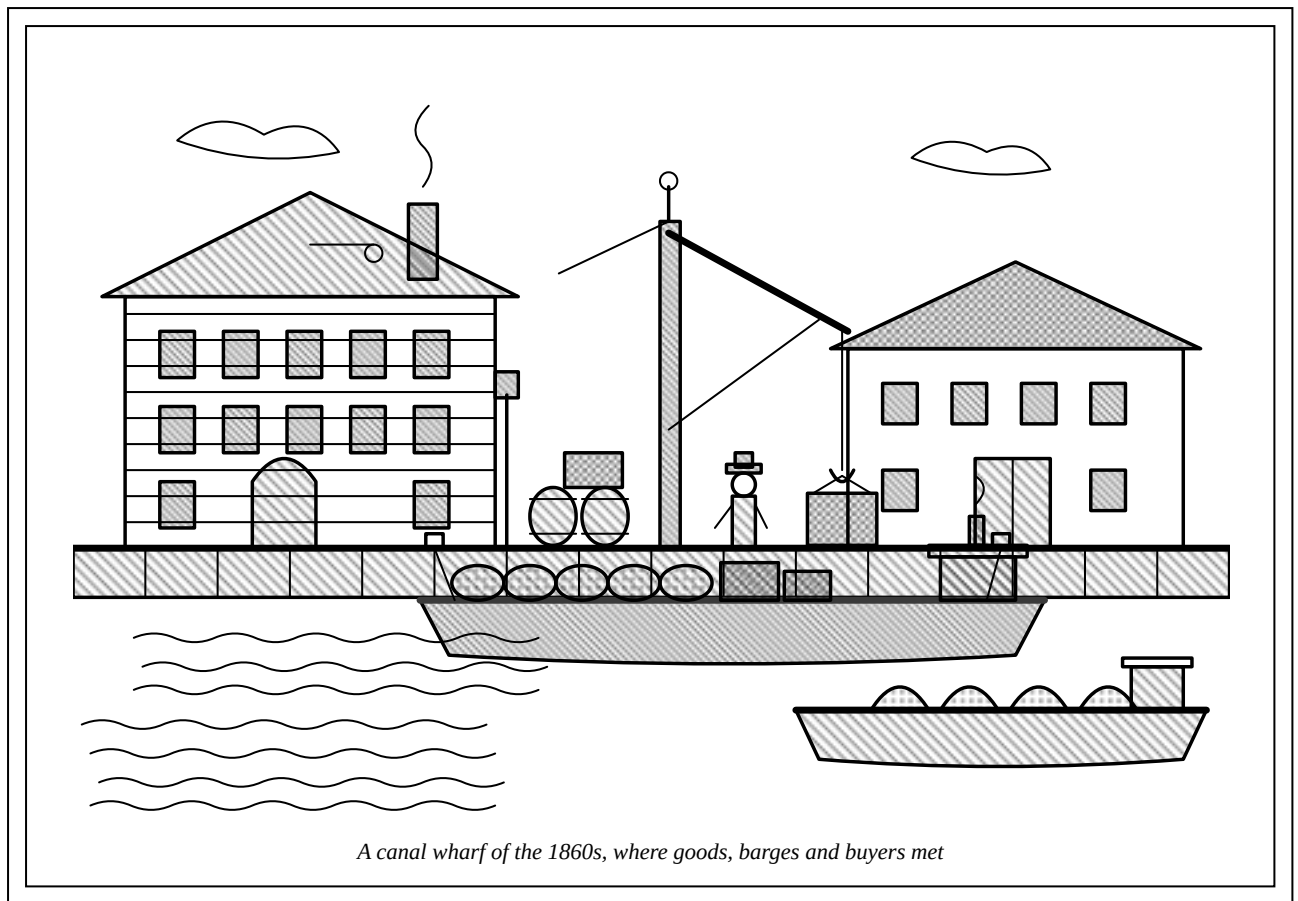
In 1900 the village was placed under the Bournville Village Trust, a body that managed it independently of George Cadbury and of the company. The trust still exists. The lesson for this chapter is that the Cadbury firm earned profit from chocolate and also pursued the welfare of its workers, and it pursued both together.

In 1900 the village was placed in the care of a trust, so that it would continue beyond the company.

REVIEW QUESTIONS

- 3.1 In the case file, separate the four aims for 2026 into economic, social and human aims, and give a reason for each.
- 3.2 Rewrite the wish "the shop should sell more" as an objective that has an amount and a time.
- 3.3 A stall has capital of Tk 2,000 and earns a profit of Tk 300 in a year. Find its return on capital, showing each step.
- 3.4 Give three prerequisites of success for a florist, and explain each in one sentence.
- 3.5 A small clothing workshop states four aims: raise sales by 10%; pay every worker a monthly bonus; give leftover cloth to a girls' school; open a second counter. Classify each aim as economic, social or human.
- 3.6 Explain in your own words why a business that does not survive can reach none of its other objectives.
- 3.7 A café plans to open three more branches in one year, using borrowed money. Using growth, sound finance and goodwill, explain two dangers of the plan.
- 3.8 Describe how goodwill is earned, how it is lost, and why it is worth money.

³ The Cadbury family were Quakers, members of a Christian religious group, and historians often link their concern for their workers to their faith.



CHAPTER IV

Choosing Where a Business Stands

Why does one street reward a business while the next street ruins it?



Every business must stand in some place. This chapter shows how an owner weighs materials, customers, transport, workers, power, land, services and public rules before choosing a site, and why that first choice shapes every later year.

This note names the earlier ideas to know before reading on.

Two bakers with equal money face very different surroundings.

Neither low costs nor many passers-by decide the answer alone.

Every business meets this problem before its first sale.

A family choosing a home weighs several facts, and a business does the same.

A plant location is the place chosen for a factory or shop after weighing several factors.

Plant location. The place where a business builds its factory or opens its shop, chosen by weighing several factors.

Plant. Word in use. In daily life, a living thing that grows in soil. In business, the buildings and machines used to make goods.

The weight of each factor differs from one business to another.

A chosen site is difficult and costly to leave.

You will need two earlier ideas. The first is land and natural resources: see Chapter 2, 'Factors of Production', section 2.1 'Land and Natural Resources'. The second is what a business needs to succeed: see Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.3 'What a Business Needs to Succeed'.

Imagine two bakers who begin on the same day. They have the same oven, the same recipe and the same savings. The first baker opens a shop in a quiet village, where the rent is low and flour comes from a mill nearby. The second opens a shop beside a crowded railway station in a large town, where the rent is high and the flour must travel a long way. After one year, which baker is better off?

The answer is not obvious, and that is the point. The village baker pays little for the shop and little for flour, yet few people pass the door. The station baker pays more for both, yet many people pass every hour. If bread sells slowly, low costs cannot rescue the village baker. If the rent consumes the money from sales, a busy door cannot rescue the station baker. Neither baker can decide from one fact. Each must weigh several facts together.

Every business meets this problem before it makes its first sale. A shop must stand somewhere; so must a factory, a workshop or an office. The place is hard to change later, and it affects the money going out and the money coming in for many years. This chapter teaches you how a business weighs the facts that decide its place. It follows one documented case, a bookshop in Dhaka that compares three districts for a second shop, and it ends with a real decision made in India in 1907.

4.1 WHY LOCATION MATTERS

Think first about a family that must choose a home. The family compares the rent, the distance to school and to work, the safety of the street and the nearness of shops. No single fact decides the matter. The family weighs the facts together and accepts that no home is perfect. A business makes a choice of the same kind, with more money at stake and with more people affected by the result.

A **plant location** is the place where a business builds its factory or opens its shop. The baker in the opening puzzle faced this decision: the village or the station. The word *plant* has a special meaning here. It means the buildings and machines that make goods, and a shop is included in the idea, because a shop also needs a site. A site is one particular piece of land or one particular building. The business compares each possible site with the factors in this chapter and then chooses one.

The factors do not carry equal weight for every business. A steel producer gives great weight to iron ore and coal, because both are heavy and costly to carry. A bookshop gives great weight to the number of people who walk past its door. A software office gives great weight to skilled workers and a reliable electricity supply. A wise owner asks which factors matter most for the business before asking which site is best. The first answer differs for each business, so the best site differs too.

A site is also a fixed commitment. To see why, think of moving house. You must pay for transport, pack your goods, and often find a new school, so a move costs money and time. A business that moves faces the same costs on a larger

scale. It may have signed a lease, which is a written agreement to rent a building for a fixed period. It may have built a factory or fixed heavy machines to the floor. It may also lose customers who knew the old address. The trust those customers felt for the business, its goodwill, may be harmed.¹

The commitment is not equally heavy for every business. A rented shop can be left when the lease ends. A small office with a few desks and computers can move in a weekend. A steel mill cannot move at all without being rebuilt. For this reason the owner must judge a site not only for today but for the years ahead. A site that suits a young business of seven staff may not suit the same business when it has seventy.

The site affects two sides of the business at once. On the side of cost, it decides the rent, the price of carrying materials in and goods out, and the wages that workers expect. Here *cost* means any money a business spends to make and sell its goods. On the side of sales income, it decides how many customers can reach the business and how much they will pay. A site that lowers cost may also lower sales income, as the village baker may discover. The money left after cost is taken from sales income is the profit.

A good choice widens the gap between sales income and cost. The objective of the business changes how that gap is judged. A business whose first objective is survival in a hard year may choose the cheaper site. A business whose objective is growth may accept a high rent for a place that brings many customers. The owner should therefore state the objective before comparing sites, because the same site can be right for one objective and wrong for another.

Before moving on. Plant location is the choice of a place for a factory or shop, made by weighing factors. A site is a fixed commitment, because leaving it costs money, time and goodwill. A site changes both cost and sales income, and its worth depends on the objective of the business.

4.2 PULL OF MATERIALS AND MARKETS

Imagine several people holding one rope and pulling in different directions. The knot in the middle settles where the pulls balance. Each factor in this chapter acts like one of those pulls on the site. Two of the strongest pulls come from the two ends of the business: the place where materials begin and the place where customers wait.

Many businesses gather materials from the land, such as ore, cotton, timber, sugar cane or limestone. When the making process removes much weight, the business saves money by standing close to the source. Cement makers stand near limestone, and sugar mills stand near cane fields, because cane must be crushed soon after cutting. Carrying heavy waste a long distance would raise cost with no gain. This is the pull of nearness to raw material, and it is strongest for heavy materials that lose weight in the making.

The pull has exceptions. A business that imports its materials by ship may stand near a port instead of near a mine. A business that gathers small amounts from many places has no single source to stand beside. A business that makes goods from light materials, such as a software office or a printer, feels almost no pull of this kind. The owner must therefore ask how heavy the materials are, how much weight is lost in the making, and how far they travel.

Some commitments are lighter than others.

A site changes both the money a business spends and the money it receives.

Cost. Word in use. In daily life, the price you pay for something. In business, any money spent to make and sell goods, such as rent, wages and transport.

A good site widens the gap between sales income and cost.

Before moving on: this section gave three ideas.

Think of each factor as a pull that draws the site toward it.

Some businesses stand near their materials because carrying them is costly.

Nearness to materials matters less when transport is cheap or materials come from many places.

¹ Recall: what a business needs to succeed, Chapter 3, section 3.3 'What a Business Needs to Succeed'. A site that fails the business threatens its survival.

Some businesses stand near customers because their goods spoil, break or must be bought quickly.

Footfall is the count of people passing or entering a shop in a given time.

Footfall. The number of people who walk past or enter a shop in a given time.

Transport and communication join the business to its materials, its workers and its customers.

A route is valuable only if it is fast, safe and reliable.

The sketch shows three pulls acting on one possible site.

The opposite pull comes from the customers. Goods that spoil quickly, such as bread, fresh milk or ice, must reach customers within hours. Goods that break easily, such as glass bottles, or that grow bulky in the making, such as furniture, are costly to carry far. Every shop stands near its customers by nature, since a customer must walk or ride to reach it. This is the pull of nearness to market, and here *market* means the customers who buy the goods.

A shop measures this pull by counting people. **Footfall** is the number of people who walk past or enter a shop in a given time. For example, an owner may stand near a possible site for five days and count the people who pass each day, then take the average. Footfall counts people, not buyers. Many people may pass a door and buy nothing, so a high count shows an opportunity, not a certain sale.

PAUSE AND CHECK 4.P1 A bakery and a brick works each choose a site. Which should stand nearer its customers, and why?

Materials, goods and workers must all travel. Transport here means roads, railways, rivers, ports and airports, with the vehicles that use them. Communication means the passing of messages by post, telephone and the internet. A site beside a good road or a railway lowers the cost of bringing materials in and sending goods out. Before railways, canals served this purpose in many countries, and the plate at the start of this chapter shows a canal wharf of the 1860s, with barges beside the warehouses. A business also needs reliable communication to receive orders, pay suppliers and answer customers.

Transport does not only lower cost; it also changes speed and reliability. A cheap road that floods each year may cost more than a dearer road that stays open. A supplier who cannot deliver on time forces the business to hold more stock, which costs money to store. A software office may care little for roads but a great deal for a stable internet link. For this reason the owner examines the quality of each route and not only its price.

Now we read a sketch of the three pulls so far. It is a map, not a photograph. The circle in the middle is a possible site. Three arrows leave the circle. Each arrow points toward one thing that pulls the site: the raw material on the left, the customers on the right and the transport route below. The site settles where the three pulls balance, and each label names the pull that its arrow shows.

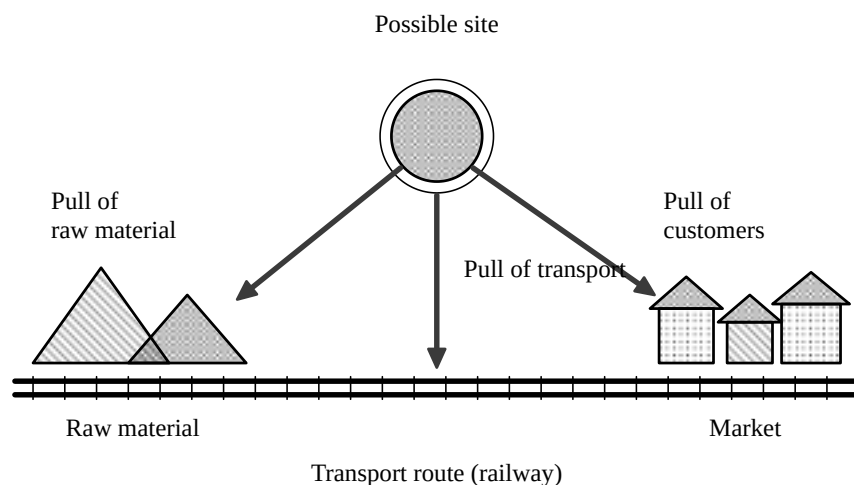


FIG. 4.1. *Three pulls acting on one possible site*

Before moving on. Nearness to raw material draws heavy, weight-losing businesses toward their sources. Nearness to market draws businesses whose goods spoil, break or need quick sale, and footfall measures it for a shop. Transport and communication join the other two, and their quality matters as much as their price.

Before moving on: this section named three pulls.

4.3 LABOUR, POWER, LAND AND SERVICES

The first two pulls came from the two ends of the business. The next four come from what the business needs every day: workers, energy, space and help from other organisations. A site that is strong on materials and customers can still fail if it is weak on these four.

Four more pulls come from workers, energy, land and supporting services.

Labour is the work of people, and every site has its own supply of it. The owner asks three questions. Are there enough people living nearby? Do they have the skills the business needs? What wages do they expect? A bookshop needs staff who can reach the shop at opening time. A software office needs trained programmers, who are found mainly in large towns. A garment factory needs many workers, so it seeks a place with a large working population. Workers are also customers of the neighbourhood: a site far from homes and bus routes makes every working day longer.

A business needs enough workers with the right skills at wages it can pay.

The pull of labour has limits. Wages and skills differ between towns, between regions and between countries. A business that uses many machines needs fewer workers and may care less about this pull. Skilled workers may also be willing to move to a new town if the pay is good, though a move costs them money and time. The owner should compare not only the wage but the output each worker can produce.

Wages and skills differ by place, and machines can lessen the need for workers.

Many businesses depend on power, which means electricity, gas or fuel to run machines, ovens and lights, and on water for washing, cooling and drinking. A bakery needs steady heat for its ovens. A steel mill needs very large amounts of water for cooling. A site where supply fails often forces the business to stop work while wages and rent continue. The owner should discover how reliable each supply is, what it costs, and whether the site is joined to the public network.

Power and water are daily needs, and a shortage can stop the whole business.

A weak supply can sometimes be repaired at a price. A business may buy a generator to make its own electricity or build a tank to store water. Each choice adds cost for equipment, fuel and care. An office needs little water but needs power and internet without interruption. The question to ask is therefore not "Is there power?" but "How often does the power fail, and what does a failure cost this business?"

A business may buy its own generator or water store, but this adds cost.

Land is the third pull.² A factory needs a large area, while a shop needs a small area in a busy street. The price or rent of land usually rises toward the centre of a town, where customers are many, and falls toward the edge, where customers are few. Land cost is measured per square foot or per acre, so two sites of different size must be compared by that measure. The owner must also remember that land is not free to use. Each country and each city has rules that say where homes, shops and factories may stand, and what permission a business must obtain first.

Land cost and land laws limit where a business can afford to stand.

² Recall: land and natural resources, Chapter 2, section 2.1 'Land and Natural Resources'.

An industrial estate groups factories in one planned area with shared services.

Industrial estate. An area planned and serviced by an authority where many factories are grouped together.

Banks and insurers lessen risk, and a site near them saves time.

Before moving on: this section named four daily needs.

Governments and communities shape a site through rules, support and conditions.

Government policy can reward a business for choosing a place.

Heat, rain and flood affect buildings, stock and workers.

A site must be safe for staff, customers and goods.

Weighing the factors means ranking them and accepting a compromise.

Before moving on: this section named four outside factors.

An **industrial estate** is an area planned and serviced by an authority where many factories are grouped together. For example, the authority may provide roads, power, water and waste removal for all the factories at once, so that no factory has to build these alone. Public authorities in Bangladesh and in many other countries have established such estates. The advantage is lower cost and fewer problems with local rules. The disadvantage is that an estate may stand far from customers, and that plots and fees are controlled by the authority.

A business also needs banks and insurers. It deposits its takings in a bank, borrows from it, and pays its workers through it. It buys insurance, which is a payment made so that an insurer will cover a loss from fire, theft or flood. A site in a town centre usually has many of these services nearby. Many banking tasks can now be done by telephone or online, so this pull is weaker than it was in the past.

Before moving on. Labour supply depends on the number, skills and wages of the workers nearby. Power and water are daily needs, and a shortage stops the business. Land cost is compared per unit of area, and local laws limit where a business may stand; an industrial estate groups factories with shared services. Banks and insurers form a lighter pull.

4.4 GOVERNMENT AND COMMUNITY FACTORS

The last factors come from outside the business. Governments, climate and the safety of an area are not chosen by the owner, yet each can raise or lower the worth of a site.

Government policy is the set of rules and support that a government applies to business. Many governments offer incentives, which means benefits that encourage a business to choose a place. Examples are lower tax for a number of years, cheaper land and grants. Governments often use them to bring work to areas with few jobs. Rules differ by country and change over time, so an owner must check the current rules before relying on any benefit.

Climate and environment also matter. Bangladesh has heavy monsoon rain, and some areas are flooded in many years, so a low site may need protection for its stock. Books and paper suffer from damp, and some foods need cool storage. A business that produces smoke, noise or waste must also respect rules that protect the air and water of nearby people. A site that suits the business today but floods each year carries a hidden cost.

Safety and security complete the list. The owner asks whether the street is safe at night, whether theft or fire is common, and whether staff and customers can travel to the site without danger. A business may pay for locks, lights and guards, and an insurer may charge more for a risky area. A site that looks cheap but needs heavy protection may cost more in the end.

Weighing the factors is the last step. The owner lists the factors that matter, ranks them by their importance to the objective of the business, and compares each possible site on each factor. Rarely does one site win every comparison, so the owner accepts a compromise and records the reasons. The decision is not final for ever: if costs, customers or laws change, the business may move, as the history at the end of this chapter shows.

Before moving on. Government policy and incentives can lower cost, but they change. Climate and environment affect buildings, stock and workers. Safety and security affect staff, customers and insurance cost. Weighing the factors

means ranking them by the objective of the business and accepting a compromise.

* * *

A WORKED CASE: A SECOND SHOP FOR MEGHNA AND SONS

A worked case applies an idea to a situation. It has five parts: the situation, the question, the reasoning, the conclusion and a check. Here we apply the factors of this chapter to one case file.

Case file, illustrative. On 12 May 2026 the file for Meghna and Sons records a site choice for a second shop. Three sites are listed. Dhanmondi is the existing shop: rent Tk 60,000, 900 square feet, footfall 410 a day. Mirpur: rent Tk 38,000, 700 square feet, footfall 520 a day, with three schools within 600 metres. Uttara: rent Tk 52,000, 800 square feet, footfall 380 a day, with parking available. The footfall counts are five-day averages.

The table below puts the recorded facts in one place. Read each row as one site and each column as one measure; the rent is taken as Tk per month, as at the existing shop.

THE THREE SITES IN THE CASE FILE

SITE	RENT (TK A MONTH)	AREA (SQUARE FEET)	FOOTFALL A DAY	OTHER RECORD
Dhanmondi (existing)	60,000	900	410	None recorded
Mirpur	38,000	700	520	Three schools within 600 metres
Uttara	52,000	800	380	Parking available

Question. Which site do the recorded facts favour for a second shop, and what further facts are needed?

Reasoning. Sites differ in size, so we first compare rent per square foot. Divide the monthly rent by the area. Dhanmondi: $60,000 \div 900 = \text{Tk } 66.67$. Mirpur: $38,000 \div 700 = \text{Tk } 54.29$. Uttara: $52,000 \div 800 = \text{Tk } 65.00$. All answers are in taka per square foot a month, rounded to two decimal places.

Next we compare footfall with rent. Divide the daily footfall by the monthly rent in thousands of taka. Dhanmondi: $410 \div 60 = 6.83$. Mirpur: $520 \div 38 = 13.68$. Uttara: $380 \div 52 = 7.31$. A higher number means more people pass for each Tk 1,000 of rent. The third step uses facts that no calculation can measure: Mirpur has three schools within 600 metres, which may bring students and parents past the door, and Uttara has parking, which helps customers who arrive by car.

Conclusion. On the recorded figures, Mirpur has the lowest rent per square foot and the highest footfall, and it passes nearly twice as many people per Tk 1,000 of rent as either other site. It is also the smallest site, so part of its lower rent reflects less space. The file does not record how many of the people counted buy books, and footfall counts people, not buyers. The choice needs further facts: the supply of staff who can reach the site, delivery of stock, and the local land rules.

A worked case applies the factors to a documented record and is not a model answer.

The situation is a record of three sites for a second shop.

The table sets the three sites side by side on the same measures.

The question asks which site the recorded facts favour.

Reasoning begins with rent per square foot, so sites of different size can be compared.

The second step compares how many people pass for each Tk 1,000 of rent.

On the figures given, Mirpur leads on rent and footfall but needs more checks.

The check repeats the arithmetic backwards and compares it with the record.

Check. Multiply each rate by its area. For Mirpur, $54.29 \times 700 = 38,003$, which equals Tk 38,000 apart from rounding. For Dhanmondi, $66.67 \times 900 = 60,003$. The result is sensible, because Mirpur has the lowest rent in the file and also the lowest rent per square foot.

* * *

SUMMARY

The summary lists the main ideas of the chapter.

Plant location is the choice of a place for a factory or shop by weighing factors. A site is a fixed commitment that affects cost and sales income for many years. The main pulls come from materials, customers, transport, labour, power and water, land and its laws, services, government policy, climate and safety. Each factor has a different weight for each business, so the owner states the objective, ranks the factors and accepts a compromise.

THINK IT THROUGH

The questions below change the situation step by step.

Use the case file in the worked section for the first two questions. The last two change the setting.

4.T1 An owner values low rent above every other factor. Which of the three sites does the owner prefer? Give two figures from the case file that support the answer.

4.T2 Suppose the rent at Uttara falls from Tk 52,000 to Tk 40,000 for the same 800 square feet. Find the new rent per square foot, then say whether Uttara now beats Mirpur on that measure and on footfall for each Tk 1,000 of rent.

4.T3 A software office with ten staff must choose between a busy city centre and a quiet town. Which factors matter most, and which matter little?

4.T4 A bakery has stood in one street for ten years. A new road reduces its footfall, and the owner is offered cheaper land in an industrial estate. What must the owner weigh before deciding to move?

WHERE PEOPLE GO WRONG

Four common mistakes about site choice, each with its correction.

Mistake. The cheapest site is the best site. *Correction.* Low rent may come with low footfall, poor transport or weak power. The owner compares the total effect on cost and sales income, not the rent alone.

A site is not a final decision.

Mistake. Once the owner has chosen a site, the choice is final. *Correction.* A site is a heavy commitment, but conditions change. Costs, customers and laws move, and a business may leave a site when staying costs more than leaving.

Footfall measures people who pass, not people who buy.

Mistake. High footfall means high sales. *Correction.* Footfall counts people who pass or enter. Only some of them buy, so a high count shows an opportunity and must be checked against sales.

One factor does not always decide the matter.

Mistake. One factor always decides, such as nearness to customers. *Correction.* The weight of each factor depends on the business. Heavy materials decide for a cement maker; skilled workers decide for a software office.

IN HISTORY

In the 1900s India imported much of its steel from Britain. Jamsetji Tata, an Indian industrialist, had planned an iron and steel company for years. After his death his son, Sir Dorabji Tata, registered the Tata Iron and Steel Company on 26 August 1907.

The company chose a site at Sakchi, a village in the Singhbhum district of what was then Bihar province and is now Jamshedpur in the Indian state of Jharkhand. The reasons match the factors of this chapter. Iron ore lay in the region, found by a geologist named Pramatha Nath Bose at Gorumahisani. Coal came from the Jharia field. The Subarnarekha river supplied water. Railways joined the site to the ore, the coal and the large city of Calcutta, now Kolkata. In 1908 the company acquired about 3,584 acres of land around the village.

Production followed: pig iron in 1911 and steel in 1912. The village grew into a steel town, and in 1919 the Viceroy, Lord Chelmsford, renamed Sakchi as Jamshedpur in honour of Jamsetji Tata. The case shows that the best sites combine several factors, and that a choice made in 1907 shaped the place for generations.

The Tata steel company in 1907 chose its site by weighing materials, water and transport.

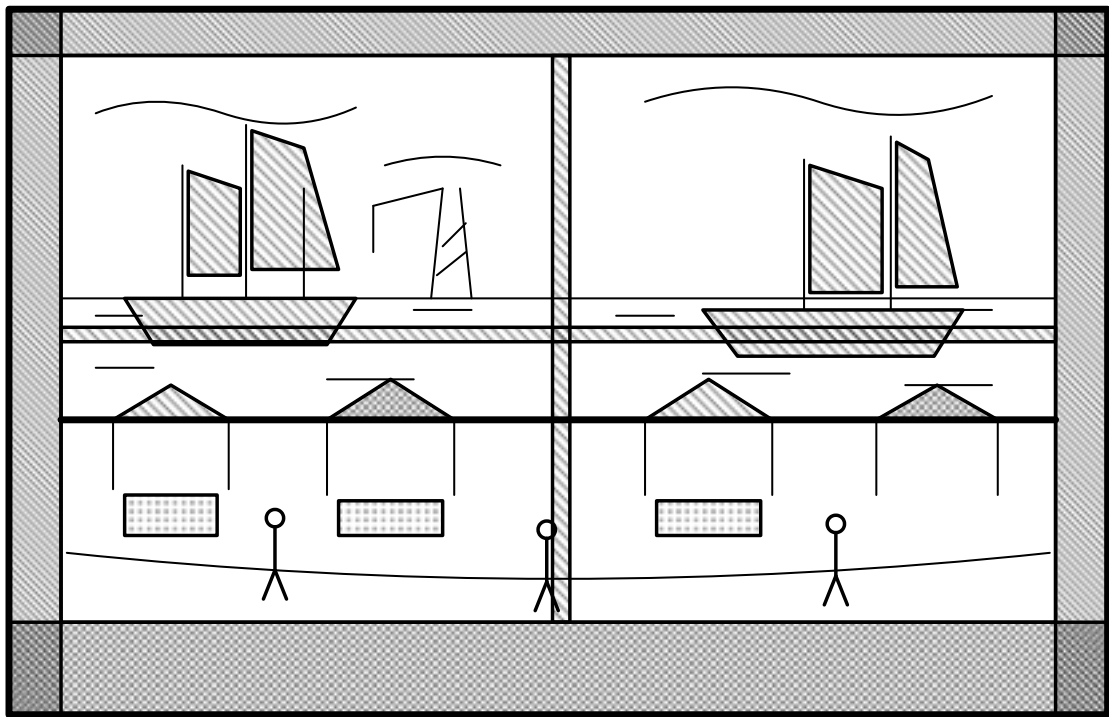
The company chose Sakchi because several needed factors lay close together.

The site later grew into a company town.

REVIEW QUESTIONS

- 4.1 Explain plant location in your own words and give one example of a business and its site.
- 4.2 Explain why a site is a fixed commitment, and name two things a business may lose by moving.
- 4.3 Rank the factors in this chapter for a bakery, from most to least important, and give a reason for the first and the last.
- 4.4 Rank the factors for a steel mill, from most to least important, and give a reason for the first and the last.
- 4.5 Rank the factors for a software office, from most to least important, and give a reason for the first and the last.
- 4.6 Explain the difference between footfall and sales, and say why an owner should not rely on footfall alone.

The questions below ask the reader to apply the chapter.



A harbour-master's window: ships, cranes and a market square beyond

CHAPTER V

The Business Environment

Why can sales fall when nothing inside the shop has changed?



A business does not stand alone. Forces inside it and forces around it shape what it can do, and some of those forces change without warning. This chapter names the forces, sorts them into two groups, and shows how a business can respond. We follow the bookshop's 2025 records and the story of a famous camera company.

YOU WILL NEED

From Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.1 'The Purpose of a Business', you need the idea that a business has objectives. From Chapter 4, 'Choosing Where a Business Stands', section 4.1 'Why Location Matters', you need the idea that a site has features that help or hurt a business. Nothing else is assumed.

A business can lose sales while nothing inside it changes.

The shop's textbook sales show such a fall in 2025.

The answer lies in the surroundings of the business, which this chapter names.

Suppose the owner of a shop keeps the same shelves, the same seven staff and the same opening hours for two years. Nothing in the shop is worse than before. Yet in one year, sales of the shop's main product fall by a large sum. The owner asks a hard question: if nothing inside the shop changed, where did the cause come from?

Case file, illustrative. Meghna and Sons recorded textbook sales of Tk 4,300,000 in 2025, against Tk 5,100,000 in 2024. Overall sales in 2025 were Tk 14,400,000. The record also notes that online sellers cut textbook prices by about 15% from March 2025, and that a school curriculum change was announced for January 2026.

The record points to events outside the shop: a price cut by other sellers and a decision about school books. Neither event happened in the shop, yet both can change what the shop sells. Every business lives among such events. This chapter gives names to the forces inside and outside a business, and shows how an owner can respond when they change.

* * *

5.1 INSIDE THE BUSINESS

A household has some things under its control and others that are not.

The word environment names all the forces and conditions that affect a business.

Environment. All the forces and conditions, inside and outside a business, that affect how it operates.

Environment. Word in use. In daily life, environment often means nature: air, water, forests and weather. In this subject, environment means all the forces and conditions, natural or not, that affect how a business operates.

The internal environment is the group of forces inside the business that it can control.

Internal environment. Forces within the business that it can control, such as its staff, resources and rules.

Begin with your own household. You decide how the family spends its money in a month, who cooks, and which rooms are used. You do not decide the price of rice in the market, the weather, or whether the electricity fails. Some forces you control, and others reach you from outside. A business is in the same position.

The word for all these forces together is **environment**. The environment of a business is all the forces and conditions, inside and outside the business, that affect how it operates. In daily life people use the word for nature. Here it is wider: it includes staff, prices, laws and machines as well as weather. We sort it into two groups. The first group lies within the business.

The first group is the **internal environment**. The internal environment means forces within the business that it can control, such as its staff, resources and rules. The owner can change the shop's opening hours, train staff, or alter how stock is recorded. The word *internal* means inside. Control is the key idea: the owner may use it or may choose not to, but the power to decide belongs to the business.

Three groups of people stand inside every business. Owners provide the money, carry the risk and set the objectives.¹ Managers organise the work and make daily decisions. Employees do the work, and they give the business its skill and energy. Each group has its own interests: the owner looks for profit, the manager for smooth operation, the employee for fair pay and safe work. These interests often agree, but they can also conflict.

Such people are called **stakeholders**. A stakeholder is any person or group affected by a business or able to affect it, such as staff or customers. Owners, managers and employees are the internal stakeholders. Later in this chapter we meet stakeholders outside the business. A stake is an interest in the outcome: a person with a stake gains or loses when the business does well or badly.

Two more internal forces matter. Resources are what the business holds: money, stock, equipment, skills, and systems for keeping records. Culture is the set of habits and beliefs that people in the business share, such as how they treat customers and how willing they are to try new methods. Resources can be counted; culture must be observed over time.

Consider one internal change: the shop replaces its paper cards with a computer list of stock. The owner sees a cost and a possible gain in sales. The manager sees time spent on moving the records and on checking them. An employee sees a new task to learn, and perhaps a quicker way to find a title. A customer, who stands outside, sees only whether the book can be found sooner. One change, four viewpoints: this is why a manager must ask who is affected before deciding.

A business also has rules of its own: a rule on how staff greet customers, or a rule on when a customer may return a book. These rules are part of the internal environment, because the business wrote them and can change them. Laws are different. A law is a rule made by the state, and the business must obey it whether it likes the law or not. Many students confuse the two, because both are called rules. The test is simple: who can change it? If the business can, it is internal.

Case file, illustrative. The internal record of Meghna and Sons for 2025 lists 7 staff and stock listed on paper cards. Both facts belong to the internal environment, because the shop can change them.

Culture shows in small daily habits. In a shop where staff greet each customer and note what customers ask for, the owner learns quickly what readers want. In a shop where staff ignore such questions, the owner learns late. Culture cannot be bought like a shelf. It grows from what owners and managers do every day, and from what they praise or ignore. This is why culture can be a strength that rivals cannot copy, or a weakness that is hard to remove.

Control is not complete. A manager can train staff but cannot make every employee equally skilled. An owner can buy a computer only if money allows. Internal forces also create strengths and weaknesses. A trained, willing team is a strength. Stock listed on paper cards may be a weakness, because finding a title can take longer and errors may be more likely.

Before moving on. The environment is all the forces and conditions that affect a business. The internal environment is the part the business can control:

Owners, managers and employees are the people inside, and each sees the business differently.

A stakeholder is anyone affected by the business or able to affect it.

Stakeholder. Any person or group affected by a business or able to affect it, such as staff or customers.

Resources and culture complete the internal picture: what the business holds and how it behaves.

Culture. Word in use. In daily life, culture often means the arts, customs and way of life of a whole society. In a business, culture means the shared habits and beliefs of the people who work there.

One internal change looks different to each person who stands inside the business.

Rules written by the business are internal; laws made by the state are external.

At the shop, the internal facts in 2025 were seven staff and stock listed on paper cards.

A culture of care or of carelessness shows in small daily habits.

Internal control is partial, and internal forces create strengths and weaknesses.

Section 5.1 ends with a recap.

¹ Recall: objectives, Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.1 'The Purpose of a Business'.

owners, managers, employees, resources and culture. A stakeholder is any person or group affected by a business or able to affect it.

5.2 OUTSIDE THE BUSINESS

The owner cannot choose competitors' prices or the law, yet both matter.

The external environment is the group of forces outside the business that it cannot control directly.

External environment. Forces outside the business, such as customers, laws and prices, that it cannot control directly.

External stakeholders each want something different from the business.

Sorting forces helps an owner decide what can be changed and what must be met.

The many external forces are easier to hold in mind when sorted into four groups.

Return to the puzzle of the bookshop. The price cut by online sellers and the curriculum change came from outside the shop. The owner did not choose them and cannot order them to stop. Forces of this kind form the second group.

The second group is the **external environment**. The external environment means forces outside the business, such as customers, laws and prices, that it cannot control directly. The word *directly* matters. The shop cannot command customers or change a law, although it can influence some forces, as section 5.3 shows. External stakeholders include customers, suppliers, lenders, competitors and the government. Features of the area around the shop, such as its neighbours and roads, also belong here.²

PAUSE AND CHECK 5.P1 Is a competitor's price cut part of the internal or the external environment? Give one reason.

External stakeholders each want something different. Customers want goods of good quality at a fair price. Suppliers want orders and prompt payment. Lenders want their money back with interest. Competitors want the same customers. The government wants taxes paid and laws obeyed. Because their wants differ, a decision that pleases one group can displease another: a lower price pleases customers but may trouble a supplier who is asked to charge less.

Why sort at all? The sort tells the owner what to do about each force. An internal fact can be changed. An external force can only be met: by adapting, by influencing within limits, or by scanning for early warning. An owner who mixes the two groups wastes effort, for example by trying to change a competitor's price instead of changing the shop's own stock list.

The external environment holds many forces, so we sort them into four groups. The table below names each group, says what it contains, and gives a bookshop example. Read each row from left to right. The groups overlap at the edges, as the exceptions below explain.

FOUR GROUPS OF EXTERNAL FORCE

GROUP	WHAT IT CONTAINS	BOOKSHOP EXAMPLE
Economic	Prices, incomes, competition, interest rates	Online sellers cut textbook prices
Social and cultural	Habits, beliefs, tastes, population	Visits to the book fair each February
Political and legal	Government decisions, laws, taxes	A school curriculum change
Technological	New machines, methods and tools	Online selling websites

Economic forces concern money: incomes, prices and competition.

Economic forces concern money and trade. They include what customers earn and are willing to spend, the prices competitors charge, and the cost of borrowing. When incomes rise, customers can buy more books. When a competitor lowers its prices, customers may move to it. In the case file, the price cut of about 15% by online sellers is an economic force. A shop with unchanged prices now looks dearer by comparison, although it changed nothing.

² Recall: plant location, footfall and industrial estate, Chapter 4, 'Choosing Where a Business Stands', section 4.1 'Why Location Matters'. Site factors belong to the external environment.

Social and cultural forces are the habits, beliefs and tastes of the people around the business. They include what people read, how families value education, which festivals bring gifts, and how the population changes. Each February, Dhaka holds the Amar Ekushey Book Fair, where many readers buy books. A bookshop feels such a habit, because buying may move to the fair for a month. Tastes also change slowly, which makes these forces hard to notice.

Political and legal forces are the decisions of governments and the laws that follow. They include taxes, rules on trading, and decisions about education. Laws differ from country to country, so a business must learn the rules of the place where it works. A curriculum is the list of subjects and books a school teaches. The curriculum change announced for January 2026 is a decision about education of this kind: it may change which books students need, and so what the shop should stock.

Technological forces are new machines, methods and tools that change how goods are made, sold and delivered. Online selling is the main example for a bookshop: a customer can compare prices on a phone and order without leaving home. Technology can also help the business, since a shop can use it to record stock or to reach customers. A technological force can therefore be a threat or an opportunity, depending on how the business responds.

A force is not good or bad in itself. A price cut by online sellers is a threat to a shop that sells only textbooks. The same cut is an opportunity to a school that now buys its books more cheaply. A new curriculum is a threat to a shop with old stock, and an opportunity to a shop that is ready with the new books. The question for the owner is always the same: what does this force mean for this business, in this year?

Customers deserve special notice among the external stakeholders. They are outside the business, so the owner cannot control them. Yet without them the business has no income. A business that watches its customers closely learns early about changes in tastes, prices and needs. In this sense customers are the most important window through which a business sees its external environment.

The groups overlap. The online price cut is economic, because it concerns price, and technological, because online selling made it possible. Sorting is a tool for thinking, not a law: when a force fits two groups, name both. The forces also change at different speeds. Laws change in announced steps, tastes change slowly, and technology can change fast.

Before moving on. The external environment is the group of forces outside the business that it cannot control directly. We sort these forces into economic, social and cultural, political and legal, and technological groups. The groups overlap, so name every group that fits.

Social and cultural forces are the habits, beliefs and tastes of the people around.

Political and legal forces are the decisions of governments and the rules that follow.

Technological forces are new machines, methods and tools that change how business is done.

Each external force can bring a threat or an opportunity, depending on the business.

Customers are both external stakeholders and the source of the business's income.

The groups overlap, and the forces change at different speeds.

Section 5.2 ends with a recap.

5.3 INTERACTION WITH THE ENVIRONMENT

The internal and external groups are not separate worlds. They act on each other, and this two-way action is called interaction. Forces from outside reach the business: a price cut lowers sales. Forces from inside shape the response: stock on paper cards makes it harder to see which titles still sell. The business also acts outwards, since its prices and service shape how customers feel. The figure below shows the business at the centre with the internal forces close around it and the external forces beyond. Read it from the centre outward; the arrows run both ways.

A business and its environment act on each other in both directions.

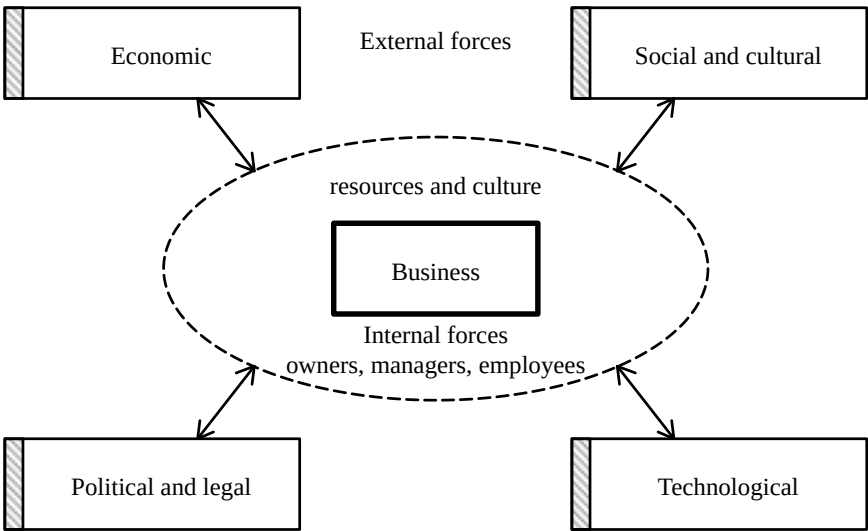


FIG. 5.1. A business at the centre with internal and external forces around it

A business can adapt to change by altering what it does.

A business can sometimes influence outside forces, but only within limits.

Scanning means watching the outside forces regularly, so that change brings early warning.

A table compares the three responses and their limits.

The first response is adapting. Adapting means changing what the business does so that it fits new conditions. The shop could change its stock to match the new curriculum, offer advice that an online seller cannot give, or reduce its costs. Which choice suits depends on the internal environment: only changes that the shop can afford, and that its staff can perform, are real options. A customer sees the result as a shop that still offers what is needed.

The second response is influencing the environment. A business can sometimes shape the forces around it. It can build goodwill by serving customers well, so that they stay when prices tempt them away. Several shops can also join a trade association to speak with one voice to officials. The limits are real. A small shop cannot reverse an online price cut or change a law alone, and any influence must stay within the law.

The third response is scanning for change. Scanning means watching all four groups of external force on a regular basis: reading the news, noting competitors' prices, and asking customers what they need. Scanning gives time. The curriculum change was announced for January 2026, so a shop that scans has months to adjust its stock before the change arrives. A shop that does not scan learns of it when customers ask for books it does not hold.

The three responses can be compared side by side. The table below names each response, says what it means, gives a shop example, and states its main limit. Read each row from left to right.

THREE RESPONSES TO A CHANGING ENVIRONMENT

RESPONSE	WHAT IT MEANS	SHOP EXAMPLE	MAIN LIMIT
Adapting	Changing what the business does	Stocking the new curriculum books	Needs money and time
Influencing	Shaping the forces around it	Building goodwill with local schools	A small business has little power
Scanning	Watching for change early	Noting competitors' prices each month	Gives warning, not a cure

Owners, employees and customers experience a response differently.

Each response looks different from each viewpoint. The owner weighs cost against the risk of losing sales. The employees may need training and may worry about their jobs. The customers notice only the result: whether the shop still has

the books they need at a fair price. A response succeeds when all three viewpoints can accept it.

The environment also connects to the objectives of Chapter 3. A fall in sales can threaten survival, which is the first aim of most businesses. A loss of customers can damage goodwill, the trust that brings customers back. A change in the environment may block an objective, but it can also open a chance, such as a new group of customers who want a service the shop can supply.

Adapting is not free: new stock needs money and new methods need training. Yet doing nothing is also a choice, and it can threaten the survival of the business. The honest question for an owner is which cost is smaller. The change itself is not always clear in advance, either, so some mistakes cannot be avoided. Good scanning reduces them but does not remove them.

IN SHORT

The environment has two parts. The internal environment is what the business can control. The external environment is what it cannot control directly. Stakeholders stand in both parts.

Before moving on. A business and its environment act on each other. A business can adapt to change, try to influence the forces around it within limits, and scan regularly for early warning. Each response has a cost, and doing nothing is also a choice.

A WORKED CASE: SORTING THE SHOP'S FORCES

Case file, illustrative. The 2025 record of Meghna and Sons shows textbook sales of Tk 4,300,000, against Tk 5,100,000 in 2024. Overall sales were Tk 14,400,000. Online sellers cut textbook prices by about 15% from March 2025. A school curriculum change was announced for January 2026. Internally, the shop has 7 staff and stock listed on paper cards.

Question. Sort the four recorded facts into the internal and external environment, name the group of each external force, and measure the fall in textbook sales and the share textbooks form of overall sales.

Reasoning, part one. The price cut is outside the shop and cannot be controlled directly, so it is external; it is economic, and technological too, because online selling made it possible. The curriculum change is also external, in the political and legal group. The 7 staff and the paper cards are inside the shop and can be changed, so both are internal.

Reasoning, part two. The fall is $\text{Tk } 5,100,000 - \text{Tk } 4,300,000 = \text{Tk } 800,000$. As a share of 2024 textbook sales, $\text{Tk } 800,000 \div \text{Tk } 5,100,000 = 0.157$, or about 15.7%. Textbooks formed $\text{Tk } 4,300,000 \div \text{Tk } 14,400,000 = 0.299$ of overall 2025 sales, or about 29.9%.

Reasoning, part three. The shop can adapt, because the curriculum change gives notice: it can study the new list of books and adjust its stock before January 2026. It can influence within limits, by building goodwill with nearby schools. It can scan, by noting competitors' prices each month. The internal facts shape these options, since stock on paper cards makes it harder to see which titles sell, and seven staff set a limit on what can be done at once.

Conclusion. Two external forces and two internal facts appear in the record. Textbook sales fell by Tk 800,000, about 15.7%, and they remain about 29.9% of overall sales, so the forces matter. The record shows the events and the fall; it

The environment can help or block a business's objectives, including survival and goodwill.

Adapting has costs, and doing nothing is also a choice.

Section 5.3 ends with a recap.

The worked case sorts the shop's recorded facts and measures the fall in textbook sales.

The question asks for a sort into internal and external, and for the size of the fall.

Reasoning step one sorts the four facts.

Reasoning step two measures the fall and the share.

Reasoning step three lists the responses open to the shop.

The conclusion states the sort and the size, and the check tests the arithmetic.

does not prove that the price cut caused all of the fall. *Check.* Tk 5,100,000 – Tk 800,000 = Tk 4,300,000, and $0.299 \times \text{Tk } 14,400,000$ is about Tk 4,300,000.

* * *

The environment has an inside and an outside, and a business can respond to both.

A new competitor opens near a bookshop, and the owner must decide how to respond.

External forces cannot be controlled, but they can be answered.

Internal does not mean fully controlled or free of problems.

A stakeholder is not only the owner.

Environment in this subject is wider than nature.

Kodak invented the digital camera in 1975 yet failed to adapt in time and sought bankruptcy protection in 2012.

SUMMARY

The environment is all the forces and conditions that affect how a business operates. The internal environment holds what the business can control: owners, managers, employees, resources and culture. The external environment holds forces it cannot control directly: economic, social and cultural, political and legal, and technological. A stakeholder is anyone affected by the business or able to affect it. A business can adapt, influence within limits, and scan for change.

THINK IT THROUGH

A new bookshop opens two streets from a small shop. It sells the same kinds of book and advertises lower prices. The owner of the small shop has the same staff and the same stock as before.

5.T1 Which part of the environment is the new competitor, and in which of the four groups does the competitor belong?

5.T2 Name two internal forces that will decide how well the small shop can respond.

5.T3 Describe one way the owner could adapt and one way the owner could try to influence the situation.

WHERE PEOPLE GO WRONG

A business can ignore external forces because it cannot control them. The business cannot control them directly, but it can adapt, influence within limits, and scan for early warning. Ignoring them is a choice with a cost.

Everything internal is under complete control. Control is partial: money, skills and time limit what the owner can change, and internal forces can be weaknesses.

A stakeholder is the owner. A stakeholder is anyone affected by the business or able to affect it, including staff, customers, suppliers and the government.

Environment means nature. In daily life it often does, but here it means all the forces and conditions, inside and outside the business, that affect how it operates.

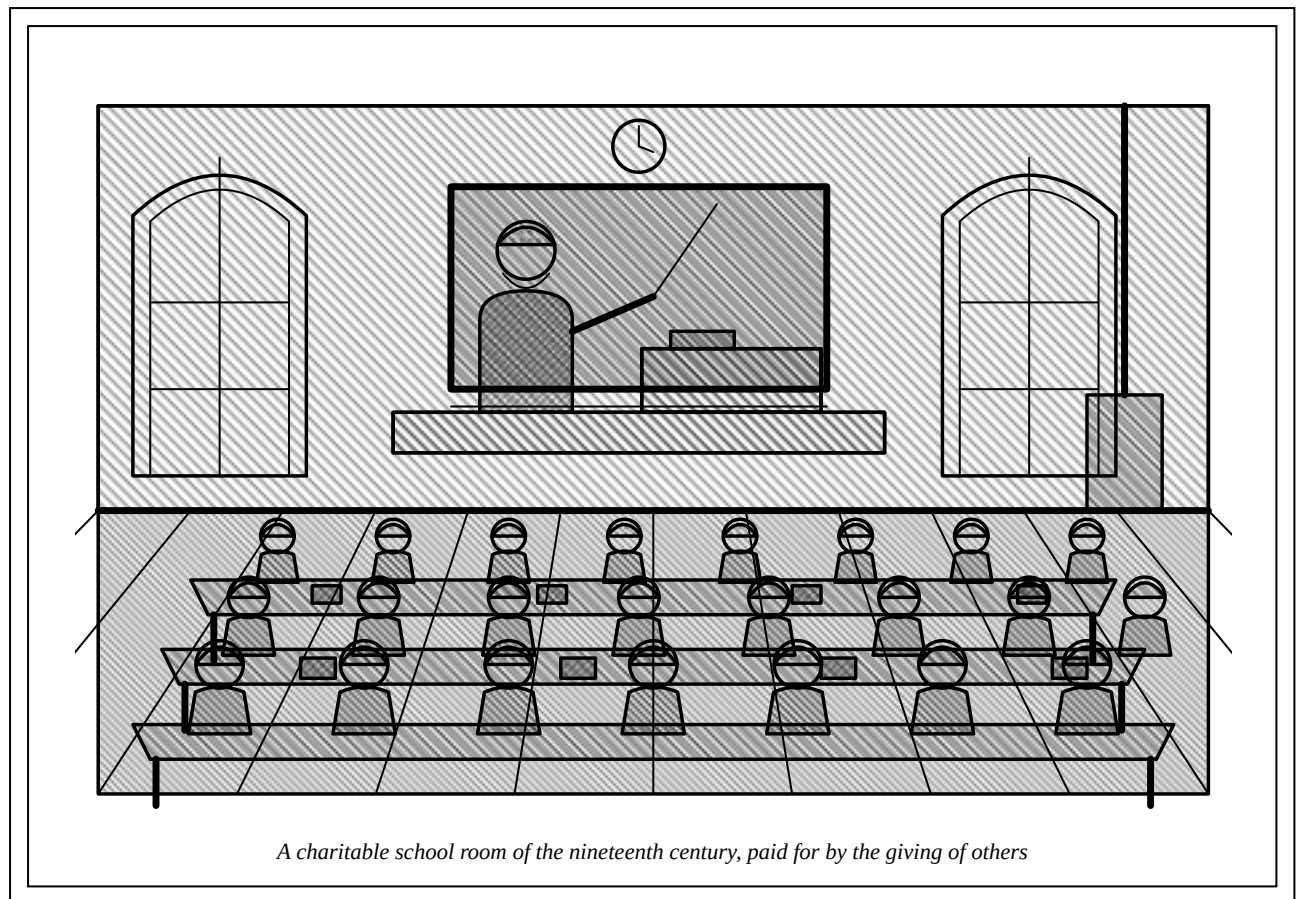
IN HISTORY

George Eastman founded the Kodak company in Rochester, New York, in the United States, and in 1888 it introduced a simple camera for ordinary people. For more than a century, photographic film was Kodak's main business. In 1975 a Kodak engineer, Steven Sasson, built the first digital camera. Digital photography later grew, and smartphones took much of the market. Many observers judge that Kodak's habits and resources, built around film, slowed its response. On 19 January 2012 the company filed for bankruptcy protection under Chapter 11 of United States law, which lets a company reorganise while it still operates.

The external force was technological, and the internal culture shaped the response.

REVIEW QUESTIONS

- 5.1 Sort each into internal or external: (a) the skill of the shop's staff; (b) a new tax on imported books; (c) the layout of the shelves; (d) a competitor's price cut; (e) the owner's decision to open on Fridays; (f) a rise in customers' incomes; (g) a new payment application; (h) the shop's habit of greeting every customer; (i) rain flooding the road outside; (j) the cash held in the shop's drawer.
- 5.2 Suppose Meghna and Sons stopped selling textbooks. Which forces in the case file would then matter less, and which internal facts would still matter?
- 5.3 A small bakery faces a rise in flour prices and hires a new baker. Sort these two events into internal and external, and name the group of the external one.
- 5.4 Name five stakeholders of the shop, and say whether each is internal or external.
- 5.5 Explain how a change in the external environment could threaten the survival of a business and its goodwill, and say how a different site from Chapter 4 might change the risk.



CHAPTER VI

Social Responsibility of Business

If a business may choose its own goals, what does it still owe to everyone else?



A business earns its money from people, uses the work of people and affects the lives of people who never entered its door. This chapter asks what a business owes to society, to its suppliers, to those who put money into it and to its own staff, and how a firm can tell whether it keeps these duties.

Two earlier ideas are needed before this chapter.

A shop owner must choose between a legal profit and a harmful one.

The law does not answer every question about right and wrong in trade.

A person belongs to many groups at once, and each group expects something.

Social responsibility is a duty to benefit society and not only the owners.

Social responsibility. A business's duty to act in ways that benefit society as well as its owners.

Responsibility. Word in use. In daily life, a task given to you, or a duty to care for someone. In business, a duty that a business owes to a person or group its actions affect.

Social responsibility is the way social aims turn into action.

A business owes duties because it depends on society and affects it.

You will need two earlier ideas. The first is the set of social aims a business may hold: see Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.2 'Social and Human Objectives'. The second is the outside forces that act on a business: see Chapter 5, 'The Business Environment', section 5.2 'Outside the Business'.

Imagine the owner of a small shop that sells medicine. A supplier offers him a cheaper brand of cough syrup. The syrup costs half as much as the usual brand, and the owner could double his profit by selling it at the same price. Then he learns that the cheaper syrup has not been tested for safety. No law in his town forbids selling it. No inspector will visit this year. No customer will ever know. Should he sell it?

Most people answer quickly that he should not. Yet the answer reveals something important. The law did not stop him, and the market did not stop him, but his conscience did. A business meets many such moments. The law sets a minimum, and above that minimum there is a wide space where the owner chooses. This chapter studies how a business should choose in that space: what it owes to its neighbours, to its suppliers, to the people who lend it money and to its staff. It follows one documented case, a bookshop in Dhaka, and it ends with a real decision made in 1982.

6.1 THE IDEA OF SOCIAL RESPONSIBILITY

Think first of one person in daily life. She is a daughter, a neighbour, a colleague and a member of a community. Each role brings duties. She is expected to care for her parents, to keep the street clean and to do her share of work. No one may punish her for failing at some of these duties, but a person who ignores all of them loses the respect of others. A business is in a similar position, though it has more power than most people.

Social responsibility is a business's duty to act in ways that benefit society as well as its owners. Here *society* means all the people who live in the places where the business works and who feel its effects. For example, a factory that treats its waste water before returning it to the river shows social responsibility, because it protects the people who live downstream. The word *responsibility* has a special meaning here. It does not mean a task assigned to one person. It means a duty that the business owes to others.

Chapter 3 showed that a business may hold social aims beside its aim to earn profit.¹ Social responsibility is the way those aims turn into action. The business that holds a social aim decides to give, to protect or to treat people fairly. The business that holds no such aim may still keep the duty, because the law and public opinion expect it. Duty and aim often point in the same direction, though they are not the same thing.

Why should a business have these duties at all? There are two reasons. First, the business depends on society. Its customers come from society, its workers come from society, and the roads, courts and schools that support it were built by society. Second, the business affects society. Its smoke enters the air, its goods enter homes and its wages enter families. A group that takes so much from others, and changes so much for others, cannot

¹ Recall: social aims, Chapter 3, section 3.2 'Social and Human Objectives'.

fairly claim that its only duty is to itself. This is why social responsibility matters.

A second argument concerns the business itself. A firm that is known for honest dealing earns the trust of its customers, and that trust is its goodwill. A firm that harms others may lose customers, suffer fines or lose its licence to trade. The effect on survival can be serious. Responsible conduct is therefore not only a gift to society; it often protects the business too. It takes time to build, and it can be lost in a day.

The idea has opponents, and a fair account must state their case. Some argue that the duty of a business is to earn profit for its owners within the law, and nothing more. They say that owners, not managers, should decide how to spend profit on good works, and that a manager who spends the money of others on social aims is spending what is not his. They also say that a business which tries to solve every social problem will neglect its real work. Governments, they say, exist to care for society.

Defenders of social responsibility answer in three ways. First, many responsible acts also improve the business, as the argument about goodwill showed. Second, the law cannot foresee every case, as the shop owner's cough syrup shows. Third, a business that ignores society invites stricter laws, which cost it more in the end. Most modern writers hold a middle position: a business must first obey the law and stay alive, and then do what it reasonably can for others, in proportion to its size and its means.

PAUSE AND CHECK 6.P1 State one argument for and one argument against the view that a business should spend money on social aims.

Now we read a sketch of the groups to whom a business owes duties. It is a set of circles, each inside a larger one, like the rings that spread when a stone falls into water. The smallest circle in the centre stands for the owners and lenders, the people nearest to the business. Each larger circle stands for a wider group, and the largest stands for society as a whole. The labels name the groups. A circle further from the centre is not less important; it is only further from the daily work.

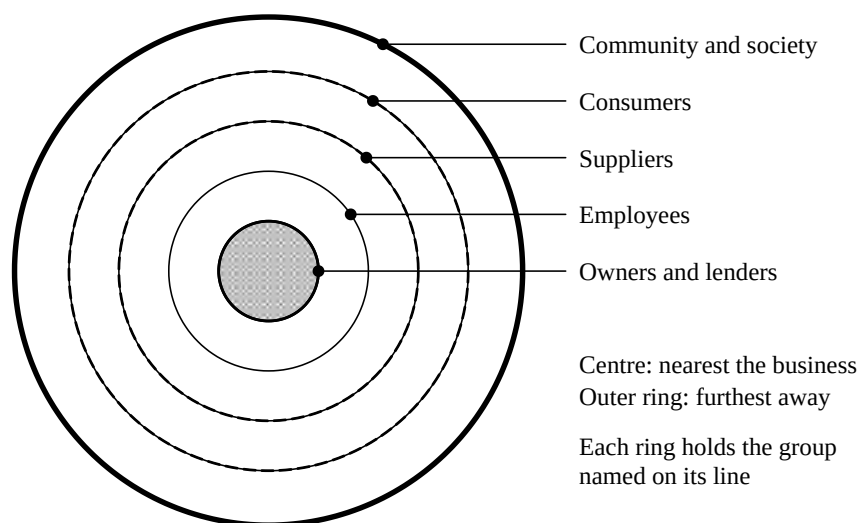


FIG. 6.1. Circles of responsibility, from owners and lenders outward to society

Before moving on. Social responsibility is a business's duty to act in ways that benefit society as well as its owners. A business owes such duties because it

Responsible conduct also builds goodwill and helps the business to survive.

Not every thinker agrees that business should carry social duties.

The case against is serious, but the case for answers part of it.

The sketch shows the groups a business owes duties to, from the centre outward.

Before moving on: this section gave three ideas.

depends on society and affects it, and responsible conduct also builds goodwill. Some argue that profit within the law is the only duty; most writers accept a middle view.

6.2 RESPONSIBILITY TO SOCIETY

A business that lives in a community owes the community a fair return.

Gifts are one form of duty, but fair daily conduct is the larger form.

Waste and pollution harm people who are not customers.

Sustainability asks a business to meet today's needs without harming the future.

Sustainability. Running a business so that it meets today's needs without harming the ability of later generations to meet theirs.

The law on pollution and waste differs by country and changes over time.

A person who uses goods is a consumer, and consumers hold certain rights.

Consumer. A person who uses goods or services, whether or not that person also paid for them.

Consumers are commonly said to have rights to safety, information and a fair hearing.

The first group in the wider circle is the community: the people who live and work near the business. A business uses its roads, employs its people and shares its air and water. In return, a responsible business obeys local laws, pays its taxes, avoids noise and danger, and offers fair work to local people. Many businesses also give directly. A firm may give money to a hospital, give time to a school or lend a building for a public event. Such gifts are not required, and they differ widely in size.

Gifts are the most visible form of duty, but they are not the most important. A firm that gives to charity while it pays its workers late, or sells unsafe goods, has not shown responsibility. The larger duty is fair conduct every day: honest advertising, safe goods, lawful hiring and the keeping of promises. A gift cannot repair a daily wrong. For this reason, when we judge a business, we look first at how it earns its money and only after that at how it spends part of it.

The second duty concerns the natural world. Every business uses materials and produces waste. Smoke, chemicals, plastic and unsold goods all have to go somewhere. Pollution, which means harm to air, water or land by waste, falls on people who never bought anything from the business and who had no choice. A responsible business reduces its waste, treats what remains and, where possible, collects materials for reuse. Recycling is one example. It means processing used material, such as paper, so that it can be made into new goods.²

Thinking about waste leads to a wider idea. **Sustainability** means running a business so that it meets today's needs without harming the ability of later generations to meet theirs. A paper maker that cuts trees without replanting meets today's need and harms tomorrow's. A paper maker that plants a tree for each tree cut may continue for many years. Sustainability is a test of time: it asks whether the way the business works could continue for a hundred years without exhausting what it depends on.

Laws on waste and pollution differ widely. Some countries set strict limits and inspect factories often. Others have limits that are weak or poorly enforced. A business that obeys only the law may therefore do very little in one country and a great deal in another. A responsible business does not ask only what the law allows in each place. It asks what harm its work causes and whether it can reduce that harm at a reasonable cost.

The third duty concerns the people who use the goods. A **consumer** is a person who uses goods or services, whether or not that person also paid for them. A customer is the person who buys; the consumer is the person who uses. A father who buys milk is the customer, and his child who drinks it is the consumer. The difference matters, because a business that wishes to be responsible must think of the child as well as the father. Both may suffer if the milk is unsafe.

Many countries and international bodies have listed the rights of consumers. Four are widely accepted. The right to safety means that goods must not harm the person who uses them. The right to information means that labels and advertisements must be truthful. The right to choose means that a buyer should

² Recall: the natural surroundings of a business, Chapter 5, section 5.2 'Outside the Business'.

have real alternatives. The right to be heard means that a complaint should receive a fair answer. A responsible business respects these rights even where the law does not enforce them, and the exact legal rights differ by country.

Before moving on. A business owes its community fair conduct every day, and gifts are a smaller part of this duty. It owes the natural world care with waste, and the idea of sustainability tests whether its methods could last. It owes consumers safety, truthful information, choice and a fair hearing, whether or not the law forces it to do so.

Before moving on: this section gave three duties to society.

6.3 RESPONSIBILITY TO SUPPLIERS

A supplier is a person or firm that sells materials or goods to a business. A bookshop buys its books from publishers, and a bakery buys its flour from a mill. The relation is one of trust, since the supplier delivers goods first and usually receives payment later. The supplier is therefore also a lender, though no one calls the supplier by that name. This is why the business owes the supplier particular duties.

A supplier sells inputs to the business and depends on its fair dealing.

The first duty is fair dealing. It means that the business agrees terms that it intends to keep, that it does not use its size to force an unfair price, and that it does not return goods without good cause. A large business often has great power over a small supplier. If a large shop is the supplier's main customer, the supplier may accept a very low price because it fears the loss of the order. A responsible business does not use this power to harm the supplier's survival, since a supplier that fails cannot supply tomorrow.

Fair dealing means honest terms, honest weights and honest quality claims.

The second duty is prompt payment, which means paying the supplier on or before the date that was agreed. Late payment is a form of borrowing without permission. The supplier must wait for money that it has earned, and it may have to borrow to pay its own staff. A small supplier may suffer severely from a delay of a few weeks. A business that pays late may save a little in the short term, but it damages the trust on which its supply depends.

Prompt payment means paying on the day that was agreed.

This duty is easy to measure. If the agreed payment time is 30 days and the business pays on average after 47 days, then it pays 17 days late, because $47 - 30 = 17$. A late average of 17 days is more than half of the agreed time. The numbers do not by themselves prove an unfair motive: the business may have had a cash shortage, or a delay in its own invoices. They show, however, whether the promise was kept, and a responsible business records and reviews this figure.

A promise to pay in thirty days is a promise, and its keeping is measurable.

Before moving on. A supplier sells materials or goods to a business and usually waits to be paid. The business owes the supplier fair dealing, which means honest terms and no abuse of power, and prompt payment, which means paying on the agreed date. The average payment time compared with the agreed time shows whether the promise was kept.

Before moving on: this section gave two duties to suppliers.

6.4 RESPONSIBILITY TO INVESTORS AND STAKEHOLDERS

Those who put money into a business also have claims on it.

Investor. A person who puts money into a business expecting to receive a return.

Investment. Word in use. In daily life, time or effort spent for a later benefit. In business, money put into a business in order to receive a return.

Owners and lenders are owed honest accounts, a fair return and care of their money.

Employees give their time and skill, and they too have claims.

A stakeholder is any person or group affected by what the business does.

The groups sometimes want opposite things, so the business must balance them.

A responsible business can be recognised by its records and conduct over time.

Before moving on: this section gave the duties to owners, lenders and staff.

An **investor** is a person who puts money into a business expecting to receive a return. A *return* is the extra money that comes back to the investor, such as a share of profit or interest. For example, a person who buys a share in a company, or who lends money to a shop, is an investor. The word *investment* has a special meaning in business: it means the money put in, not the time or effort. Owners who put in their own money are investors in their own business, and a bank that lends money is also an investor in this sense.

What do owners and lenders have a right to expect? First, honest accounts: they must be told truthfully how the business is doing. Second, care of their money: the managers must not waste it or place it in needless danger. Third, a fair return: the owners may expect profit when the business earns one, and lenders may expect interest and repayment on the agreed dates. A business that hides losses or pays its lenders late breaks all three duties. The duty to a lender is firm, because the lender's claim is a debt.

The next group is the employees. An employee is a person who works for the business in return for pay. A responsible business pays wages on the agreed date, provides a safe workplace, treats its workers with respect and does not require work that is dangerous or unlawful. It also gives fair chances to advance. The employees are inside the business, so their treatment shapes its internal environment, and a firm that treats them badly will find work done carelessly or staff leaving.³

All the groups of this chapter share one feature: each is affected by the business. Writers call such a group a *stakeholder*, which means any person or group with something to gain or lose from the business. This book uses the word only in this plain sense. Owners, lenders, employees, suppliers, consumers and the community are all stakeholders. The word is useful because it reminds us that the owners are not the only people with a claim.

The groups do not always want the same thing. Employees may want higher wages, while owners want higher profit. Consumers want low prices, while suppliers want high prices. A community may want a quiet street, while the business wants longer hours. No business can satisfy every group in full. Balancing means weighing each claim, giving each fair attention and explaining the decision honestly. The balance will differ with the size and the means of the business, and a small shop cannot do what a large company can.

How can an observer recognise a responsible business? Four signs help. It keeps its promises to suppliers and pays on time. It treats staff fairly. Its goods are safe and truthfully described. It deals openly with owners and lenders and takes care of its surroundings. A single act proves little. A pattern over many years is the best evidence, because it is difficult to keep up a false appearance for long.

Before moving on. An investor puts money into a business expecting a return. Owners and lenders are owed honest accounts, care of their money and a fair return. Employees are owed fair pay, safety and respect. A stakeholder is any person or group affected by the business, and a responsible business balances their claims and can be recognised by its conduct over time.

³ Recall: internal and external environment, Chapter 5, 'The Business Environment'. Employees belong to the internal environment; the community and consumers to the external environment.

* * *

A WORKED CASE: THE MEGHNA AND SONS RECORD FOR 2025

A worked case applies an idea to a situation. It has five parts: the situation, the question, the reasoning, the conclusion and a check. We apply the duties of this chapter to one case file.

Case file, illustrative. Record for 2025, Meghna and Sons. Supplies were bought from 14 publishers. On 31 December 2025 the amounts owed to publishers were Tk 1,150,000. The agreed payment time was 30 days, and the actual average was 47 days. In March 2025 the shop gave 200 books, with a retail value of Tk 90,000, to a school library in Kalabagan. The shop sent 380 kg of unsold paper for recycling. A bank loan of Tk 600,000 is held.

The table below matches each fact to a group from this chapter. Read each row from left to right: the first column gives the fact, the second the group, and the third the duty.

FACTS IN THE 2025 RECORD, WITH THE GROUP AND THE DUTY

FACT	GROUP	DUTY
Owes Tk 1,150,000 to 14 publishers	Suppliers	Prompt payment
Pays in 47 days, not 30	Suppliers	Prompt payment
Gave 200 books to a school library	Community	Gift
Sent 380 kg of paper for recycling	Society and nature	Care with waste
Holds a bank loan of Tk 600,000	Lenders	Repayment on agreed terms

Question. From the record, which duties does the shop appear to keep, and which does it appear to strain?

Reasoning. First we measure the delay. The agreed time is 30 days and the actual average is 47 days, so $47 - 30 = 17$ days late. As a fraction of the agreed time, $17 \div 30 = 0.57$, which is 57 per cent when rounded to a whole number. Second, we compare the gift with the profit. The profit of Tk 750,000 in 2025 is a base fact of the case. The gift has a retail value of Tk 90,000, so $90,000 \div 750,000 = 0.12$, which is 12 per cent. Retail value is the price at which the shop would sell the books, not the cost to the shop, so the true cost of the gift is lower. Third, we note the care with waste: 380 kg of paper went to recycling instead of the rubbish.

Conclusion. The record shows a firm that gives to its community and recycles its waste, which are real duties kept. It also shows a firm that pays its suppliers 17 days later than it agreed, which strains the duty of prompt payment. The record does not state why the payments are late, so we cannot say that the cause is carelessness. The duty to lenders cannot be judged from this record, since it does not state whether the bank loan is repaid on time. A responsible firm would examine why payment is late and try to close the gap.

Check. We add back: $30 + 17 = 47$, which agrees with the record. For the gift, 12 per cent of Tk 750,000 is $0.12 \times 750,000 = \text{Tk } 90,000$, which equals the retail value. The results are sensible: the lateness is large enough to matter, and the gift is a modest part of the year's profit.

* * *

A worked case applies the ideas to a recorded situation and is not a model answer.

The situation is a record of the bookshop's dealings in 2025.

The table matches each fact in the record to the group it concerns.

The question asks which duties the record shows kept and which it shows strained.

Reasoning first measures the lateness, then compares the gift with the profit.

The conclusion balances the strengths of the record with its weakness.

The check tests the sums against the figures in the record.

The summary lists the main ideas of the chapter.

The questions below change the situation step by step.

Four common mistakes about social responsibility, each with its correction.

The law is the minimum and not the full duty.

Responsibility is not opposed to profit in every case.

A customer and a consumer may be different people.

In 1982 a firm chose to recall its product at great cost to protect its customers.

SUMMARY

Social responsibility is a business's duty to act in ways that benefit society as well as its owners. A business owes duties because it depends on society and affects it, and responsible conduct also helps goodwill and survival. It owes the community fair daily conduct and care with waste, and it must keep sustainability in mind. It owes consumers safety, information, choice and a fair hearing, suppliers fair dealing and prompt payment, and investors, lenders and staff honest and fair treatment.

THINK IT THROUGH

Questions 6.t1 and 6.t2 use the case file in the worked section. Questions 6.t3 and 6.t4 change the setting.

6.t1 The shop reduces its average payment time from 47 days to 38 days. How many days late is it now, and what fraction of the agreed time is that, rounded to two decimal places?

6.t2 Suppose the shop had given 200 books but the retail value were Tk 150,000 instead of Tk 90,000. What fraction of the profit of Tk 750,000 would that be? Does the size of the gift alone show that the shop is responsible?

6.t3 A small supplier of paper is paid late by its main customer for several months. Describe the effect on the supplier, and say what the supplier could do and what the customer should do.

6.t4 A garment maker in a country with weak pollution laws can save money by releasing waste water into a river. Which groups are affected, which duties are involved, and what would a responsible firm decide?

WHERE PEOPLE GO WRONG

Mistake. Social responsibility means giving money to charity. *Correction.* Gifts are one part of it. Honest dealing, safe goods, prompt payment and care with waste are larger parts, and a gift cannot repair a daily wrong.

Mistake. If an act is legal, a business owes nothing more. *Correction.* The law sets a minimum. In the space above it, a responsible business considers the harm and benefit of its choices, as the shop owner with the cough syrup did.

Mistake. A responsible business must always earn less. *Correction.* Many responsible acts protect goodwill and survival, and may raise profit over time. Some acts cost money, and the business must weigh the cost against its means.

Mistake. The customer and the consumer are always the same person. *Correction.* The customer is the person who buys, and the consumer is the person who uses. A business owes duties to both.

IN HISTORY

Johnson and Johnson is a large company in the United States that made, among many products, a pain-relief medicine named Tylenol. In September 1982, seven people in the Chicago area died after taking Tylenol capsules that had been poisoned with cyanide. The first reported death was on 29 September. Investigators found that the poison had been added after the bottles reached the shops. No person was ever convicted of the poisonings.

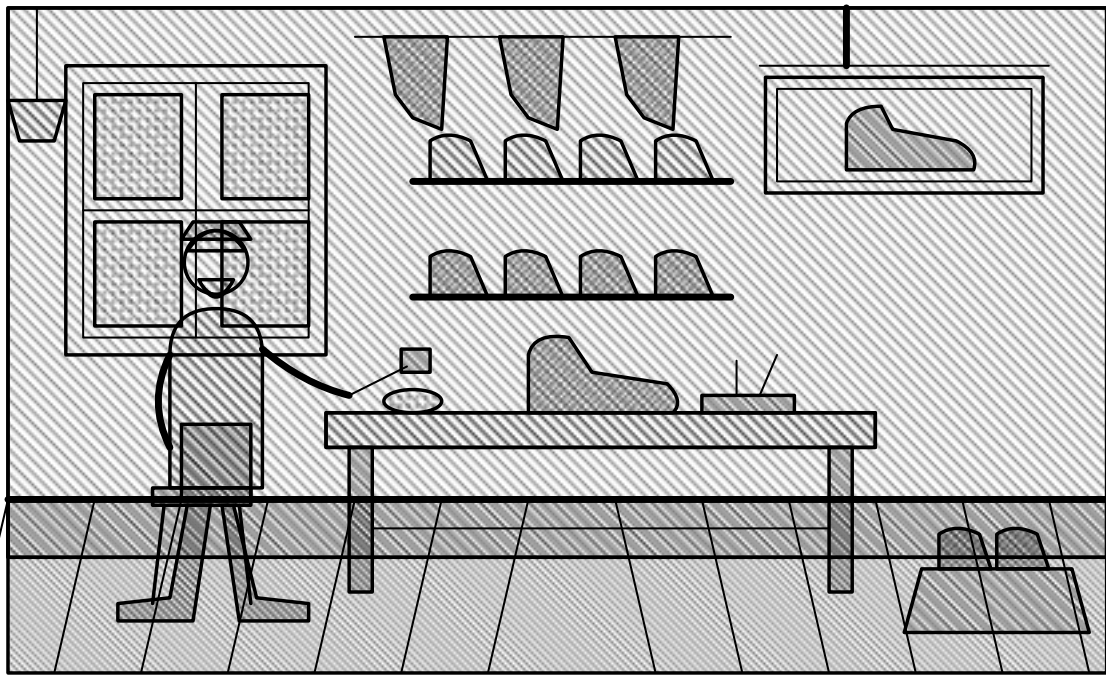
On 5 October 1982 the company issued a recall of Tylenol products across the United States, covering an estimated 31 million bottles with a retail value of more than 100 million United States dollars. It stopped production and advertising, warned hospitals and the public, and offered to exchange capsules for solid tablets. The recall protected consumers, though it cost the firm a great deal. Afterwards, tamper-resistant packaging became common for medicines. The case shows a firm placing the safety of consumers before its short-term profit.

The company recalled the product before it knew the full cause.

REVIEW QUESTIONS

- 6.1 Explain social responsibility in your own words and give one example from a business you know.
- 6.2 Match each duty to the group it is owed to: prompt payment; honest accounts; a safe workplace; truthful labels; care with waste water. Choose from suppliers, owners and lenders, employees, consumers, and the community.
- 6.3 Give two arguments for and two arguments against the view that a business should accept social duties.
- 6.4 Explain the difference between a customer and a consumer, and give an example in which they are different people.
- 6.5 Explain sustainability and give an example of a business that is not sustainable.
- 6.6 Explain why late payment to a supplier is a breach of duty even if the law does not forbid it.

The questions below ask the reader to apply the chapter.



A cobbler at work alone in his shop, the oldest picture of one-owner trade

CHAPTER VII

Forms of Business Ownership and the Sole Proprietorship

Who owns the business, and who pays when it fails?



Every business belongs to someone, and the kind of owner changes who decides, who gains and who loses. This chapter surveys the main ways a business can be owned, then studies the simplest form in full: one owner, one business, and one person answerable for everything.

Two earlier ideas are needed before this chapter.

A cobbler faces a choice about who will own his new shop.

Each choice gives different answers to who decides, who gains and who pays.

A family choosing how to own a house meets the same three questions.

The law and custom of each country offer several ways to organise ownership.

The sketch is a family tree that begins with all businesses and splits twice.

You will need two earlier ideas. The first is business activity: see Chapter 1, 'What Business Is', section 1.1 'Why People Do Business'. The second is what makes a business last: see Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.3 'What a Business Needs to Succeed'.

Picture a cobbler, a maker and mender of shoes, who has saved enough money to open a small shop. He has the tools, the skill and a street full of walkers with worn shoes. Then a neighbour makes an offer. The neighbour will give him money for the shop, and in return he asks for a share of every profit. A second neighbour says the cobbler should ask many people for small sums, so that no single person carries the risk. The cobbler must decide who will own his business.

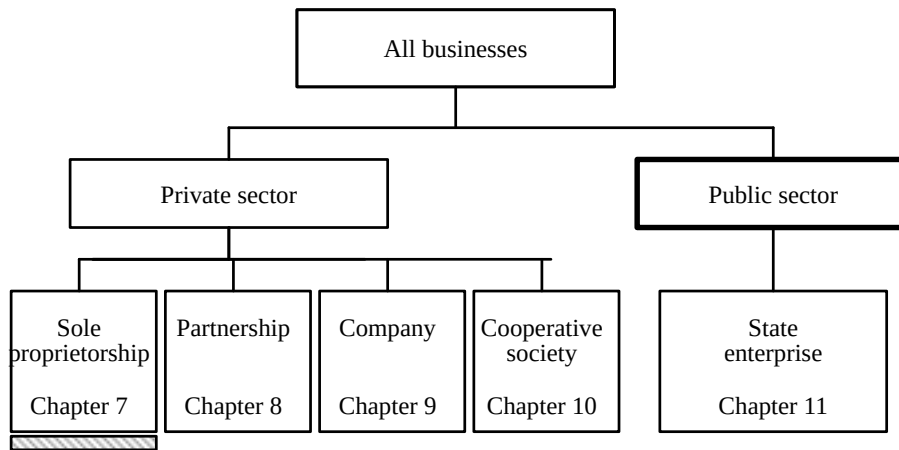
The cobbler does not yet know it, but three questions sit inside his decision. Who will decide what the shop does? Who will receive the profit when the shop does well? Who will pay the bills if the shop fails? A different owner, or a different number of owners, gives different answers to all three. The questions are the same for a bookshop in Dhaka, a bakery in Lagos or a factory in Osaka. This chapter shows how business owners answer them, and it studies in detail the form the cobbler would choose if he kept the shop to himself.

7.1 CHOOSING AN OWNERSHIP FORM

Think first of a family that wishes to buy a house. One person may buy it alone and make every decision alone. Two relatives may buy it together and share the cost. A large group may buy a block of flats and each own one flat. In each case the family must decide who owns, who decides and who is responsible for the debt. A business meets the same questions, but it adds the daily work of making and selling.

A type of business organisation is a way of arranging who owns a business and who answers for it. Each country has its own laws, and the names and rules differ by place. Even so, most countries offer the same few basic forms. One person may own the business alone. Two or more people may own it together. A large number of people may buy shares in a company. People with a shared need may form a society owned by its members. A government may own the business on behalf of all citizens. The next chapters study these forms in turn, and the figure below shows how they relate.

Now we read the family tree. It begins at the top with one box labelled for every business. The box splits into two branches, one for the private sector and one for the public sector, both defined in the next paragraph. Under the private sector branch stand four forms of ownership. Under the public sector branch stands one. Each box names a form, and a line shows the branch that the form belongs to. The words in the lower boxes are previews: the chapter named beside each one will teach it.



Hatched bar: the form studied in this chapter

FIG. 7.1. A family tree of ownership forms, from all businesses to the five forms

An economy is all the making, buying and selling in a country. Economists divide it into two large parts, called sectors. The **private sector** is the part of the economy owned and run by individuals and private firms rather than government. A family bakery belongs to it. The **public sector** is the part owned and run by government. A national railway or a government hospital belongs to it. Many countries have both sectors, and the share of each differs from country to country. Both sectors may be active in the same trade, such as schools or banking.

The public sector includes the business form named *state enterprise*, which means a business owned by the government. The words are previewed here for the family tree only. Chapter 11, 'State Enterprise and Comparing the Forms', teaches state enterprise in full. In the same way, *partnership* means a business owned by two or more people, and Chapter 8 teaches it. The words *company* and *cooperative society* are previewed for Chapters 9 and 10. These are not bold here, because they are not defined here.

How does an owner choose among these forms? The choice rests on four questions. How much money does the business need to begin? How much control does the owner wish to keep? How much risk can the owner bear? How large will the business grow? A small shop that needs little money and little help suits one owner. A business that needs very large sums suits a form with many owners. An owner who values full control and speed will often prefer a small number of owners. No form is best for every business, because each form has advantages and costs.

The choice is also shaped by law. Each country sets its own rules on which forms are allowed, how each is formed and how it is taxed. This chapter names the country whenever the rule depends on place, and the running case is set in Bangladesh. An owner should not rely on a book alone. Before choosing a form, an owner should read the current law of the place where the business will stand, or ask a person who knows it.

The words private sector and public sector divide an economy by who owns and runs.

Private sector. The part of the economy owned and run by individuals and private firms rather than government.

Public sector. The part of the economy owned and run by government.

Sector. Word in use. In daily life, an area or a section of a town or a field. In business, one of the two large parts of an economy: private or public.

A government-owned business will be studied later, so this chapter names it and moves on.

The right form depends on the objective, the money and the risk the owner accepts.

Law, tax and standards differ by country, so each owner must check local rules.

Before moving on: this section gave three ideas.

A person who works alone for himself is the simplest form of owner.

A sole proprietorship is a business owned and run by one person.

Sole proprietorship. A business owned and run by one person, who keeps all profit and bears all losses.

The key feature is that all profit belongs to the owner, and all losses fall on him.

Control is complete, and the owner decides without asking anyone.

Unlimited liability is the third feature, and it is the greatest risk.

Liability. Word in use. In daily life, a duty or a responsibility. In business, a debt that a person or business is bound to pay.

Unlimited liability. A duty on the owner to pay the business's debts from personal wealth if the business cannot.

Another feature is ease of formation and of ending the business.

Before moving on. A type of business organisation is a way of arranging who owns a business and who answers for it. The economy has two sectors: the private sector, owned and run by individuals and private firms, and the public sector, owned and run by government. The right form depends on money, control, risk and size, and the rules of each country differ.

7.2 THE SOLE PROPRIETORSHIP

Return to the cobbler who keeps the shop for himself. He needs no neighbour to agree with him and no group to approve his plans. He buys leather, mends shoes and sets his own prices. When a customer pays, the money goes to him. When a supplier sends a bill, the bill comes to him. This is the oldest and simplest form of business: one person who owns it, runs it and answers for it.

A **sole proprietorship** is a business owned and run by one person, who keeps all profit and bears all losses. The owner is called the owner, or the proprietor. An example is a family bookshop whose founder owns it alone. Other names are *sole trader* and *one-person business*. This book uses the word *sole proprietorship* for the form and *owner* for the person. The word *sole* means *only*. The owner may employ staff, but the staff do not own any part of the business.

The first feature follows from the definition: the owner keeps all profit. If the business earns Tk 750,000 in a year after paying its costs, all of it belongs to the owner. He may spend it, save it or put it back into the business. The same rule applies to losses. If the business loses money, the owner alone bears the loss. This gives the owner a strong reason to work hard, since every taka earned is his, and a strong reason to take care, since every taka lost is also his.

The second feature is control. The owner decides what to sell, where to stand, what to charge and whom to employ. No meeting is needed and no vote is taken. Decisions can be made quickly, and the owner can change direction when conditions change. This speed is an advantage, though it also removes a check. When no one else shares the decision, a mistake by the owner may pass without warning from anyone.

The third feature is the most important to understand. **Unlimited liability** is a duty on the owner to pay the business's debts from personal wealth if the business cannot. Here *liability* means a debt that a person is bound to pay, and *unlimited* means there is no upper limit to this duty. Suppose a small business owes Tk 500,000 to its suppliers but has only Tk 200,000 in money and goods. The owner must find the remaining Tk 300,000. In many countries he may have to sell his own savings, land or home. The law treats the business and the owner as one person for this purpose.¹

PAUSE AND CHECK 7.P1 A sole proprietor owes Tk 800,000 to suppliers. The business holds Tk 500,000 in money and goods. How much must the owner find from personal wealth?

Other features follow from the first three. A sole proprietorship is easy to begin: there is no partner to persuade and no group to form. It is also easy to close, since no one else must agree. The owner's skill and character decide the success of the business, so customers often trust the person as much as the shop. This trust, the goodwill of the business, belongs to the owner, and it ends if he leaves. The business may also end when

¹ This is the usual rule for a sole proprietorship in many countries, including Bangladesh. Exact rules on what may be taken, and in what order, differ by country, so an owner should check the local law.

the owner dies, though the owner's family may continue it under a new arrangement.

Which fields suit a sole proprietorship? It suits work that needs little money, close attention and personal contact with customers. Examples are small shops, tailors, barbers, repairers, farmers, market stalls and professional advisers. The owner can see the whole business and meet every customer. It suits less well a business that needs very large sums, many owners' skills or great size, such as a power station or an airline. Such work needs more money and more people than one person can provide.

Why does this old form survive when other forms exist? It survives because it fits real needs. It costs little to begin. It gives the owner full control and all the profit. It allows quick decisions and a personal bond with customers. It needs few legal steps. In most countries the number of sole proprietorships is larger than the number of any other form, though the largest businesses use other forms. The form lasts because many tasks in every economy are small and personal, and one owner is enough for them.

A short comparison helps. The table below lists the main features in two columns, one for the advantage to the owner and one for the cost. Read each row from left to right: the first column names a feature, the second shows how it helps the owner, and the third shows how it can hurt.

FEATURES OF A SOLE PROPRIETORSHIP, WITH THE GAIN AND THE COST OF EACH

FEATURE	GAIN TO THE OWNER	COST TO THE OWNER
All profit	Keeps every taka earned	Bears every taka lost
Control	Decides quickly and alone	No one to check mistakes
Liability	Simple: one person answers	Unlimited, reaching personal wealth
Formation	Cheap and quick to begin	Little help from others at the start
Money	Owner needs no outside agreement	Limited to what one person can raise

Before moving on. A sole proprietorship is a business owned and run by one person, who keeps all profit and bears all losses. Its features are full control, all profit, unlimited liability and ease of formation. It suits small, personal and local work, and it survives because it is cheap, quick and close to customers.

This form suits businesses that are small, personal and local.

Many sole proprietorships survive because they are easy to run and close to customers.

Weighing these features shows who gains and who bears risk.

Before moving on: this section gave the features of one-owner business.

7.3 FORMATION AND MANAGEMENT

The cobbler is ready to begin. This section follows the steps in order: starting the business, obtaining the permission to trade, managing the daily work and recognising the limits of one-person ownership. The steps are described for Bangladesh, where the running case is set, and the rules of other countries are named as different where they differ.

The first step is a plan. The owner decides what the business will sell, to whom, and from where. The second step is money. The owner estimates what he needs to buy tools and goods and to pay the first months of rent, and he lists where it will come from: his own savings, a loan from a bank or credit from suppliers. The third step is the place, chosen as Chapter 4, 'Choosing Where a Business Stands', explains. The fourth is to meet the legal steps. Many sole proprietorships begin without an agreement, a lawyer or a registered name, which is why the form is quick to start.

We now turn from what the form is to how an owner begins and runs it.

Starting needs a plan, money, a place and the legal steps that the law requires.

A trade licence is the official permission to trade in a stated place.

Trade licence. Official permission from a local authority to carry on a stated trade in a stated place.

Management means that one person performs every role, which is a strength and a strain.

Records, cash and a clear division of business and personal money are basic habits.

Unlimited liability limits how much risk an owner can safely take.

The owner's personal limits also limit the size of the business.

Before moving on: this section gave the steps and limits of one-owner business.

A worked case applies the ideas to a recorded situation and does not give a model answer.

The situation is a status record of a one-owner bookshop.

The legal step common to nearly every shop is the licence. A **trade licence** is official permission from a local authority to carry on a stated trade in a stated place. For example, a bookseller in Dhaka obtains a licence that names the trade, books, and the address of the shop. In Bangladesh the local authority may be a city corporation, a municipality or a union council, according to where the shop stands. The licence must be renewed, usually each year, and a shop that trades without a current licence may be fined or closed.²

Managing a sole proprietorship is different from managing a large business. In a large business many people share the work: one buys, one sells, one keeps records and one leads. In a sole proprietorship the owner often performs all these tasks, with the help of a few staff. The owner buys stock, serves customers, pays wages and records the money. This gives him close knowledge of every part, and it also means that his time is limited. Where the business grows, the owner must decide which tasks to hand to staff and which tasks to keep.

Three habits protect a sole proprietorship. First, the owner keeps written records of every sale and cost, so he can see whether the business earns a profit. Second, he keeps business money apart from his own spending, even though the law treats the two as one person for debts. Mixed accounts hide the true result. Third, he saves a part of his profit as a reserve for a poor year. These habits are easy to name and hard to keep, and many small businesses fail because they are neglected.

The final topic returns to unlimited liability, because it limits what an owner can safely do. A large order, a new shop or a big loan may bring great profit, but a failure would be paid from the owner's savings and home. A prudent owner therefore asks, before each decision, how large the worst loss could be and whether he could pay it. A form with limited liability would protect his personal wealth, and later chapters show which forms provide that protection. For this reason a sole proprietorship that grows large often changes its form.

Other limits are simple to state. The owner can raise only as much money as he and his lender can provide. His skill and time are limited, and if he falls ill, the business may stop. The life of the business is tied to the life of the owner. These limits do not make the form poor; they make it suitable for small work. A business that grows past them must find other money or other owners.

Before moving on. A sole proprietor plans, finds money, chooses a place and meets the legal steps, of which the trade licence is the chief one. Management is performed largely by the owner himself, who needs records, separate money and a reserve. Unlimited liability limits the risk the owner can take, and a growing business often changes its form.

* * *

A WORKED CASE: THE MEGHNA AND SONS STATUS RECORD

A worked case applies an idea to a situation. It has five parts: the situation, the question, the reasoning, the conclusion and a check. We apply the features of this chapter to one case file.

Case file, illustrative. Status record, 1 January 2026, for Meghna and Sons, a sole proprietorship. Owner: Nurul Meghna. Capital: Tk 4,100,000. Debts:

² Rules on licences, the fees and the authority that issues them differ by country and by city, and they change over time. Other registrations, such as tax registration, may also apply. Check the current rules before relying on this chapter.

amounts owed to publishers Tk 1,150,000 and a bank loan Tk 600,000, total Tk 1,750,000. The profit of Tk 750,000 for 2025 belongs entirely to him. One trade licence is kept current for the shop.

The table below sets out the debts in the record. Read each row as one debt and the last row as their total.

The table puts the debts of the case file in one place.

DEBTS OF MEGHNA AND SONS ON 1 JANUARY 2026

DEBT	AMOUNT (TK)
Owed to publishers	1,150,000
Bank loan	600,000
Total debts	1,750,000

Question. Using the record, what does the sole proprietorship mean for the owner's profit, his liability and his licence?

The question asks what the form means for the owner's gain and risk.

Reasoning. First we check the total. Add the two debts: $1,150,000 + 600,000 = \text{Tk } 1,750,000$. This equals the total in the record. Second, we compare the debts with the capital. Divide the debts by the capital: $1,750,000 \div 4,100,000 = 0.43$, which is 43 per cent when rounded to a whole number. The debts are therefore a little less than half of the capital. Third, we apply the three features. The profit of Tk 750,000 belongs to the owner alone. The liability is unlimited, so the debts of Tk 1,750,000 are his duty to pay. The single licence covers the single shop, and it must stay current.

Reasoning starts with the total of the debts, then compares it with capital.

Conclusion. The owner keeps the whole profit of Tk 750,000 and has full control. In return, he is personally answerable for the debts of Tk 1,750,000, and the law may reach his personal wealth if the business cannot pay. The record does not state how much personal wealth he has, so we cannot say whether he could pay. The licence is current, so the shop may trade lawfully.

The conclusion gives the owner's gain, his risk and his duty.

Check. The sum agrees with the total in the record. The ratio of 0.43 is below one, which is sensible, because the debts are smaller than the capital. If the ratio were above one, the debts would exceed the capital and the risk to the owner would be greater.

The check compares the sum with the record and tests the sense of the result.

* * *

SUMMARY

A business may be owned in one of several forms, and the right form depends on money, control, risk and size. The economy has a private sector and a public sector. A sole proprietorship is a business owned and run by one person, who keeps all profit and bears all losses. Its main features are full control, all profit, ease of formation and unlimited liability. The owner usually needs a trade licence, keeps records and limits the risk he takes. A growing business often changes its form.

The summary lists the main ideas of the chapter.

THINK IT THROUGH

Questions 7.t1 and 7.t2 use the case file in the worked section. Questions 7.t3 and 7.t4 change the setting.

The questions below change the situation step by step.

7.t1 The bank loan in the case file is repaid in full from the business's money, and nothing else changes. What are the new total debts, and what is the new ratio of debts to capital, rounded to two decimal places?

7.T2 Suppose the business had lost Tk 750,000 in 2025 instead of earning it. Who bears the loss, and what does unlimited liability add to the risk?

7.T3 A farmer who owns a small farm alone borrows Tk 2,000,000 to buy machines. A flood destroys the crop and he cannot repay. What does unlimited liability mean for the farmer, and what could he have done before borrowing?

7.T4 A tailor who is a sole proprietor wishes to open four more shops. Which features of the form help her, and which features limit her? What might she consider?

WHERE PEOPLE GO WRONG

Four common mistakes about the sole proprietorship, each with its correction.

The business and the owner are not separate for debts.

Control does not remove the need for records and care.

A licence is not optional because the owner is the only person involved.

Mistake. A sole proprietor has no employees. *Correction.* The word *sole* refers to ownership, not to staff. One owner may employ many people, and the staff do not own any part of the business.

Mistake. If the business fails, only the business money is lost. *Correction.* Under unlimited liability the owner must pay the remaining debts from personal wealth, which may include savings and a home. The exact rule depends on the law of the country.

Mistake. Because the owner decides everything, no records or reserves are needed. *Correction.* Records and a reserve are more important in a one-owner business, since no one else will notice a problem in time.

Mistake. A very small shop needs no licence. *Correction.* Most local authorities require a trade licence for a stated trade in a stated place. Small shops are often fined or closed for trading without one.

IN HISTORY

A hair-care business of the early 1900s was built by one owner.

She made one-owner trade grow by selling door to door and by post.

Madam C. J. Walker was born Sarah Breedlove in Louisiana, in the United States, in 1867. She lost her hair through scalp illness in adult life, and she made a hair treatment for her own use. She had earlier worked as a sales agent for another hair-care business, owned by Annie Turnbo Malone. In 1906 she married Charles Joseph Walker and began to trade under the name Madam C. J. Walker.

She sold *Madam Walker's Wonderful Hair Grower* from door to door and by mail order from Denver, Colorado. Her daughter, A'Lelia, managed the mail-order work. In 1908 the business moved to Pittsburgh, and in 1910 to Indianapolis, where she built a factory and her headquarters. She trained women as sales agents and a school was named for her daughter. Later she formed a company named for herself, in which she remained the sole shareholder. Her case shows that one owner can build a large business, and that the owner carries both the gain and the risk.

REVIEW QUESTIONS

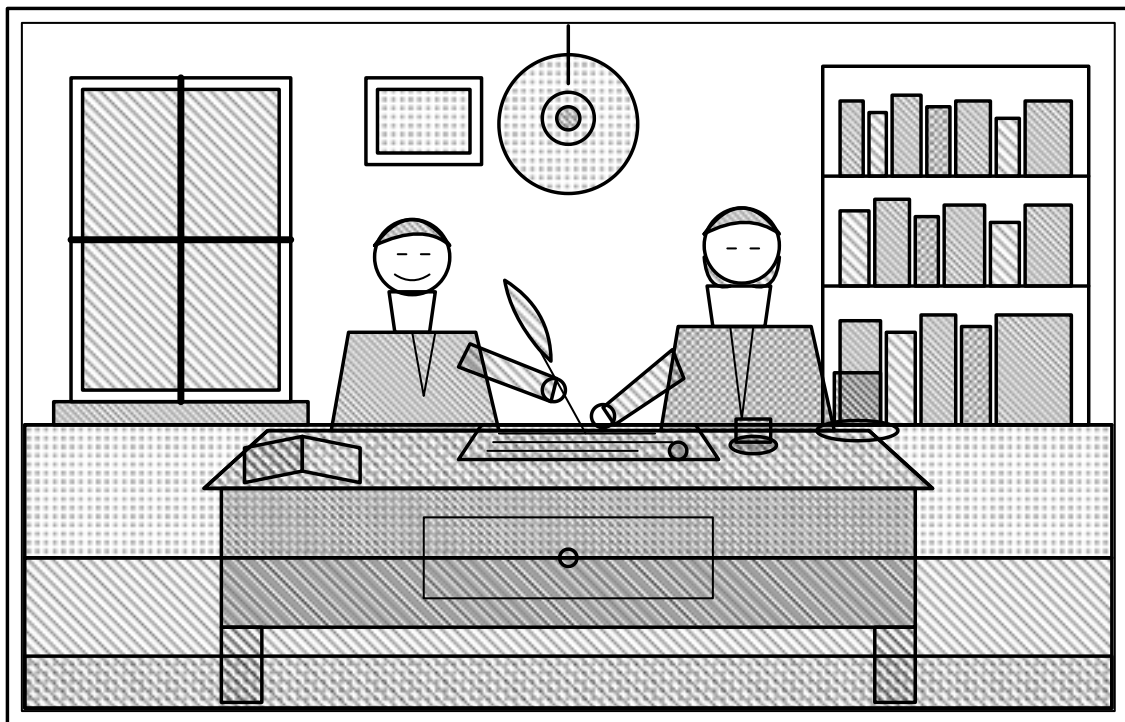
The questions below ask the reader to apply the chapter.

7.1 Name the five forms of business ownership shown in the family tree and say which are in the private sector and which in the public sector.

7.2 List the advantages of a one-owner business and give a reason for each.

7.3 Explain unlimited liability in your own words and give a short example.

-
- 7.4 Explain why a small, personal business, such as a barber's shop, suits a sole proprietorship but a power station does not.
- 7.5 What is a trade licence, and what may happen to a shop that trades without one?
- 7.6 Explain why a sole proprietor should keep business money apart from his own spending.



A solicitor's office in the 1880s, where two partners sign their deed

CHAPTER VIII

The Partnership

Who answers when two people own one business?



This chapter explains how two or more people can own a business together. It shows what the law expects of partners, how they share profit and how a partnership ends. It closes by comparing the partnership with the sole proprietorship.

A signed order that one owner never saw leads to the central question of this chapter.

You will need: Chapter 7, 'Forms of Business Ownership and the Sole Proprietorship', section 7.2 'The Sole Proprietorship', and section 7.3 'Formation and Management'.

Most people answer the question wrongly at first, and the correct answer explains the chapter.

One owner has limits, so many owners ask what would change if someone joined them.

Recall: sole proprietorship, Chapter 7, section 7.2 'The Sole Proprietorship'.

Joining brings questions that a sole owner never faces.

The chapter moves from the idea, to the kinds of partner, to the rules, to a comparison.

Joining owners together solves problems that one owner cannot solve alone.

A partnership is an agreement among owners to run a business and share its profit.

Partnership. A business owned by two or more people who have agreed to run it together and share its profits.

Suppose that you and a friend own a bookshop together. On a Monday morning your friend, without telling you, signs an order for several hundred books from a supplier. You think the choice of books is poor. The supplier delivers the order, and the bill arrives on Friday. Who must pay it? Your friend alone? The business? Or you as well, even though you never saw the order?

Many students expect that only the person who signed is bound. The law of partnership gives a different answer. The reasons for that answer explain nearly everything that follows, so keep the question in mind as you read.

Chapter 7 described the sole proprietorship, where one owner decides everything and answers for everything. That arrangement is simple, but it has limits. One person has only so much money to invest. One person has only so many skills and only so many hours in a day. When the owner is ill or away, the business may stop. Many owners therefore ask a natural question: what if someone joined me?

A second owner brings new problems. Who decides when two owners disagree? How is profit divided when one person invests more money and the other works longer hours? What happens when one person wishes to leave, or dies? And, as our opening question shows, who answers to outsiders for what one owner does? This chapter answers these questions in order.

First we describe the partnership and the agreement on which it rests. Then we study the kinds of partner and the kinds of partnership. Next we examine the rights and duties that the law gives to partners, the sharing of profit and the ending of a partnership. Last, we compare the partnership with the sole proprietorship. A case file, a worked case and a true story from history will help to fix each idea.

* * *

8.1 IDEA AND BASE OF PARTNERSHIP

Think of two friends who share a market stall. One has savings, and the other has a talent for selling. Alone, neither can keep the stall open every day. Together they can. They agree to share the work and to share whatever money the stall earns. Without using the word, they have formed the arrangement that this chapter studies.

The law gives the name **partnership** to this arrangement. A partnership is a business owned by two or more people who have agreed to run it together and to share its profits.¹ Each owner is called a partner. Everyday speech also uses the words firm, enterprise and concern for such a business; this book always says business. A partnership belongs to the private sector, because private persons own it and no government does.

¹ In Bangladesh the Partnership Act 1932 governs partnerships and defines them in much the same way. The Partnership Act 1890 of the United Kingdom speaks of persons carrying on a business in common with a view to profit. Laws differ between countries, so always check the law of the place where the business operates.

A partnership begins with an agreement, and the agreement may be spoken or written. A written agreement is called a **partnership deed**. It states the capital that each partner supplies, the duties of each partner, the shares in which profit is divided and the rules for ending the business. Suppose that two partners later disagree about what each promised. A spoken promise is hard to prove, but a signed deed settles the matter. Careful partners therefore write a deed, even where the law of their country does not require one.

Case file, illustrative. Deed dated 1 July 2026, Meghna and Sons: three partners supply capital. Nurul Meghna supplies Tk 2,500,000, Rafiq Meghna supplies Tk 1,000,000 and Tariq Meghna supplies Tk 600,000, a total of Tk 4,100,000. The deed fixes the profit ratio at 5:3:2. Of every ten parts of profit, five go to Nurul, three to Rafiq and two to Tariq.

What exactly makes a relationship a partnership? The law seeks four features, which together we call the base of partnership. The first is an agreement between two or more persons. The second is a business, meaning a lawful activity carried on to earn gain. The third is the sharing of profit among the persons. The fourth is that each person can act for all the others in the business. The fourth feature answers our opening question, so we study it with care.

IN SHORT

A partnership needs four features: an agreement, a business, the sharing of profit and mutual agency.

In law, an agent is a person who acts for another person and can bind that person by the act. Under **mutual agency**, each partner is the agent of all the other partners. The rule is called mutual because the agency works in both directions. So when your friend signs the order for books, all the partners must pay the supplier, because the friend acted as the agent of all. Chapter 7 showed that a sole owner has unlimited liability. In a partnership every partner shares that liability, and mutual agency means that it can arise from the act of another person.

PAUSE AND CHECK 8.P1 A partner signs a contract in the ordinary course of the business with a supplier who has never met the other partners. Can the supplier demand payment from a partner who did not sign? Give your reason.

Two limits matter. First, mutual agency covers acts in the ordinary course of the business. A partner who buys a car for private use does not bind the others. Second, the deed may limit the power of a partner, for example by forbidding any partner to sign a large order alone. Such a limit protects the partners from each other. It does not stop an outsider who did not know of it from holding all the partners to the contract. Sharing profit is not enough by itself: an assistant who receives a share of profit as a bonus is not a partner, because no agreement exists to run the business together. The law also needs at least two partners, and

The partners record their bargain in a written agreement.

Partnership deed. A written agreement setting out partners' capital, duties, profit shares and rules for ending the firm.

Deed. Word in use. In daily life, an action, as in a good deed. In law, a formal written document that records a binding agreement.

The case file shows what a deed records.

Four features together make a partnership, and the law looks for all four.

Each partner acts for all the partners and can bind them.

Recall: unlimited liability, Chapter 7, section 7.3 'Formation and Management'.

Mutual agency. The rule that each partner can act for the firm and bind all the other partners.

Agency. Word in use. In daily life, an office that arranges services, such as a travel agency. In law, the relation in which one person acts for another and can bind that person.

Mutual agency has limits, and sharing profit alone does not make a partnership.

The same rule looks different to a partner, a supplier and an employee.

The first section ends with a recap of the idea and the base.

Partners differ in what they give and in how much they do.

A sleeping partner provides money but does not manage.

Sleeping partner. A partner who supplies capital and shares profit but takes no active part in running the business.

A nominal partner only lends a name to the business.

A limited partner risks only the money invested, where the law allows it.

A table compares the four kinds of partner on three questions.

it sets a maximum. In Bangladesh the maximum is 20 partners, or 10 in banking.²

The rule of mutual agency looks different from each viewpoint. A partner gains a colleague who can act when he or she is absent, but also accepts the risk of the colleague's mistakes. A supplier gains security, because the supplier can ask any partner to pay. An employee should know that any partner may give instructions for the business, so the employee may need to ask which partner decides a matter. Each viewpoint explains why partners must choose each other with care.

Before moving on. A partnership is a business owned by two or more people who agree to share its profit. Its base has four features: an agreement, a business, the sharing of profit and mutual agency. The partnership deed records the agreement in writing. Because of mutual agency, each partner can bind all the others.

8.2 KINDS OF PARTNER AND PARTNERSHIP

Return to the two friends and the stall. Suppose that a retired neighbour, who has savings but no time to serve customers, wishes to join them. Should the neighbour be a partner in the same way as the friends? The law allows partners of several kinds. An active partner supplies capital, usually, and also manages the business every day. The neighbour in our example could be a different kind of partner.

A **sleeping partner** is a partner who supplies capital and shares profit but takes no active part in running the business. The neighbour in our example would be one. Sleeping partners are useful because they bring money without needing a daily role. They are not free of risk, however. Where the law gives every partner unlimited liability, as the Partnership Act 1932 does in Bangladesh, a sleeping partner answers for the debts of the business to the same extent as an active partner. Mutual agency also still applies, so the acts of the active partners bind a sleeping partner.

A nominal partner lends a name to the business, perhaps because the name is respected. This person supplies no capital, receives no profit and takes no part in management. Outsiders who trusted the name may still hold the person liable for the debts of the business, because the person allowed them to believe that he or she was a partner.

A limited partner is a partner whose liability for the debts of the business stops at the capital that the partner has invested. Such a partner may not manage the business. In many laws, a limited partner who does manage loses the protection. Some countries allow this kind of partner; the United Kingdom does so under its Limited Partnerships Act 1907.³ The Partnership Act 1932 of Bangladesh makes no provision for it, so in Bangladesh every partner has unlimited liability. Always ask which law applies before you accept any statement about a partner's risk.

The table below compares the four kinds of partner on three questions. Does the partner supply capital? Does the partner manage the business? To whom is the partner liable, and how far? Read each row from left to right. For example, the row for the sleeping partner says yes to capital, no to management and unlimited liability.

² This limit comes from the Companies Act 1994 of Bangladesh. Other countries set different limits, and some set none for certain professions.

³ Other countries have their own laws on limited partners. The rules for registration and for the partner's role in management differ, so read the law of the place concerned.

FOUR KINDS OF PARTNER

KIND OF PARTNER	SUPPLIES CAPITAL	MANAGES THE BUSINESS	LIABILITY TO OUTSIDERS
Active	Usually	Yes	Unlimited
Sleeping	Yes	No	Unlimited
Nominal	No	No	Unlimited, to outsiders who trusted the name
Limited	Yes	No	Limited to capital invested, where the law allows

So far we have studied the partners. Partnerships also differ in their length of life. A partnership for a term is formed for a fixed period, such as five years, or for one venture, such as building a single block of shops. It ends when the period expires or the venture is complete. A partnership at will has no fixed period. It continues until a partner gives notice that he or she wishes to end it. The deed should state which kind the partners choose. When the deed fixes no period and no single venture, the law treats the partnership as one at will.

Consider two bakers who agree to run a stall at a fair that lasts three weeks. Their partnership is for one venture, and it ends when the fair ends. Suppose instead that they say nothing about its length. The law then treats the partnership as one at will, so either baker could end it by notice in the busiest week of the fair. The example shows why the deed should state the length of life.

Before moving on. A sleeping partner supplies capital and shares profit but does not manage. A nominal partner lends only a name. A limited partner risks only the capital invested, where the law allows it. A partnership for a term ends with the term or the venture; a partnership at will ends when a partner gives notice.

Partnerships also differ in how long they are meant to last.

Two bakers at a fair show why the deed should state the length of life.

The second section ends with a recap of the kinds of partner and partnership.

8.3 RIGHTS, DUTIES AND DISSOLUTION

What happens when the deed says nothing about a matter, such as who may inspect the books, or what to do when partners disagree? The law answers with implied rules. They apply unless the partners agree otherwise. Each partner has the right to manage the business, to inspect and copy the books of account, to be repaid money spent for the business, and to share in the profit. Ordinary matters are decided by a majority of the partners. A basic change, such as a new kind of business or a new partner, needs the consent of all.

The same rules place duties on each partner. A partner must act for the common benefit of all the partners and must deal honestly and fairly with them. A partner must keep true accounts and give full information on request. A partner must not earn a secret gain from the business, for example by taking a payment from a supplier without telling the others; such a gain belongs to the business. A partner must not run a competing business without consent. A partner who causes loss by wilful neglect must repay that loss. Because of mutual agency, every act of a partner puts the property of all the partners at risk, and for this reason trust is essential.

Partners most often disagree about profit. When the deed is silent, the law says that partners share profit equally, whatever capital each has supplied.⁴ It

The law fills the gaps that the deed leaves.

Partners owe each other honesty, true accounts and care.

Without an agreement, profit is shared equally, and the deed usually fixes a ratio.

⁴ This is the rule of the Partnership Act 1932 in Bangladesh and of the Partnership Act 1890 in the United Kingdom.

gives no salary to a partner for working in the business and no interest on capital, unless the deed provides for them. Equal shares often seem unfair, so partners usually fix a ratio in the deed. A ratio such as 5:3:2 divides the profit into $5 + 3 + 2 = 10$ equal parts. The partners receive 5, 3 and 2 of those parts. Unless the deed says otherwise, losses are shared in the same ratio as profit.

The case file applies the ratio to six months of profit.

Case file, illustrative. Under the deed of 1 July 2026, the profit for 1 July to 31 December 2026 is Tk 420,000. Shared in the ratio 5:3:2, Nurul Meghna receives Tk 210,000, Rafiq Meghna receives Tk 126,000 and Tariq Meghna receives Tk 84,000.

A divided bar shows each partner's share of the capital and of the profit.

The figure below has two bars of equal length. The upper bar stands for the whole capital, Tk 4,100,000, and the lower bar stands for the whole profit, Tk 420,000. Each bar is divided into three parts, one for each partner. The width of a part shows that partner's share of the whole. Compare the same partner in both bars to see how the deed treats that partner.

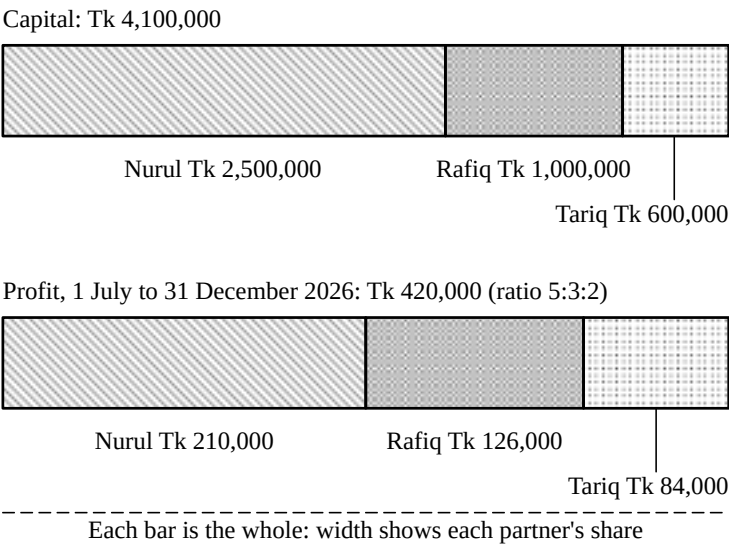


FIG. 8.1. Capital and profit shares of the three partners

The profit ratio is a bargain among the partners, not a copy of the capital.

The figure shows an important point. Nurul supplies the largest part of the capital and receives the largest part of the profit, but his part of the profit is smaller than his part of the capital. Rafiq and Tariq receive larger parts of the profit than of the capital. The law does not require a reason for this. The ratio is a bargain among the partners, who may wish to reward work, skill or risk. The deed records the bargain, and the law enforces it.

A partnership ends by dissolution.

Dissolution. The formal ending of a partnership or company, after which it no longer operates as before.

Partnerships do not last for ever. The formal ending of a partnership is called **dissolution**. After dissolution the partnership no longer operates as before. Dissolution is not always the end of the business itself, because the remaining partners may agree to continue it under a new agreement. When the business ends, the partners settle the accounts in a fixed order. The assets pay debts to outsiders first, then any loans from partners, then the partners' capital. Any remainder is shared in the profit ratio.

A table lists the five modes of dissolution.

The law gives several ways in which a partnership ends, which we call the modes of dissolution. Read the table row by row. The left column names the mode, and the right column says when it happens.

MODES OF DISSOLUTION

MODE	WHEN IT HAPPENS
By agreement	All the partners agree to end it, or the deed provides for its end.
Compulsorily	All the partners but one become unable to pay their debts, or the business becomes unlawful.
On a stated event	A fixed term ends, a venture is complete, or a partner dies or becomes unable to pay debts, unless the deed says otherwise.
By notice	A partner gives notice to end a partnership at will.
By the court	A court orders it, for example when a partner is permanently unable to work or acts dishonestly.

Before moving on. When the deed is silent, the law supplies rights and duties, and it shares profit equally. A deed usually fixes a profit ratio, and the ratio need not follow the capital. Dissolution is the formal ending of a partnership. It may happen by agreement, compulsorily, on a stated event, by notice or by order of a court.

The third section ends with a recap of rights, duties, profit and dissolution.

8.4 PARTNERSHIP COMPARED WITH SOLE PROPRIETORSHIP

The table below sets the sole proprietorship beside the partnership. Read each row to compare one feature of the two forms.

The two forms differ in owners, capital, decisions, profit and liability.

SOLE PROPRIETORSHIP AND PARTNERSHIP COMPARED

FEATURE	SOLE PROPRIETORSHIP	PARTNERSHIP
Owners	One	Two or more
Capital	From one person	Pooled from all partners
Decisions	The owner alone	Shared among the partners
Profit	Kept by the owner	Shared in the agreed ratio
Liability	Unlimited for the owner	Unlimited for each partner, including for the acts of the others
Agreement	None needed	An agreement, ideally a written deed

The advantages of a partnership are more capital, more skills and shared work. Its disadvantages are shared control, shared profit, the risk of disagreement and the liability that each partner carries for the acts of the others. A person who values full control, and who can supply enough capital and skill alone, may prefer the sole proprietorship. People who need each other's capital or skills, and who trust each other, may prefer a partnership with a careful deed.

A partnership gains capital and skill but loses sole control.

Before moving on. A partnership adds capital, skill and shared work to the sole proprietorship. It also adds shared control, shared profit and shared liability.

The fourth section ends with a short recap.

WORKED CASE: SHARING SIX MONTHS OF PROFIT

A worked case applies an idea to a situation. It has five parts: Situation, Question, Reasoning, Conclusion and Check. We use the case file of Meghna and Sons.

A worked case applies an idea to a situation in five parts.

The situation states the facts of the deed and the profit.

The question asks for the shares under the deed and under the default rule.

The reasoning divides the profit into equal parts, then compares it with the default rule.

The conclusion compares the deed with equal shares.

The check adds the shares and tests the return on each partner's capital.

Situation. The deed of 1 July 2026 records capital of Tk 2,500,000 from Nurul Meghna, Tk 1,000,000 from Rafiq Meghna and Tk 600,000 from Tariq Meghna. The profit ratio is 5:3:2. The profit for 1 July to 31 December 2026 is Tk 420,000.

Question. How much does each partner receive under the deed? How would the shares differ if the deed were silent?

Reasoning. Many students find the ratio confusing, because the word part is new here. A part is one of ten equal pieces of the profit. First, add the parts: $5 + 3 + 2 = 10$. Second, find the value of one part: $\text{Tk } 420,000 \div 10 = \text{Tk } 42,000$. Third, multiply by each partner's number of parts. Nurul receives $5 \times \text{Tk } 42,000 = \text{Tk } 210,000$. Rafiq receives $3 \times \text{Tk } 42,000 = \text{Tk } 126,000$. Tariq receives $2 \times \text{Tk } 42,000 = \text{Tk } 84,000$. Fourth, apply the default rule. With no deed, the three partners would share equally: $\text{Tk } 420,000 \div 3 = \text{Tk } 140,000$ each.

Conclusion. Under the deed, Nurul receives Tk 70,000 more than an equal share. Rafiq receives Tk 14,000 less than an equal share, and Tariq receives Tk 56,000 less. The deed therefore favours the partner who supplied the most capital, but it does not divide the profit in proportion to capital.

Check. The shares add to the whole: $\text{Tk } 210,000 + \text{Tk } 126,000 + \text{Tk } 84,000 = \text{Tk } 420,000$. Dividing each share by Tk 42,000 gives 5, 3 and 2, the ratio of the deed. As a further test, compare each share with the partner's capital for the six months. Nurul earns Tk 210,000 on Tk 2,500,000, which is 8.4 per cent. Rafiq earns Tk 126,000 on Tk 1,000,000, which is 12.6 per cent. Tariq earns Tk 84,000 on Tk 600,000, which is 14 per cent. The smallest investor earns the highest return, which agrees with the figure in section 8.3.

* * *

SUMMARY

A short summary of the chapter.

A partnership is a business owned by two or more people who agree to run it together and share its profits. The partnership deed records the agreement. Mutual agency lets each partner bind all the others, and every partner shares unlimited liability in Bangladesh. Partners may be active, sleeping, nominal or limited, where the law allows. Where the deed is silent, the law fixes rights, duties and equal profit shares. Dissolution ends the partnership.

THINK IT THROUGH

The problem tests mutual agency on an invented case.

Suppose that Anwar, Bilkis and Chandan are partners in a furniture business. Their deed forbids any one partner to sign an order above Tk 50,000. Without asking the others, Anwar signs an order for timber worth Tk 90,000 with a supplier who has never seen the deed. This case is invented, to practise the ideas of the chapter.

8.T1 Are Bilkis and Chandan bound to pay the supplier? Give your reason.

8.T2 What may Bilkis and Chandan do about Anwar?

8.T3 How could the partners reduce the chance of a similar order in future?

WHERE PEOPLE GO WRONG

Some readers think that only the partner who signed a contract must pay. This is wrong. Under mutual agency, an act in the ordinary course of the business binds all the partners, even those who never saw it.

Some readers think that a partner who takes no part in management cannot lose more than the capital invested. In Bangladesh this is wrong. A sleeping partner has unlimited liability, like every other partner, unless the law of the country provides for limited partners.

Some readers think that the partner with the largest capital must receive the largest share in proportion. This is wrong. When the deed is silent, the law shares profit equally. When the deed fixes a ratio, the ratio is a bargain among the partners and need not follow the capital.

Some readers think that a limit written in the deed protects the partners against every supplier. This is wrong. The limit protects the partners against each other. An outsider who did not know of it may still hold all the partners to the contract.

Mistake one: only the partner who signs is bound.

Mistake two: a sleeping partner has no risk.

Mistake three: profit must follow capital.

Mistake four: a limit in the deed protects the partners against outsiders.

IN HISTORY

Bill Hewlett and David Packard studied engineering at Stanford University in California, in the United States. In 1938 they began work in a garage at 367 Addison Avenue in Palo Alto, California. Their first product was an audio oscillator, an instrument for testing sound equipment. The film studio of Walt Disney ordered eight of a later version of it for the film *Fantasia*.

On 1 January 1939 they formalised their venture as a partnership. A coin toss decided the order of their names, which is why the business is called Hewlett-Packard and not Packard-Hewlett. For eight years it remained a partnership. It was incorporated on 18 August 1947, which means that it became a company. By 1950 it had 70 products and revenue of about 2 million United States dollars.

The story shows the features of this chapter: two people, an agreement, shared profit and shared risk. It also shows that a partnership may later change its form. Chapter 9, 'The Joint Stock Company', explains the form that the two partners chose in 1947.

Two engineers formed a partnership in 1939, and it later changed its form.

The partnership was formalised on 1 January 1939 and became a company in 1947.

The story shows the features of this chapter and the change of form that may follow.

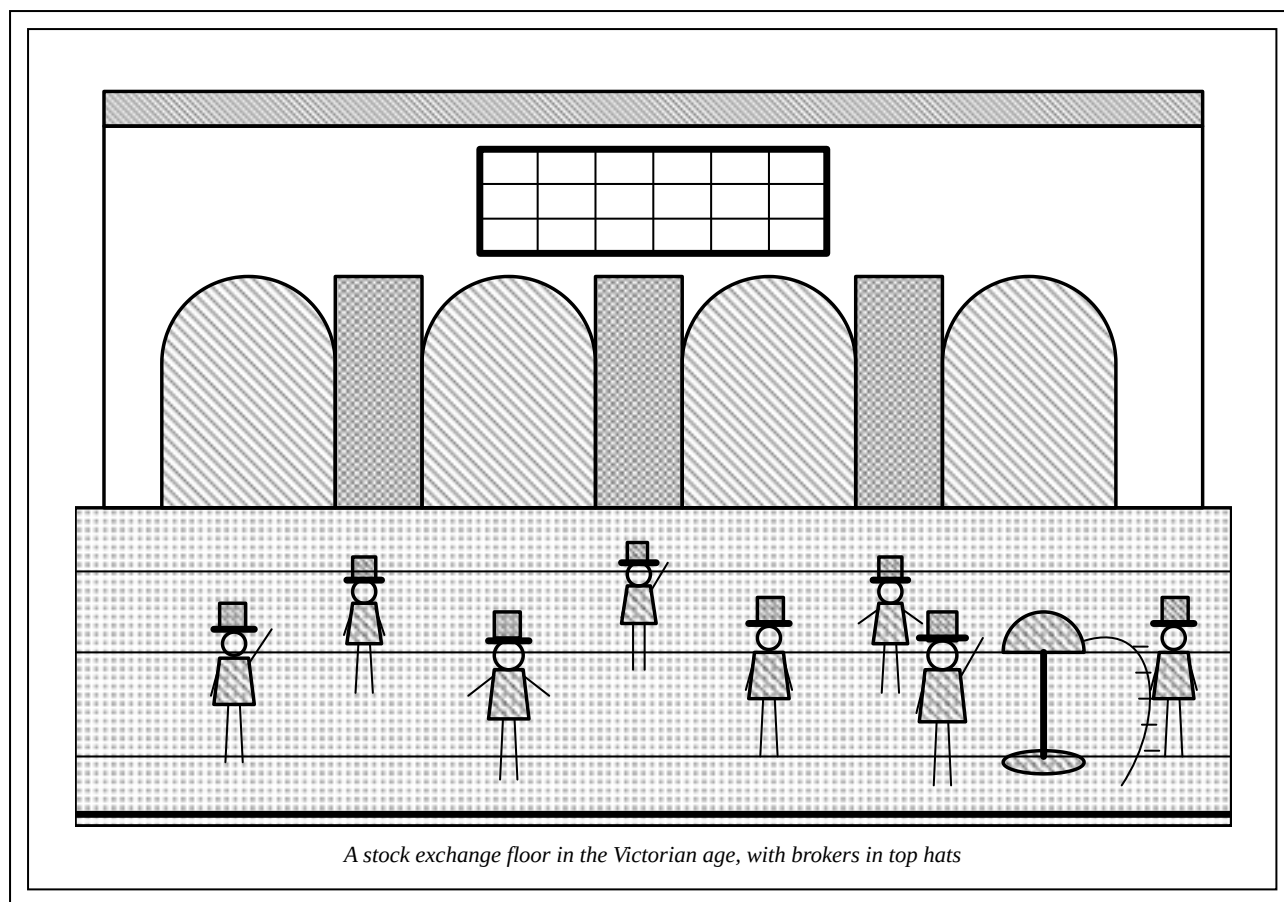
REVIEW QUESTIONS

8.1 Two friends share the profit of a market stall in the ratio 3:2. The profit for the year is Tk 60,000. Find each friend's share.

8.2 The friends in question 8.1 wrote no deed. How would they share the Tk 60,000, and which rule gives the answer?

8.3 The partners of Meghna and Sons agree to change the profit ratio to 4:3:3. Find each partner's share of the profit of Tk 420,000 for 1 July to 31 December 2026.

8.4 A retired teacher offers capital to a baker but wishes to take no part in running the business. Name the kind of partner she would be, state her liability under the law of Bangladesh, and name the feature of the base of partnership that still binds her to the baker's acts.



A stock exchange floor in the Victorian age, with brokers in top hats

CHAPTER IX

The Joint Stock Company

Can a business live on after its owners are gone?



A company is a business that the law treats as a person of its own, owned by shareholders who risk only the money they invest. This chapter explains what a company is, how private and public companies differ, and how a company is formed. It ends by asking when the company is the right form, using the running case of Meghna and Sons.

You will need: Chapter 8 'The Partnership', section 8.4 'Partnership Compared with Sole Proprietorship', and section 8.3 'Rights, Duties and Dissolution'.

A partnership suffers when a partner leaves, and each partner risks all personal wealth.

Four questions about a business that outlives its owners.

The chapter moves from meaning, to kinds, to formation, to judgement.

Equal parts let many people fairly pool money.

A company is a business whose money is divided into equal parts.

Stock. Word in use. In daily life, the goods a shop holds for sale, such as the books on a shelf. In the name "joint stock company", an old word for the money of the business, divided into parts.

Joint stock company. A business whose capital is divided into equal parts, owned by many people, and treated by law as a person.

The law gives a company a personality of its own, apart from its owners.

Think of a bookshop run by three partners. One partner is tired and wishes to leave, and she asks for her money back. The other two must find that money quickly, or the shop must close. Meanwhile, a supplier who never met her can demand payment from her house and her savings, although she no longer works in the shop. A partnership solves many problems, but it leaves two untouched: it is hurt when its members change, and its members risk everything they own.

Now ask four stranger questions. Could a business continue to exist after all its owners have died? Could it own a building, sign a contract and be taken to court in its own name, as a person can? Could an owner leave by selling a part of the business to someone else, without disturbing the business at all? And could an owner lose only the money contributed, and never one taka more? Most students answer no to the first question. Every answer is yes, and the form of business that gives all four is called the company.

This chapter explains how that is possible. We begin with what a company is and why the law allows it. We then separate the two kinds of company, private and public, and follow the steps that bring one into existence. We end by asking whether the company is the best form, because it is not always the best. Many students find the idea of a business that is a person difficult at first, since we usually think of a person as someone who can walk and speak. The chapter builds the idea in small steps, and each section ends with a short recap.

* * *

9.1 WHAT A COMPANY IS

Imagine ten neighbours who wish to build a rice mill. The mill costs more than any one neighbour can pay, so each contributes money: one gives a large amount, another a small amount. The mill is built and begins to earn a profit. Now the neighbours face a question of fairness. How should the profit be divided, and what happens when one neighbour wishes to leave? A fair method is to divide the total money of the mill into equal parts, and to give each neighbour as many parts as the money that neighbour contributed.

The mill of the neighbours shows the idea behind a **joint stock company**, which means a business whose money is divided into equal parts, owned by many people, and treated by the law as a person of its own. For example, a bakery owned by two hundred people, each holding some of its equal parts, is a company. People also say corporation. This book uses the one word company.¹ Note the word stock: in a shop it means goods for sale, but in this name it is an old word for the money of the business.

The most important idea in this chapter is that the law treats the company as a person of its own, called a separate legal person. This is a legal fact, not a physical one: the company has no body, but the law gives it rights and duties, as it does to a human being. The company is therefore different from the people who own it, and different from the people who work in it. Think again of the bookshop in the opening. If it were a company, the shop would be one person, the

¹ In the United States and some other countries, the word corporation is more common than company for this form of business.

three owners would be three other persons, and the law would keep the four apart.

Four results follow from this separateness. The company can own property in its own name, so the building belongs to the company and not to any owner. It can make contracts and borrow money in its own name. It can sue others and be sued in a court. And it continues to exist when an owner dies, leaves or sells, because a person made by law has no age and no natural death. A company ends only when the law, or its owners by a formal process, bring it to an end.

PAUSE AND CHECK 9.P1 In the opening, the leaving partner could demand her money and the shop could be forced to close. In a company, what happens to the business when an owner leaves?

Compare this with the partnership of Chapter 8. A partnership has no existence apart from its partners, so a change in the partners can end it or force it to change. A company has no such weakness, because its owners are not its body. An owner of a company holds a claim on it, not the company itself. The owner can sell that claim to another person, and the business continues exactly as before, with the same building, the same contracts and the same staff.

The second great idea follows from the first. Because the company is a separate person, the debts of the company are the debts of the company, and not of its owners. **Limited liability** means a rule that owners of a company lose, at most, the money they paid for their parts of it, and never their personal wealth. Suppose a company fails and owes a supplier more than it has. The supplier cannot take the owners' houses; the owners lose what they paid, and nothing more. In a partnership, by contrast, each partner may be asked to pay the debts from personal wealth.

The rule has exceptions, and a careful reader should know them. A bank often lends to a small company only if the owners sign a personal guarantee, which is a written promise to repay if the company cannot. An owner who signs it has chosen to accept that debt personally. The law may also remove protection from owners who use the company to commit fraud. And an owner who has not yet paid for the parts that were promised must still pay that amount. The rule protects honest owners from the ordinary risk of business; it does not protect them from their own promises or from wrongdoing.

The equal parts of the mill have a name. A **share** is one equal part of a company's capital, which gives its holder a claim on profit and a voice in decisions. A person who holds shares is a shareholder. Suppose a company divides its capital into 1,000 shares of Tk 100 each, so the capital is Tk 100,000. A person who holds 100 of those shares owns one tenth of the company and receives one tenth of any profit that the company decides to distribute. Shareholders usually vote on major decisions, and each share normally carries one vote.

Case file, illustrative. On 15 September 2026, a proposal was made to convert Meghna and Sons into Meghna and Sons Limited. The authorised capital would be Tk 10,000,000, divided into 1,000,000 shares of Tk 10 each. The proposal would issue 410,000 shares to the partners in return for their existing capital: 250,000 to Nurul, 100,000 to Rafiq and 60,000 to Tariq, a total value of Tk 4,100,000.

Separateness lets the company own, contract, sue and continue.

Recall: why partnerships struggle with change, Chapter 8, 'The Partnership', section 8.3 'Rights, Duties and Dissolution'.

A partnership is not a person apart from its partners; a company is.

Recall: partner liability for debts, Chapter 8, 'The Partnership', section 8.4 'Partnership Compared with Sole Proprietorship'.

Limited liability caps an owner's loss at the money contributed.

Limited liability. A rule that owners of a company lose, at most, the money they paid for their parts, never their personal wealth.

Limited liability has limits: guarantees, fraud and unpaid amounts.

A share is one equal part of a company.

Share. One equal part of a company's capital, giving its holder a claim on profit and a voice in decisions.

Share. Word in use. In daily life, a portion of something divided among people, such as a share of food. In a company, a measured part of the capital, with a claim on profit.

The case file divides capital into shares of Tk 10.

Authorised capital is a ceiling; only part of it is issued.

The case file uses two phrases that need a plain meaning. Authorised capital is the largest amount of capital that the founding documents allow the company to raise through shares. To issue shares means to create them and give them to holders in return for money or property. In the case file the ceiling is 1,000,000 shares, but only 410,000 would be issued at first, so 590,000 remain available for later. Section 9.3 'Forming a Company' returns to the founding documents.

IN SHORT

A company is a separate legal person, with capital divided into shares, and with owners whose loss is limited to the money they paid.

Before moving on: the four ideas of the section in one place.

Before moving on. A company is a business whose capital is divided into equal parts, called shares. The law treats it as a separate legal person, so it owns property, makes contracts and continues when owners change. Limited liability protects owners from the debts of the company, with a few exceptions, such as personal guarantees and fraud.

* * *

9.2 PRIVATE AND PUBLIC COMPANIES

Companies differ in who may buy their shares.

Not every company wishes to sell shares to strangers. A family of bakers may want limited liability and a business that continues, yet wish to keep control among a few trusted people. A large railway or bank, by contrast, may need so much money that it must ask thousands of people to contribute. The law therefore provides two kinds of company, and the difference between them is about who may buy the shares.

A private company keeps its shares among a few chosen owners.

Private limited company. A company that restricts transfer of its shares and cannot invite the public to buy them.

A **private limited company** means a company that restricts the transfer of its shares and cannot invite the public to buy them. To restrict transfer means that an owner may not sell shares to an outsider without following the company's rules, which usually require the agreement of the others. For example, three partners who convert their business into a company, and who agree that no one may sell shares to an outsider without the others' consent, have formed a private limited company.

A public company may ask the public to buy its shares.

Public limited company. A company that may invite the public to buy its shares, which are often traded on a stock exchange.

A **public limited company** means a company that may invite the public to buy its shares, and whose shares are often traded on a stock exchange. A stock exchange is a market in which shares are bought and sold under rules, through licensed dealers called brokers. A person who owns shares in a public company can usually sell them to another person on the exchange, on any working day, without asking the company for permission.

Limited in a name warns the reader about the owners' protection.

Limited. Word in use. In daily life, restricted or small, as in "limited time". In a company's name, it means that the owners' loss is limited to the money they paid.

Both kinds of company carry the word limited in their names. The word has an everyday meaning of small or restricted, but here it has a legal meaning: it tells every customer, supplier and lender that the owners are protected by limited liability, and that only the company's own wealth stands behind its debts. In Bangladesh, the name of a private company ends with Private Limited, and the name of a public company ends with Limited.

The companies differ in five features, shown in a table.

The two kinds differ in several features. The table that follows compares them. Read each row from left to right: the first column names a feature, and the next two columns say what is true of a private company and of a public company. The numbers follow the law of Bangladesh,

where the Companies Act 1994 sets the rules; other countries use different numbers.²

PRIVATE AND PUBLIC LIMITED COMPANIES COMPARED (BANGLADESH)

FEATURE	PRIVATE LIMITED COMPANY	PUBLIC LIMITED COMPANY
Number of members	At least 2, at most 50	At least 7, no upper limit
Transfer of shares	Restricted by its rules	Free, in general
Invitation to the public	Not allowed	Allowed, by prospectus
Stock exchange	Shares not traded	Shares may be traded
Name ends with	Private Limited	Limited

The figure that follows draws the same difference as two circles. Each small circle inside a larger circle stands for one owner. In the private company the owners are few, and a dashed ring around them marks that outsiders may not buy. In the public company the owners are many, and arrows from outside show that the public may buy shares.

The figure shows few owners against many, and a closed ring against an open one.

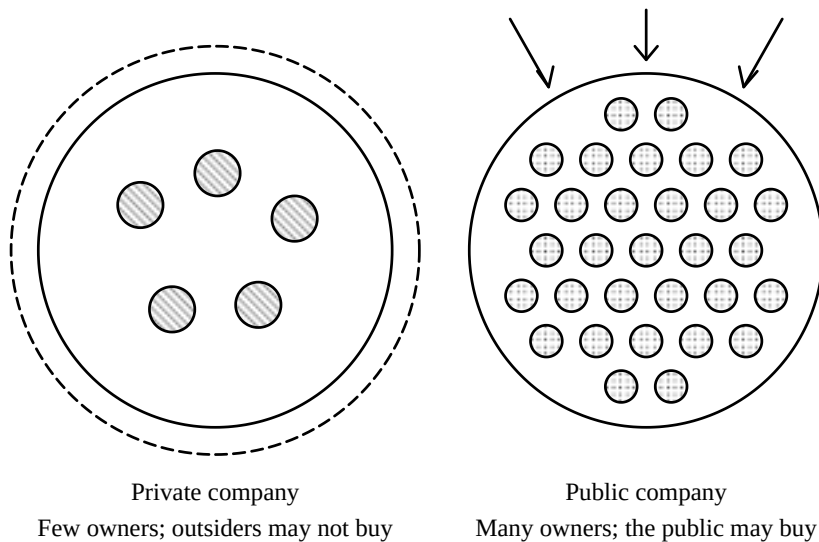


FIG. 9.1. A private company and a public company, drawn as two ownership circles

Each kind has merits and demerits. The private company keeps control among a few trusted owners, has fewer rules, and need not offer its affairs to public view. Its demerit is that it can raise money only from a small circle of people. The public company can raise large sums from thousands of people, and its owners can leave by selling shares to others. Its demerits are heavier rules, more public information about its affairs, and the risk that the original owners lose control as shares pass to many hands.

A private company gains control and privacy; a public company gains money and easy exit.

The viewpoint of each person changes the judgement. An owner of a private company values control, and an owner of a public company values the ease of selling. An employee may find a large public company secure but distant, and a small private company personal but fragile. A customer rarely notices the difference, but a lender will read the kind of company before deciding how much to trust it.

Owners, employees and customers see the two kinds differently.

Before moving on. A private limited company restricts the transfer of its shares and cannot invite the public to buy them. A public limited company may

Before moving on: private against public, in one paragraph.

² Rules differ by country. The numbers in the table follow the law of Bangladesh at the time of writing. A reader who needs exact rules should read the current Act.

invite the public, and its shares are often traded on a stock exchange. Both carry limited in their names. The public kind gains money and an easy exit for owners, but it accepts more rules and a greater risk of losing control.

* * *

9.3 FORMING A COMPANY

A company needs steps and documents, unlike a partnership.

Suppose the three partners of Meghna and Sons decide to form a company. They cannot do it by agreement among themselves alone, as partners can form a partnership by a deed. The law requires a sequence of steps and documents, and each step has a purpose. The figure that follows shows the sequence as a flow of five boxes. Read it from the first box to the last; a box with a dashed outline applies only to a public company.

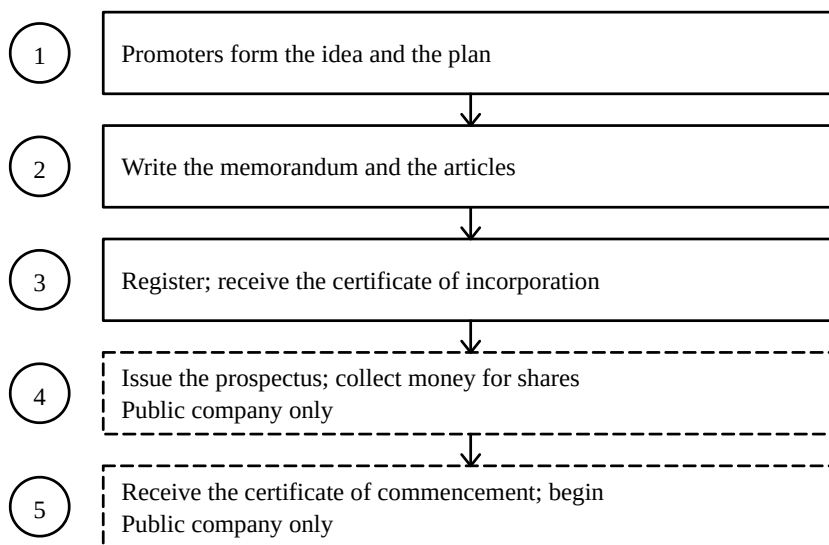


FIG. 9.2. Five steps from idea to commencement of business

Promoters are the people who start the work of forming the company.

The memorandum states what the company is, in outline.

Memorandum of association.

The founding document stating a company's name, objects, registered office, liability and share capital.

The articles state how the company is run inside.

Articles of association. The document setting the company's internal rules, such as duties of directors and meetings.

Registration gives the company its legal existence.

The first step belongs to the promoters, the people who conceive the idea and begin the work of forming the company. They choose the name, find the first money, prepare the documents and pay the early costs. In the case file, the three partners would act as promoters. Promoters are not owners of the company by that fact alone; they become owners only when they take shares.

The second step is to write two founding documents. The **memorandum of association** is the founding document that states a company's name, objects, registered office, liability and share capital. The objects are the purposes for which the company exists, and the registered office is its official address. The liability clause says that the owners' liability is limited. The share capital clause states the authorised capital, which in the case file is Tk 10,000,000.

The **articles of association** are the document that sets the company's internal rules, such as the duties of directors and the holding of meetings. Directors are the persons chosen to direct the affairs of the company. A private company uses its articles to restrict the transfer of shares. The memorandum is therefore about the company's outer relations with the world, and the articles are about its inner life.

The third step is registration. The promoters send both documents, with fees, to a public official called the Registrar, who in Bangladesh is the Registrar of Joint Stock Companies and Firms. If the documents satisfy the law, the Registrar

issues a certificate of incorporation, which is a document that proves the company exists. From the date of that certificate the company is a separate legal person. A private company may now begin business.

A public company that wishes to raise money from the public takes a fourth step. A **prospectus** means a published invitation to the public to buy shares or debentures, which describes the company and its risks. A debenture is a loan to the company, recorded in a certificate. A prospectus usually states the name and objects of the company, its directors, the number and price of the shares offered, the use of the money, the risks, and how to apply.³

The fifth step applies to the public company only. After the public has subscribed for shares, the company applies for a certificate of commencement, a document that allows a public company to begin business once the Registrar is satisfied that the legal conditions are met. These conditions include that a minimum number of shares has been taken by the public. Only then may the company begin its business and use the money raised.

Before moving on. Promoters conceive the company and prepare the memorandum and the articles. The Registrar registers the company and issues a certificate of incorporation. A public company then issues a prospectus, collects the money for shares, and obtains a certificate of commencement. A private company may begin business after registration.

* * *

9.4 IS THE COMPANY THE BEST FORM?

The company offers limited liability, a continuing life, large amounts of money and shares that can be sold. These are real advantages, but each has a price. Registration needs fees and documents. A company must keep proper accounts, file reports with the Registrar, and obey rules about meetings. A public company must also publish more information. A small shop owner who needs none of the four advantages may reasonably remain a sole proprietor or a partner, and that choice is not a failure of ambition.

A company with hundreds of shareholders cannot be managed by all of them together. The shareholders therefore choose directors, who direct the affairs of the company and appoint managers for daily work. This is management by directors. The shareholders keep the right to vote on major matters and to choose or remove directors at meetings, usually held once each year.

In a large company the owners, who are the shareholders, are not the same people as the controllers, who are the directors and managers. This is the separation of ownership and control. It brings skill, because experts may manage, but it brings a risk: controllers may serve their own interests instead of the owners'. Meetings, published accounts and independent checks of the accounts reduce this risk. In a small family company the same persons are owners and controllers, and the separation is slight.

Before moving on. The company is not the best form for every business, because its advantages carry costs in money, effort and public information. Directors manage on behalf of the shareholders, so ownership and control may be separate, and rules of meeting and accounting exist to protect the owners.

* * *

A prospectus invites the public to buy shares or debentures.

Prospectus. A published invitation to the public to buy shares or debentures, describing the company and the risks.

The certificate of commencement lets a public company begin business.

Before moving on: the five steps in one paragraph.

Each form of business has a price as well as a benefit.

Directors manage the company on behalf of the owners.

Owners and controllers may be different people with different aims.

Before moving on: the company's price and the separation.

³ In Bangladesh, public offers of shares are also regulated by the Bangladesh Securities and Exchange Commission, which examines the offer before it reaches the public.

WORKED CASE: DIVIDING THE CAPITAL OF MEGHNA AND SONS LIMITED

The worked case follows the order Situation, Question, Reasoning, Conclusion, Check.

The situation restates the case file in full.

The question asks what each partner would hold, and what it means.

Reasoning step one: the value of each holding is shares times Tk 10.

Reasoning step two: each fraction is the holding divided by 410,000.

Reasoning step three: the fractions show control, and limited liability shows risk.

Conclusion and check: the figures agree, and the form fits.

Summary of the chapter in a few lines.

This section applies the ideas of the chapter to the running case. We follow five parts in order: the situation, the question, the reasoning, the conclusion and a check. The aim is to see how the ideas work on real figures; it is not a model answer to any question.

Case file, illustrative. Situation. The proposal of 15 September 2026 would convert Meghna and Sons into Meghna and Sons Limited, with authorised capital of Tk 10,000,000 in 1,000,000 shares of Tk 10. It would issue 410,000 shares to the partners for their existing capital: Nurul 250,000, Rafiq 100,000 and Tariq 60,000 shares, a total value of Tk 4,100,000.

Question. What is each partner's holding worth, what fraction of the issued shares does each hold, and what does this mean for control and for risk?

Reasoning. We begin with value. Each share has a value of Tk 10, so we multiply the number of shares by Tk 10. Nurul: $250,000 \times \text{Tk } 10 = \text{Tk } 2,500,000$. Rafiq: $100,000 \times \text{Tk } 10 = \text{Tk } 1,000,000$. Tariq: $60,000 \times \text{Tk } 10 = \text{Tk } 600,000$. The three values together are $\text{Tk } 2,500,000 + \text{Tk } 1,000,000 + \text{Tk } 600,000 = \text{Tk } 4,100,000$, which agrees with the case file.

Next we find each fraction of the issued shares, 410,000 in all. Nurul: $250,000 \div 410,000$ is about 61.0 per cent. Rafiq: $100,000 \div 410,000$ is about 24.4 per cent. Tariq: $60,000 \div 410,000$ is about 14.6 per cent. The three fractions add to 100 per cent. The issued shares are 410,000 of the 1,000,000 authorised, which is 41 per cent, and 590,000 shares, with a value of Tk 5,900,000, remain unissued.

Now we read the figures. Nurul holds more than half of the issued shares, so if each share carries one vote, Nurul alone could carry an ordinary vote at a meeting; Rafiq and Tariq together hold about 39.0 per cent. As for risk, each partner would lose at most the money paid for the shares, and not personal wealth, if the company failed. The case file does not say which kind of company is intended. Three owners with no plan to invite the public fit a private limited company.

Conclusion. The partners would hold shares worth Tk 2,500,000, Tk 1,000,000 and Tk 600,000, with about 61.0, 24.4 and 14.6 per cent of the issued shares. Their loss would be limited, and the company would continue if one of them left. **Check.** $410,000 + 590,000 = 1,000,000$ shares, and $\text{Tk } 4,100,000 + \text{Tk } 5,900,000 = \text{Tk } 10,000,000$, which is the authorised capital. The check passes.

* * *

SUMMARY

A company is a business whose capital is divided into shares and which the law treats as a separate legal person. This gives it a continuing life, the power to own and contract, and limited liability for its owners. A private limited company restricts the transfer of its shares and cannot invite the public; a public limited company may invite the public, and its shares may be traded on a stock exchange. A company is formed by promoters, who prepare a memorandum and articles of association, register the company, and, for a public company, issue a prospectus and obtain a certificate of commencement. The company is not always the best form,

because it costs money and effort, and because ownership and control may separate.

THINK IT THROUGH

9.T1 Two sisters run a bakery as a partnership with six staff. They want to borrow money from a bank and to expand to a second shop. List one reason for and one reason against converting the bakery into a company, using limited liability in both.

9.T2 Should the bakery become a private limited company or a public limited company? Give your reasoning in four sentences.

WHERE PEOPLE GO WRONG

Many students believe that limited liability means a company does not have to pay its debts. This is wrong. The company must pay its debts from its own wealth. Limited liability only means that the owners are not forced to pay them from their personal wealth, apart from the exceptions in this chapter.

Another common error is to say that a shareholder owns the shop, the stock and the building. The company owns these, because the company is a separate legal person. The shareholder owns shares, which are claims on profit and votes in decisions.

A third error is to think that every company is large, or that a public company is owned by the government. A company may have two owners and a single shop. A public limited company is public because it may invite the public to buy shares, and not because the state owns it.

Limited liability does not mean the company never pays its debts.

A shareholder owns shares, not the company's property.

A company can be small, and a private company is not owned by the state.

IN HISTORY

In 1602 merchants of the Dutch Republic formed the Vereenigde Oostindische Compagnie, known in English as the Dutch East India Company, and in short as the VOC. Voyages to Asia were costly and dangerous, and a single lost ship could ruin one merchant. The founding charter allowed the residents of the Republic to buy shares, with no fixed upper or lower amount, and the first public sale of shares took place in August 1602. Many investors therefore held small parts of the risk, and the company is often described as the first whose shares were openly traded and held by many investors.

Investors in the VOC could leave the company without waiting for the ships to return. They sold their shares to others in Amsterdam, where buyers and sellers soon gathered to trade, and in 1611 a building for this trade was opened in the city. The voyages and the company continued while the owners of the shares changed. This is the same idea that this chapter described: a business that continues, with parts that owners can sell.

The Dutch East India Company shows why shares for many investors were invented.

Selling shares in Amsterdam let investors leave without ending the company.

REVIEW QUESTIONS

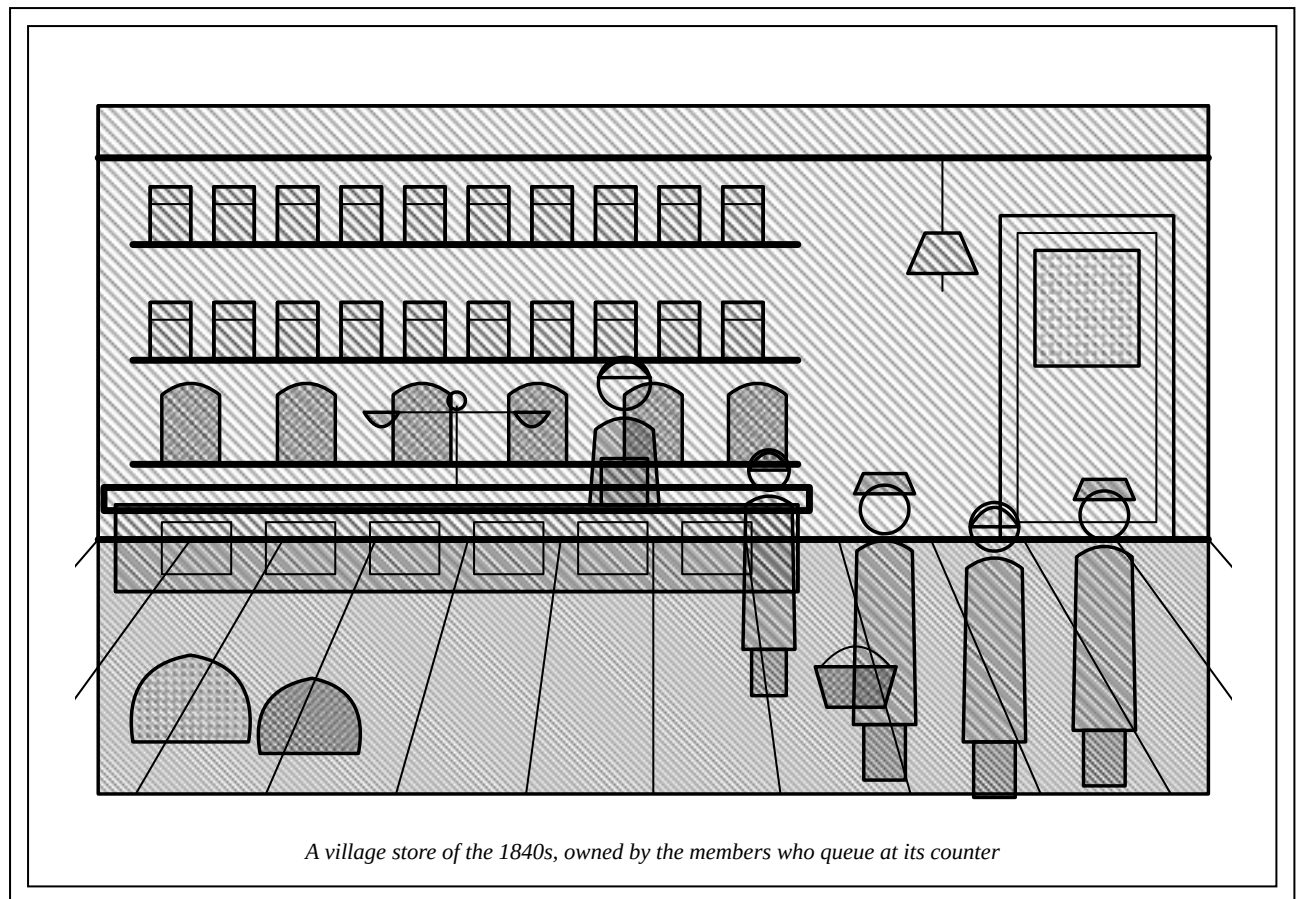
9.1 State two ways in which a company differs from a partnership, and explain each in one sentence.

9.2 Company A has five owners, who may sell shares only with the agreement of the others. Company B invites the public to buy its shares, and its shares are traded on a stock exchange. Compare the two companies in three features.

9.3 A new public company prepares to invite the public to buy shares. List five things that its prospectus should tell the public.

9.4 A family partnership of five members wishes to bring in many small investors from the neighbourhood. Name the kind of company that suits it, and list the documents and steps it needs, in order.

9.5 Explain the separation of ownership and control, and give one way in which it may be reduced.



CHAPTER X

The Cooperative Society

What if the customers owned the shop?



Most businesses are owned by people who hope to earn a profit from other people's needs. A cooperative society turns this around: the people who have the need own the business, each with one vote. This chapter explains the idea, its four common kinds and the way a cooperative is formed, managed and shared out.

Two earlier ideas are needed before this chapter.

Poor buyers in a small town pay too much for poor goods.

The people discover that together they could do what none can do alone.

Neighbours who lend tools to one another already practise the idea in a small way.

A cooperative society is owned by its members, who join to meet a common need.

Cooperative society. A business owned and run by members who join to meet a common need, each with one vote.

Society. Word in use. In daily life, all the people of a country or a community. In business, a form of business owned by its members, as in cooperative society.

Member. Word in use. In daily life, a person who belongs to a club or group. In a cooperative, an owner of the business who has paid for a share and holds one vote.

A sole owner and a company both seek profit for their owners.

You will need two earlier ideas. The first is the list of ownership forms: see Chapter 7, 'Forms of Business Ownership and the Sole Proprietorship', section 7.1 'Choosing an Ownership Form'. The second is the company, which this chapter uses as a contrast: see Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is'.

Imagine a town where the only shop belongs to one trader. The trader buys flour in small quantities, so he pays a high price. He sells it at a higher price still, and he mixes sand into the sack to add weight. The townspeople are poor, and the nearest other shop is a day's walk away. They have no choice but to buy from him. Each family knows it is being cheated, and each family is too weak to change anything alone.

Then one evening some of them meet and make a calculation. If thirty families each gave a small sum, they could buy a whole sack of flour at once, at a lower price, and sell it to themselves at fair weight. No outside owner would take a profit from them. Whatever remained after the costs could return to the families. The idea is simple to state and difficult to carry out: who would own the shop, who would decide, and who would share the gain? This chapter shows how a group of people answers these questions on equal terms, and it ends with a real shop opened by working people in England in 1844.

10.1 THE COOPERATIVE IDEA

Before we study the business form, think of a daily example. Several neighbours need a ladder, but none uses it more than twice a year. They buy one ladder together and keep it in a shared place. Each neighbour pays a fair part and each may use it. No one makes a profit from the others. The arrangement works because every person has the same need and every person has the same claim. A cooperative society is a larger and more formal version of such an arrangement.

A **cooperative society** is a business owned and run by members who join to meet a common need, each with one vote. A *member* is one of these owners. For example, thirty families who own a flour shop together, and who also buy their flour from it, form a cooperative society. The word *society* has a special meaning here: it names a business form and does not mean the people of a country. A cooperative differs from the forms of the earlier chapters in its purpose. It exists to serve its members, and it does not exist to enrich outside owners.¹

The contrast with other forms is useful. A sole proprietorship has one owner, who keeps all the profit. A company has shareholders, who own it in proportion to the number of shares they hold, and whose main aim is a return on their money.² In each of these forms the owner and the customer are usually different people. In a cooperative they are often the same people. The member who buys

¹ Recall: the ownership forms, Chapter 7, section 7.1 'Choosing an Ownership Form'. A cooperative belongs to the private sector, because individuals own it and government does not.

² Recall: the company as a contrast, Chapter 9, section 9.1 'What a Company Is'. Shares in a company carry votes in proportion to the number held.

flour from the cooperative is also an owner of the cooperative, and so a good price for the member is the aim of the business and not a cost to it.

A **cooperative principle** is a basic rule of cooperatives, such as open membership, one vote per member and fair sharing of what remains after costs. A later section names that remainder and explains it: see section 10.3 'How a Cooperative Operates'. The first principle is open membership, which means that anyone with the need may join, whatever the person's wealth, religion or position. The second is control by members, which means that members decide, not outsiders. The third is fair sharing of the gain. The fourth is education: a society teaches its members how to run it. These rules came from a real shop, whose story ends this chapter.

PAUSE AND CHECK 10.P1 Name two cooperative principles and say what each one protects.

The idea rests on self-help. Members do not wait for a rich owner or for government to solve their problem; they solve it themselves, and they accept that the solution needs effort from each person. A member must pay for a share, attend meetings, buy from the society where possible and accept the decisions of the majority. A cooperative whose members expect others to do the work will weaken. This is why education is a principle: people must learn how to run a business before they can own one together.

The most distinctive principle is *one member one vote*. It means that every member has exactly one vote, however much money the member put in. In a company, a person who holds many shares holds many votes. In a cooperative, a person who holds ten shares and a person who holds one share each have one vote. The reason is fairness: a cooperative is a union of people, not of money. A wealthy member cannot buy control from poorer members.

The rule has limits that a careful reader should notice. A cooperative needs money, and members usually pay for shares to provide it. The number of shares a member may hold is often limited, so that no person gains great power. The vote protects small members from large ones, but it does not ensure that members attend meetings or decide wisely. A cooperative with many members who never vote may be run by a few active people. Equal votes are a protection, not a guarantee of good management.

Before moving on. A cooperative society is a business owned and run by members who join to meet a common need, each with one vote. Cooperative principles are the basic rules that guide it: open membership, control by members, fair sharing of the gain and education. One member one vote means every member has one vote whatever the number of shares held.

10.2 KINDS OF COOPERATIVE

Members join a cooperative because of a need, and the need decides the kind of cooperative. Four kinds are common in most countries. A fifth set of kinds exists for housing, farming and other needs, but the four below show the main ideas. For each kind we ask the same question: what do the members have in common, and what does the cooperative do for them?

The first kind is the *consumer cooperative*, a shop or service owned by the people who buy from it. The thirty families in the opening puzzle formed one. The members aim to buy goods of honest quality at fair prices. Many such shops, like the Rochdale shop, share their gain by returning part of it to members in proportion to what each bought. The consumer cooperative is the form

Rules called principles guide how cooperatives are run.

Cooperative principle. A basic rule of cooperatives, such as open membership, one vote per member and fair sharing of surplus.

Self-help is the spirit behind the idea, and it asks for effort from every member.

Each member has one vote, whatever the number of shares held.

One member one vote protects the weak but does not remove all difficulty.

Before moving on: this section gave three ideas.

Cooperatives differ by the need that brings the members together.

A consumer cooperative is a shop owned by the people who buy from it.

A producer cooperative is owned by the people who make the goods.

A marketing cooperative sells the products of its members together.

Marketing cooperative. A cooperative that sells its members' products together to obtain better prices.

A credit cooperative lends money to its members from their own savings.

Four kinds can be compared by who the members are and what they gain.

most familiar to ordinary people, and it is often the first one that a community forms.

The second kind is the *producer cooperative*, owned by people who make goods or provide work together. A group of weavers may buy looms together and work in a shared workshop. A group of fishing families may own boats together. The members are both owners and workers, so they share the decisions and the income. This kind gives skilled people a way to work for themselves without large capital. Its limit is that the members must agree on how work and pay are shared, and disagreements can be difficult to settle.

A **marketing cooperative** is a cooperative that sells its members' products together to obtain better prices. For example, a hundred small farmers who each grow a little jute may sell separately and accept the price a trader offers. If they sell together, they offer a large amount, they can wait for a better price, and they can bargain with many buyers. The cooperative collects the product, grades it, stores it and sells it. Each member receives a payment in proportion to the amount delivered. Farm marketing is the commonest use of this kind.

The fourth kind is the *credit cooperative*, which is a society where members save together and lend to one another. Each member deposits small savings. The society lends from the pool to members who need money for a shop, a field or a school fee, and it charges a modest rate. Because the members know one another, the society can judge who is likely to repay. Poor people who cannot obtain a loan from a bank often find a credit cooperative their only source of fair credit.

A table can show the four kinds side by side. Read each row as one kind: the first column names it, the second names who the members are, and the third states what they gain.

FOUR KINDS OF COOPERATIVE, THEIR MEMBERS AND THEIR GAIN

KIND	MEMBERS ARE	WHAT MEMBERS GAIN
Consumer cooperative	People who buy goods	Fair prices and honest quality
Producer cooperative	People who make goods	Shared work, shared income
Marketing cooperative	People who grow or make goods for sale	Better prices for their products
Credit cooperative	People who save and borrow	Fair loans from shared savings

The kinds can be combined, and many cooperatives serve more than one need.

Before moving on: this section gave four kinds of cooperative.

The kinds are not rigid. A village society may sell seeds to its farmers, market their crops and lend them money for the next season. In such a case it serves the farmers as consumers, as marketers and as borrowers. The law of each country may require each society to state its purpose when it registers, and a society that wishes to change its purpose may need new permission. The name of the kind tells the reader what the members chiefly need, and nothing more than that.

Before moving on. A consumer cooperative is owned by those who buy; a producer cooperative by those who make; a credit cooperative by those who save and borrow. A marketing cooperative sells its members' products together to obtain better prices. The need that unites the members decides the kind, and one society may serve more than one need.

10.3 HOW A COOPERATIVE OPERATES

Imagine that twenty bookshop owners agree to buy paper together. How do they begin? A cooperative is formed by people who share a need, who agree on a purpose and on rules, and who pay for the first shares. Most countries then require registration with a government office. In Bangladesh the law is the Cooperative Societies Act, and societies are registered with a government registrar of cooperatives.³ Registration gives the society legal standing: it may own property, sign contracts and sue, as a person may.

Registration also decides the liability of the members. In most countries, including Bangladesh, a registered cooperative gives its members limited liability, which means that a member can lose no more than the money paid for shares. This is different from a sole proprietorship, where liability is unlimited. A member who owns ten shares of Tk 1,000 may lose at most Tk 10,000 if the society fails. The law of each country must be checked, because a few types of society have a different rule.

How does a society with many members make decisions? It cannot ask every member about every matter. Instead, all members meet at least once a year in a *general meeting*, where each has one vote. The meeting approves the accounts, decides large questions and elects a *management committee*, a small group of members who direct the society between meetings. The committee appoints a manager and staff to do the daily work. The sketch below shows how authority moves in a ring: the members form the meeting, the meeting elects the committee, and the committee answers to the members.

To read the sketch, start with the box for the members at the lower left. An arrow runs from the members to the box for the general meeting at the top, because the members attend the meeting and vote. A second arrow runs from the meeting to the box for the committee at the lower right, because the meeting elects the committee. A third arrow runs back from the committee to the members, because the committee serves them and reports to them. Authority therefore returns to where it began.

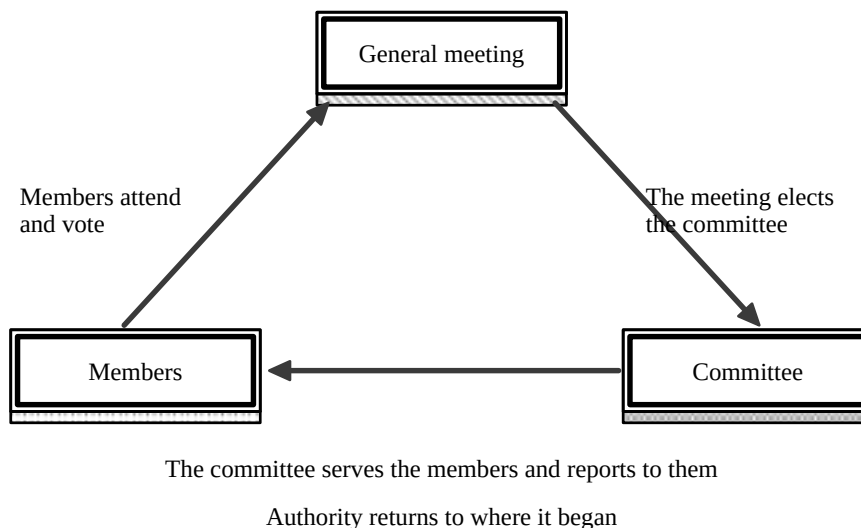


FIG. 10.1. *The ring of authority: members, general meeting and committee*

Formation is easier than for a company but follows steps set by law.

Members of a registered society usually have limited liability.

The members govern through a general meeting and a committee they elect.

The sketch is a ring with three parts, and each arrow shows one act of authority.

³ The Cooperative Societies Act of 2001 is the law in Bangladesh, with later amendments. Rules on the number of members, the share capital and the permitted purposes differ by country and change over time, so check the current law before relying on any figure.

The committee manages, and members check its work.

What remains after costs is the surplus, and a cooperative shares it among members.

Surplus. In a cooperative, what remains after costs, shared among members instead of paid to outside owners.

The surplus is divided by rule, and part of it is kept for the society.

A member has duties to the society as well as rights from it.

A cooperative has real merits and real limits.

Cooperatives help farmers sell their crops for a fair price.

Before moving on: this section gave the working of a cooperative.

The committee has duties as well as powers. It keeps the accounts, admits new members, makes sure the society obeys the law and its own rules, and reports to the members at the meeting. Members may remove a committee that fails them. This arrangement gives the members real control, though it depends on their taking part. A society whose members never attend meetings may become one that a few committee members control, and the original idea of equal ownership is weakened.

The business must also pay its way. The money received from sales, less the cost of goods, wages, rent and other expenses, leaves an amount at the end of the year. In a cooperative this amount is called the **surplus**, which is what remains after costs, shared among members instead of paid to outside owners. Many writers use the word *surplus* and not *profit* because the aim of the society is not to make money from the members. A surplus arises when the society charges members a little more than its costs, or sells their goods for a little more than it paid.

The members decide at the general meeting what to do with the surplus. Four uses are common. Part is kept in a reserve to meet future losses and to grow the society. Part is paid as a *dividend*, which means a payment shared out among members, in many cooperatives in proportion to the amount each member bought or sold through the society. A limited interest may be paid on shares. Part may be spent on education or on the community. A company pays its profit in proportion to shares; a cooperative pays its surplus in proportion to use.

Rights and duties go together in a cooperative. A member has the right to vote, to be told how the society is doing, to receive a fair share of the surplus and to stand for election to the committee. A member also has duties: to pay for the shares agreed, to obey the rules, to deal with the society in good faith, and to treat other members fairly. A person who takes the benefits but neglects the duties harms every other member, because the society belongs to all of them together.

What are the merits and limits of the form? Its merits are fairness, since each member has one vote; protection for weak buyers and sellers; limited liability; and a purpose that serves members. Its limits are that it may raise less money than a company, because members are often poor and the number of shares each may hold is restricted; that decisions may be slow when many members must agree; that managers may lack skill or the incentive to work hard; and that members may lose interest. The form suits people with a shared need, and it suits less well a business that needs very large sums.

One field deserves a final note. Small farmers face a weak position when selling crops. Each farmer has only a little to sell and needs money quickly, so the trader sets the price. A marketing cooperative lets farmers collect, store and sell together, and often gives them a place to borrow before the harvest. In several countries, including Bangladesh, governments encourage this use of cooperatives. The result depends on honest management and on members who deliver their crops to the society and not to the trader outside.

Before moving on. A cooperative is formed by people with a shared need, registered under the law of the country, and usually gives its members limited liability. The members govern through a general meeting and an elected committee. The surplus is shared by rule among reserve, dividend, interest on shares and the community. The form has fairness and protection as merits and limited money and slow decisions as limits.

* * *

A WORKED CASE: A BUYING COOPERATIVE FOR DHAKA BOOKSHOPS

A worked case applies an idea to a situation. It has five parts: the situation, the question, the reasoning, the conclusion and a check. We apply the ideas of this chapter to one case file.

Case file, illustrative. Proposal, 2026. Twenty-two independent bookshops in Dhaka propose to form a buying cooperative. Meghna and Sons would hold 10 shares of Tk 1,000 each, a total of Tk 10,000. The shop's paper and stationery purchases are Tk 2,400,000 a year. The expected bulk discount is 12 per cent, which is Tk 288,000 a year.

The table below lists the figures of the proposal. Read each row as one item, with its amount in taka.

FIGURES IN THE PROPOSAL FOR MEGHNA AND SONS

ITEM	AMOUNT (TK)
Cost of 10 shares at Tk 1,000 each	10,000
Paper and stationery purchases a year	2,400,000
Expected discount, 12 per cent	288,000

Question. What does Meghna and Sons gain from the proposal, what does it risk, and what control does it hold?

Reasoning. First we check the discount. Multiply the yearly purchases by the rate: $2,400,000 \times 0.12 = \text{Tk } 288,000$. This agrees with the record. After the discount, the shop would pay $2,400,000 - 288,000 = \text{Tk } 2,112,000$. Second, we compare the gain with the money put in. The shares cost $10 \times 1,000 = \text{Tk } 10,000$, so $288,000 \div 10,000 = 28.8$. The expected yearly discount is nearly 29 times the cost of the shares. Third, we compare it with the profit of Tk 750,000 for 2025: $288,000 \div 750,000 = 0.384$, which is 38 per cent when rounded to a whole number.

Fourth, we turn to risk and control. If the cooperative is registered with limited liability, the most the shop can lose on the shares is Tk 10,000, since a member's loss is limited to the money paid for shares. This is very much smaller than the possible gain. On control, the shop would hold one vote among twenty-two members, as each member has one vote, though it holds 10 shares. The shop could not outvote the other shops, and it could not be outvoted by shops that hold more shares.

Conclusion. On the figures given, the proposal offers a large expected gain for a small sum at risk, and the shop keeps an equal voice. The record states that the discount is expected, not certain. It does not state who would manage the cooperative, how the surplus would be shared or whether the shop would be required to buy all its paper through it. These facts should be known before the shop joins.

Check. Divide the discount by the purchases: $288,000 \div 2,400,000 = 0.12$, which is the rate in the record. Add the discount to the new payment: $288,000 + 2,112,000 = 2,400,000$, which equals the original purchases. The result is sensible, because a 12 per cent saving on a large yearly purchase gives a large yearly sum.

A worked case applies the ideas to a recorded proposal and is not a model answer.

The situation is a proposal for twenty-two bookshops to buy together.

The table lists the figures of the proposal in order.

The question asks what the proposal offers the shop, and what the shop must give.

Reasoning begins by checking the discount, then compares it with the money put in.

The risk and the control of the shop come from the form, not from the figures.

The conclusion weighs the gain, the risk and the limits of the record.

The check repeats the arithmetic from the other direction.

* * *

The summary lists the main ideas of the chapter.

The questions below change the situation step by step.

Four common mistakes about the cooperative society, each with its correction.

Votes in a cooperative do not follow money.

Government does not own a cooperative.

A cooperative can fail even though it is fair.

Working people of Rochdale opened a shop in 1844 on rules that became the principles.

SUMMARY

A cooperative society is a business owned and run by members who join to meet a common need, each with one vote. Cooperative principles guide it: open membership, control by members, fair sharing of the surplus and education. Four common kinds are consumer, producer, marketing and credit cooperatives. A society is registered by law, usually gives limited liability, and is governed by a general meeting and a committee. Its merits are fairness and protection for members, and its limits are small money and slow decisions.

THINK IT THROUGH

Questions 10.t1 and 10.t2 use the case file in the worked section. Questions 10.t3 and 10.t4 change the setting.

10.T1 Suppose the discount were 9 per cent and not 12 per cent on purchases of Tk 2,400,000. Find the discount in taka, and how many times it exceeds the Tk 10,000 paid for shares.

10.T2 The shop decides to hold 25 shares of Tk 1,000 and not 10. What is the most it can lose on shares, and how many votes does it have? Explain.

10.T3 Sixty jute farmers each sell about 400 kg to a trader who offers a low price. Describe how a marketing cooperative could help them, and name one thing that could go wrong.

10.T4 A cooperative of bakers wishes to borrow a large sum to buy a factory. Which features of the form help, and which limit the plan? What other form might the bakers consider?

WHERE PEOPLE GO WRONG

Mistake. A cooperative never makes a surplus. **Correction.** A cooperative must cover its costs and usually earns a surplus, which it shares by rule among members instead of paying it to outside owners.

Mistake. A member with more shares has more votes. **Correction.** Each member has one vote, whatever the number of shares held. This is the main difference from a company.

Mistake. A cooperative is a government business. **Correction.** A cooperative is owned by its members. Government may register it, inspect it or help it, but government is not its owner.

Mistake. Because every member has an equal voice, a cooperative cannot fail. **Correction.** A cooperative can fail through poor management, shortage of money or members who take no part. Equal votes protect fairness and do not ensure skill.

IN HISTORY

In 1844 the town of Rochdale, in Lancashire in England, was full of weavers and other workers made poor by changes in the cloth trade. A group of 28 working people, about half of them weavers, formed the Rochdale Society of Equitable Pioneers. They collected small sums, over a period of months, to rent

the ground floor of a warehouse at 31 Toad Lane. On 21 December 1844 they opened a store selling basic goods such as butter, sugar, flour, oatmeal and candles.

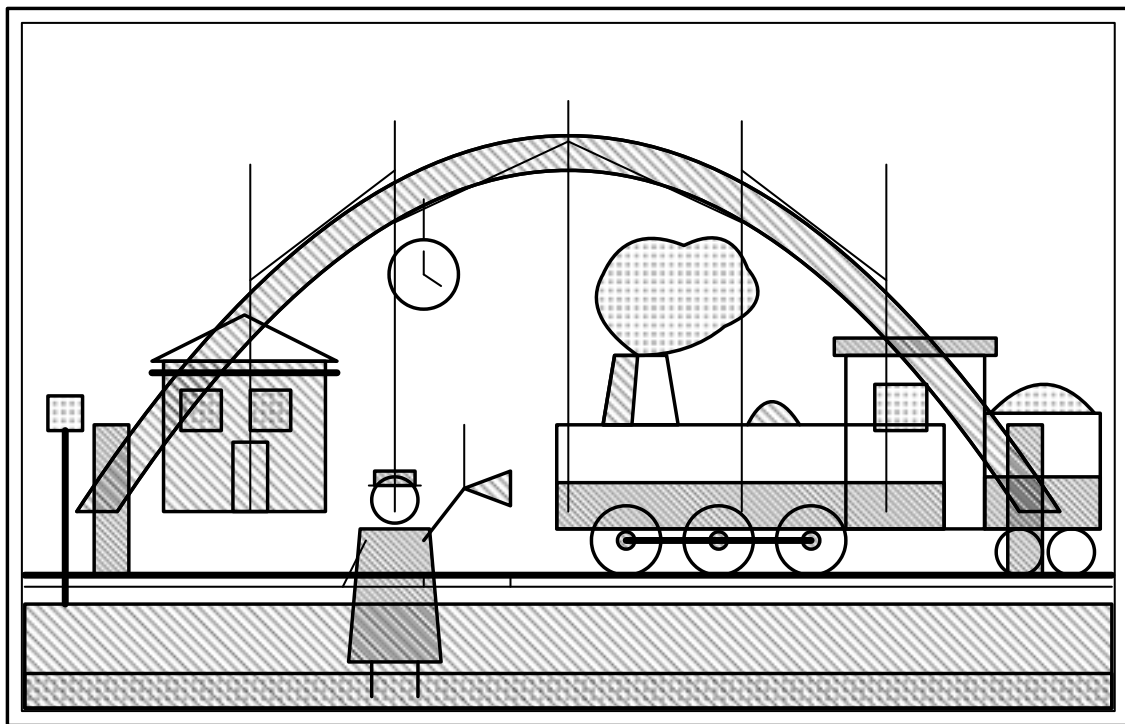
The Pioneers drew up rules that differed from earlier shops. Any customer could become a member and an owner. Each member had one vote. Goods were sold at honest quality for cash, and the gain was returned to members as a dividend in proportion to their purchases. By the end of the first year they had about eighty members. The International Co-operative Alliance, a world body of cooperatives, later adopted principles based on these rules, in 1937 and again in 1995. The case shows that people with little money, by agreeing fair rules, can own a business together.

The pioneers wrote rules that gave every member a voice and a share of the gain.

REVIEW QUESTIONS

- 10.1 Explain cooperative society in your own words and give one example.
- 10.2 Compare a cooperative with a company on four points: purpose, voting, return to owners and liability.
- 10.3 State three cooperative principles and explain what each protects.
- 10.4 Describe the four kinds of cooperative and name one need that each meets.
- 10.5 Explain how the members, the general meeting and the committee relate to one another.
- 10.6 Explain what a surplus is and describe two ways in which a cooperative may use it.

The questions below ask the reader to apply the chapter.



A railway station hall in the 1880s, with engines, signal box and station master

CHAPTER XI

State Enterprise and Comparing the Forms

Why does a government run a railway, and who gains?



This chapter explains why governments own and run businesses, and the forms that state ownership takes. It asks how such businesses should be judged. It closes by setting every form of ownership side by side for comparison.

A business that loses money every year raises the central question of this chapter.

You will need: Chapter 7, 'Forms of Business Ownership and the Sole Proprietorship', section 7.1 'Choosing an Ownership Form'; Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is'; and Chapter 10, 'The Cooperative Society', section 10.1 'The Cooperative Idea'.

The usual answer is that government owns them and has aims other than profit.

Earlier chapters studied private owners, and this chapter adds the last owner.

Recall: private sector, Chapter 7, section 7.1 'Choosing an Ownership Form'.

A village well shows why some services are provided for everyone.

A state enterprise is a business that government owns or controls.

State enterprise. A business owned or controlled by government, usually to provide essential goods or services.

Public. Word in use. In daily life, open to everyone, as in a public park. In business, owned or run by government, as in the public sector.

A government may become an owner by creating a business or by taking over a private one.

Nationalisation. The transfer of a privately owned business to government ownership.

Suppose that a business loses money every year. A private owner would not wait long for a change. The owner would raise prices, reduce the service or close the business. Yet some businesses of this kind stay open for decades. A railway may carry passengers on a line that never earns enough to pay its costs. A post office may deliver a letter to a remote island at the same price as a letter across the street. Who keeps such businesses alive, and why?

The usual answer is that government owns them. A government does not need to earn profit in order to continue, because it can use money collected from taxes. It may also judge success by other tests, such as whether every citizen can travel, post a letter or obtain clean water. This chapter explains that choice. It asks why governments own businesses, what forms their ownership takes and whether the results justify it.

Chapter 7 divided ownership into the private sector and the public sector. Chapters 7 to 10 studied the private sector: the sole proprietorship, the partnership, the company and the cooperative society. This chapter studies the public sector, where government is the owner. In the last section we set all the forms side by side, so that you can compare them and judge which form suits which task.

* * *

11.1 WHY GOVERNMENT OWNS BUSINESSES

Think of a village well built by the village council. Everyone may draw water, and no one is turned away because he or she cannot pay. Now suppose that a private owner built the well to earn money. The owner would charge a price, and families that could not pay would go without. Both arrangements supply water, but they serve different aims. The first aims to serve all. The second aims to earn profit.

A **state enterprise** is a business owned or controlled by government, usually to provide essential goods or services. A national post service is one example, and a government-owned railway is another. State enterprises together form the public sector, in the same way that private businesses form the private sector.

A government has two routes to ownership. It may create a new business from the beginning, as it might build a new power station. Or it may take over a business that private owners already hold. This second route is called **nationalisation**. Nationalisation is the transfer of a privately owned business to government ownership. The government of the United Kingdom, for example, nationalised the Bank of England in 1946, the coal industry in 1947 and the railways in 1948. In Bangladesh, the government nationalised many large industries soon after independence in 1972.¹ Many laws require the government to

¹ The President's Order of 1972 on industrial enterprises began this process. Later governments sold or returned many of these businesses to private owners.

pay compensation to the former owners, but the terms differ from country to country.

Governments give several reasons for state ownership. The first is public service: some goods and services are essential, and government wishes everyone to have them at a price that people can pay. The second is capital: a dam or a railway needs very large sums and many years before it earns a return, and few private owners can wait so long. The third is security: a country may not wish a private owner to control its defence industry. The fourth is fairness: where only one supplier can economically run a business, such as a water network, a private owner could raise prices without fear of competition. The fifth is development: government may build in a poor region where private investors would not. The sixth is revenue and employment.

Not every field suits state enterprise. The fields most often chosen share some of the features above. They include defence, the post, railways, electric power, water supply and, in many countries, a part of banking. Fields where many suppliers compete and customers want variety, such as clothes or restaurants, are usually left to private owners. The line is not always sharp, however. The case file later in this chapter shows a government printing press that competes with private suppliers.

The reasons need testing in each case. A government that wishes to protect fair prices should ask whether competition could achieve the same result at lower cost. A government that wishes to develop a region should ask whether a grant to a private investor would work better than ownership. Ownership also brings costs: government must find the capital, accept the risk of loss and manage the business. A reason is therefore a starting point for judgement and not a proof.

The viewpoints of the people involved differ. A citizen hopes for service at a fair price. The government, as owner, hopes to meet national aims. A manager hopes for clear orders but may receive several aims at once: serve everyone, earn money and keep prices low. An employee often hopes for secure work. Later sections show how these hopes may conflict.

Before moving on. A state enterprise is a business owned or controlled by government, usually to provide essential goods or services. Nationalisation transfers a private business to government ownership. Governments own businesses to serve everyone, to find large capital, to protect security, to prevent unfair prices, to develop poor regions and to provide revenue and work.

11.2 FORMS OF STATE ENTERPRISE

Suppose that the government decides to run a national post service. It must choose how to organise it. Should the post office be a branch of a ministry, with the same rules as any government office? Or should it be a separate body that manages itself? The answer affects speed, freedom and accountability. Three forms are common, and we study them in order of increasing independence.

A **departmental undertaking** is a state enterprise run directly as part of a government department. The minister at the head of the department is responsible for it. Its money comes from the government budget, and the revenue that it earns usually returns to the government. Its staff are government employees, who follow government rules for hiring, pay and spending. Many countries have run their post services and railways in this way. Such an enterprise has no separate

Governments give six main reasons for owning businesses.

Some fields suit state enterprise better than others.

The reasons do not always hold, so government should test them in each case.

Viewpoints differ: the citizen, the owner, the manager and the employee want different things.

The first section ends with a recap.

Government can organise a business in three ways, which differ in independence.

A departmental undertaking is run as part of a government department.

Departmental undertaking. A state enterprise run directly as part of a government department.

The strength of this form is direct control, and its weakness is rigid management.

A public corporation is a state enterprise set up by law with its own managers and accounts.

Public corporation. A state enterprise set up by law as a separate body with its own managers and accounts.

A government company is an ordinary company in which government holds most of the shares.

Control. Word in use. In daily life, to guide or limit something. In business, the power to decide policy and appoint managers, usually through owning most of the shares.

A public corporation differs from a company because it has no shareholders.

A table compares the three forms on law, management, money and separation.

existence in law, so the government itself owns its property and answers for its debts.

The strength of this form is control: the government can direct the enterprise at once, and its accounts are open to the elected assembly that makes the laws. The weakness is rigidity. A manager may need permission from a government office to spend money or to hire a person. Decisions are therefore slow, and managers have little freedom to respond to customers.

A **public corporation** is a state enterprise set up by law as a separate body with its own managers and accounts. The law states its aims, its powers and its rules. Government supplies the capital and appoints a board to manage it. The corporation can make contracts, own property and be sued in its own name. It may keep its earnings and may hire staff on its own terms. This freedom is meant to give the speed of a private business and the aims of a public service. The Tennessee Valley Authority, described in the history section, is a famous example. In Bangladesh, the Bangladesh Petroleum Corporation was created by law in this way.²

The third form is the government company. It is registered under the company law, like the companies of Chapter 9, but government holds most of its shares. Government therefore has control through its votes at the general meeting, and it appoints the directors. The company keeps the usual features of a company, such as limited liability and a separate existence in law. A few shares may belong to private persons. In Bangladesh, a government-owned bank such as Sonali Bank Limited is registered as a company in this way.³

A student who has studied Chapter 9 may ask how a public corporation differs from a company. The difference lies in ownership and aim. A company has shareholders, who own it and share its profit. A public corporation has no shareholders. Government is its only owner, and the public interest is its chief aim. A government company is closer to a private company in its legal form, but government holds most of its shares, so its aims follow the wishes of government.

The table below compares the three forms on four points: the law that creates them, who manages them, where their money comes from, and whether they are separate bodies in law. Read each column to learn one form. Read each row to compare one feature across the forms.

THREE FORMS OF STATE ENTERPRISE

FEATURE	DEPARTMENTAL UNDERTAKING	PUBLIC CORPORATION	GOVERNMENT COMPANY
Created by	Government order or budget	A special law	The company law
Managed by	The ministry	Its own board	Directors appointed by government
Money from	Government budget	Government capital and own earnings	Share capital, mostly from government
Separate in law	No	Yes	Yes

² The corporation was created by an ordinance of 1976. Check the current law of the place concerned, because the form of a state enterprise can change.

³ Sonali Bank Limited was converted into a company in 2007 and is owned by the government.

PAUSE AND CHECK 11.P1 A body with its own managers and its own accounts is set up by a special law to run the national post service. Is it a departmental undertaking or a public corporation? Give your reason.

Every form of state enterprise raises two linked questions. The first is control: how does government direct the enterprise? The second is accountability: how does the enterprise answer for its use of public money? Government controls through the minister, through the appointment of the board or the directors, through approval of the budget and through its power to give policy directions. Accountability runs the other way. The enterprise reports to the minister, the minister answers questions in the elected assembly, and an independent audit office examines the accounts. In Bangladesh that office is the Comptroller and Auditor General.⁴ Too much control makes managers timid. Too little accountability allows waste. A good arrangement balances both.

Before moving on. A departmental undertaking is part of a government department. A public corporation is a separate body set up by law, with its own managers and accounts. A government company is a company in which government holds most of the shares. Control and accountability must be balanced in all three forms.

Government must control its enterprises and also hold them to account.

The second section ends with a recap of the three forms.

11.3 JUDGING STATE ENTERPRISE

Is a state enterprise that makes a loss a failure? The answer depends on its purpose. A railway that carries a million people to work has value even if its tickets do not pay all its costs. State enterprises matter in many countries because they employ large numbers of people, supply essential goods, build roads and power lines, and sometimes earn revenue for government. A fair judgement therefore asks two questions. Did the enterprise serve its purpose? And did it do so at a reasonable cost?

The first test of a state enterprise is whether it serves its purpose, not only whether it earns profit.

The importance of state enterprise differs between countries. Where private capital is scarce, as in many developing countries, government may be the only owner able to raise the money for a large power station or a railway network. Where private capital is plentiful, government may prefer to let private owners build and to regulate them. For this reason, the share of the public sector in the whole economy varies widely. Citizens may also judge an enterprise by what it adds to the economy, such as jobs, supplies and connections, as well as by the profit that it reports.

The importance of state enterprise is greatest where private capital is scarce.

Losses arise for several reasons. Government may fix prices low for social reasons, so that revenue cannot cover costs. Political orders may add staff that the work does not need or place a plant where it is not economical. Managers do not own the enterprise and do not lose their own money, so the incentive to save is weak. Decisions pass through many offices and take a long time. Where no competitor exists, no rival shows what a lower cost looks like. Finally, aims may be unclear: a manager told to earn profit, serve everyone and keep prices low cannot satisfy all three.

Losses have several causes, and not all of them are the fault of the managers.

Case file, illustrative. Supplier comparison 2026: Meghna and Sons can buy reams of paper from a state-owned press at Tk 520 each or from a private supplier at Tk 560 each. The shop buys 3,000 reams a year, so the state press saves Tk 120,000 a year. The average delivery takes 18 days from the state press and 6 days from the private supplier.

The case file compares a state press with a private supplier.

⁴ The Comptroller and Auditor General audits the accounts of government bodies. Other countries have a similar office under a different name.

The case file shows a gain in price and a cost in time.

A customer, a taxpayer and a manager read the same price differently.

Supporters and critics of state enterprise each have a case.

The third section ends with a recap of judgement, causes of loss and the case for and against.

A table sets all five forms side by side on owner, liability, life and control.

The figure shows the forms on a line from private to government ownership.

The case file shows both a gain and a cost. The price is lower at the state press. The case file does not say why, and the reason might be government support or a price fixed for a public aim. The delivery is slower, so the shop must hold more stock or wait. The worked case at the end of the chapter weighs the two.

A customer such as Meghna and Sons gains from the lower price. A taxpayer may ask whether the press sells below its cost and whether taxes cover the difference. A manager of the press may ask whether the price allows the press to keep its machines in repair. The case file does not give these facts, so we cannot answer. The questions show how to judge a state enterprise.

The case for state enterprise rests on the reasons in section 11.1: service to all, large capital, security, fair prices and development. The case against it rests on the causes of loss above. Critics say that state enterprises waste public money, that taxpayers pay for their losses and that politicians use them to give favours. Supporters answer that the fault lies in the management and not in the form, and that some state enterprises have performed well. The evidence differs between countries and between enterprises. Some governments have therefore kept certain enterprises and sold others to private owners, which is called privatisation, the opposite of nationalisation.

Before moving on. A state enterprise should be judged on its purpose and on its cost. Losses arise from low prices, political orders, weak incentives, slow decisions, lack of competition and unclear aims. Supporters and critics both have arguments, and the evidence differs by country and by enterprise.

11.4 COMPARING ALL THE FORMS

We can now compare every form studied in Chapters 7 to 11. The table below uses four questions. Who owns the business? How far do the owners answer for its debts? How long does it last? Who holds control? Read each row to see one form complete.

THE FIVE FORMS COMPARED

FORM	OWNER	LIABILITY	LIFE	CONTROL
Sole proprietorship	One person	Unlimited	Tied to the owner	The owner
Partnership	Two or more partners	Unlimited	May end when a partner leaves or dies	The partners, each acting for all
Company	Shareholders	Limited to the value of the shares	Continues when shareholders change	Directors chosen by shareholders
Cooperative society	Members	Usually limited to the share held	Continues when members change	Members, one vote each
State enterprise	Government	Government stands behind it	Continues until government decides otherwise	Government, through a minister or board

The figure below places the forms on one line. The left end stands for ownership by private persons, and the right end stands for ownership by government. Each form appears at the position that shows who holds its shares or its capital. The

government company lies in the middle zone, because government holds most shares but private persons may hold a few.

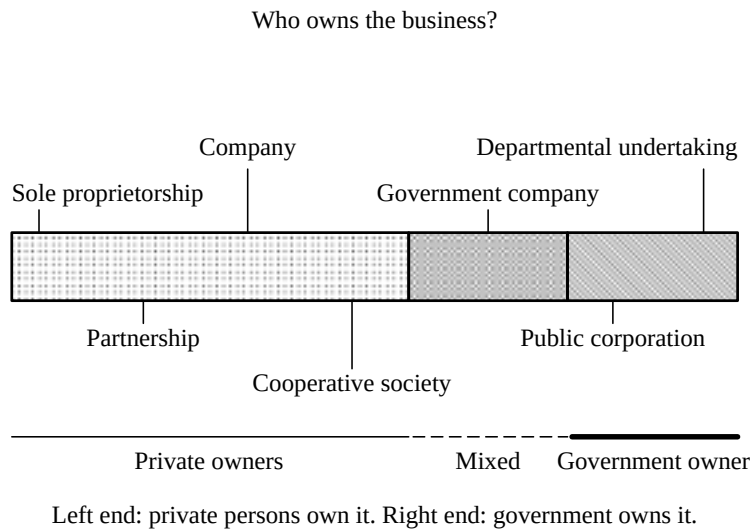


FIG. 11.1. *Forms of business ownership from private to government*

Each form has a main strength. The sole proprietorship gives quick decisions and full control to one person. The partnership adds capital and skill but also shared liability. The company raises large capital from many investors and limits their risk, but it needs more rules and reports. The cooperative society serves its members and gives each one an equal voice. The state enterprise serves the public and can raise very large capital, but it may suffer from slow decisions and unclear aims. No form is best for every task.

To choose between forms, ask four questions. How much capital is needed, and from how many people? How much risk can the owners bear? How much control do they wish to keep? Is the aim profit or service? A small shop with modest capital suits a sole proprietorship. A larger business that needs many investors suits a company. Farmers who wish to sell together suit a cooperative society. An essential service for the whole nation suits a state enterprise.

Before moving on. The five forms differ in owner, liability, life and control. Private forms aim at profit or at the benefit of members. State enterprise aims chiefly at public service.

WORKED CASE: CHOOSING A PAPER SUPPLIER

A worked case applies an idea to a situation. It has five parts: Situation, Question, Reasoning, Conclusion and Check. We use the supplier comparison of Meghna and Sons.

Situation. A state-owned press offers paper at Tk 520 a ream with an average delivery of 18 days. A private supplier offers it at Tk 560 a ream with an average delivery of 6 days. The shop buys 3,000 reams a year.

Question. Is the saving from the state press worth the longer wait?

Reasoning. First, find the yearly cost from each supplier. The state press costs $3,000 \times \text{Tk } 520 = \text{Tk } 1,560,000$. The private supplier costs $3,000 \times \text{Tk } 560 = \text{Tk } 1,680,000$. The saving is $\text{Tk } 1,680,000 - \text{Tk } 1,560,000 = \text{Tk } 120,000$. Second, find the difference in delivery: $18 - 6 = 12$ days. Third, estimate the extra stock

Each form has its own main strength.

The choice of form depends on capital, risk, control and purpose.

The fourth section ends with a short recap.

A worked case applies the chapter to the supplier comparison in five parts.

The situation states the prices, the quantity and the delivery times.

The question asks whether the lower price is worth the slower delivery.

The reasoning measures the saving, the delay and the extra stock.

needed to cover those 12 days. Suppose that the shop uses paper evenly through the year. Then it uses $3,000 \div 365$, about 8.2 reams a day. Over 12 days it needs about $12 \times 8.2 = 99$ reams more in stock. At Tk 520 a ream, this stock costs about Tk 51,500.

The conclusion weighs the yearly saving against the one-time stock.

Conclusion. The state press saves Tk 120,000 every year. The extra stock ties up about Tk 51,500 once, and it needs shelf space. The saving is larger, so the state press is the better choice on cost. The shop should still keep some orders with the private supplier, because an average delivery of 18 days hides late deliveries, and a late delivery could cost sales.

The check tests the saving in a second way.

Check. The saving of Tk 120,000 agrees with the case file. A second test: the price difference is Tk 40 a ream, and $Tk\ 40 \div Tk\ 560$ is about 7 per cent of the private price. A saving of 7 per cent on 3,000 reams is a sensible size.

* * *

SUMMARY

A short summary of the chapter.

A state enterprise is a business owned or controlled by government, usually to provide essential goods or services. Governments create or nationalise businesses to serve all, to find capital, to protect security, to prevent unfair prices and to develop regions. The main forms are the departmental undertaking, the public corporation and the government company. Each form needs a balance of control and accountability. State enterprises should be judged on purpose and on cost. All five forms differ in owner, liability, life and control.

THINK IT THROUGH

The problem asks you to weigh keeping against selling an invented bus service.

Suppose that a government owns a bus service. It loses money every year. Fares are low, the staff are many, and some routes serve remote villages. A minister proposes to sell the service to a private company. This case is invented, to practise the ideas of the chapter.

11.T1 Give two reasons for keeping the service in government hands and two reasons for selling it.

11.T2 Suggest one way to keep the village routes while reducing the yearly loss.

11.T3 Which form of state enterprise would give the bus managers the most freedom, and why?

WHERE PEOPLE GO WRONG

Mistake one: a state enterprise exists to make profit.

Some readers think that a state enterprise exists chiefly to earn profit, like a private business. This is wrong. Its main purpose is usually to provide an essential good or service, although it may also earn money.

Mistake two: nobody owns or answers for a state enterprise.

Some readers think that nobody owns a state enterprise, so nobody answers for it. This is wrong. Government owns it on behalf of the public, and it must answer to the minister, the elected assembly and the audit office.

Mistake three: any rule that government makes for a business is nationalisation.

Some readers think that a business is nationalised whenever government makes rules for it or taxes it. This is wrong. Nationalisation is the transfer of ownership to government. A private business that obeys government rules remains in the private sector.

Mistake four: state enterprises always lose money.

Some readers think that state enterprises always lose money. The evidence does not support this. Some have earned good results,

and many losses have causes that better management and clearer aims could reduce.

IN HISTORY

In 1933 the United States was suffering the Great Depression. The Tennessee Valley, in the south-east of the country, was poor, and private power companies had brought electricity to very few of its farms. For years, Congress had debated whether to sell or keep a government dam site at Muscle Shoals, on the Tennessee River in Alabama. Senator George Norris of Nebraska fought to keep it under public control.

On 18 May 1933 President Franklin Roosevelt signed the Tennessee Valley Authority Act. It created the Tennessee Valley Authority as a federal corporation. The act gave it tasks: to control floods, to improve navigation on the river, to replant forests, to develop farming and industry, and to supply cheap electricity. Its powers belonged to a board of three directors, whom the President appointed with the approval of the Senate. In its early years, money voted by Congress paid for its work, and a government audit office examined its accounts. Roosevelt described it as a body with the power of government and the flexibility of a private business. By 1944 it had built 16 dams.

The story shows a public corporation at work. It also shows several reasons for state ownership: large capital, the development of a poor region and service to people that private owners had not reached. The Authority was often at the centre of political argument, which reminds us that control and accountability matter.

In 1933 the United States created a public corporation for one river valley.

The act of 18 May 1933 gave the new body wide tasks and a board of three.

The story shows a public corporation, the reasons for state ownership and the need for accountability.

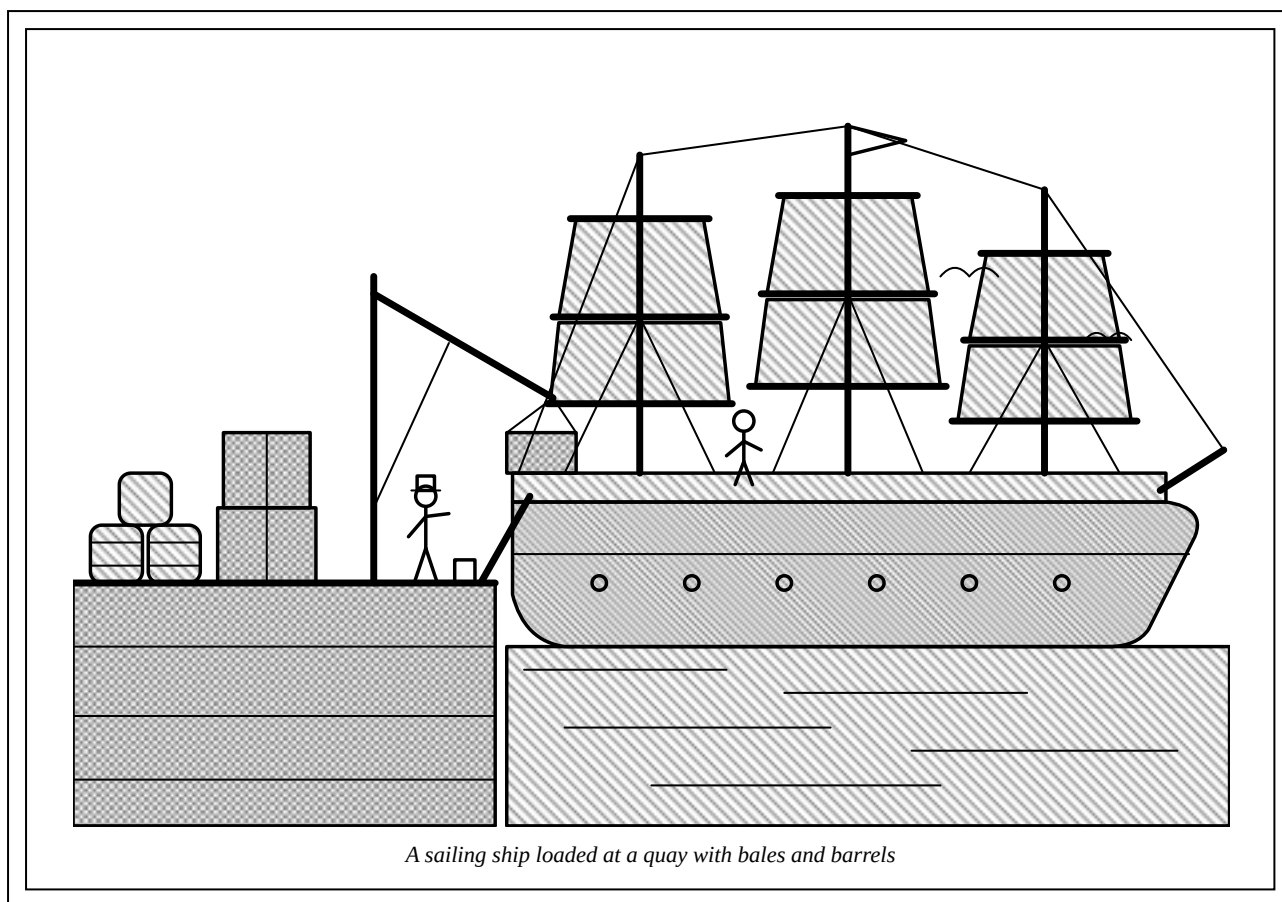
REVIEW QUESTIONS

11.1 Match each activity to the most suitable ownership form: (a) a small street tea stall, (b) a national railway, (c) a large paper mill that needs many investors, (d) a group of farmers who sell milk together.

11.2 A government runs its post service as a branch of a ministry. Later it moves the service to a separate body, set up by law, with its own managers and accounts. Name each arrangement.

11.3 A clinic buys 2,000 bottles of medicine a year. A state company charges Tk 85 a bottle, and a private supplier charges Tk 92. Find the yearly saving from the state company.

11.4 A town's water supply needs very large capital, serves every family and must not be priced beyond poor families. Which ownership form suits it? Give one reason for your choice and name one risk of that choice.



CHAPTER XII

Foreign Trade

Why does a country buy what it could make itself?



This chapter explains why nations buy and sell goods across their borders, how that trade is counted and recorded, and how governments control it. It follows one bookshop in Dhaka that buys books abroad and sells books abroad, and it ends with a famous argument from 1817.

Two earlier chapters give the ideas that this chapter builds on.

Everyday objects come from many countries, so where do they come from?

A country that makes everything best seems to need nothing from others.

A busy doctor gains by hiring a slower typist, and the same logic applies to nations.

Nations face the same choice, because every country has limited workers, land and machines.

Foreign trade is buying and selling across a national border.

Recall: trade, Chapter 1 'What Business Is', section 1.2 'Trade, Commerce and Industry'.

Foreign trade. The buying and selling of goods and services between people or firms in different countries.

Trade. Word in use. In Chapter 1, trade means buying and selling. In this chapter it also names the whole flow of goods between countries.

Exports leave a country; imports arrive in it.

Export. A good or service sold to a buyer in another country.

Import. A good or service bought from a seller in another country.

YOU WILL NEED

Chapter 1 'What Business Is', section 1.2 'Trade, Commerce and Industry'; Chapter 11 'State Enterprise and Comparing the Forms', section 11.1 'Why Government Owns Businesses'.

Examine the things on your desk. Perhaps there is a pen, a phone and a shirt. Ask where each one was made. The pen may come from one country, the parts of the phone from three others, and the cotton of the shirt from a fourth. Very few people live only on goods made inside their own country. The question is why.

This question troubled thinkers for centuries. Imagine a country that grows better wheat, weaves better cloth and brews better tea than every other country. Would it still gain by buying goods from abroad? Most people first answer no. If you are the best at everything, you need nothing from anyone. The answer feels sensible. It is wrong, and the reason is worth discovering slowly.

To see why, begin with a smaller case. A doctor in Dhaka types faster than her assistant. She could type every letter herself. She does not, because each hour of typing is an hour she cannot spend treating patients, and her patients value that time far more. She gains by leaving the typing to her assistant, although he types more slowly than she does.

Nations face the same choice. Each has a limited number of workers, a limited amount of land and a limited number of machines. An hour of work spent on one good is not spent on another. This chapter shows how that plain fact explains why nations trade, how we count the trade, and why governments watch it closely. We follow one running case, a bookshop that both buys and sells across a border.

* * *

12.1 WHY NATIONS TRADE

Chapter 1 explained trade as buying and selling. Most of it happens inside one country, between a shop and the people who live nearby. This chapter follows the trade that crosses a border. **Foreign trade** is the buying and selling of goods and services between people or firms in different countries. A bakery in Dhaka that buys wheat from a farmer in another country takes part in foreign trade.

Foreign trade runs in two directions, and each direction has its own name. An **export** is a good or service sold to a buyer in another country. An **import** is a good or service bought from a seller in another country. A tea garden in Sylhet that sells tea to a customer in the United Kingdom makes an export. The bakery that buys foreign wheat makes an import. One sale carries both names: the wheat is an export for the country that sells it and an import for the country that buys it.

Why do nations trade at all? The first reason is that countries differ. Bangladesh has a large workforce and fertile river land, and the hills of Sylhet have the rain that tea needs. Other countries have oil, copper or wide plains for wheat. No country holds every resource. The second reason is skill and scale. A country that makes one good in large numbers learns to make it cheaply, and customers abroad then benefit from the lower price.

The opening puzzle asked whether a country that is best at everything can still gain. We answer it first with two neighbours, Rina and Salim, who each work for one day. Rina is better at both jobs, but she is much better at growing rice than at sewing shirts. The table shows what each can produce in a full day if they do only one job.

WHAT EACH NEIGHBOUR CAN PRODUCE IN ONE FULL DAY

NEIGHBOUR	RICE, IF ONLY RICE	SHIRTS, IF ONLY SHIRTS
Rina	8 kilograms	4 shirts
Salim	2 kilograms	2 shirts

Read one row at a time. Rina can grow 8 kilograms of rice or sew 4 shirts in a day, but not both. For Rina, one shirt costs 2 kilograms of rice, because 8 divided by 4 is 2. For Salim, one shirt costs only 1 kilogram of rice, because 2 divided by 2 is 1. Salim is worse than Rina at both jobs. Yet he loses less rice for every shirt he sews.

The idea now has a name: comparative advantage. A person or a country has a comparative advantage in a good when making it costs less of other goods than it costs others. Salim has the comparative advantage in shirts, and Rina has it in rice. David Ricardo, an English economist, set out this idea in 1817. Notice the rule: comparative advantage compares costs inside each country, not the skill of one country against another.¹

PAUSE AND CHECK 12.P1 Suppose Salim could grow 4 kilograms of rice or sew 2 shirts in a day. Would Rina and Salim still gain by trading? Explain.

Now test the gain. Let Rina grow rice and Salim sew shirts, and let them agree a price of 1 shirt for 1.5 kilograms of rice. If Rina made the shirt herself, it would cost her 2 kilograms of rice. By buying it, she pays 1.5 kilograms, so she saves half a kilogram. If Salim grew 1.5 kilograms of rice himself, he would lose 1.5 shirts. By trading, he gives one shirt, so he saves half a shirt. Both are better off. Any price between 1 and 2 kilograms of rice per shirt would work.

Economists call the benefit the gains from trade: more goods, lower prices and wider choice for customers. The owner of a business that exports reaches more customers. A customer who buys imports finds goods that no local business makes. Yet the gains are not shared evenly. An employee in an industry that faces cheaper imports may lose work, and moving to a new job takes time. Transport costs and delays also reduce the gain. For these reasons, governments often control trade, as section 12.3 shows.

Before moving on. Foreign trade is buying and selling between countries. Exports are sold abroad, and imports are bought from abroad. Countries trade because they differ, and because each gains by making the goods that cost it least in other goods. That is comparative advantage, and it works even when one country is better at everything.

Countries differ in resources and skills, so each can make some goods more cheaply.

Two neighbours show how trade helps even when one is better at everything.

Compare how much rice each neighbour loses for every shirt made.

A comparative advantage means a lower cost in other goods, not the best skill.

Both neighbours gain when they trade at a price between their two costs.

Trade brings gains to many people, but it can cost some workers their jobs.

The section ends with the main points on why nations trade.

¹ Economists use the phrase absolute advantage for being able to make a good with fewer workers or less time than others. Rina has an absolute advantage in both jobs, yet that does not decide who should do which.

* * *

12.2 MEASURING FOREIGN TRADE

Goods and services need separate names, because they are counted in different ways.

The two kinds of trade differ in what is traded and how it is counted.

A foreign visitor who pays for a hotel room buys an export of a service.

The balance of trade compares the value of goods sold abroad with goods bought abroad.

Balance of trade. The difference in value between a country's exports and imports of goods over a period.

Balance. Word in use. In daily life, the money left in a bank account. Here, the gap between two totals.

A deficit is not always bad, and a surplus is not always good.

Governments want to know how much a country buys and sells abroad. The first step is to separate what is traded into two kinds. Visible trade is the trade in goods: things you can see, touch and count as they cross the border, such as books, tea, garments and wheat. Invisible trade is the trade in services: work done for a customer that leaves no object, such as shipping, insurance, banking and tourism. A ship from Chattogram carries garments, which are visible trade. The freight charge that the ship's owner earns for carrying them is invisible trade.

The table below compares the two kinds. Read each row from left to right: the first cell names the feature, and the next two cells give the answer for visible trade and for invisible trade.

VISIBLE TRADE AND INVISIBLE TRADE COMPARED

FEATURE	VISIBLE TRADE	INVISIBLE TRADE
What is traded	Goods you can touch	Services you cannot touch
Examples	Books, tea, garments, wheat	Shipping, insurance, banking, tourism
How it is counted	Customs officers count the goods at the border	Banks and statistics offices record the payments

Many students find it strange that a service can be an export, because nothing visible leaves the country. The definition of export covers services as well as goods. A visitor from abroad who pays for a hotel room in Cox's Bazar buys a service from Bangladesh. Money comes into the country, as it does when a foreign customer buys tea, although no object crosses the border. So the visitor's payment is an export of a service, and it belongs to invisible trade.

Once goods are counted, we compare the two directions. The **balance of trade** is the difference in value between a country's exports and imports of goods over a period. Suppose a small country exports goods worth 100 units of money in one year and imports goods worth 130 units. The balance is 100 minus 130, which is minus 30. We call this a deficit of 30. If exports were larger than imports, the balance would be a surplus. Services are not counted here, because the definition covers goods only.

A deficit sounds like a loss, but the picture is more complex. A country that is building factories must import machines before it can export anything. Its deficit then pays for future earnings. A surplus can also hide a weakness: a country that sells much abroad but buys little may leave its own customers short of goods. Judge the balance of trade together with the reasons for it, and with the other money flows described next. A single business can keep such a balance as well, as the worked case shows.

The balance of trade is only one part of a larger record. The **balance of payments** is a record of all money flowing into and out of a country over a period. It includes payment for goods and for services. It also includes money sent home by workers abroad, and money that moves for investment and loans. A Bangladeshi worker who sends money to family in Dhaka adds to the money flowing in. A Bangladeshi business that pays a supplier abroad adds to the money flowing out.

Why keep two records? The balance of trade is easy to count, because customs officers see the goods. The balance of payments is wider. It shows whether the country as a whole receives more foreign money than it pays out. The two can point in different directions: a country with a deficit in goods may still receive much money from workers abroad. Owners and managers watch both, because a shortage of foreign money can make imported inputs harder to buy.

To add or compare payments made in the money of different countries, we need one more tool. The **exchange rate** is the price of one country's money measured in another country's money. In this book we use an illustrative rate of Tk 120 per US dollar.² At that rate, USD 10 equals Tk 1,200, because 10 times 120 is 1,200. Tk 600 equals USD 5, because 600 divided by 120 is 5.

Rates move. Suppose an importer must pay USD 100 for a book. At Tk 120 per dollar the book costs Tk 12,000. If the rate rises to Tk 130 per dollar, the same book costs Tk 13,000. The taka now buys fewer dollars, so imports cost more taka. An exporter gains in the opposite way: each dollar earned abroad now brings Tk 130 instead of Tk 120. A customer at home sees the rise in the price of imports, and the owner of an exporting business sees the rise in earnings.

Before moving on. Visible trade is goods, and invisible trade is services. The balance of trade compares exports and imports of goods, while the balance of payments records all money flowing in and out. The exchange rate lets us convert one country's money into another's, so that we can compare totals.

* * *

12.3 REGULATING TRADE

Left alone, trade follows prices. Governments seldom leave it alone. They control trade for several reasons: to protect local businesses from cheaper foreign goods, to raise money from taxes, to keep out unsafe goods, and to keep supplies of essential goods steady. The tools differ from country to country, and rates change often, so we name the country whenever a rule depends on place. The two oldest tools are the tariff and the quota.

A **tariff** is a tax charged on imported goods, which raises their price. Suppose a pair of shoes costs Tk 2,000 when it reaches the port, and the tariff is 10 per cent. The tax is 10 per cent of Tk 2,000, which is Tk 200, so the shoes cost Tk 2,200 after the tax. In Bangladesh, customs officers collect the tariff, also called customs duty, when goods enter the country. Tariff rates differ by country and by good.

A tariff has winners and losers. A local shoemaker gains, because imported shoes now cost more and customers may buy local shoes. The government gains tax. The customer loses, because prices rise and choice may shrink. A foreign supplier may lose sales. Another danger is retaliation: a country that is hurt by a

² Real exchange rates differ from bank to bank and change from day to day. The rate of Tk 120 per US dollar is chosen for easy arithmetic, not as a record of any day.

The balance of payments records every flow of money across the border, not goods only.

Balance of payments. A record of all money flowing into and out of a country over a period.

The two records answer different questions about the same country.

An exchange rate lets us compare money from different countries.

Exchange rate. The price of one country's money measured in another country's money.

When the exchange rate changes, the price of imports and the earnings from exports change.

The section ends with the main points on measuring foreign trade.

Governments regulate trade to protect local producers, raise money and keep supplies steady.

A tariff is a tax on imported goods, so it raises their price.

Tariff. A tax charged on imported goods, which raises their price.

A tariff helps local producers but raises prices for customers.

A quota limits the quantity of an import instead of raising its price.

A short table sets the two tools side by side.

Some governments use state enterprises to control the import of essential goods.

Recall: state enterprise, Chapter 11 'State Enterprise and Comparing the Forms', section 11.1 'Why Government Owns Businesses'.

Agreements and bodies lower barriers by making rules that many countries accept.

Foreign trade matters greatly to Bangladesh because it earns foreign money and supplies needed goods.

The section ends with the main points on regulating trade.

tariff may answer with its own tariff, and both countries then trade less. A tariff is therefore a trade-off, not a free benefit.

A quota is a limit on the quantity of a good that may be imported in a period. For example, a government may allow only 50,000 tonnes of sugar to enter in one year. Once the limit is reached, no more may enter, whatever the price. A tariff works through price, while a quota works through quantity. A quota raises price only indirectly, because a limited supply makes the good scarce. A quota by itself raises no tax, unlike a tariff.

The table sets the two tools side by side. Read each row across, from the feature to the answer for a tariff and for a quota.

TARIFF AND QUOTA COMPARED

FEATURE	TARIFF	QUOTA
What it controls	The price of imports	The quantity of imports
Who collects money	The government, as tax	Usually nobody
Effect on price	Rises directly	Rises because supply is limited

A third tool is direct. A government may give one state enterprise the task of importing an essential good, such as a grain or a fuel, in large amounts, so that supply stays steady and the price stays under control. The state enterprise may be a public corporation with its own board, or a departmental undertaking run inside a ministry. Chapter 11 explains why governments own businesses. Here we note that they can also act as traders.

Countries also reduce barriers by agreement. A trade agreement is a set of rules that two or more countries accept, such as lower tariffs on each other's goods. The European Union is a well-known example: its member countries charge no tariffs on trade among themselves. On a larger scale, the World Trade Organization began on 1 January 1995 and has its headquarters in Geneva. It provides rules, and a place to settle disputes, for most of the world's trade.³ Bangladesh has been a member since the start.

Foreign trade is important to Bangladesh for three reasons. First, exports earn foreign money and give work to many people; ready-made garments are the largest export, by a wide margin. Second, imports supply goods that the country cannot easily make, such as fuel, machinery, raw cotton and food grains. Third, money sent home by Bangladeshis who work abroad adds greatly to the money flowing in. Dependence has a risk: a country that sells mostly one good is exposed when customers abroad buy less of it. Owners, managers and employees all feel these changes.

Before moving on. A tariff taxes imports and raises their price, and a quota limits their quantity. Governments may also use state enterprises, and countries make agreements and join bodies such as the World Trade Organization. For Bangladesh, foreign trade earns foreign money, supplies needed goods and brings in money from workers abroad.

* * *

³ The World Trade Organization replaced an older arrangement, the General Agreement on Tariffs and Trade, which began in 1947.

A WORKED CASE: MEGHNA AND SONS COUNTS ITS FOREIGN DEALINGS

This worked case applies the chapter to one set of records. It has five parts: the situation, the question, the reasoning, the conclusion and a check. Many students find the conversion step confusing, because two kinds of money appear together. The plan is to keep the two kinds apart until the last step.

SITUATION

Case file, illustrative. Foreign dealings 2026, at an illustrative rate of Tk 120 per US dollar. On 10 March 2026 Meghna and Sons imported 800 English-language titles worth USD 18,000 (Tk 2,160,000). It sold 150 Bangla titles to a Kolkata bookseller worth USD 2,500 (Tk 300,000).

QUESTION

What is the shop's balance of trade for these dealings? Give the answer in US dollars and in taka.

REASONING

First we classify. Books are goods, so both dealings are visible trade, and both count in a balance of trade. The sale of Bangla titles is an export, and the purchase of English-language titles is an import. Second, we subtract in one kind of money only. Exports are USD 2,500 and imports are USD 18,000. The balance is 2,500 minus 18,000, which is minus 15,500. The minus sign means that imports are larger, so there is a deficit of USD 15,500. Third, we convert. USD 15,500 times Tk 120 is Tk 1,860,000.

The figure shows the same facts as two columns. Read it as follows. The vertical line on the left is a scale of value in US dollars, from 0 at the bottom to 18,000 at the top. The left column is the shop's exports, and the right column is its imports. The height of each column is its value. The gap between the tops of the two columns is the balance of trade. When the right column is taller, the balance is a deficit.

A worked case applies the ideas of this chapter to the shop's own records.

The shop's foreign dealings of 2026 are recorded in dollars and in taka.

The question asks for the shop's balance of trade, in dollars and in taka.

Reasoning proceeds in three steps: classify, subtract in dollars, then convert.

The figure draws the shop's exports and imports as two columns, so the gap shows the deficit.

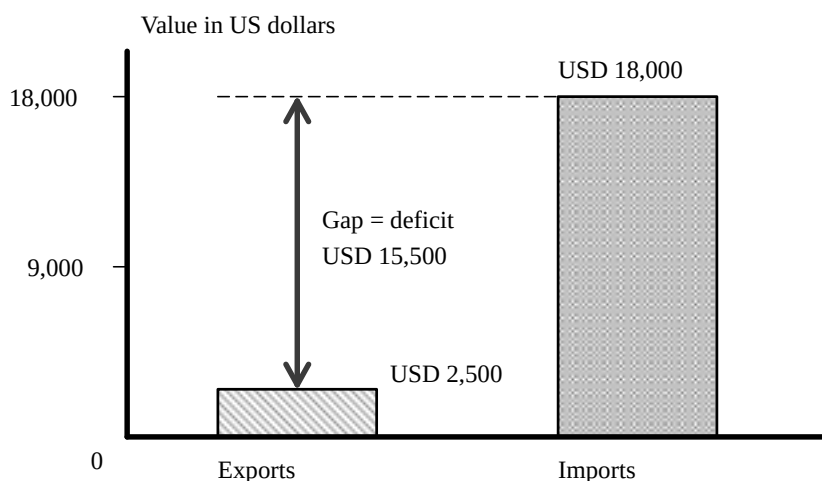


FIG. 12.1. Balance of trade shown as two columns

The shop bought far more from abroad than it sold abroad.

The deficit is explained by what the shop must stock, but the exchange rate needs watching.

A second route to the answer confirms that the result is sensible.

The summary lists the main ideas of the chapter in a few lines.

This case asks you to apply a tariff to a price on paper.

Many students think that a deficit in the balance of trade always means losing money.

The balance of trade and the balance of payments are not the same record.

CONCLUSION

Case file, illustrative. The shop's own balance of trade is a deficit of USD 15,500 (Tk 1,860,000).

The deficit does not signal failure. The shop must stock English-language titles that its customers want, and it earns the money to pay for them from sales inside Bangladesh. The owner should still watch the exchange rate. If the taka buys fewer dollars at the next order, the same books will cost more taka.

CHECK

Check by a second route. Convert each value to taka first. Imports are Tk 2,160,000 and exports are Tk 300,000. The difference is 2,160,000 minus 300,000, which is Tk 1,860,000. This equals the first answer. The sign is also sensible, because the shop bought 800 titles and sold only 150, and the purchase was worth much more than the sale.

* * *

SUMMARY

Foreign trade is buying and selling between countries. Exports are goods or services sold abroad, and imports are goods or services bought from abroad. Nations trade because they differ, and because each gains by making the goods that cost it least in other goods, which is comparative advantage. Visible trade is goods, and invisible trade is services. The balance of trade compares exports and imports of goods, while the balance of payments records all money flowing in and out. The exchange rate converts one country's money into another's. Governments regulate trade with tariffs, quotas, state enterprises and agreements. For Bangladesh, foreign trade earns foreign money and supplies goods that the country cannot easily make.

THINK IT THROUGH

A country makes few bicycles but imports many. An imported bicycle costs Tk 10,000 when it reaches the port, before any tariff. The government now charges a tariff of 20 per cent on imported bicycles. A local maker sells a similar bicycle for Tk 11,500.

12.T1 Find the tariff on one imported bicycle and the new price after the tariff.

12.T2 Before the tariff, which bicycle would a customer prefer? After the tariff? Say who gains and who loses.

WHERE PEOPLE GO WRONG

A common error says that a deficit in the balance of trade means a country is losing money. A deficit means only that the value of goods bought abroad is larger than the value of goods sold abroad. A country may import machines now in order to export more later. Judge a deficit by its cause.

Another error treats the balance of trade and the balance of payments as one record. The first counts goods only. The second records all money flowing in and out, including payment for services, money from workers abroad, and money for investment and loans.

A third error says that a country has a comparative advantage only where it is the best producer. Rina is better at sewing than Salim, yet Salim has the comparative advantage in shirts. Compare the costs inside each country.

Comparative advantage is about lower cost in other goods, not about being the best.

A fourth error mixes two kinds of money. A student subtracts Tk 300,000 from USD 18,000 and obtains a meaningless number. Subtract in one kind of money, then convert once. Other common slips are a wrong sign and a forgotten period, such as a year.

Dollars and taka must never be mixed in one subtraction.

A fifth error says that the foreign supplier pays a tariff. The importer pays it at the border and usually passes it to customers in the price. The foreign supplier is affected only if its price must fall to keep its sales.

The importer usually pays a tariff first, and the customer often pays it in the end.

IN HISTORY

David Ricardo was an English economist and a successful stockbroker. In 1817 he published *On the Principles of Political Economy and Taxation*. At that time Britain restricted grain imports by law, and Ricardo argued against such limits. To make his case, he used a small example of two countries and two goods: Portugal, known for its wine, and England, known for its cloth.

David Ricardo's example of 1817 used English cloth and Portuguese wine.

Ricardo imagined that in Portugal wine needed the labour of 80 men for a year, and cloth needed 90 men. In England cloth needed 100 men and wine needed 120 men. Portugal was therefore better at both goods. A reader who thinks like the opening puzzle would say that Portugal needs nothing from England.

Portugal could make both goods with less labour, yet trade still helped both countries.

Ricardo compared costs inside each country. In England, a unit of cloth takes 100 men for a year and a unit of wine takes 120, so England loses less than one unit of wine for each unit of cloth it makes. In Portugal, cloth takes 90 and wine takes 80, so Portugal loses more than one unit of wine for each unit of cloth. England therefore has the comparative advantage in cloth, and Portugal has it in wine. He concluded that England should export cloth and import wine, and that Portugal should do the reverse. Together the two countries would then produce more.

Comparing costs inside each country shows who should make which good.

His numbers were chosen to teach, not measured from real workshops. Yet the idea has lasted more than two centuries. It helps explain why Bangladesh, with a large workforce, sells garments and buys machines, and why the shop in our case buys English-language titles from abroad.

Ricardo's figures were imagined to teach an idea, not measured from real costs.

REVIEW QUESTIONS

12.1 Classify each transaction as visible trade or invisible trade: (a) a Dhaka shop buys books from a publisher abroad; (b) a foreign visitor pays a hotel in Cox's Bazar; (c) Bangladesh sells tea to the United Kingdom; (d) a foreign shipping company charges freight to carry garments; (e) a Bangladeshi bank charges a foreign business a fee.

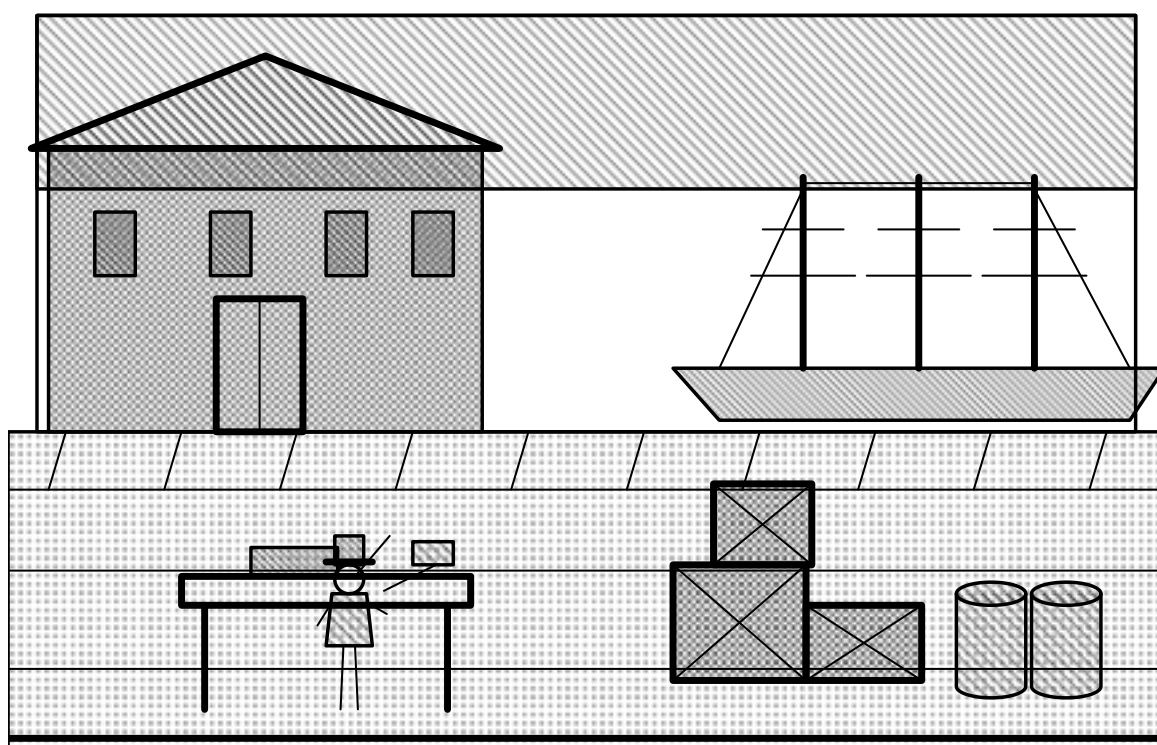
These questions climb from a familiar case to a case that combines earlier ideas.

12.2 Suppose that in another year Meghna and Sons imported books worth USD 18,000 and sold Bangla titles worth USD 6,000. Find the balance of trade in US dollars and in taka at Tk 120 per US dollar.

12.3 A tea exporter in Sylhet sells tea worth USD 60,000 abroad and imports a machine worth USD 25,000 in the same year. Counting only these two items, find the balance of trade in US dollars and in taka at Tk 120 per US dollar.

12.4 A customer in Dhaka imports a laptop priced at USD 500 at Tk 120 per US dollar. The tariff is 10 per cent of the taka price. Find the price in taka before the tariff, the tariff, and the total.

12.5 In your own words, explain why a doctor who types faster than her assistant should still leave the typing to him. Then link your answer to two countries.



A customs house clerk stamping papers beside crates on a dockside

CHAPTER XIII

Export and Import Procedure

Who trusts whom, when two strangers trade across a border?



Trade between countries needs more than goods and money. It needs a chain of steps and papers that protect a seller and a customer who have never met. This chapter follows an export from order to payment, an import from registration to release at the border, and the papers that travel with the goods. It ends with the barriers that block exporters and the ways Bangladesh promotes exports.

You will need: Chapter 12 'Foreign Trade', section 12.2 'Measuring Foreign Trade', and section 12.3 'Regulating Trade'.

Trade measures and the rules of trade from Chapter 12 are the background of this chapter.

Strangers in two countries need a way to share the risk.

The chapter follows export, then import, then the papers, then barriers.

Export procedure is a chain of steps that spreads the risk between two strangers.

A bookseller in Dhaka receives a letter from a stranger in Kolkata. The stranger wishes to buy 150 books in Bangla and asks for a price. The two people have never met, they live in different countries, and each must act first. The bookseller fears sending the books and then waiting for money that never arrives. The stranger fears sending the money and then waiting for books that never arrive. If each waits for the other, no trade takes place.

Who should go first? Neither person should have to trust the other, and that is the puzzle of this chapter. The answer is a fixed procedure, built over many centuries, in which banks, shipping lines and government offices stand between the two strangers and each confirm one small fact. A bank confirms that money will be paid. A shipping line confirms that goods were loaded. A customs office confirms that the law was obeyed. The procedure has many steps and many papers, and many students find the number of papers confusing at first. We therefore take the steps one at a time, and we use one running case to show how they fit together.

We begin with the export side, where the bookseller sells. We then turn to the import side, where a business buys from abroad. We study the papers that move with the goods, and we end with the barriers that block exporters and the ways Bangladesh helps them. The terms Foreign trade, Export and Import come from Chapter 12 and we use them without defining them again.

* * *

13.1 EXPORT PROCEDURE

Export procedure means the steps that a seller follows to send goods to a customer in another country and to receive payment. In this book the person who buys is called the customer; other books use the words buyer or client for the same person. The chain has four main parts: the order and contract, the letter of credit, shipping and clearing, and payment. The figure that follows shows the chain as a flow of six boxes. Read it from the top box to the bottom box; each arrow means that the next step may begin only when the previous step is complete.

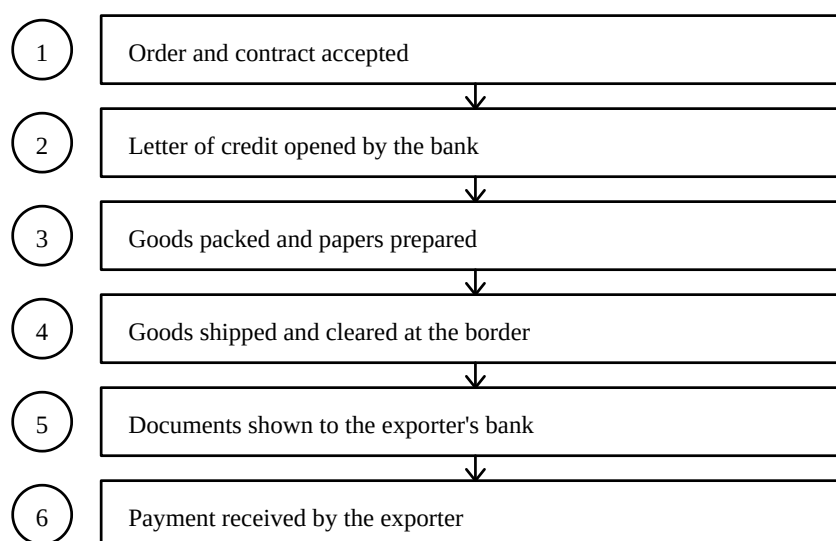


FIG. 13.1. Six steps of an export, from order to payment

The first part is the export order and contract. An *export order* is a customer's request to buy goods, and it becomes a contract when the seller accepts it. A contract is a promise that the law will enforce. The contract should state the goods, the quantity, the price, the currency, the date of delivery, who pays the cost of transport and insurance, and the method of payment. A missing term causes disputes later. For example, if the contract names a price but not the currency, the two sides may argue whether the price is in taka or in dollars.

Before the contract is signed, the seller must be allowed to export. In Bangladesh an exporter is expected to hold a trade licence and to be registered with the government office that controls exports and imports.¹ The law also bans or limits the export of certain goods. A business therefore checks, before it accepts an order, that its goods are allowed to leave the country. The check costs little, and a refusal at the port costs a great deal.

The second part solves the puzzle of the opening. A **letter of credit** means a bank's written promise to pay an exporter on the customer's behalf once stated documents are presented. The customer asks its own bank to issue the letter; the bank lists the papers that the exporter must show, and agrees to pay when those papers arrive. For example, the Kolkata customer asks a bank in Kolkata to promise payment to the Dhaka bookseller. The bookseller no longer needs to trust a stranger, because the bookseller trusts a bank.

The rule of the letter of credit is strict: the bank pays only if the papers match the letter in every stated detail. The bank examines papers and not goods. A bank clerk in Dhaka cannot open the crates to count the books. This is the exception that surprises many students. A paper with a wrong date, a misspelt name or a quantity that differs from the letter gives the bank a reason to refuse payment, even when the goods are perfect. Exporters therefore read the letter carefully before they begin to pack.

PAUSE AND CHECK 13.P1 The bookseller holds a letter of credit but has not yet shipped the books. What risk has the letter removed, and what risk remains?

The third part is shipping and clearing. The exporter packs the goods, marks the packages, and arranges transport with a shipping line, an airline or a road carrier. The carrier gives a receipt for the goods, which is a paper called a bill of lading; Section 13.3 'Documents of Foreign Trade' teaches it in full. The exporter also prepares the seller's bill for the shipment, called an invoice, which the same section teaches. Many exporters hire a clearing and forwarding agent, a business whose work is to deal with the port, the carrier and the customs office on the exporter's behalf.

Before the goods leave, an official at the border examines them and checks the papers. The official wishes to know that the goods are the goods described, that any tax is paid and that no rule is broken. This official checking of goods at a border is taught as customs clearance in Section 13.2 'Import Procedure', where it is more complex. The exporter may also insure the shipment, so that an insurer pays for a loss at sea.

The fourth part is payment. After shipment the exporter gathers the papers that the letter lists and takes them to its own bank within the time that the letter

The order and contract fix the terms before any money or goods move.

Recall: how trade is counted, Chapter 12, 'Foreign Trade', section 12.2 'Measuring Foreign Trade'.

An exporter must be registered, and the goods must be allowed to leave.

A letter of credit is a bank's promise to pay when stated papers are shown.

Letter of credit. A bank's written promise to pay an exporter on the customer's behalf once stated documents are presented.

Document. Word in use. In daily life, any written or printed paper. In trade, a paper with a fixed form, such as an invoice, that proves a fact about a shipment.

The bank pays against papers, and the papers must match the credit exactly.

Shipping and clearing move the goods out of the country with the right papers.

Goods leave only after the border office has examined them.

Payment comes last, when the bank accepts the papers.

¹ In Bangladesh the registration is an export registration certificate, issued under the control of the Chief Controller of Imports and Exports. Names, fees and rules change over time, so a reader who needs the current rule should ask the issuing office.

allows. The bank compares each paper with the letter. If every detail matches, the bank sends the papers to the customer's bank and receives payment, which it then passes to the exporter. If one detail fails, the bank may refuse, and the exporter must correct the paper before the time expires. A refusal is a delay, and a delay of a few days can cost a sale.

The risk is shared among banks, carriers and officials.

Consider the situation from each viewpoint. The exporter wants payment with little risk of refusal. The customer wants to be sure that goods of the right kind arrive. The banks want to earn a fee and to avoid paying for a faulty set of papers. The procedure gives each person a fair share of safety, and the cost is time and paperwork.

Before moving on: the export chain in one paragraph.

Before moving on. An export begins with an order and a contract, and the exporter must hold the right registration. A letter of credit then gives the exporter a bank's promise to pay when stated papers are shown. The goods are packed, shipped and cleared at the border. The exporter shows the papers to the bank, and the bank pays only if they match the letter exactly.

* * *

13.2 IMPORT PROCEDURE

Import procedure is the mirror of export, followed by the business that buys.

Import procedure is the set of steps that a business follows to buy goods from a supplier in another country and to receive them. It mirrors the export procedure, because every export from one country is an import into another. The steps change because the person who buys now carries the legal duties of the receiving country. Suppose the Dhaka bookseller now buys printing paper from a supplier abroad. The bookseller is now the importer, and the supplier is now the exporter.

An importer must be registered and, for some goods, hold a licence.

The first part is import registration and licence. A government office keeps a record of businesses that are allowed to import, and a business registers with it before it buys abroad. Some goods, such as certain chemicals or foods, need a further licence or permission, because the state wishes to control them. A business that ignores this step may find its goods held at the port. The rules differ from country to country, and in Bangladesh they have been changed several times, so a business should confirm the present rule before it places an order.²

An indent is a written order sent to the foreign supplier.

The second part is the indent and the letter of credit. An *indent* is a written order, sent to a foreign supplier, that lists the goods, the quantity, the price and the terms. It is the importer's side of the export order of Section 13.1. The importer then applies to its own bank to issue a letter of credit in favour of the supplier. The bank examines the importer's finances, and often requires the importer to deposit part of the amount, because the bank takes a risk when it promises to pay.

Recall: the letter of credit, section 13.1 'Export Procedure'.

The import letter of credit is the same promise seen from the customer's side.

Nothing in the letter of credit has changed; only the point of view has changed. The Kolkata customer of Section 13.1 was the importer, and the Dhaka bookseller was the exporter. In this section the Dhaka bookseller applies to a Dhaka bank, and the supplier abroad is paid by the bank when the papers match. A careful importer reads the list of papers in the letter before it is sent, because the supplier must be able to supply every paper on the list.

² In Bangladesh the importer's registration is an import registration certificate, and the rules on licences and on restricted goods are published by the government and revised from time to time.

The third part is **customs clearance**, which means the official checking of goods at a border and the payment of any duty before they are released. Duty is a tax charged on goods when they cross a border. For example, when the printing paper reaches the port, the importer cannot take it away until the customs office has checked it and the importer has paid the duty that is due. In Bangladesh the National Board of Revenue controls customs.³

The steps of clearance follow a fixed order. The ship arrives and the carrier gives notice. The importer, or a clearing and forwarding agent, presents to the customs office a form that lists the goods and their value, called a *bill of entry*, together with the invoice, the bill of lading and the packing list. A customs officer checks the papers, may open the packages to examine the goods, and decides the amount of duty under the tariff of Chapter 12. The importer pays, and the customs office releases the goods. The importer then collects them from the port and moves them to the shop.

Clearance can fail, and a careful importer knows the common causes. The papers may disagree with each other, such as an invoice that states 150 packages when the packing list states 148. The declared value may seem too low, and the officer may then reassess the duty. The goods may be of a kind that needs a licence that the importer does not hold. Delay at the port is costly, because the shipping line and the port charge for every day that goods remain.

Before moving on. An importer first registers and, where the goods require it, obtains a licence. The importer sends an indent to the supplier and asks its bank for a letter of credit. When the goods arrive, customs clearance checks them and collects duty before they are released. Delay or disagreement among the papers raises costs.

* * *

13.3 DOCUMENTS OF FOREIGN TRADE

A shipment of goods across a border is accompanied by papers, and each paper proves one fact to one person. A customs officer reads some of them, a bank reads others, and the customer reads all of them. The figure that follows shows the main papers as four sheets. Read each sheet from top to bottom: the name is under the sheet, and the short line below the name says what the paper proves.

Customs clearance is the official check and payment of duty at the border.

Customs clearance. The official checking of goods at a border and payment of any duty before they are released.

Clearance. Word in use. In daily life, the removal of objects from a space, or permission to proceed. In trade, the official checking and release of goods at a border.

Recall: tariffs and regulation, Chapter 12, 'Foreign Trade', section 12.3 'Regulating Trade'.

The importer presents a customs form and papers, and the officer checks and values the goods.

Clearance fails when papers, value or goods do not agree.

Before moving on: the import chain in one paragraph.

A shipment travels with a small set of papers, each proving one fact.

³ Customs are administered in Bangladesh under the National Board of Revenue. The procedures, the forms and the rates of duty change from time to time.

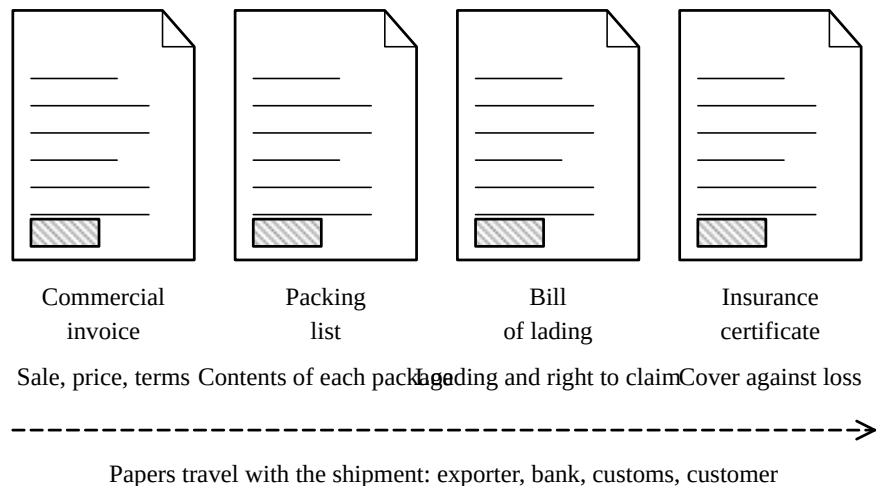


FIG. 13.2. *The main papers that travel with a shipment*

The commercial invoice is the seller's bill for the shipment.

Commercial invoice. The seller's bill listing goods, quantity, price and terms for a shipment.

The bill of lading is the carrier's receipt, contract record and title.

Bill of lading. A document from a shipping line that receipts goods, states their carriage terms and shows who may claim them.

A bill of lading is the key to the goods, and it also proves loading.

A charter party is a contract that hires a ship, not a space on one.

Charter party. A contract by which a shipowner hires a whole ship or part of it to a merchant.

A packing list tells what is in each package.

The first paper is the **commercial invoice**, which means the seller's bill listing the goods, the quantity, the price and the terms for a shipment. It is prepared by the exporter. For example, the invoice for the books of the running case lists 150 titles, the price of each, the total and the currency. The customs officer uses it to value the goods, and the bank uses it to check the letter of credit. An invoice that disagrees with the letter is a common reason for refusal.

The second paper is the **bill of lading**, which means a document from a shipping line that receipts the goods, states their terms of carriage and shows who may claim them. It does three jobs. It is a receipt: the line confirms that it received the goods in a stated condition. It records the terms of the contract of carriage between the exporter and the line. And it is a document of title: the person who holds the proper original copy may claim the goods at the destination. This last job explains why banks treat the bill of lading with great care.

Imagine that the goods are locked in a warehouse at the destination port, and the bill of lading is the key. The customer cannot collect the goods without it, and the bank will not release the payment without it. The date written on the bill also proves the date of loading, which the letter of credit often fixes. A bill of lading marked as received in poor condition is called *unclean*, and a bank usually refuses it. The exporter should therefore check that the packing is sound before the carrier signs.

The third paper applies when goods fill a whole ship, or a large part of one. A **charter party** means a contract by which a shipowner hires a whole ship, or part of it, to a merchant. Two kinds are common: a voyage charter hires the ship for one journey, and a time charter hires it for a period. A small exporter of books sends packages with a shipping line that carries the goods of many customers, and so needs a bill of lading but not a charter party. A bulk trader of grain or oil may hire a ship under a charter party.

The fourth paper is the packing list. It describes each package: the number of packages, what each holds, and the weight and size. The customs officer uses it to check the contents against the invoice, and the customer uses it to check the goods on arrival. Many shipments also carry an insurance certificate, which proves cover against loss, and a certificate of origin, which names the country where the goods were made. The letter of credit states which of these papers it needs.

The table that follows compares the four papers. Read each row from left to right: the first column names the paper, the second says who prepares it, and the third says the fact it proves.

The table compares four papers by who prepares them and what they prove.

FOUR PAPERS OF A SHIPMENT COMPARED

PAPER	PREPARED BY	WHAT IT PROVES
Commercial invoice	The exporter	What was sold, at what price and terms
Packing list	The exporter	What each package holds
Bill of lading	The shipping line	That goods were received, on what terms, and who may claim them
Charter party	The shipowner and the merchant	That a ship, or part of one, was hired

IN SHORT

The invoice proves the sale, the packing list proves the contents, the bill of lading proves the loading and gives the right to claim, and the charter party proves the hire of a ship.

Before moving on. A commercial invoice is the seller's bill for a shipment. A bill of lading receipts the goods and shows who may claim them. A charter party hires a ship for a merchant who fills a whole ship. A packing list shows what each package holds. A bank pays only when the papers agree with the letter of credit and with one another.

Before moving on: the four papers in one paragraph.

* * *

13.4 BARRIERS AND PROMOTION

An exporter meets barriers that make a sale hard or costly. A tax on imports, called a tariff in Chapter 12, raises the price in the customer's country. A quota limits the quantity that may enter. A standard of quality or safety may exclude goods that fail it. Long paperwork, slow ports and scarce shipping space cause delays. A small exporter may also lack the money to produce the goods before payment arrives, and a change in the price of a foreign currency may reduce its earnings.

Barriers raise the cost or block the sale; promotion lowers the cost.

A country that wishes to raise its exports can reduce these barriers. The state may register exporters and offer help with finance, so that an exporter can pay for materials before the customer pays. It may establish zones with simpler rules for factories that produce for export. It may arrange trade fairs, where exporters meet customers from abroad, and it may train exporters in quality and in the papers of Sections 13.1 and 13.3.⁴

Promotion strategies reduce the barriers through help, finance and information.

Several bodies carry this work. In Bangladesh the Export Promotion Bureau, a government body, supports exporters by collecting information and organising fairs. Bangladesh Bank, the central bank, controls foreign currency and the rules for the banks that open letters of credit. Trade associations, such as the Bangladesh Garment Manufacturers and Exporters Association, speak for their

Export bodies give information, finance and a shared voice.

⁴ The kinds of help offered by Bangladesh, such as export credit, special zones and cash support, change with government policy. Readers who need present details should consult the Export Promotion Bureau and Bangladesh Bank.

Before moving on: barriers and promotion in one paragraph.

members to the government and help them to share knowledge. Chambers of commerce perform a similar task for businesses in general.

Before moving on. Tariffs, quotas, standards, delay and lack of finance are barriers to exports. A country can lower them through registration, finance, special zones and trade fairs. Government bodies, the central bank and trade associations each perform part of this work.

* * *

WORKED CASE: THE EXPORT FILE OF MEGHNA AND SONS

The worked case follows Situation, Question, Reasoning, Conclusion, Check.

This section applies the chapter to the running case. We follow five parts in order: the situation, the question, the reasoning, the conclusion and a check. The aim is to see how the steps fit together on real dates and figures.

The situation is the export file, stated in full.

Case file, illustrative. *Situation.* An export file of Meghna and Sons records the sale of 150 Bangla titles for USD 2,500 (Tk 300,000). The order came from a Kolkata bookseller on 2 November 2026. The letter of credit was opened on 5 November 2026. The goods were packed on 12 November, shipped on 14 November, and the documents were taken to the bank on 15 November. Payment was received on 28 November 2026.

The question asks for the steps, the waiting times and the price per title.

Question. Which step of Section 13.1 does each date mark? How many days passed between the steps? What price per title does the file give, and what exchange rate do its figures imply?

Reasoning step one: match each date to its step.

Reasoning. We begin by matching dates to steps. The order of 2 November is the export order and contract. The opening of the letter of credit on 5 November is the second step, and it came before any packing. The packing on 12 November and the shipment on 14 November belong to shipping and clearing. The presentation of documents on 15 November and the receipt of payment on 28 November belong to payment.

Reasoning step two: count the days between the dates.

Next we count the days between each pair of dates. From 2 to 5 November is 3 days. From 5 to 12 November is 7 days. From 12 to 14 November is 2 days. From 14 to 15 November is 1 day. From 15 to 28 November is 13 days. The total is $3 + 7 + 2 + 1 + 13 = 26$ days, from the order to the payment.

Reasoning step three: price per title and the implied exchange rate.

Now we turn to the price. The file gives Tk 300,000 for 150 titles, so the price per title is $\text{Tk } 300,000 \div 150 = \text{Tk } 2,000$. The file also gives USD 2,500 for the same sale, so the figures imply an exchange rate of $\text{Tk } 300,000 \div \text{USD } 2,500 = \text{Tk } 120$ for each dollar. The file does not state a rate, so this is a value that follows from its two amounts.

Conclusion and check: steps, days and figures agree.

Conclusion. The dates follow the order of the chain: order, letter of credit, packing, shipment, documents, payment. The books were not packed until the letter of credit was in the bookseller's hands, which is the protection that the letter exists to give. The longest wait, 13 days, came after the documents reached the bank. *Check.* The five waiting times add to 26, which equals the number of days from 2 to 28 November. Also, $150 \times \text{Tk } 2,000 = \text{Tk } 300,000$, and $\text{Tk } 120 \times 2,500 = \text{Tk } 300,000$. Both checks pass.

* * *

SUMMARY

An export begins with an order and a contract and is protected by a letter of credit, which is a bank's promise to pay when stated papers are shown. The goods are then packed, shipped and cleared, and the exporter shows the papers to the bank for payment. An import is the mirror: the importer registers, sends an indent, obtains a letter of credit and passes customs clearance. A commercial invoice, a bill of lading, a packing list and, for a whole ship, a charter party are the main papers. Barriers such as tariffs and delay can be reduced through finance, special zones and export bodies.

Summary of the chapter in a few lines.

THINK IT THROUGH

13.T1 A bank refuses the documents of an exporter because the quantity on the invoice differs from the quantity in the letter of credit. The goods are already at sea. List the steps the exporter should take, and say who bears the delay.

13.T2 A customer asks the exporter to ship before the letter of credit is opened and promises to pay later. Give one reason to accept and two reasons to refuse.

WHERE PEOPLE GO WRONG

Many students believe that the bank checks that the goods are good. It does not. The bank compares the papers with the letter of credit, and it pays if they agree, even when the goods are poor. A customer who fears poor goods should ask for a paper of inspection in the letter.

A bank checks papers, not the quality of the goods.

A second error is to treat the bill of lading as only a receipt. It is also a record of the contract of carriage and a document of title. A person who holds the proper original may claim the goods. This is why banks keep it until payment.

A bill of lading is more than a receipt.

A third error is to think that import procedure and export procedure are two different systems. The letter of credit, the invoice and the bill of lading are the same papers. Only the person who uses them, and the country whose law applies, differ.

Import and export are one trade seen from two sides.

IN HISTORY

In 1978 the garment industry of Bangladesh was very small. Sources record that only a handful of factories made garments for export, and that a first shipment of shirts went to a business in Paris in that year. Accounts differ on which firm sent it, and some name Reaz Garments, while others give the credit to Desh Garments. Desh Garments, led by Noorul Quader, formed a joint venture with the Daewoo Corporation of South Korea in the same year and became the first factory in Bangladesh built wholly to export garments.

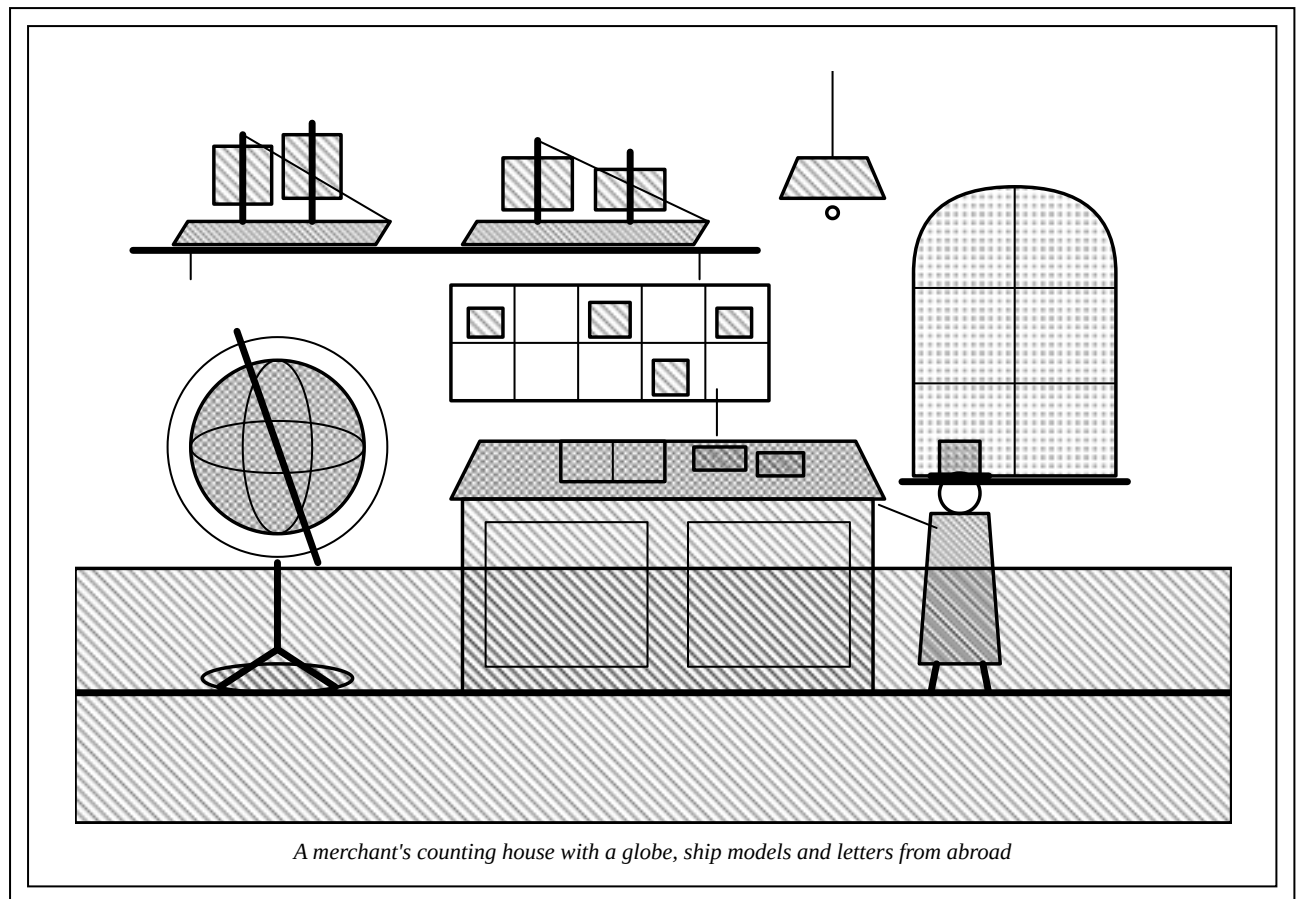
Early garment exports from Bangladesh show the procedure at work.

For a new exporter in 1978, every step of this chapter was new: the registration, the letter of credit, the packing, the bill of lading and the clearance at the port. A first shipment proved that the chain worked for goods made in Bangladesh. Workers from Bangladesh went to South Korea to learn the work, and many later founded their own factories. Within a few decades garments became the largest export of the country.

The procedure of this chapter turned a few shipments into an industry.

REVIEW QUESTIONS

- 13.1 Put these steps of an export in order: shipping the goods, receiving the letter of credit, accepting the order, receiving payment, presenting the documents to the bank. Give a reason for the position of the letter of credit.
- 13.2 The Kolkata customer wishes to pay by bank transfer after delivery instead of a letter of credit. State one gain and one risk for the exporter.
- 13.3 A business in Bangladesh wishes to import paper from a supplier in another country. List the steps that the business must follow from registration to the release of the goods.
- 13.4 A grain trader wishes to move a full cargo by sea. Name the paper that hires the ship and the paper that receipts the goods, and say what each proves.
- 13.5 An exporter faces a tariff, a standard of quality and a lack of finance. Say which body or measure of Section 13.4 could help with each barrier.



CHAPTER XIV

Multinational Corporations

Whose business is it, when it crosses a border?



This chapter describes companies that own and manage operations in more than one country. It explains what they are, why they spread across the world, and how they help and harm a developing country such as Bangladesh. It ends with a sewing machine company of the nineteenth century.

Two earlier chapters give the ideas that this chapter builds on.

The same names appear on shop signs in many countries, though their owners live far away.

A business from one country that operates in another raises the question of whose business it is.

A business can reach customers abroad by crossing the border itself.

A multinational company is a business that operates in more than one country.

Recall: joint stock company, Chapter 9 'The Joint Stock Company', section 9.1 'What a Company Is'.

Multinational corporation. A company that owns or controls operations in more than one country, managed from a home country.

Control. Word in use. In daily life, to make something obey, or the switch that works a machine. In business, the power to decide how a company is run, usually gained by owning most of its shares.

An exporter keeps its operations at home, but a multinational company crosses the border itself.

Recall: foreign trade, Chapter 12 'Foreign Trade', section 12.1 'Why Nations Trade'.

YOU WILL NEED

Chapter 12 'Foreign Trade', section 12.1 'Why Nations Trade'; Chapter 9 'The Joint Stock Company', section 9.1 'What a Company Is'.

Walk along a busy street in any large city of the world, and you may see the same names on the shop signs: the same soft drink, the same sports shoes, the same mobile network. The signs look alike in Dhaka, Nairobi and Lima. Yet the businesses behind them began in other places, and their owners often live far away.

Here is the puzzle. When a business from one country opens an operation in another, whose business is it? It employs local people, pays local taxes and sells to local customers. Yet its decisions may be made in an office thousands of kilometres away, and its profit may travel there too. Is it a guest that brings gifts, or a competitor that takes the market? Different people give different answers, and each can give reasons.

Chapter 12 explained how goods and services cross borders as exports and imports. There is a second way to reach customers abroad. Instead of sending goods across the border, a business can cross the border itself, and build or buy a business on the other side. This chapter studies the companies that do so. It asks what they bring to a developing country like Bangladesh, and what they may take away.

* * *

14.1 WHAT A MULTINATIONAL IS

A baker who sells bread in two towns of one country is not a multinational. A **multinational corporation** is a company that owns or controls operations in more than one country, managed from a home country. A shoe company with its head office in one country and its own factories in three others is a multinational. The word *corporation* here names the same kind of business as *company*, so we write multinational company from now on. The home country is the country of the head office, and the next paragraphs explain it. Chapter 9 explained the joint stock company, and most multinational companies are of that kind.

How does a multinational company differ from a business that only exports? An exporter makes its goods at home and sends them across the border to customers abroad. All of its operations stay in one country. A multinational company crosses the border itself. It builds a factory, opens a shop or an office, or buys an existing business abroad. A tea packer in Sylhet that sends packets to the United Kingdom is an exporter. A company that builds its own packing plant in a second country, and runs it from its head office, is a multinational company.

The word *control* needs care. A company controls an operation when it can decide how that operation is run. The usual way to gain control is to own most of its shares, because ordinary shares carry votes. Ownership is not the only way, since a company may also control an operation through a long contract that fixes how the operation must work. Not every foreign dealing makes a multinational company. A company that buys goods from a foreign supplier does not control that supplier. Size is also not the test. A very large exporter that owns nothing abroad is not a multinational company.

Every multinational company has one **home country**, the country where it has its headquarters. The headquarters is the main office, where the top managers sit and the chief decisions are made. A **host country** is a country where a multinational company operates through a branch or subsidiary. A branch is a part of the company itself, working in another country. A subsidiary is a separate company, which the next paragraphs explain. Suppose the shoe company has its head office in Italy and factories in two other countries. Italy is its home country, and the other two are host countries. A company has one home country and may have many host countries.

PAUSE AND CHECK 14.P1 A company has its headquarters in Canada. It owns a factory in Bangladesh and a shop in Kenya. Name its home country and its host countries.

How does a company operate abroad through a separate company? It establishes a new company in the host country, or it buys an existing one. A **subsidiary** is a company controlled by another company, called the parent, which owns most of its shares. Suppose a parent owns 60 of every 100 shares of a company abroad. The parent holds most of the votes, so it controls that company, and the company abroad is its subsidiary.

A subsidiary is a company in its own right. It is registered under the law of the host country, it pays that country's taxes, and it must obey that country's rules. Because of limited liability, the parent can lose no more than the money it put in. A parent usually controls its subsidiaries, yet it does not always own every share, and local owners may hold the rest. Many students find this confusing, because the subsidiary seems to belong to the parent. In law, the parent owns the shares of the subsidiary, not the buildings and machines inside it.

Case file, illustrative. Supplier record 2026: Larkspur Academic Press, with its headquarters in London, has subsidiaries in 9 countries and supplies Meghna and Sons. Its Dhaka office employs 24 people.

We now apply the words to the case. Larkspur has operations in several countries and is managed from London, so it is a multinational company. Its home country is the United Kingdom. Bangladesh is one of its host countries, because it employs 24 people in Dhaka. Its subsidiaries in 9 countries are companies that Larkspur, the parent, controls. For the shop, an office in Dhaka may make orders easier to arrange.

There are two main ways to enter a host country. The company may build a new operation, such as a factory on empty land. Or it may buy an existing company, which gives it buildings, workers and customers at once. Building is

Control usually comes from owning most of a company's shares, but size is not the test.

The home country holds the head office, and a host country holds a branch or subsidiary.

Home country. The country where a multinational company has its headquarters.

Host country. A country where a multinational company operates through a branch or subsidiary.

Home. Word in use. In daily life, the place where you live. Here, the country of the company's headquarters, which may not be where most of its customers live.

A parent company controls a subsidiary by owning most of its shares.

Recall: share, limited liability, Chapter 9 'The Joint Stock Company', section 9.1 'What a Company Is'.

Subsidiary. A company controlled by another company, called the parent, which owns most of its shares.

A subsidiary is a company in its own right, under the law of its host country.

A supplier with a head office in London and an office in Dhaka is an example.

The case shows each new word applied to one supplier.

A multinational company can enter a host country by building a new operation or buying an existing one.

slower, but the company designs everything to suit its own methods. Buying is faster, but the company inherits the habits and the problems of the business it buys. A third way is to share ownership with local owners, who may know the country well. In each case the test of a multinational company is the same: does it control an operation in the host country?

The figure shows a multinational company as a hub with spokes. The parent company is the hub, and it stands in the home country. Each subsidiary stands at the end of a spoke, in a host country. A solid line shows control, which flows outward from the parent. A dashed line shows profit, which usually returns to the parent. Read the figure by following one spoke from the hub to a subsidiary and back.

The figure draws a parent company and its subsidiaries as a hub with spokes.

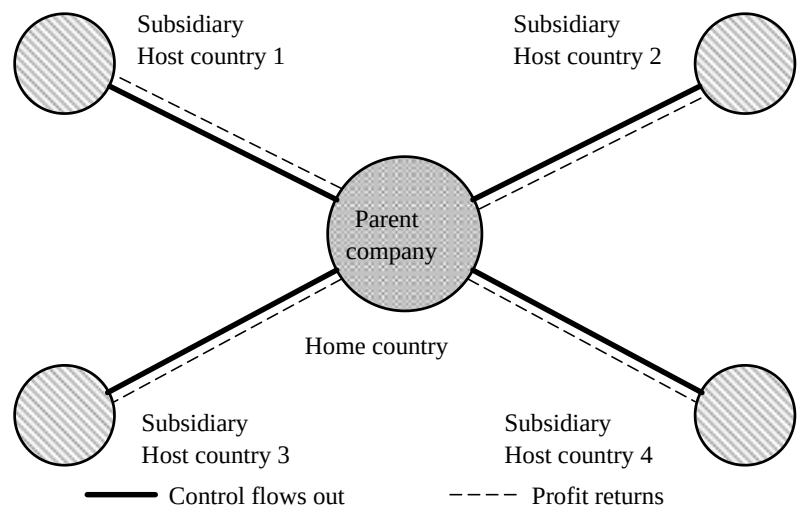


FIG. 14.1. Home country, host country and subsidiaries drawn as a hub

Who runs the operation in a host country? A multinational company has three choices. It may send managers from the home country, hire managers from the host country, or use managers from a third country, one that is neither. The table compares the three. Read each row from left to right: the first cell names the choice, and the next two cells give a strength and a risk.

A multinational company may choose managers from the home country, the host country or a third country.

THREE KINDS OF MANAGER ABROAD

KIND OF MANAGER	STRENGTH	RISK
From the home country	Knows the parent's methods and is trusted by headquarters	May not know local law, language or customers
From the host country	Knows local law, language and customers, and costs less	May not know the parent's methods
From a third country	Brings wide experience of many places	May be a stranger to both the parent and the host country

Employees in the host country care who is chosen, because it decides who can rise.

Each choice has effects on people. A company that always sends managers from the home country leaves local employees with no path upward, and they may leave. A company that hires only local managers may lose touch with its headquarters. Many companies use a mixture. They send a few managers from the home country at the start, and they train managers from the host country to lead the operation later.

Before moving on. A multinational company owns or controls operations in more than one country and is managed from its home country. A host country is where it operates through a branch or subsidiary. A subsidiary is a company controlled by a parent that owns most of its shares. The managers abroad may come from the home country, the host country or a third country.

* * *

14.2 WHY MULTINATIONALS EXIST

Why would a company take the trouble to build a business in another country? Exporting is easier. The reasons come in several kinds. The first is customers: the home market may be small or crowded, and a new country offers more people to sell to. The second is cost: wages, land or materials may be cheaper in the host country. The third is supply: some materials, such as cotton or minerals, are found only in certain places. The fourth is taxes on imports: a company that cannot send goods across a border cheaply may make them inside it. The fifth is risk: a company with operations in many countries suffers less when one market fails.

The money that a company brings to build or buy these operations has a name. **Foreign direct investment** is money a foreign company invests to build or buy a lasting business in another country. A company that spends money to build a factory in a host country makes foreign direct investment. A person who buys a few shares for a quick sale does not, because no lasting business is built or controlled.

Consider a small example. A company makes shirts, and labour costs it a fixed sum for each shirt at home. In a host country, the same work costs less, and the cotton is grown nearby. The company then makes shirts there and sells them in many countries. Its customers pay less, and its owners earn more profit. Cost alone does not decide the matter, because transport, skills and the rules of the host country also matter. The company weighs every one of them before it commits its money.

Host countries welcome this money for reasons of their own. A developing country usually has more workers than machines, and too little money at home to build every factory it needs. Foreign direct investment brings money, and it also brings skills and methods that the host country may lack. The new operation employs local people, buys materials from local suppliers and pays taxes. It may also sell goods abroad, which earns foreign money. The 24 people that Larkspur employs in Dhaka are a small example. Each of these gains depends on the rules the host country sets, as section 14.3 shows.

Not every proposal succeeds. A host country may refuse a company, or limit what it may do. A company may also decide against a country, because its roads, laws or workers do not suit the business. Both sides have a choice, and each weighs gains against losses.

Before moving on. Companies go abroad for customers, lower costs, supplies, ways around import taxes, and spread of risk. Foreign direct investment is money for a lasting business abroad. Host countries welcome it for the money, jobs, skills and exports that it can bring.

* * *

The section ends with the main points on what a multinational is.

Companies go abroad to reach customers, lower costs and secure supplies.

Foreign direct investment is money for a lasting business, not a quick sale of shares.

Foreign direct investment.

Money a foreign company invests to build or buy a lasting business in another country.

A small example shows how lower costs can draw a company abroad.

Host countries gain money, jobs, skills and exports from foreign direct investment.

A host country may refuse or limit a foreign company, and a company may decide against going.

The section ends with the main points on why multinationals exist.

14.3 EFFECTS ON A DEVELOPING COUNTRY LIKE BANGLADESH

A multinational company brings both benefits and problems, and the balance depends on the case.

The benefits are jobs, money, skills, taxes, exports and wider choice for customers.

Foreign companies can pass on skills and methods, which local owners may later use.

A benefit is not automatic, because it depends on how the company chooses to operate.

The problems are profit sent abroad, strong competition, dependence and lower standards.

Employees, customers and local owners each see the effects from a different position.

Governments control foreign companies through laws on ownership, licences, taxes, profits and standards.

Recall: control, section 14.1 'What a Multinational Is'.

Control is a balance, because rules that are too strict or too loose both do harm.

Is a foreign company good for a developing country? A developing country is one whose people have, on average, lower incomes and fewer factories than people in the richest countries, but whose economy is growing. Bangladesh is such a country. The honest answer is that a multinational company brings both benefits and problems, and the balance depends on the case. We take the benefits first, then the problems, then the control that governments use.

The benefits are easy to name. The company gives jobs and pays wages. It brings money that the country may lack. Its employees learn new skills, and some later use them in local businesses. It pays taxes, which the government spends on roads, schools and hospitals. It may export goods and earn foreign money. A customer in the host country may find better goods and lower prices. A local supplier may gain a large new customer.

One benefit deserves a longer look: the spread of skills. A foreign company often brings machines, methods and training that the host country has not used before. Its employees learn them in daily work. Some later leave to start businesses of their own, or to join local ones, and they carry the knowledge with them. Local suppliers learn to meet the standards that the foreign company demands, and those standards help them win other customers. This spread is not automatic, but where it happens, it can last long after the foreign company has gone.

A benefit is not automatic. A factory that employs 500 workers but buys all its parts abroad gives fewer gains than one that buys from local suppliers. A company that sends its best jobs to managers from the home country gives its local employees less chance to learn. The gains depend on what the company does and on what the host country requires.

The problems are equally real. Much of the profit may be sent to the home country instead of being spent in the host country. A local owner of a small business may lose customers to a company with more money and a famous name. Decisions are made abroad, so the parent may close its subsidiary when costs rise, and the employees lose their work. Some companies pay low wages or ignore safety and the environment where the law is weak. Evidence differs from company to company and from country to country, so we judge each case on its facts.

The viewpoint matters. An employee sees wages and chances to learn. A customer sees price and choice. A local owner sees a new competitor, or a new customer. A government sees taxes, jobs and the power of an outside company over its own affairs. All four viewpoints are correct, and a good decision weighs them together.

Governments respond with rules. A government may limit the share that a foreign company may own in some industries. It may require a licence before a company starts work. It may tax profits, and it may set rules on how much profit may be sent abroad. It may set standards for pay, safety and the environment. It may ask the company to train local workers or buy local materials. The rules differ by country. Bangladesh, like many developing countries, wishes to attract foreign investment and also to protect local businesses and workers, and its laws try to balance both wishes.

Control is a balance. If the rules are too strict, the company may take its money to another country, and the host country loses the jobs. If the rules are too loose, local businesses and workers may be harmed. A government of a host

country therefore studies each proposal before it agrees, and it reviews the rules as conditions change.

Before moving on. A multinational company can give a host country jobs, money, skills, taxes and exports. It can also send profit abroad, crowd out local owners, create dependence and lower standards. Governments use laws on ownership, licences, taxes, profits and standards to balance the two.

* * *

A WORKED CASE: MEGHNA AND SONS ORDERS FROM A MULTINATIONAL

This worked case applies the chapter to one supplier record. It has five parts: the situation, the question, the reasoning, the conclusion and a check. Many students find the arithmetic easy and the classification harder, so we take the classification first. GBP means pounds sterling, the money of the United Kingdom.

SITUATION

Case file, illustrative. Supplier record 2026: Larkspur Academic Press (illustrative; London headquarters, subsidiaries in 9 countries) supplies the shop. The trade discount is 35% off list. An order of 400 books at list GBP 20, at an illustrative Tk 150 per GBP, has a list value of Tk 1,200,000 and a price after discount of Tk 780,000.

QUESTION

What kind of company is Larkspur, and how does its list value of Tk 1,200,000 become a price of Tk 780,000? A trade discount is a reduction from the list price that a supplier gives to a business customer who will resell the goods.

REASONING

First we classify. Larkspur is managed from London and has subsidiaries in 9 countries, so it is a multinational company with the United Kingdom as home country. It employs 24 people in Dhaka, so Bangladesh is a host country. Second, we find the list value. Each book lists at GBP 20, so 400 books list at 400 times 20, which is GBP 8,000. At Tk 150 per GBP, GBP 8,000 is 8,000 times 150, which is Tk 1,200,000. Third, we take the discount. The discount is 35 per cent of Tk 1,200,000, which is Tk 420,000. Fourth, we subtract. Tk 1,200,000 minus Tk 420,000 is Tk 780,000.

CONCLUSION

Larkspur is a multinational company, and the shop pays it Tk 780,000 for the order. Dividing by 400 gives Tk 1,950 a book, against a list price of Tk 3,000 a book. The owner of the shop gains from the discount. The prices are fixed in pounds, so the taka cost depends on the rate for converting pounds to taka, which is illustrative here.

CHECK

Check by a second route. A discount of 35 per cent leaves 65 per cent to pay. Sixty-five per cent of Tk 1,200,000 is Tk 780,000, which equals the first answer. The price is also below the list value, as a discounted price must be. A third check uses one book: Tk 1,950 times 400 is Tk 780,000.

* * *

The section ends with the main points on effects on a developing country.

A worked case applies the ideas of this chapter to one order from a multinational supplier.

The record gives the supplier, the discount and the order in two kinds of money.

The question asks what kind of company the supplier is and how the price was reached.

Reasoning proceeds in four steps: classify, find the list value, take the discount and subtract.

The shop pays Tk 780,000 for 400 books, which is Tk 1,950 for each book.

A second route to the answer confirms that the price is sensible.

The summary lists the main ideas of the chapter in a few lines.

This case asks whether a country should welcome a foreign company.

Many students think that any very large company is a multinational company.

A subsidiary is a separate company, so its parent does not own its buildings.

The home country is the country of the headquarters, not the country of most customers.

Foreign direct investment means lasting investment, not any foreign money.

A multinational company is neither always good nor always bad for a host country.

Singer's factory in Glasgow, opened in the 1860s, was an early overseas factory of an American company.

The company later built a much larger plant at Kilbowie, near Glasgow.

SUMMARY

A multinational company owns or controls operations in more than one country and is managed from its home country. A host country is where it operates through a branch or subsidiary, and a subsidiary is a company controlled by a parent that owns most of its shares. Managers abroad may come from the home country, the host country or a third country. Companies go abroad for customers, lower costs, supplies and spread of risk. Foreign direct investment is money for a lasting business abroad. A developing country gains jobs, money, skills, taxes and exports, and it risks profit sent abroad, strong competition, dependence and lower standards. Governments use rules to balance the two.

THINK IT THROUGH

A foreign company offers to build a garment factory that will employ 500 people in a developing country. It will own all the shares, send most of its managers from the home country, and send its profit to the home country. The government must decide whether to welcome the offer.

14.T1 List two gains and two losses that the host country may expect.

14.T2 Name two conditions the government might set, and say what each condition protects.

WHERE PEOPLE GO WRONG

A common error says that any very large company is a multinational company. Size is not the test. The test is whether the company owns or controls operations in more than one country. A large exporter that owns nothing abroad does not pass it.

Another error says that a subsidiary is only a part of its parent. A subsidiary is a company in its own right, registered under host-country law. The parent owns its shares, not its buildings and machines.

A third error calls the home country the place where the company sells most. The home country is where the headquarters stands. A company may sell most of its goods in a host country.

A fourth error treats all foreign money as foreign direct investment. The term covers money used to build or buy a lasting business. A person who buys a few shares for a quick sale does not make foreign direct investment.

A fifth error gives one answer for all companies. Some multinational companies give a host country much, and some give little or cause harm. Judge each company on what it does and on the rules it must follow.

IN HISTORY

The Singer Manufacturing Company was an American company that made sewing machines. In 1867 it opened its first factory outside the United States, in Glasgow, Scotland. George Ross McKenzie, a vice-president of the company, chose Glasgow for its iron industry, cheap labour and shipping.

By the early 1880s the Glasgow factory was too small. In 1882 McKenzie began work on a much larger plant on farmland at Kilbowie, in Clydebank, near Glasgow. The plant opened in 1884, and it was finished in 1885. From 1884 until 1943 it made about 36 million sewing machines. It closed in 1980.

The words of this chapter fit the history. The United States was Singer's home country, and Scotland, part of the United Kingdom, was a host country. In 1905 a British company, Singer Manufacturing Company Limited, was registered to run the Clydebank works, which made it a subsidiary of the American parent. Scotland gained jobs, skills and a famous factory. It also depended on decisions made in an office in another country, and the factory closed when those decisions changed.

The history shows each new word at work in one company.

REVIEW QUESTIONS

14.1 List three gains and three losses that a host country may experience when a multinational company opens a subsidiary there.

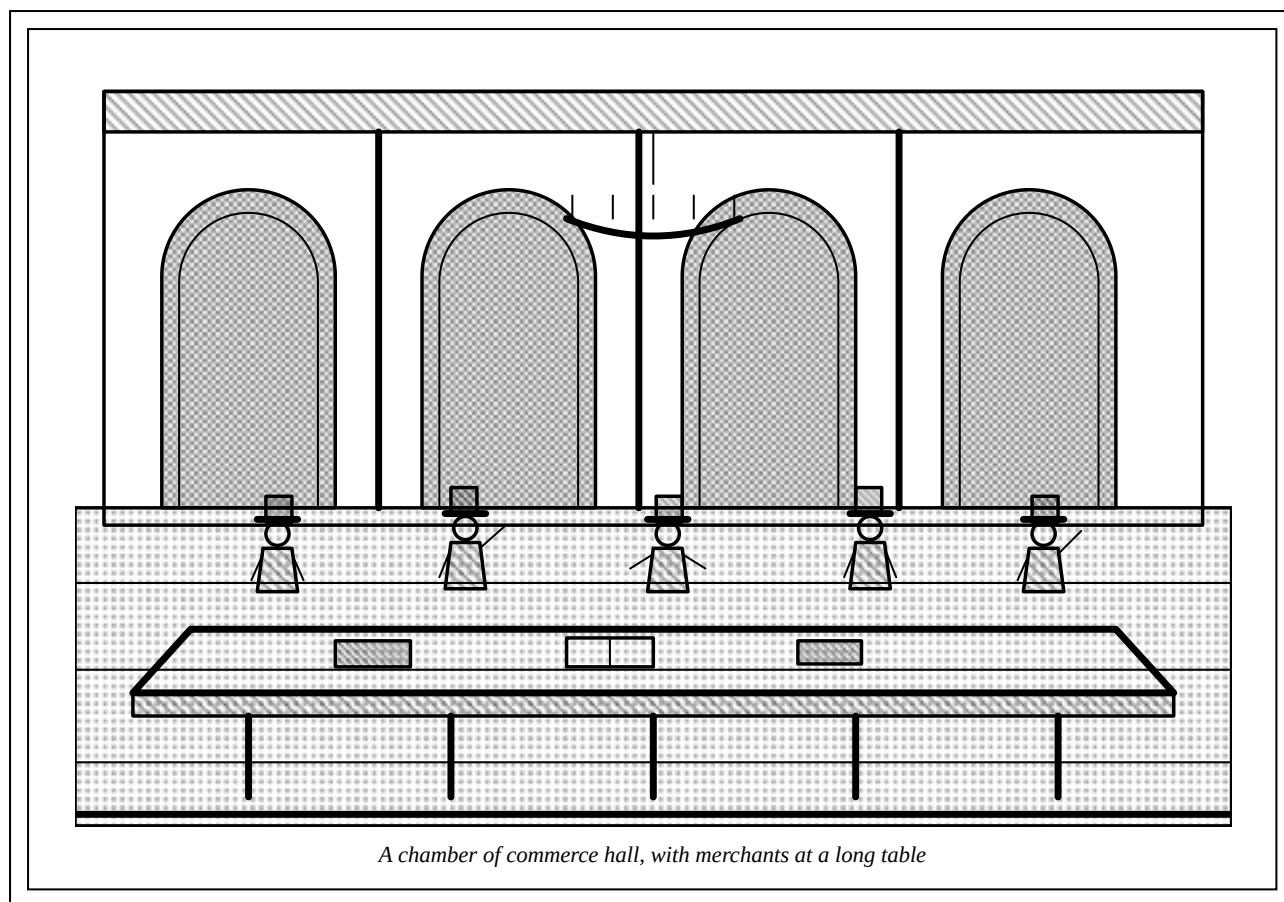
These questions climb from a familiar case to a case that combines earlier ideas.

14.2 Suppose Larkspur sold books to Dhaka only by shipping them from London, and kept no office in Bangladesh. Would Bangladesh still be a host country for Larkspur? Explain.

14.3 A company with its headquarters in India buys 70 of every 100 shares of a garment company in Bangladesh. Name the parent, the subsidiary, the home country and the host country. What kind of investment is this?

14.4 A second order from Larkspur is for 500 books at list GBP 16. The trade discount is 25 per cent, and the rate is Tk 150 per GBP. Find the list value and the price after discount, in taka.

14.5 Explain, using the word control, why a company that only exports is not a multinational company.



CHAPTER XV

Institutions that Promote Business in Bangladesh

Who stands behind a business that wishes to grow?



A business that wishes to grow needs money, rules and friends. This chapter describes the share market, where a company can raise money from the public, and the regulator and exchange that keep that market orderly. It then describes the bodies that help trade and industry in Bangladesh, from the chambers of commerce to the zones built for exporters. The chapter moves slowly, because there are many names to keep apart.

You will need: Chapter 9 'The Joint Stock Company', section 9.1 'What a Company Is', and section 9.3 'Forming a Company'; Chapter 12 'Foreign Trade', section 12.3 'Regulating Trade'.

Shares, the prospectus and the rules of trade from earlier chapters are the background here.

Strangers who give money need a safe way to do it.

This chapter moves slowly, because many names must be kept apart.

A share market is a place, or system, where shares are bought and sold.

Market. Word in use. In daily life, a place where goods are sold, such as a vegetable market. In finance, any system in which buyers and sellers deal in one kind of thing, such as shares; it may have no building at all.

GO SLOWLY HERE.

The two sales of a bicycle show two kinds of sale of a share.

Recall: shares, Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is'.

The company is paid in the primary market and not in the secondary market.

Imagine a family bookshop that has grown for thirty years and now wishes to open ten more shops. The cost is Tk 5,000,000. The family has savings, but not so much. A bank may lend the money, yet a loan must be repaid, with interest, whether or not the new shops succeed. Another way exists. The bookshop could invite thousands of strangers, and each stranger would give a small amount of money in return for a small part of the business. No stranger risks much, and the business does not have to repay the money on a fixed day.

This idea raises a puzzle. Why should a stranger give money to a business that the stranger cannot see, run or control? And how could the stranger ever get the money back if it were needed for a different purpose? The answer is a set of institutions. One institution is a market where parts of businesses are sold and resold. Another is an official body that watches the market, so that no one cheats the strangers. Others help the business itself: they speak for it, guide its exports and lower its costs.

Many students find this chapter difficult, not because any one idea is hard, but because there are many names, and each name sounds like the next. We therefore go slowly. We take one idea at a time, we begin each with an example from everyday life, and we end each with a short test that you can set for yourself. Four verbs will help you to hold the institutions apart: some institutions *regulate*, some *trade*, some *promote* and some *serve*. The figure in Section 15.3 draws them on one map.

* * *

15.1 THE SHARE MARKET

We begin with an everyday bridge. A shop sells a new bicycle to a student for Tk 10,000. The shop keeps the money. Two years later the student sells the same bicycle, now used, to a neighbour for Tk 6,000. The student keeps that money, and the shop receives nothing. Two different sales have taken place, and they must not be mixed: one sale gave new money to the maker's side of the trade, and the other moved an existing thing from one person to another.

Shares behave in the same way. A share was defined in Chapter 9, and it is one equal part of a company. A *share market* is a system in which shares are bought and sold. It has two parts, and the bicycle shows them both. The *primary market* is where a company sells new shares for the first time, and the company keeps the money. The *secondary market* is where people who already own shares sell them to other people, and the company receives nothing from these sales.

Now we use the smallest possible numbers. Suppose a company creates 100 new shares and sells them to the public at Tk 10 each. The company receives $100 \times \text{Tk } 10 = \text{Tk } 1,000$. That sale is in the primary market. Next, one buyer, whom we call Rina, sells her 10 shares to another person for Tk 12 each, or Tk 120 in all. That sale is in the secondary market. Rina receives the Tk 120, and the company receives nothing, although the company is affected, because it now has a different owner for those 10 shares.

PAUSE AND CHECK 15.P2 In the example of Rina, who receives money in the primary sale of 100 shares, and who receives money when Rina sells her 10 shares?

Why do we need the secondary market, if the company receives nothing from it? The reason is trust. A stranger gives money for a share more readily if the stranger knows that the share can be sold again, as the student could sell the bicycle. Without a secondary market, a person who needed money back in a hurry would have no way to leave the company. The company would then find it difficult to sell new shares in the primary market. The two parts support each other.

Before moving on. You should now be able to say: in the primary market a company sells new shares and receives the money; in the secondary market owners sell existing shares to each other and the company receives nothing. One exception is worth noting: a company may later buy back or issue more shares, but each such act is a new sale and has to be considered on its own.

A company reaches the primary market in a special way. An **initial public offering** means the first time a company sells its shares to the public, so that they can later be traded. For example, a family company that has never offered shares to strangers, and now does so, makes an initial public offering. The words *public offering* are often shortened to the letters IPO. An IPO is a single event, and it happens once; the sales that come after it are the sales of the secondary market.

The company must prepare carefully before it makes the offer. Chapter 9, Section 9.3 'Forming a Company', taught the *prospectus*, the published invitation that describes the company and its risks. An IPO needs one, and the prospectus must be truthful, because strangers will rely on it. We will see in Section 15.2 that an official body examines the offer before the public sees it.

Every offer states a price for each share, and the price has two parts that need names. The *face value* is the amount printed on the share as its nominal value, for example Tk 10. The *premium* is the extra amount above the face value that the public is asked to pay, because the company is worth more than the face value shows. Suppose a share has a face value of Tk 10 and an offer price of Tk 25. The premium is $Tk\ 25 - Tk\ 10 = Tk\ 15$.

Case file, illustrative. The plan of 20 October 2026 states that Meghna and Sons Limited considers an initial public offering of 200,000 shares at Tk 25 each, with a face value of Tk 10 and a premium of Tk 15. The offer would raise Tk 5,000,000. The plan is illustrative only.

PAUSE AND CHECK 15.P1 In the case file, which part of the price of Tk 25 is the face value, which part is the premium, and which market does the sale belong to?

An IPO has limits that a careful reader should know. Not every offer sells all its shares, and a company may withdraw if the response is weak. A buyer takes a risk, because the price of a share can rise or fall after the offer, and the buyer may lose money. The law of limited liability, from Chapter 9, means that the buyer can lose at most what was paid for the shares, but it does not promise any profit. A prospectus is a description and not a promise.

Why the secondary market matters: owners can leave without harming the company.

You should now be able to say how the two markets differ.

An initial public offering is a company's first sale of shares to the public.

Initial public offering. The first time a company sells its shares to the public, so that they can later be traded.

GO SLOWLY HERE.

The offer needs a prospectus, which states the company and the risks.

Recall: the prospectus, Chapter 9, 'The Joint Stock Company', section 9.3 'Forming a Company'.

An offer states a price per share, made of a face value and a premium.

The case file states the plan for an offer of 200,000 shares at Tk 25.

An IPO does not guarantee success, for either the company or the buyer.

Recall: limited liability, Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is'.

Many viewpoints see an IPO differently: owner, investor, employee.

A stock broker is a licensed go-between who buys and sells shares for others.

Stock broker. A licensed intermediary who buys and sells shares for clients and earns a commission.

GO SLOWLY HERE.

A broker needs a licence, because clients trust the broker with money.

Before moving on: the share market in one paragraph.

The secondary market needs a place to trade and an official to guard it.

A stock exchange is an organised market for shares already issued.

Stock exchange. An organised market where shares and bonds already issued are bought and sold.

Exchange. Word in use. In daily life, to give one thing and receive another, or a place where money changes hands. In finance, the market where shares are traded under fixed rules.

A listed company's shares are traded in the secondary market on the exchange.

The viewpoints differ. An owner of the company gains money but gives up some control. An investor gains a chance of profit and a voice in decisions, and takes a risk. An employee may gain security if the company grows, but may also see new demands from owners who must report results to the public. Each viewpoint is real, and a decision to make an IPO should weigh all three.

The last idea of this section answers a practical question: how does an ordinary person buy or sell a share? The person does not walk into the company. The person goes to a **stock broker**, which means a licensed intermediary who buys and sells shares for clients and earns a commission. A commission is a fee for the service. For example, suppose a broker charges 1 per cent. A client who buys shares worth Tk 10,000 pays a commission of Tk 100. The rate here is only an illustration.

A broker is licensed because clients give the broker money and instructions, and a dishonest broker could do great harm. The licence is a sign that the broker has met the rules of the institution that grants it, a body we meet in Section 15.2. A broker acts for the client, and the client decides what to buy or sell; a broker who trades without instructions breaks the rules.

Before moving on. A share market has a primary part, where a company sells new shares and receives the money, and a secondary part, where owners sell to each other. The first sale to the public is an initial public offering, and its price has a face value and a premium. A person buys and sells through a stock broker, who earns a commission. You should now be able to say who is paid in each kind of sale.

* * *

15.2 THE REGULATOR AND THE EXCHANGE

The share market of Section 15.1 raises two needs. Buyers and sellers need a fixed place, with fixed times and rules, where they can meet. And someone must watch the whole system, because a market of strangers who cannot see each other invites cheating. Two institutions answer these needs. The first runs the place where shares are traded, and it is called a stock exchange. The second makes and enforces the rules, and it is called a regulator. Students often mix the two, so we take them in turn, and we then compare them.

A **stock exchange** means an organised market where shares and bonds already issued are bought and sold. A bond is a loan to a company or government, recorded in a certificate. An exchange has members, fixed hours and written rules, and trades take place through the stock brokers of Section 15.1. In Bangladesh the main one is the Dhaka Stock Exchange. A second, the Chittagong Stock Exchange, began in 1995.¹ A company whose shares are accepted for trading on an exchange is said to be listed.

Listing connects the two parts of the share market. A company that makes an IPO usually asks the exchange to list its shares, so that the buyers of the primary market can later sell in the secondary market. The exchange has conditions for listing, such as a minimum amount of capital and the publication of accounts.

¹ The Dhaka Stock Exchange was incorporated on 28 April 1954 and began formal trading in 1956. Its legal form and name have changed over time, and its ownership has since been reorganised. Check the exchange's own pages for the present details.

Listing is a benefit, because it makes the shares easy to trade, and it is a duty, because the company must publish information and follow the exchange's rules.

A **regulator** means an official body that makes and enforces the rules for an industry or market. The word regulate means to control by rules. For example, a regulator of the food industry may decide that every packet must show its ingredients, and may punish a business that does not. In the share market of Bangladesh the regulator is the Bangladesh Securities and Exchange Commission. The law of 1993 established it.²

The Commission performs three main tasks. It examines and approves a company's offer of shares to the public, including the prospectus, before the offer is made. It supervises the exchanges and licenses stock brokers and other market professionals. And it investigates and punishes dishonest conduct, such as the use of secret information to trade before the public knows it. These tasks serve one aim, which is investor protection.

Investor protection is the name for the rules and acts that keep the money of investors safe from cheating and from false information. A prospectus that must be truthful is one example. The licensing of brokers is another. Rules that require a listed company to publish its accounts, and penalties for those who break the rules, are two more. Protection does not remove risk: it cannot stop the price of a share from falling, but it can stop a person from being deceived.

Now we can compare the two institutions. The exchange is the organised market itself: it provides the place, the trading system and its own rules for its members. The regulator stands above it, and above the brokers: it makes the national rules and enforces them on the exchange, the brokers and the companies. A useful picture is a football match. The exchange is the pitch and the teams that play on it, and the regulator is the referee together with the body that writes the laws of the game.

THE EXCHANGE AND THE REGULATOR COMPARED

FEATURE	STOCK EXCHANGE	REGULATOR
Main work	Provides the market where shares are traded	Makes and enforces rules for the market
Who deals with it	Brokers and listed companies	Exchanges, brokers and companies
Example in Bangladesh	Dhaka Stock Exchange	Bangladesh Securities and Exchange Commission

Read the table row by row. The first row says what each institution does. The second says who comes to it: brokers and companies come to the exchange, and the exchange, brokers and companies all answer to the regulator. The third row names the institution in Bangladesh. If you keep the football picture in mind, the rows are easy to recall.

PAUSE AND CHECK 15.P3 A broker is accused of using secret information to trade. Which institution investigates the broker, and which institution runs the market where the trade took place?

Before moving on. A stock exchange is an organised market where shares already issued are traded through brokers. A regulator makes and enforces the rules, and in Bangladesh it is the Bangladesh Securities and Exchange Commission, which approves offers, licenses brokers and punishes

A regulator makes and enforces the rules of a market.

Regulator. An official body that makes and enforces the rules for an industry or market.

The Commission approves offers, licenses brokers and punishes cheating.

Investor protection means rules that keep strangers' money safe from cheating.

The exchange runs the market, and the regulator writes and enforces the rules.

The table lists work, those who deal with the institution, and an example.

Before moving on: exchange and regulator in one paragraph.

² The Bangladesh Securities and Exchange Commission was established on 8 June 1993 under the Bangladesh Securities and Exchange Commission Act, 1993.

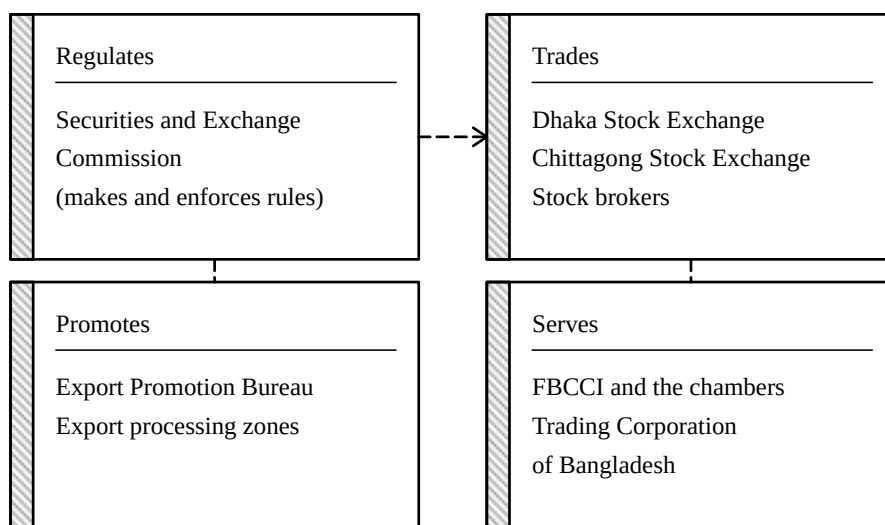
cheating. Investor protection is the aim of these rules, and it does not remove risk.

* * *

15.3 BODIES FOR TRADE AND INDUSTRY

Many bodies help a business; four verbs hold them apart.

The institutions of Section 15.2 guard one market. A business also meets many bodies that help trade and industry in general. Some speak for businesses, some build the places where factories work, some guide exports, and some trade for the state. The figure that follows draws all of the institutions of this chapter on one map. Read it as four boxes. The box labelled *Regulates* holds the rule-maker, the box labelled *Trades* holds the market and its brokers, the box labelled *Promotes* holds the bodies that help exporters, and the box labelled *Serves* holds the bodies that speak for business or supply goods.



Dashed arrow: the regulator watches the market. Dashed lines below: help for business.

FIG. 15.1. *Institutions as a map of who regulates, trades, promotes and serves*

FBCCI is the apex body that speaks for the private business community.

The first body in the *Serves* box is the Federation of Bangladesh Chambers of Commerce and Industry, called FBCCI. A chamber of commerce is an association of local businesses that act together. FBCCI is the apex body: it stands at the top, and the chambers and trade associations of the country are its members. It was established in 1973. It speaks for private business to the government, helps to organise trade fairs and training, and assists in settling trade disputes.³ Individual chambers, such as the Metropolitan Chamber of Commerce and Industry in Dhaka, which dates from 1904, serve their own members.

A trade body costs its members a subscription and gives them a voice.

A business pays a subscription to join a trade body. A subscription is a regular fee for membership. In the running case, the file records a trade body subscription of Tk 12,000 a year, which is $\text{Tk } 12,000 \div 12 = \text{Tk } 1,000$ a month. The business receives information, contacts, a voice with the government and a place at trade fairs. The business must judge whether these benefits are worth the fee. A very small shop may find that they are not, and a large exporter may find that they are.

³ The Federation's own publications list its present functions and members. They change over time.

The first body in the Promotes box is not an office but a place. An **export processing zone** means a planned area with special rules and benefits to attract factories that make goods for export. For example, a foreign company that wishes to make shirts for export may build its factory in a zone, where the buildings, power and port links are ready, and where the paperwork is reduced. The benefits may include relief from some taxes and from some duties on imported machines and materials. Bangladesh has several zones, run by a government authority.⁴

A zone works because it removes a barrier that Chapter 12, in Section 12.3 'Regulating Trade', introduced: the duty on imported goods. A factory in a zone imports machines and materials, makes goods, and sends them abroad. If the factory had to pay duty on the machines and materials, its costs would be higher. The zone lowers those costs, and in return the country gains jobs, foreign money and skill. A limit exists: goods sold inside the country from a zone usually face the ordinary rules.

The second body in the Promotes box is the Export Promotion Bureau, a government body. It collects information on foreign markets, helps exporters to join trade fairs abroad, and gives guidance on the steps of Chapter 13. An exporter who is looking for a first customer abroad may begin with the Bureau. It does not buy or sell for the exporter; it guides and informs.

The last body of the Serves box is the Trading Corporation of Bangladesh, a state-owned trading business under the Ministry of Commerce. It was established on 1 January 1972, after the war of 1971, to ensure the supply of essential goods and industrial materials. It distributes essential goods to the public at fair prices, so that the market stays steady. It differs from the other bodies: it buys and sells goods itself, as a business does.⁵

Several other institutions complete the picture. Bangladesh Bank, the central bank, controls the supply of money and the banks that open the letters of credit of Chapter 13. The Bangladesh Standards and Testing Institution sets and tests standards of quality for goods. Government bodies for investment help new businesses, and in particular foreign investors, to begin. We name them so that a reader who meets them will know that they exist; this book does not study them further.

Before moving on. The map of the chapter has four boxes. The Securities and Exchange Commission regulates. The exchange and the brokers trade. The Export Promotion Bureau and the export processing zones promote. FBCCI and the chambers, together with the Trading Corporation of Bangladesh, serve. You should now be able to name one institution for each verb.

* * *

WORKED CASE: SHOULD MEGHNA AND SONS LIMITED OFFER SHARES TO THE PUBLIC?

This section applies the chapter to the running case. We follow five parts in order: the situation, the question, the reasoning, the conclusion and a check. The case is illustrative, and it is not a model answer to any question.

⁴ The zones are managed by the Bangladesh Export Processing Zones Authority. The list of zones and the benefits offered change with government policy.

⁵ This chapter's plan lists the body as TCCB. The established name and abbreviation of the state trading body is Trading Corporation of Bangladesh (TCB), and this book follows that name. The Corporation's duties have changed since 1972.

An export processing zone is a planned area that attracts exporters.

Export processing zone. A planned area with special rules and benefits to attract factories that make goods for export.

Recall: tariffs and trade rules, Chapter 12, 'Foreign Trade', section 12.3 'Regulating Trade'.

A zone gives relief from tariffs, which the earlier chapter introduced.

The Export Promotion Bureau helps exporters find customers and information.

The Trading Corporation of Bangladesh trades for the state.

Other institutions also help: the central bank, standards and investment bodies.

Before moving on: the four groups of institutions.

The worked case follows Situation, Question, Reasoning, Conclusion, Check.

The situation restates the plan in full.

The question asks about money, institutions and judgement.

Reasoning step one: the face value and the premium parts of the sum.

Reasoning step two: each institution has one task in the plan.

Reasoning step three: the subscription is small beside the profit.

Conclusion and check: the sums agree, and each institution has its task.

Summary of the chapter in a few lines.

Case file, illustrative. *Situation.* A plan of 20 October 2026 states that Meghna and Sons Limited considers an initial public offering of 200,000 shares at Tk 25 each. The face value is Tk 10 and the premium is Tk 15. The offer would raise Tk 5,000,000. The company also pays a trade body subscription of Tk 12,000 a year. The plan is illustrative only.

Question. How is the sum of Tk 5,000,000 made up? Which institution would approve the offer, which would list the shares, and who would handle later trading? Is the trade body subscription large or small beside the profit of Tk 750,000 reported for 2025?

Reasoning. We begin with the money. The price is Tk 25 for each share. For 200,000 shares the total is $200,000 \times \text{Tk } 25 = \text{Tk } 5,000,000$. The face value part is $200,000 \times \text{Tk } 10 = \text{Tk } 2,000,000$, and the premium part is $200,000 \times \text{Tk } 15 = \text{Tk } 3,000,000$. The price is $25 \div 10 = 2.5$ times the face value, and the premium is $15 \div 25 = 60$ per cent of the price.

Next we place the institutions. The offer is a sale in the primary market, because the company sells new shares and receives the money. The Bangladesh Securities and Exchange Commission, the regulator, would examine the offer and the prospectus before the public sees them. After the sale, the company would ask a stock exchange, such as the Dhaka Stock Exchange, to list the shares. Later, owners who wish to sell would use stock brokers, in the secondary market, and the company would receive nothing from those sales.

Now we judge the subscription. $\text{Tk } 12,000 \div \text{Tk } 750,000 = 0.016$, which is 1.6 per cent of the profit of 2025. This is a small share of profit. The benefit to the business cannot be counted as exactly as the fee, so the business must judge whether the contacts and the voice with the government are worth it. A figure alone does not decide the matter.

Conclusion. The offer would raise Tk 5,000,000, of which Tk 2,000,000 is face value and Tk 3,000,000 is premium. The Commission would approve it, the exchange would list the shares, and brokers would carry the later trading. The subscription is about 1.6 per cent of the profit of 2025. *Check.* $\text{Tk } 2,000,000 + \text{Tk } 3,000,000 = \text{Tk } 5,000,000$, which equals the amount in the case file. The check passes.

* * *

SUMMARY

A share market has a primary part, where a company sells new shares and keeps the money, and a secondary part, where owners sell to each other. A company first sells to the public in an initial public offering, and people buy and sell through licensed stock brokers. A stock exchange is the organised market, and the regulator, in Bangladesh the Securities and Exchange Commission, makes and enforces the rules to protect investors. Other bodies help trade and industry: FBCCI speaks for business, export processing zones and the Export Promotion Bureau promote exports, and the Trading Corporation of Bangladesh trades for the state.

THINK IT THROUGH

15.T1 Give two reasons why a company might choose to list its shares, and one reason why it might choose not to.

15.12 A bakery earns a profit of Tk 400,000 a year and is asked to pay a trade body subscription of Tk 20,000 a year. Compare the fee with the profit, and say what else the owner should weigh.

WHERE PEOPLE GO WRONG

Many students believe that a company receives money every time its shares are traded. It does not. The company receives money only when it sells new shares. When owners sell to each other, the money passes between the owners.

A second error is to treat the stock exchange and the regulator as one body. The exchange is the organised market, and the regulator makes and enforces the rules for the exchange, the brokers and the companies. One runs the pitch, and the other acts as the referee.

A third error is to think that a regulator makes shares safe to buy. The regulator can prevent cheating and false information, but it cannot prevent the price of a share from falling. A buyer still takes a risk.

A company is paid in the primary market and not in the secondary market.

The exchange and the regulator are different institutions.

Investor protection does not guarantee a profit.

IN HISTORY

In New York, before 1792, brokers traded shares and public debt on the street, with few rules. On 17 May 1792, twenty-four brokers signed a short agreement, known as the Buttonwood Agreement, near 68 Wall Street. They agreed to trade with each other and to charge fixed commissions. The New York Stock Exchange traces its beginning to that agreement. In 1817 the group wrote a constitution, and in 1863 it took the name New York Stock Exchange.

The share market of Bangladesh has a younger and different story. The Dhaka Stock Exchange was incorporated on 28 April 1954, under the name East Pakistan Stock Exchange Association Limited, and began formal trading in 1956. Its name changed in later years, and it became the Dhaka Stock Exchange. The Securities and Exchange Commission was established in 1993, to watch over the market. Both stories show the same idea: a market of strangers needs a shared place and shared rules.

In 1792, twenty-four brokers in New York agreed to trade among themselves.

Dhaka's exchange began in 1954, as a place for the shares of a young country.

REVIEW QUESTIONS

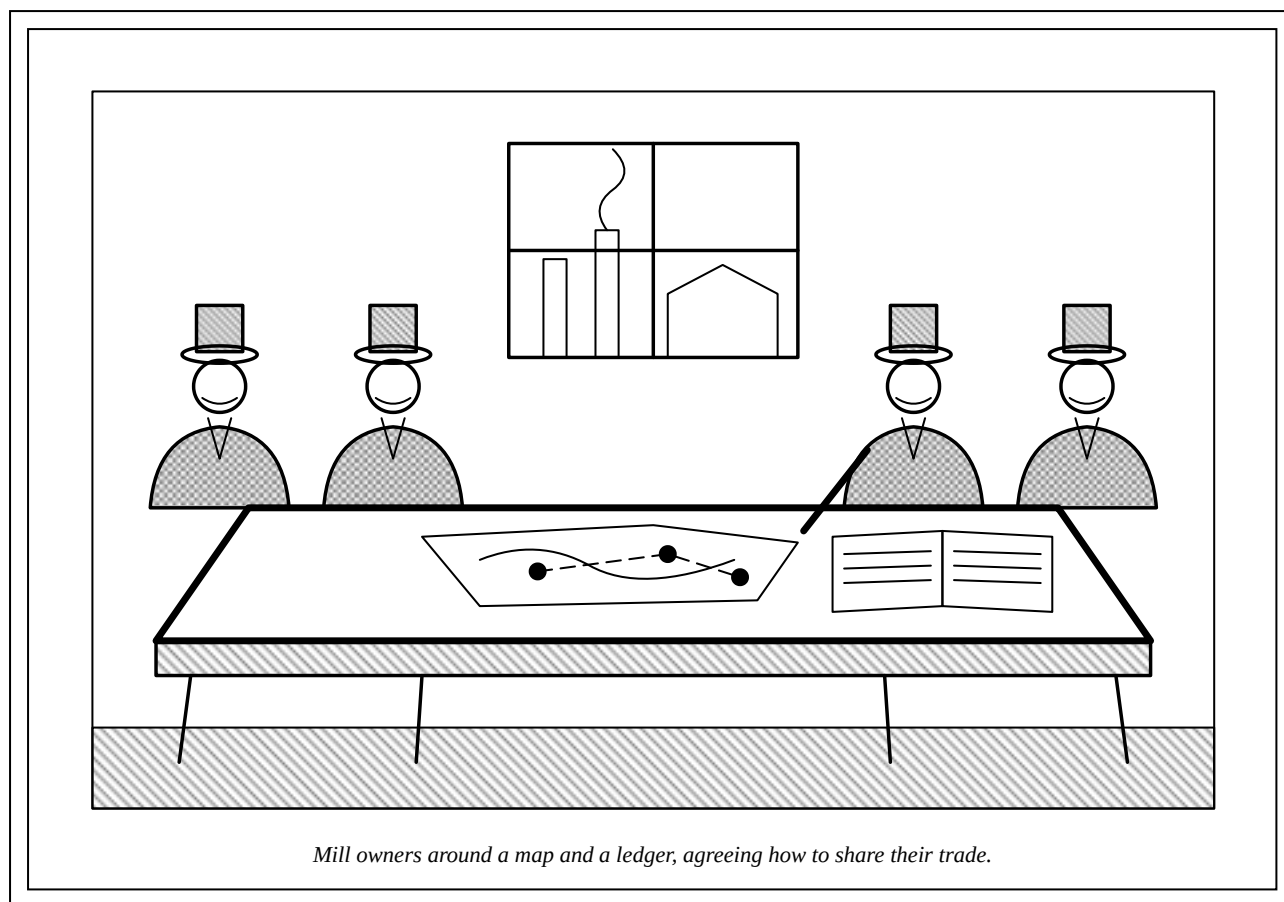
15.1 Sort the following by their role, regulate, trade, promote or serve: the Securities and Exchange Commission, the Dhaka Stock Exchange, the Export Promotion Bureau, FBCCI, a stock broker.

15.2 A company sells 50,000 new shares at Tk 30 each, with a face value of Tk 10. Find the total raised, the face value part and the premium part, and name the market in which the sale takes place.

15.3 In the example of Question 15.2, an owner later sells 1,000 of these shares to another person for Tk 35 each. Which market is this, who receives the money, and does the company receive anything?

15.4 A foreign company wishes to build a factory to make goods for export in Bangladesh. Name one body or place that could help it, and explain the help in two sentences.

15.5 A company that is listed on an exchange wishes to sell new shares to raise money for a new factory and to export from a zone. List the institutions it would deal with, in the order of the steps, and say what each does.



CHAPTER XVI

Business Combination and Integration

Why would two businesses prefer to be one?



This chapter asks why businesses join together and what each way of joining changes. It describes mergers, takeovers, consolidation, holding companies, cartels and trusts. It then separates joining at the same stage from joining at different stages, and weighs the gains against the dangers.

The earlier chapters that this chapter builds on.

Two rival bookshops on one lane open a question about competition.

The owner of one shop offers to buy the other, and three questions follow.

The answers differ because each person sees the event from a different place.

Merchants, and then governments, have asked this question in every age.

You will need Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is' (company ownership and shares); Chapter 15, 'Institutions that Promote Business in Bangladesh', section 15.1 'The Share Market' (how shares are bought and sold); and Chapter 12, 'Foreign Trade', section 12.1 'Why Nations Trade' (the ideas behind trade between countries).

Imagine a lane in Dhanmondi, Dhaka, with two bookshops facing each other. Both sell school textbooks and stationery. Both pay rent and wages, and both order many of the same titles from the same suppliers. Each owner watches the other's window every morning and lowers a price whenever the other does.

One day the owner of the first shop offers to buy the second. If the offer is accepted, the competition on the lane ends. Three questions follow. What does the buying owner gain? Why might the selling owner agree? And what do the customers on the lane gain, or lose?

The answers are not the same for everyone. One customer may welcome a wider range of books under one roof. Another customer may fear higher prices, because no rival window now forces them down. A shop assistant may ask only one thing: will my job remain? Each person sees the same event from a different place, and each sees something true.

Merchants in every age and country have asked this question. Some joined their businesses by agreement, some by purchase, and some by the force of money. Governments have asked in turn whether such joining serves the public or harms it. In this chapter you will learn the names of the main ways of joining, the reasons behind them, and a method for weighing gain against danger. Other books say firm, enterprise or concern for what this book calls a business; we use business throughout.

* * *

16.1 WHY FIRMS COMBINE

A business combination is two or more businesses joined under one control.

Business combination. Two or more businesses joining under common control, in order to gain strength or reduce competition.

Combination. Word in use. In daily life, a mix of things, such as the numbers that open a lock. In business, the joining of separate businesses under common control.

Common control means one person or group makes the main decisions.

Control. Word in use. In daily life, to hold something in check, as a driver controls a bus. In business, the power to decide how a business is run, usually gained by owning most of its shares.

The running case for this chapter is a proposal to buy a neighbouring shop.

Return to the two bookshops on the lane. If one owner buys the other shop, the two shops become one business. Business study has a name for this kind of joining: **business combination**. A business combination means two or more businesses joining under common control, in order to gain strength or reduce competition. The two bookshops under one owner are a small example. A group of fifty shops that keep separate names but answer to one owner is a larger one.

The phrase *common control* carries the whole idea, so we examine it. Control means the power to decide the main matters of a business: what it sells, whom it employs and how it spends money. Before the joining, two owners decide these matters separately. After it, one owner, or one group of owners, decides for both. This is why a business combination differs from two businesses that only trade with each other.

Case file, illustrative. Proposal of 3 December 2026: Meghna and Sons, the family bookshop in Dhanmondi, Dhaka, considers acquiring its neighbouring shop, Padma Stationers (illustrative). Padma Stationers has sales of Tk 6,000,000 a year. The proposed price is Tk 1,800,000. About 40 customers a

week shop at both businesses. The expected rent saving is Tk 360,000 a year. Meghna and Sons had sales of Tk 14,400,000 in 2025, so the combined 2025 sales would be Tk 20,400,000.

The case file records figures and a proposal, and it does not record a decision. Keep the figures in view as you read. Each new idea in this chapter can be tested against them: which reason for combining do they show, which opportunity, and which threat?

Owners give six main reasons for joining their businesses. The first is lower cost. Two shops under one roof need one rent and one set of accounts, not two. The second is buying power. A supplier gives a better price for one large order than for two small ones. The third is less competition. When two rivals become one, neither can win customers from the other by lowering a price. The fourth is safety. A large business can survive a bad year more easily than a small one. The fifth is growth. Buying a business that already has customers is faster than winning customers one at a time. The sixth is skill or reach. A business may join another that knows a trade, a craft or a country that it does not know.

The reasons look different from each viewpoint. The owner seeks growth and profit. The manager seeks a plan that can be run well. The employee asks whether the job and the pay will remain. The customer asks about price, choice and service. A combination that satisfies the owner may trouble the customer, and the reverse can also be true. Keep all four viewpoints in mind in every case in this chapter.

The sixth reason, reach, deserves an example because it is the hardest to see. Suppose a small Dhaka maker of notebooks wishes to sell to customers in another country. It lacks contacts, knowledge of the foreign market and skill in export. A larger business already has all three. If the two join, the small maker gains a route to those customers, and the larger business gains a product it can offer. Some combinations of this kind place a factory in an export processing zone, which is a planned area with special rules for factories that make goods for export. Neither business could easily gain this reach alone, and this is why reach is a common reason for joining.

A reason explains why owners choose to join. An opportunity is a gain that the combination makes possible. Consider two families who live in one building and share one kitchen. They pay one gas bill, buy rice in larger sacks and cook together on busy days. In the same way, a combined business can spread a fixed cost such as rent over more sales, so that each book sold carries a smaller part of the rent. It can order in larger quantities and ask for a lower price. It can offer customers a wider range. It can borrow more easily, because a lender sees a larger and steadier business. And it can reach markets that neither business could reach alone, such as customers in other countries through export.

A threat is a danger that the combination brings. The same two families may quarrel over whose turn it is to use the stove. Businesses meet the same difficulty on a larger scale. The price paid for the other business may be too high. The two ways of working may not agree, and good staff may leave. Customers who liked the old shop may go elsewhere. A larger business can become slow and costly to manage, so that the expected saving does not appear. When competition ends, customers may face higher prices, and the law may forbid the combination. Every opportunity named above has a threat that stands beside it.

Before moving on. A business combination is two or more businesses joined under common control. Owners join for lower cost, buying power, less rivalry, safety, growth and skill. Each

We return to these figures in the worked case at the end of the chapter.

Owners give six main reasons for joining their businesses.

The reasons look different from the owner's, the employee's and the customer's viewpoint.

Reach is the sixth reason, and it often involves trade between countries.

Recall: Foreign trade, Chapter 12, section 12.1 'Why Nations Trade'.

Opportunities are the gains that a combination makes possible.

Threats are the dangers that a combination can bring.

Section recap: reasons, opportunities and threats.

opportunity has a threat beside it, and the customer's viewpoint can differ from the owner's.

16.2 FORMS OF COMBINATION

Combination happens in several ways, and the way matters as much as the reason.

Owners who have decided to join must still decide how. Some forms end one business completely. Others leave each business alive while one owner or group controls them all. The table below sets six forms side by side. Read each row from left to right: the form, what happens, and what remains of the separate businesses. The paragraphs after the table explain each form in turn.

SIX FORMS OF COMBINATION

FORM	WHAT HAPPENS	DO THE BUSINESSES STAY SEPARATE?
Merger	One company absorbs another	No: only one remains
Takeover	A buyer gains most of a company's shares	Yes, but the buyer controls it
Consolidation	Two or more companies end and a new one begins	No: a new company replaces them
Holding company	One company owns enough shares in others to control them	Yes: each keeps its own name and legal life
Cartel	Independent businesses agree on prices or output	Yes: each stays independent
Trust	Owners give their shares to trustees who run the group	Yes in law, no in control

A merger is a combination in which one company absorbs another.

Merger. A combination in which one company absorbs another and only one remains.

An acquisition is buying a business; a takeover is buying most of a company's shares.

Recall: Share market, Chapter 15, section 15.1 'The Share Market'.

Takeover. Gaining control of a company by buying most of its shares.

In consolidation, the old companies end and a new company begins.

A **merger** is a combination in which one company absorbs another and only one remains. To absorb means to take in completely. Suppose a company named Alpha Books absorbs a company named Beta Stationers. Beta's shops, stock and staff now belong to Alpha, and the name Beta ends. The directors of both companies usually agree to a merger, and the owners of each company vote on it. Many countries add legal steps, such as approval by a court or a public authority, so the law of the country concerned must always be checked.

An acquisition means buying a business, or enough of it, to control it. A buyer may acquire the shop, the stock and the name of a business owned by one person. This is the form that Meghna and Sons proposes in the case file. When the business is a company, the buyer may buy its shares instead. This is a **takeover**: gaining control of a company by buying most of its shares. A takeover is friendly when the directors of the company agree. It is hostile when they refuse and the buyer appeals directly to the shareholders. A company whose shares are traded on a stock exchange is easier to acquire in this way, because any investor can buy its shares.

Consolidation is different from a merger. In a merger one company survives. In consolidation, two or more companies end together, and a new company begins in their place, owning everything the old companies owned. Imagine that Alpha Books and Beta Stationers both close, and a new company, Alpha-Beta Books, begins. No old name survives. The shareholders of the old companies receive shares in the new one.

A holding company is a company that owns enough shares in other companies to control them. The companies it controls remain legal companies, with their own names, accounts and limited liability. Yet one set of owners decides the main policy for all of them. Compare this with a merger. After a merger there is one business. Under a holding company there are many businesses, and one controller. A holding company needs only a majority of the voting shares, not all the shares, so it can control a company at a lower cost than buying it whole.

Picture three mill owners in one region who meet around a map and a ledger. They agree on one price for cloth and on a limit to what each mill will make. Each owner keeps their own mill, books and workers. This is a **cartel**: a group of independent firms that agree to fix prices or output to limit competition. Nothing is bought and nothing is merged, so a cartel is the loosest form of combination. It is also the weakest, because any member can break the agreement. In many countries a cartel is unlawful.

A trust is firmer than a cartel. The owners of several businesses give their shares to a small group of trustees. The trustees vote those shares and run the businesses as one group, and the owners receive certificates that show their share of the profit.¹ The best-known trust, Standard Oil, appears in the history section at the end of the chapter.

How do owners choose among these forms? They ask what they wish to keep and what they can afford. If they want one business with one name, they choose a merger or consolidation. If they want to keep the names, the shops and the trusted staff of each business, they choose a holding company or a takeover, because each business stays alive. If they only wish to end price competition and trust one another, they may consider a cartel, but it gives no lasting control and often breaks the law. The cost differs too. Buying a whole business needs more money than buying a majority of its shares, and an agreement needs the least money but gives the least control.

The law on combinations differs by country, so we name the place. In the United States, the Sherman Act of 1890 makes illegal any contract, combination or conspiracy that restrains trade between the states. In Bangladesh, the Competition Act 2012 deals with agreements between businesses that harm competition. Not every combination is unlawful. Laws usually aim at combinations that harm customers, and many mergers and acquisitions are lawful.

IN SHORT

For each form, ask two questions: who survives, and who controls?

Before moving on. A merger leaves one company. Consolidation replaces the old companies with a new one. A takeover and a holding company leave the companies alive but under a controller. A cartel is an agreement between independent businesses, and a trust places their shares in the hands of trustees.

PAUSE AND CHECK 16.P1 Three tea sellers in a market agree to charge the same price for a cup, but each keeps their own stall. Which form is this, and why does the word independent matter?

A holding company controls other companies by owning their shares.

Recall: Share and limited liability, Chapter 9, section 9.1 'What a Company Is'.

A cartel is an agreement between independent businesses, not a purchase.

Cartel. A group of independent firms that agree to fix prices or output to limit competition.

A trust is a firmer form, in which trustees control the shares of many businesses.

The choice of form depends on what the owners want to keep and what they can afford.

The law on combinations differs by country, and the place must be named.

Section recap: six forms, sorted by what survives and who controls.

¹ In law, the word trust also has older and wider meanings, such as property held by one person for the benefit of another. Here it means only this form of combination.

16.3 HORIZONTAL AND VERTICAL INTEGRATION

Horizontal integration joins businesses at the same stage of one product.

Horizontal integration.

Combining firms at the same stage of making or selling the same kind of product.

Vertical integration joins businesses at different stages of one product.

Vertical integration. Combining firms at different stages of making and selling one product, such as printer and bookseller.

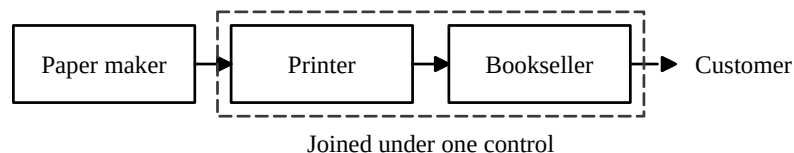
The figure shows the two kinds of joining as two chains.

Forms describe how businesses join. Integration describes which businesses join. **Horizontal integration** means combining firms at the same stage of making or selling the same kind of product. Meghna and Sons and Padma Stationers both sell books and stationery to customers, so they stand at the same stage. Joining them is horizontal. Its opportunity is lower cost and a larger share of the market. Its threat is less choice for customers.

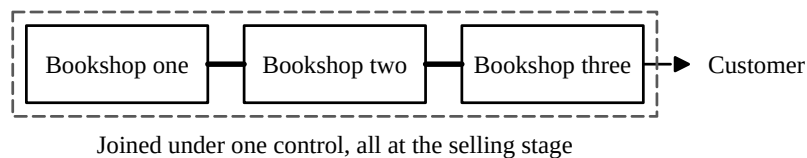
A book passes through several hands before a customer reads it: the paper maker, the printer, the bookseller. **Vertical integration** means combining firms at different stages of making and selling one product, such as printer and bookseller. A bookseller that buys a printer moves toward the source. A printer that opens bookshops moves toward the customer. Its opportunity is a secure supply and the profit of each stage. Its threat is being tied to one's own supplier even when another is cheaper.

The figure below shows both kinds as chains. Each box is one stage, and each arrow shows the product moving toward the customer. A dashed outline marks businesses under one control. In the top chain the outline spans two different stages. In the bottom chain it spans three businesses at the same stage.

Vertical: different stages of one product



Horizontal: same stage of one product



Dashed outline: businesses under one control. Arrow: product moves toward the customer

FIG. 16.1. *Horizontal and vertical combination as two chains*

Horizontal integration raises the question of market power.

Vertical integration raises the question of fair access.

A conglomerate joins businesses in unrelated trades to spread risk.

Horizontal integration raises a question about power. When two of three bookshops on a lane join, one owner now controls two thirds of the shelf space for textbooks. Customers have one rival left to compare. When the last rival joins, customers have no comparison at all, and the owner may raise prices without losing sales. This is why laws watch horizontal combinations most closely.

Vertical integration raises a different question: fair access. If a printer owns the only bookshops in a town, other printers may find no place to sell, and other booksellers may find that the printer will not supply them. Customers may then see only one maker's books. Owners answer that vertical integration lowers cost and keeps the quality of every stage under one hand. Both claims can be true, and each case must be weighed on its facts.

A conglomerate is a group of businesses in unrelated trades, such as a bookshop, a bus line and a bank under one owner. It joins neither the same stage nor different stages of one product. Its aim is to spread risk, because a bad year in one trade may be balanced by a good year in another.

No form is good or bad alone. Weigh each case with four questions. What does the owner gain? What do customers gain or lose? Can the joined businesses be managed as one? Does the law of the country allow it? A combination that lowers cost and keeps prices fair serves everyone. One that removes all choice invites the attention of the law.

Before moving on. Horizontal integration joins the same stage; vertical integration joins different stages. A conglomerate joins unrelated trades. Weigh opportunity against threat from every viewpoint.

No form is good or bad alone; weigh the gain and the danger for each viewpoint.

Section recap: horizontal, vertical and conglomerate joining.

WORKED CASE: PADMA STATIONERS

A worked case applies an idea to a situation. It does not give a model answer to a question about the subject. It shows how to reason from the facts, one step at a time. We use the proposal from the case file.

Situation. On 3 December 2026 Meghna and Sons proposes to acquire its neighbour, Padma Stationers. Padma Stationers has sales of Tk 6,000,000 a year. The price is Tk 1,800,000. About 40 customers a week shop at both businesses. The expected rent saving is Tk 360,000 a year. Meghna and Sons had sales of Tk 14,400,000 in 2025, and a profit of Tk 750,000.

Question. What kind of combination is this, and does the case file support buying Padma Stationers?

Reasoning. Step one: name the form. Meghna and Sons proposes to buy a business owned by another, so this is an acquisition. The case file does not say that Padma Stationers is a company, so we do not call it a takeover or a merger. Step two: name the kind. Both shops sell books and stationery to customers, so they stand at the same stage. This is horizontal integration.

Step three: measure the size. The combined 2025 sales would be the sum of the two. Sales of Tk 14,400,000 plus Tk 6,000,000 give Tk 20,400,000. Step four: compare the price with the saving. In words, the years needed to recover the price equal the price divided by the yearly saving. Tk 1,800,000 divided by Tk 360,000 is 5 years. This counts the rent saving alone, and other gains or losses would change it. For scale, Tk 1,800,000 divided by the 2025 profit of Tk 750,000 is 2.4. The price is 2.4 times a year of profit.

Step five: examine the overlap. About 40 customers a week already shop at both businesses. Buying Padma Stationers cannot win new sales from these customers, because they already buy from Meghna and Sons. It only removes their choice. New sales must come from the customers of Padma Stationers who have not shopped at Meghna and Sons before, and some of them may leave. Step six: list the threats. The case file does not state how the price would be paid. It does not say whether the staff of Padma Stationers would stay. It does not say whether customers would accept the change.

Step seven: test the result from each viewpoint. The owner gains a larger business and a rent saving. The employees of both shops ask whether every job remains, because one rent and one set of accounts may need fewer people. The customers on the lane gain a wider range of books, and lose a rival window that once held prices down. About 40 customers a week know both shops, so they will notice this change first. A sound decision records all three viewpoints before it records a verdict.

Conclusion. The proposal is a horizontal acquisition with a real saving, equal to half of the Tk 720,000 rent that Meghna and Sons paid in 2025. The rent saving alone repays the price slowly, in 5 years. A decision should wait for three

A worked case applies the ideas of the chapter to the proposal of 3 December 2026.

The situation restates the facts of the proposal.

The question asks for the kind of combination and whether the proposal is sound.

Step one names the form and the kind of integration.

Step two measures the size and the saving.

Step three looks at the overlap in customers and at the threats.

The viewpoints of the owner, the employee and the customer test the result.

The conclusion weighs the opportunity against the threats.

facts: how the price will be paid, how many customers and staff of Padma Stationers will remain, and whether any competition law applies.

The check repeats the arithmetic.

Check. Tk 14,400,000 plus Tk 6,000,000 equals Tk 20,400,000, as in the case file. Five years of saving, 5 times Tk 360,000, equals Tk 1,800,000, which is the price. A profit of Tk 750,000 multiplied by 2.4 also equals Tk 1,800,000.

* * *

SUMMARY

The summary gathers the chapter in a few lines.

A business combination joins two or more businesses under common control, to gain strength or reduce competition. Owners combine for lower cost, buying power, less rivalry, safety, growth and skill. Each opportunity has a threat. The forms are merger, takeover, consolidation, holding company, cartel and trust. They differ in what survives and who controls. Horizontal integration joins the same stage; vertical integration joins different stages; a conglomerate joins unrelated trades. Every combination should be weighed from the owner's, the employee's and the customer's viewpoint, and under the law of the country concerned.

THINK IT THROUGH

A baker buys the flour mill that supplies her bakery.

A baker in a town buys the flour mill that supplies her bakery. Before the purchase, the mill sold flour to her and to eight other bakers in the same town.

16.T1 Is this combination horizontal or vertical? Give a reason from the positions of the bakery and the mill in the chain.

16.T2 Name one opportunity for the baker, one threat for the baker, and one threat for the eight other bakers.

WHERE PEOPLE GO WRONG

A merger and a takeover are not the same.

A merger and a takeover are the same thing. They are not. In a merger one company absorbs another and only one remains. In a takeover the buyer gains most of the shares, and the company bought can continue to exist under its own name.

Combination does not always harm customers.

Every combination is harmful or unlawful. This is false. Many combinations lower costs and prices, and many are lawful. Laws usually aim at combinations that remove competition and harm customers.

A holding company owns shares; it does not run each shop.

A holding company runs every business in the group. It owns enough shares to control them. The companies remain separate legal bodies, and each keeps its own name and accounts.

Vertical does not mean joining rivals.

Vertical integration joins competitors. It does not. Competitors stand at the same stage, so joining them is horizontal. Vertical integration joins businesses at different stages, such as printer and bookseller.

A combination is not harmful by size alone.

A bigger business always has lower prices. This is not certain. Size can lower cost, but a very large business may become slow and costly to manage, and without rivals it may have no reason to pass any saving to its customers.

IN HISTORY

Standard Oil shows a combination, the public alarm it caused, and the law that followed.

John D. Rockefeller founded Standard Oil in Ohio, in the United States, in 1870. In the years that followed, the business absorbed many rival oil refiners. In 1882 the owners of Standard Oil and of the companies it controlled placed their shares

in a trust. Nine trustees managed the whole group on behalf of all the owners, who received trust certificates in return. This was the first large trust in America, and other industries copied the model.

Many people feared that one business now controlled most of the country's oil. In 1890 the United States Congress passed the Sherman Antitrust Act, named for Senator John Sherman of Ohio. President Benjamin Harrison signed it on 2 July 1890. It was the first federal law against trusts. In March 1892 the Ohio Supreme Court ruled that the Standard Oil Company of Ohio must end its part in the trust.

The owners did not give up control. They kept it through a holding company in New Jersey, another form from this chapter. In 1911 the United States Supreme Court found that the group had broken the Sherman Act and ordered it divided into separate companies. The story shows how forms of combination change. When the law closed one door, the owners used another. It also shows that the name of a form matters less than its effect on customers.

The public alarm led to the Sherman Act of 1890 and to a court ruling in Ohio.

The owners changed the form, but the law caught up in 1911.

REVIEW QUESTIONS

16.1 Two bakeries in one town come under one owner. Is this horizontal or vertical integration? Explain.

16.2 A publisher buys the paper mill that supplies it. Classify the combination, say in which direction it moves, and name one opportunity and one threat.

16.3 Three mill owners agree to charge the same price but keep their mills. Name the form, and say how it differs from a merger.

16.4 A company buys most of the shares of another company, and the second company keeps its name. Name the form, and say what the buyer controls.

16.5 In the case file, which reason for combining appears in the rent saving, and which threat needs more facts before a decision?

GLOSSARY

Articles of association. The document setting the company's internal rules, such as the duties of directors and the holding of meetings. A private company uses it to restrict the transfer of shares. It describes the company's inner life. (*Chapter IX*)

Balance of payments. A record of all money flowing into and out of a country over a period. It covers payment for goods and services, money sent home by workers abroad, and money that moves for investment and loans. It is wider than the balance of trade, which counts goods only. (*Chapter XII*)

Balance of trade. The difference in value between a country's exports and imports of goods over a period, such as a year. It leaves out services. If exports are larger, the balance is a surplus; if imports are larger, it is a deficit. Exports of 100 and imports of 130 give a deficit of 30. (*Chapter XII*)

Bill of lading. A document from a shipping line that receipts the goods, states their terms of carriage and shows who may claim them. It is a receipt, a record of the carriage contract and a document of title. Example: the customer needs it to collect books at the port. (*Chapter XIII*)

Business. An activity that provides goods or services to others in exchange for money, aiming to earn a profit. It is regular work, not a single act. A shop selling exercise books to schoolchildren is a business; a family growing rice only to eat is not. (*Chapter I*)

Business combination. Two or more businesses joining under common control, in order to gain strength or reduce competition. The joining may be by purchase, by agreement or by owning shares. Example: two bookshops on one lane that come under one owner. (*Chapter XVI*)

Capital. Man-made goods and money used to produce other goods, such as machines, tools and stock. A kettle, a shop's shelves and the books held for sale are capital. Interest is the reward of capital. (*Chapter II*)

Cartel. A group of independent firms that agree to fix prices or output to limit competition. Nothing is bought or merged, and each member stays free. In many countries it is unlawful. Example: three mill owners agree one price for cloth. (*Chapter XVI*)

Charter party. A contract by which a shipowner hires a whole ship, or part of it, to a merchant. A voyage charter hires the ship for one journey; a time charter hires it for a period. Example: a grain trader who hires a ship for one cargo. (*Chapter XIII*)

Commerce. Trade together with the services that help goods move from producer to customer, such as transport and banking. These helping services are called aids to trade. A notebook trader, the lorry that carries the notebooks and the bank that holds the trader's money all belong to commerce. (*Chapter I*)

Commercial invoice. The seller's bill listing the goods, the quantity, the price and the terms for a shipment. The customs officer uses it to value the goods, and the bank uses it to check the letter of credit. Example: an invoice for 150 titles with the price of each. (*Chapter XIII*)

Consumer. A person who uses goods or services, whether or not that person also paid for them. The customer is the person who buys. Example: a father who buys milk is the customer; the child who drinks it is the consumer. (*Chapter VI*)

Cooperative principle. A basic rule of cooperatives, such as open membership, one vote per member and fair sharing of what remains after costs. The rules guide how the society is run. Example: a society that admits any family in the town, whatever its wealth, follows the rule of open membership. (*Chapter X*)

Cooperative society. A business owned and run by members who join to meet a common need, each with one vote. It exists to serve its members and not to enrich outside owners. Example: thirty families who own the flour shop they buy from. (*Chapter X*)

Customs clearance. The official checking of goods at a border and the payment of any duty before they are released. Duty is a tax charged on goods that cross the border. Example: printing paper is released to the importer only after the customs office has checked it and the duty is paid. (*Chapter XIII*)

Departmental undertaking. A state enterprise run directly as part of a government department. The minister is responsible, the money comes from the government budget and the staff are government employees. It has no separate existence in law, so the government itself answers for its debts. (*Chapter XI*)

Dissolution. The formal ending of a partnership, or of a company, after which it no longer operates as before. A partnership may be dissolved by agreement, compulsorily, on a stated event, by notice or by a court. Afterwards the partners settle the accounts in a fixed order. (*Chapter VIII*)

Division of labour. Splitting a job into small tasks so that each worker repeats one task and becomes faster. Two workers, one folding and one gluing paper bags, make more bags than two workers who each do both tasks. (*Chapter II*)

Economic objective. An aim that can be measured in money, such as profit, sales or market share. Market share is the part of all sales in one area that a single business wins. If a shop receives Tk 200,000 of Tk 1,000,000 spent on books in a town, its share is 20%. (*Chapter III*)

Enterprise. The act of organising the other factors and accepting the risk of loss in the hope of profit. Profit is its reward, and unlike rent, wages and interest it is not agreed in advance. (*Chapter II*)

Environment. All the forces and conditions, inside and outside a business, that affect how it operates. It includes staff, prices, laws and machines as well as weather. The shop's environment includes its seven staff and an online seller's price cut. (*Chapter V*)

Exchange rate. The price of one country's money measured in another country's money. At an illustrative rate of Tk 120 per US dollar, USD 10 equals Tk 1,200. Rates change from day to day, so the taka price of an import can change even when the foreign price stays the same. (*Chapter XII*)

Export. A good or service sold to a buyer in another country. The seller earns foreign money. Tea is a visible export, and a hotel room paid for by a foreign visitor is an export of a service. The same sale is an import for the country that buys. (*Chapter XII*)

Export processing zone. A planned area with special rules and benefits to attract factories that make goods for export. Buildings, power and port links are ready, and some taxes and duties are reduced. Example: a foreign company that builds a shirt factory in a zone. (*Chapter XV*)

External environment. Forces outside the business, such as customers, laws and prices, that it cannot control directly. Examples are a competitor's price cut

and a school curriculum change. The business can adapt to them or influence them within limits. (*Chapter V*)

Extractive industry. Business that takes natural materials out of the earth, sea or land, such as farming or fishing. It often comes first in a chain of work, because other branches need its materials. Mining coal and cutting timber are further examples. (*Chapter I*)

Factor of production. A resource used to make goods or provide services. Economists name four: land, labour, capital and enterprise. A tea stall uses all four: a spot, the seller's work, a kettle, and the decision to open. (*Chapter II*)

Footfall. The number of people who walk past or enter a shop in a given time. It measures the chance of sales, not the sales themselves. Example: an owner counts 410 people passing the door on an average day over five days. (*Chapter IV*)

Foreign direct investment. Money a foreign company invests to build or buy a lasting business in another country. Building a factory abroad is an example. Buying a few shares for a quick sale is not, because no lasting business is built or controlled. (*Chapter XIV*)

Foreign trade. The buying and selling of goods and services between people or firms in different countries. It includes goods such as tea and wheat, and services such as shipping and banking. A bakery in Dhaka that buys wheat from a farmer abroad takes part in foreign trade. (*Chapter XII*)

Goodwill. The good name a business earns with customers, which brings them back and is worth money. It takes years to earn and can be lost at once. A buyer of a business may pay more for a shop whose customers return. (*Chapter III*)

Home country. The country where a multinational company has its headquarters, which is its main office. Each multinational company has one home country. A company with its head office in London has the United Kingdom as its home country, whatever the countries of its customers. (*Chapter XIV*)

Horizontal integration. Combining firms at the same stage of making or selling the same kind of product. The joined firms were usually competitors. Example: two bookshops on one lane that become one business. (*Chapter XVI*)

Host country. A country where a multinational company operates through a branch or subsidiary. A company has one home country but may have many host countries. A company based in London with an office in Dhaka has Bangladesh as one of its host countries. (*Chapter XIV*)

Import. A good or service bought from a seller in another country. The buyer pays foreign money, or its value in local money. A Dhaka shop that orders books from a publisher abroad makes an import. The same sale is an export for the country of the seller. (*Chapter XII*)

Industrial estate. An area planned and serviced by an authority where many factories are grouped together. The authority provides roads, power, water and waste removal for all of them. Example: a group of workshops and small factories sharing one road and one power supply on a planned site. (*Chapter IV*)

Industry. The branch of business that produces or changes goods, from raw material to finished product. It includes extractive industry, manufacturing industry and construction. A cotton farmer, a mill that spins thread and a factory that sews shirts are all in industry. (*Chapter I*)

Initial public offering. The first time a company sells its shares to the public, so that they can later be traded. It happens once and takes place in the primary market. The price has a face value and a premium. Example: a family company that offers shares to strangers for the first time. (*Chapter XV*)

Internal environment. Forces within the business that it can control, such as its staff, resources and rules. The owner can change opening hours or how stock is recorded, so these belong to the internal environment. (*Chapter V*)

Investor. A person who puts money into a business expecting to receive a return, such as a share of profit or interest. Example: a person who buys a share in a company, or a bank that lends money to a shop. (*Chapter VI*)

Joint stock company. A business whose capital is divided into equal parts, owned by many people, and treated by law as a person separate from them. It owns property, makes contracts and continues when owners change. Example: a bakery owned by two hundred people. (*Chapter IX*)

Labour. The physical and mental work people give to a business, paid for with wages. A shop assistant who lifts boxes and advises customers gives both kinds of work. Wages are the reward of labour. (*Chapter II*)

Land. All natural resources a business uses, including ground, water, minerals and forests. Nature provides land; people do not make it. Its reward is rent, such as the rent of a shop space. (*Chapter II*)

Letter of credit. A bank's written promise to pay an exporter on the customer's behalf once stated documents are presented. The bank pays only if the papers match the letter in every detail. Example: a Kolkata bank promises to pay a Dhaka bookseller when the invoice and bill of lading arrive. (*Chapter XIII*)

Limited liability. A rule that owners of a company lose, at most, the money they paid for their parts, never their personal wealth. The company's debts belong to the company. Exceptions include personal guarantees signed by owners and fraud. Example: a failed company cannot take its owners' houses. (*Chapter IX*)

Manufacturing industry. Business that turns materials into finished goods by making or assembling them. Making means shaping materials, as a potter shapes clay. Assembling means joining ready-made parts, as a workshop joins wheels, frame and chain to form a bicycle. (*Chapter I*)

Marketing cooperative. A cooperative that sells its members' products together to obtain better prices. Example: a hundred small jute farmers who collect, grade and sell their crop together can bargain with many buyers instead of accepting one trader's price. (*Chapter X*)

Memorandum of association. The founding document stating a company's name, objects, registered office, liability and share capital. The objects are its purposes; the registered office is its official address. It describes the company's outer relations with the world. (*Chapter IX*)

Merger. A combination in which one company absorbs another and only one remains. The absorbed company's property and staff pass to the survivor, and its name ends. Example: Alpha Books absorbs Beta Stationers, and only Alpha Books remains. (*Chapter XVI*)

Multinational corporation. A company that owns or controls operations in more than one country, managed from a home country. It differs from an exporter, which keeps all its operations in one country. A shoe company with its head

office in one country and its own factories in three others is an example. (*Chapter XIV*)

Mutual agency. The rule that each partner is the agent of all the other partners, so that each partner can act for the business and bind every partner. If one partner signs an order for books, all the partners must pay for it, even those who never saw the order. (*Chapter VIII*)

Nationalisation. The transfer of a privately owned business to government ownership. The government may take over a coal industry that private owners held, and many laws then require compensation to the former owners. The opposite step, selling a state enterprise to private owners, is called privatisation. (*Chapter XI*)

Objective. A clear aim that a business tries to reach within a stated time. A good objective has an amount and a time. "Raise profit from Tk 750,000 to Tk 900,000 during 2026" is an objective; "do better" is only a wish. (*Chapter III*)

Partnership. A business owned by two or more people who have agreed to run it together and to share its profits. The agreement may be spoken or written. Two friends who share a market stall and its earnings form a partnership, even if they never use the word. (*Chapter VIII*)

Partnership deed. A written agreement among partners. It states the capital that each partner supplies, the duties of each partner, the shares in which profit is divided and the rules for ending the business. A signed deed settles later disputes about what each partner promised. (*Chapter VIII*)

Plant location. The place where a business builds its factory or opens its shop. The owner chooses it by weighing several factors, such as materials, customers, transport, workers, power, land and public rules. Example: a bakery that chooses a shop beside a railway station instead of a quiet village. (*Chapter IV*)

Private limited company. A company that restricts the transfer of its shares and cannot invite the public to buy them. Owners may sell only by the company's rules. In Bangladesh the name ends with Private Limited. Example: three partners who convert a family business into a company. (*Chapter IX*)

Private sector. The part of an economy owned and run by individuals and private firms rather than by government. A family bakery, a tailor and a privately owned bank belong to it. (*Chapter VII*)

Profit. What remains of a business's income after all its costs have been paid. In words, profit equals income minus costs. If a fruit seller's income is Tk 300 and her costs are Tk 200, her profit is Tk 100. If costs are greater, the result is a loss. (*Chapter I*)

Prospectus. A published invitation to the public to buy shares or debentures, describing the company and the risks. It usually states the objects, directors, number and price of shares, use of the money, risks and how to apply. A debenture is a loan to the company. (*Chapter IX*)

Public corporation. A state enterprise set up by law as a separate body with its own managers and accounts. It can make contracts, own property and be sued in its own name. It has no shareholders, because government is its only owner. The Tennessee Valley Authority is an example. (*Chapter XI*)

Public limited company. A company that may invite the public to buy its shares, which are often traded on a stock exchange. Its owners can usually sell shares to others without asking permission. In Bangladesh the name ends with Limited. Example: a large bank. (*Chapter IX*)

Public sector. The part of an economy owned and run by government. A national railway or a government hospital belongs to it. Many countries have both a private sector and a public sector. (*Chapter VII*)

Regulator. An official body that makes and enforces the rules for an industry or market. It can license, inspect and punish. Example: the Bangladesh Securities and Exchange Commission, which approves offers of shares and licenses brokers. (*Chapter XV*)

Service. Work done for a customer that gives value but is not a physical thing owned afterwards, such as banking or teaching. The customer receives the work, not a thing to keep. A haircut, a doctor's visit and a bicycle repair are services. (*Chapter I*)

Share. One equal part of a company's capital, giving its holder a claim on profit and a voice in decisions. A person who holds shares is a shareholder. Example: 100 shares of Tk 100 in a company of 1,000 shares give one tenth of the company. (*Chapter IX*)

Sleeping partner. A partner who supplies capital and shares in the profit but takes no active part in running the business. A retired neighbour who invests savings in a stall, and never serves customers, is a sleeping partner. Where the law gives unlimited liability, the risk remains. (*Chapter VIII*)

Social responsibility. A business's duty to act in ways that benefit society as well as its owners. The duty includes honest dealing, safe goods and care with waste. Example: a factory that treats its waste water before returning it to a river. (*Chapter VI*)

Sole proprietorship. A business owned and run by one person, who keeps all profit and bears all losses. The owner may employ staff, but the staff own no part of it. Example: a family bookshop with one founder-owner. (*Chapter VII*)

Stakeholder. Any person or group affected by a business or able to affect it, such as staff or customers. Owners, managers and employees are internal stakeholders; customers, suppliers, lenders and the government are external stakeholders. (*Chapter V*)

State enterprise. A business owned or controlled by government, usually to provide essential goods or services. A national post service or a government-owned railway is a state enterprise. State enterprises together form the public sector. (*Chapter XI*)

Stock broker. A licensed intermediary who buys and sells shares for clients and earns a commission, which is a fee for the service. The client decides what to buy or sell. Example: with a commission of 1 per cent, a purchase of Tk 10,000 costs Tk 100 in commission. (*Chapter XV*)

Stock exchange. An organised market where shares and bonds already issued are bought and sold. It has members, fixed hours and written rules, and trades pass through stock brokers. Example: the Dhaka Stock Exchange, where listed shares are traded. (*Chapter XV*)

Subsidiary. A company controlled by another company, called the parent, which owns most of its shares. The subsidiary is a company in its own right, under the law of its host country. If a parent owns 60 of every 100 shares, it controls the company. (*Chapter XIV*)

Surplus. In a cooperative, what remains after costs, shared among members instead of paid to outside owners. Example: a society that charges members a

little more than its costs may share the remainder by reserve, dividend and interest on shares. (*Chapter X*)

Survival. A business's ability to keep operating by covering its costs year after year. A business that earns less than its costs spends the money it started with and must close when that money is gone. Profit is the sign of survival. (*Chapter III*)

Sustainability. Running a business so that it meets today's needs without harming the ability of later generations to meet theirs. Example: a paper maker that plants a tree for each tree it cuts can continue for many years, but one that does not replant may exhaust its supply. (*Chapter VI*)

Takeover. Gaining control of a company by buying most of its shares. The company bought usually continues to exist. It is friendly if its directors agree and hostile if they refuse. Example: a buyer holds most of the shares of a bakery company. (*Chapter XVI*)

Tariff. A tax charged on imported goods, which raises their price. The importer pays it at the border and usually passes it to customers. With a tariff of 10 per cent, shoes costing Tk 2,000 at the port cost Tk 2,200 after the tax. (*Chapter XII*)

Trade. The buying and selling of goods, carried out to earn a gain from the difference in price. A trader does not make the goods but brings them from the maker to the customer. Buying a notebook at Tk 40 and selling it at Tk 50 is trade. (*Chapter I*)

Trade licence. Official permission from a local authority to carry on a stated trade in a stated place. Example: a bookseller in Dhaka holds a licence naming the trade, books, and the address of the shop, and must renew it each year. (*Chapter VII*)

Unlimited liability. A duty on the owner to pay the business's debts from personal wealth if the business cannot pay them. There is no upper limit. Example: a business owes Tk 500,000 and holds Tk 200,000, so the owner must find Tk 300,000. (*Chapter VII*)

Vertical integration. Combining firms at different stages of making and selling one product, such as printer and bookseller. It moves toward the source of supply or toward the customer. Example: a bookseller that buys a printer. (*Chapter XVI*)

ANSWERS TO QUESTIONS

CHAPTER I · WHAT BUSINESS IS

1.p1 The café. The definition asks for goods or services provided to others in exchange for money, and the café is paid by strangers; the neighbour provides lunch only to her own family and receives no money.

1.p2 An aid to trade, because it carries goods for shops and does not buy, sell or make them. As an aid to trade it belongs to commerce.

1.t1 Before: the tailor makes shirts, which is manufacturing industry, and sells them, which is trade. After: the tailor also buys ready-made shirts and sells them in a second shop, so trade grows. The factory that supplies the shirts is manufacturing industry, and transport, banking and insurance may be needed as aids to trade.

1.t2 Yes. The definition says aiming to earn a profit, not always earning one. A bakery that sells bread to customers for money and aimed at profit is a business, although this year it has a loss.

1.1 Trade, which is part of commerce. The aids to trade used were banking (the bank), transport (the courier) and insurance.

1.2 (a) Industry, extractive. (b) Trade. (c) An aid to trade (transport). (d) Industry, manufacturing. (e) An aid to trade (banking). Items (b), (c) and (e) belong to commerce, because commerce is trade together with its aids.

1.3 It would enter manufacturing industry, because printing notebooks makes finished goods. It would still be in trade as well, because it would continue to buy and sell books and stationery.

1.4 Example answer: a mobile phone is a good, and repairing the phone is a service. A good is a physical thing the customer owns afterwards; a service is work done for the customer, and no physical thing remains to own.

1.5 Likely aids: transport, to bring vegetables from farm to market (removes distance); banking, to hold the stall's money (removes risky handling of money); insurance, if the stall insures its stock (removes risk of loss). Advertising and warehousing may also apply.

1.6 $\text{Income} = 50 \times \text{Tk } 25 = \text{Tk } 1,250$. $\text{Costs} = 50 \times \text{Tk } 20 + \text{Tk } 100 = \text{Tk } 1,000 + \text{Tk } 100 = \text{Tk } 1,100$. $\text{Profit} = \text{Tk } 1,250 - \text{Tk } 1,100 = \text{Tk } 150$.

1.7 Growing cotton: extractive industry. Spinning, weaving and sewing: manufacturing industry. Selling the shirt in a shop: trade. Aids to trade could be transport (carrying shirts), banking (payments), insurance (stock) or advertising.

1.8 Any four of: exchange for money, regular dealing, aim of profit, risk, satisfying customers' needs. Risk is a characteristic because profit is not certain, and a business can make a loss.

CHAPTER II · FACTORS OF PRODUCTION

2.p1 The kettle is capital, because people made it. The river water and the corner of pavement are land, because nature supplied them.

2.p2 Profit is not agreed in advance. It depends on how the year goes, so the person who receives it may gain a lot, a little, or make a loss.

2.t1 The machine is capital, and the three workers are labour. Buying the machine brings a cost of purchase or interest; the workers bring wages.

2.t2 The owner carries the risk, because profit is what remains after the payments agreed in advance. The owner supplies enterprise.

2.t3 The owner supplies labour for the work of operating the machine, and enterprise for organising the workshop and accepting the risk.

2.1 The landlord supplies land and earns rent. The shop assistant supplies labour and earns wages. The lender supplies capital and earns interest. The owner supplies enterprise and earns profit.

2.2 Labour is work paid with wages, which are agreed in advance, so a member of staff is paid even in a poor year. Nurul Meghna supplies enterprise: organising the shop and accepting the risk, with a profit of Tk 750,000 that was not agreed in advance.

2.3 Shop A relies mostly on the owner's labour, a little capital in the cart, and a rented spot as land. Shop B relies heavily on capital in shelves, scanners and stock, and on many staff as labour, with more land in its larger space. Both need an owner supplying enterprise.

2.4 The field is land and earns rent. The two helpers are labour and earn wages. The tractor is capital and earns interest. The farmer's decisions and risk are enterprise and earn profit.

2.5 Land: the rented shop space or stall. Labour: an assistant who sells the cloth. Capital: the stock of cloth or the shelves. Enterprise: the trader's organising of the business and acceptance of risk.

2.6 Division of labour splits a job into small tasks so that each worker repeats one. In the bag example, folding and gluing by two workers gave close to 60 bags in an hour instead of 40. One cost is that repeating one task can become dull.

CHAPTER III · OBJECTIVES OF BUSINESS AND WHAT MAKES IT SUCCEED

3.p1 The stall loses Tk 2,250 – Tk 2,000 = Tk 250 each month. The savings last Tk 1,000 ÷ Tk 250 = 4 months.

3.p2 Example: answer a customer's question honestly and find the right book. The customer returns and tells others, and a buyer of the business would later pay more for a shop whose customers return.

3.t1 A social aim conflicts with profit when it costs money that would otherwise be kept as profit, as when books are given away. The shop can reduce the conflict by limiting the gift to a fixed number, choosing gifts that also build goodwill, and keeping survival first.

3.t2 The baker needs enough money (sound finance) to buy ingredients and pay helpers before new customers pay, and a plan for how many customers can be served well. Growth that is too fast can leave bills unpaid, which threatens survival, and poor service can damage goodwill.

3.1 Economic: raise profit to Tk 900,000 (measured in money), and supply 12 schools' libraries (a growth aim, measured through sales). Human: train 7 staff for 14 hours each, because the staff gain. Social: give 200 books a year to a school library, because people outside the business gain.

3.2 Example: "Raise the shop's sales by 10% during 2026." It has an amount (10%) and a time (during 2026).

3.3 $R = P \div C \times 100 = 300 \div 2,000 \times 100 = 0.15 \times 100 = 15\%$. Check: 15% of Tk 2,000 is Tk 300.

3.4 Any three, each with a reason. Examples: a product customers want (fresh flowers of good quality from a reliable supplier); planning and foresight (order more stock before busy times, since flowers do not keep); goodwill (customers return if the flowers last); sound finance (do not buy more than can be sold, and pay the supplier on time).

3.5 Raise sales by 10%: economic. Pay a monthly bonus: human. Give leftover cloth to a girls' school: social. Open a second counter: economic (growth).

3.6 Every other aim needs the business to exist. A business that cannot cover its costs year after year stops, so it can pay no wages, serve no customers and give no gifts.

3.7 Borrowed money must be repaid with interest, and new branches cost money before they earn, so the café may be unable to pay its bills (sound finance). Fast growth may also spread attention thin, so service falls and goodwill suffers.

3.8 Goodwill is earned by honest dealing and good service over years. It is lost by one act of dishonesty or poor treatment. It is worth money because customers return, and a buyer of the business would pay more for a business whose customers return.

CHAPTER IV · CHOOSING WHERE A BUSINESS STANDS

4.p1 The bakery. Bread spoils within hours, so it must reach customers quickly. Bricks do not spoil, so a brick works can stand nearer its clay.

4.t1 Mirpur. Its rent of Tk 38,000 is the lowest of the three, and its rent per square foot, Tk 54.29, is also the lowest.

4.t2 $40,000 \div 800 = \text{Tk } 50.00$ per square foot, which is below Mirpur's Tk 54.29, so Uttara now wins on rent per square foot. Footfall per Tk 1,000 of rent is $380 \div 40 = 9.50$, below Mirpur's 13.68, so Mirpur still leads on that measure.

4.t3 Most important: a supply of skilled workers, reliable electricity and a stable internet link. Least important: nearness to raw material and footfall, because the office makes no heavy goods and sells to customers at a distance.

4.t4 The owner weighs the cost of moving (a new lease or building, and moving equipment), the goodwill that may be lost if customers do not follow, and the effect of the new road on sales income. These are set against lower cost on the cheaper land and the shared services of the estate.

4.1 Plant location is the place where a business builds its factory or opens its shop, chosen by weighing several factors. Example: a bookshop that chooses a busy street in Dhaka because many people pass its door.

4.2 A site is a fixed commitment because leaving it costs money and time. A business may lose customers who knew the old address, and with them some goodwill; it may also lose a lease or a building it has already paid for.

4.3 A reasonable order: nearness to customers, power, labour, land cost, transport, then services. First, because bread spoils and customers buy locally. Last, because banks and insurers can be reached by other means. Other orders can be defended with reasons.

4.4 A reasonable order: nearness to raw material, water and power, transport, land, labour, then nearness to customers. First, because ore and coal are heavy and costly to carry. Last, because steel can be carried over long distances.

4.5 A reasonable order: labour supply, communication, power, rent, then nearness to customers. First, because the work depends on

skilled people. Last, because the office makes no goods that need a nearby market.

4.6 Footfall is the number of people who pass or enter a shop; sales are what customers actually buy. Many people may pass and buy nothing, so footfall shows an opportunity but not income.

CHAPTER V · THE BUSINESS ENVIRONMENT

5.p1 External. A competitor's price cut happens outside the business, and the business cannot control it directly. It is an economic force.

5.t1 The competitor is part of the external environment, in the economic group, because it concerns competition and price.

5.t2 Examples: the skill and number of staff, the stock the shop holds and how it is recorded, the money available, and the shop's culture of service.

5.t3 Adapt: change the stock, improve service or reduce costs. Influence: build goodwill with customers or join other shops in a trade association. Either answer should stay within the law.

5.1 Internal: (a), (c), (e), (h), (j). External: (b), (d), (f), (g), (i).

5.2 The textbook price cut and the curriculum change would matter less. The internal facts, 7 staff and stock listed on paper cards, would still matter for the remaining books.

5.3 The rise in flour prices is external, in the economic group. Hiring a new baker is internal, because the bakery decides it.

5.4 Internal: the owner, the managers, the employees. External: customers, suppliers, lenders, competitors or the government. Any five such stakeholders, correctly placed, are acceptable.

5.5 A fall in sales caused by an external change can reduce income until the business cannot continue, and lost customers weaken goodwill. A site with more footfall or a stronger local market may lower the risk, though no site removes it.

CHAPTER VI · SOCIAL RESPONSIBILITY OF BUSINESS

6.p1 For: the business depends on society and affects it, and responsible conduct builds goodwill. Against: the duty of a business is profit within the law, and spending the owners' money on social aims is not the manager's choice.

6.t1 $38 - 30 = 8$ days late. $8 \div 30 = 0.27$ of the agreed time (about 27 per cent).

6.t2 $150,000 \div 750,000 = 0.20$, or 20 per cent of the profit. No. A gift alone does not show responsibility, because honest dealing, prompt payment and safe goods matter more than gifts.

6.t3 The supplier must wait for money it has earned and may have to borrow to pay its own staff, which harms its survival. It may raise the matter, ask for firm payment dates or seek other customers. The customer should pay on the agreed date or agree new terms in advance.

6.t4 Affected: people downstream (the community), consumers of the river's water and fish, and later generations. Duties involved: care with waste and sustainability. A responsible firm would treat its waste even though the law is weak and accept the extra cost.

6.1 Social responsibility is a business's duty to act in ways that benefit society as well as its owners. Example: a factory that treats its waste water before returning it to a river.

6.2 Prompt payment: suppliers. Honest accounts: owners and lenders. A safe workplace: employees. Truthful labels: consumers. Care with waste water: the community.

6.3 For: the business depends on society and affects it; responsible conduct builds goodwill and survival. Against: profit within the law is the owners' aim; a manager should not spend the owners' money on social aims; governments, not businesses, care for society.

6.4 The customer buys; the consumer uses. A father who buys milk is the customer, and the child who drinks it is the consumer.

6.5 Sustainability is running a business so that it meets today's needs without harming later generations' ability to meet theirs. Example: a paper maker that cuts trees without replanting.

6.6 The supplier delivered first and must wait for money it has earned, so late payment is borrowing without permission; it also damages trust, even where the law is silent.

CHAPTER VII · FORMS OF BUSINESS OWNERSHIP AND THE SOLE PROPRIETORSHIP

7.p1 Tk 300,000. The debt of Tk 800,000 less the Tk 500,000 held by the business leaves Tk 300,000 for the owner to pay from personal wealth.

7.t1 New total debts: Tk 1,150,000. New ratio: $1,150,000 \div 4,100,000 = 0.28$ (to two decimal places), assuming capital stays at Tk 4,100,000.

7.t2 The owner alone bears the loss of Tk 750,000. Unlimited liability adds that if the loss left debts the business could not pay, he would have to pay them from personal wealth.

7.t3 He must repay the Tk 2,000,000 from personal wealth if the farm cannot, which may mean selling land or savings. Before borrowing he could have borrowed less, saved a reserve, bought insurance for the crop, or chosen a form with limited liability.

7.t4 Helpful: full control, quick decisions, all profit. Limiting: unlimited liability across five shops, her own time, and the money one person can raise. She might consider other owners or another form, taught in later chapters.

7.1 Sole proprietorship, partnership, company and cooperative society are in the private sector. State enterprise is in the public sector.

7.2 Full control, so decisions are quick; all profit, so effort is rewarded; easy and cheap to begin; few legal steps; close contact with customers.

7.3 Unlimited liability means the owner must pay the business's debts from personal wealth if the business cannot, with no upper limit. Example: a business owes Tk 500,000 but holds Tk 200,000, so the owner finds Tk 300,000.

7.4 A barber's shop needs little money and personal attention, which one owner can provide. A power station needs very large sums and many skills, which one person cannot provide.

7.5 A trade licence is official permission from a local authority to carry on a stated trade in a stated place. A shop trading without a current licence may be fined or closed.

7.6 Mixed money hides the true result of the business, so the owner cannot tell whether it earns a profit.

CHAPTER VIII · THE PARTNERSHIP

8.p1 Yes. Under mutual agency each partner is the agent of all the others, so a contract signed in the ordinary course of the business binds every partner, including a partner who did not sign.

8.t1 Yes. Anwar acted in the ordinary course of the business, and the supplier did not know of the limit. The limit in the deed protects the partners against each other, not against an outsider who did not know of it.

8.t2 Anwar broke the deed and his duty to act for the common benefit. They may claim that he must bear the loss that his order causes, and they may agree a firmer rule for large orders.

8.t3 They may tell their regular suppliers of the limit in writing, so that an informed supplier cannot hold them to a larger order. They may also require a second partner to approve every large order.

8.1 $3 + 2 = 5$ parts, and $\text{Tk } 60,000 \div 5 = \text{Tk } 12,000$ for one part. The first friend receives $3 \times \text{Tk } 12,000 = \text{Tk } 36,000$ and the second receives $2 \times \text{Tk } 12,000 = \text{Tk } 24,000$. Check: $\text{Tk } 36,000 + \text{Tk } 24,000 = \text{Tk } 60,000$.

8.2 They would share equally, Tk 30,000 each. The rule is that partners share profit equally when the deed is silent, whatever capital each has supplied.

8.3 $4 + 3 + 3 = 10$ parts, and $\text{Tk } 420,000 \div 10 = \text{Tk } 42,000$ for one part. Nurul receives Tk 168,000, Rafiq receives Tk 126,000 and Tariq receives Tk 126,000. Check: the three shares add to Tk 420,000.

8.4 She would be a sleeping partner. Her liability would be unlimited, because the Partnership Act 1932 of Bangladesh makes no provision for limited partners. Mutual agency still binds her, because the acts of the baker bind all the partners.

CHAPTER IX · THE JOINT STOCK COMPANY

9.p1 The business continues unchanged. The owner sells or gives up the shares, and the company, as a separate legal person, keeps its building, contracts and staff.

9.t1 For: limited liability protects the sisters' homes if the bank loan cannot be repaid. Against: a bank may still ask them for personal guarantees, so the protection may be weaker than it seems.

9.t2 A private limited company suits two owners who want control and no public offer. It limits their loss and keeps control with them. A public company would add costs and rules. They could change later if they need much more money.

9.1 A company is a separate legal person, so it continues when owners change, but a partnership has no existence apart from its partners. A company limits owners' loss to the money they paid; each partner may have to pay debts from personal wealth.

9.2 Company A is private: few owners, restricted transfer of shares, no invitation to the public. Company B is public: many owners, free transfer of shares, an open invitation to the public, and trading on a stock exchange.

9.3 Any five of: the name and objects, the directors, the number and price of the shares offered, the use of the money, the risks, how to apply.

9.4 A public limited company. Steps in order: promoters form the plan; write the memorandum and articles; register and obtain the certificate of incorporation; issue the prospectus and collect share money; obtain the certificate of commencement.

9.5 Owners (shareholders) and controllers (directors and managers) may be different people with different aims. Meetings, published accounts and independent checks of the accounts reduce the risk.

CHAPTER X · THE COOPERATIVE SOCIETY

10.p1 Open membership protects the right of anyone with the need to join. One member one vote protects equal voice, so wealth cannot buy control. (Control by members, fair sharing and education are also correct.)

10.t1 $2,400,000 \times 0.09 = \text{Tk } 216,000$. $216,000 \div 10,000 = 21.6$ times the cost of the shares.

10.t2 With limited liability the most it can lose on shares is $25 \times 1,000 = \text{Tk } 25,000$. It still has one vote, because each member has one vote whatever the number of shares held.

10.t3 The farmers could collect, grade and store their jute and sell the large amount together, so they gain bargaining power and a better price. A risk is poor management, or members selling to the trader instead of the society.

10.t4 Helpful: limited liability and the trust of members. Limiting: the society may raise little money, since members are poor and share holdings are restricted, and decisions may be slow. The bakers might consider a company, which can raise more money from many shareholders.

10.1 A cooperative society is a business owned and run by members who join to meet a common need, each with one vote. Example: thirty families who own the flour shop they buy from.

10.2 Purpose: a cooperative serves members; a company seeks a return for shareholders. Voting: one vote per member; votes in a company follow shares held. Return: surplus shared by use; profit paid by shares. Liability: limited in both, usually to the money paid for shares.

10.3 Open membership protects the right of anyone with the need to join. One vote per member protects equal voice. Fair sharing of the surplus protects members from outside owners taking the gain. (Control by members and education are also correct.)

10.4 Consumer: buyers who want fair prices. Producer: makers who want shared work and income. Marketing: growers who want better prices for their crops. Credit: savers and borrowers who want fair loans from shared savings.

10.5 The members form the general meeting and vote there. The meeting elects the management committee. The committee directs the society and reports to the members, so authority returns to where it began.

10.6 A surplus is what remains after costs, shared among members instead of paid to outside owners. Uses: a reserve for future losses and growth; a dividend in proportion to use; interest on shares; spending on education or the community.

CHAPTER XI · STATE ENTERPRISE AND COMPARING THE FORMS

11.p1 A public corporation. It is a separate body set up by law, with its own managers and accounts. A departmental undertaking is run as part of a government department.

11.t1 For keeping: the village routes serve people whom a private owner might not serve, and the service is essential. Government can accept a loss for a public aim. For selling: the loss

is paid by taxpayers, and a private owner may manage staff and costs more closely.

11.t2 Government may pay a grant for the village routes only and let the company set fares freely on the busy routes, or it may reduce staff on routes where the work does not need them.

11.t3 A public corporation, because it has its own board and accounts and does not need ministry permission for each decision. A government company also has freedom, but a departmental undertaking has the least.

11.1 (a) A sole proprietorship. (b) A state enterprise, as a departmental undertaking or a public corporation. (c) A company, because it can raise large capital from many shareholders. (d) A cooperative society, because the farmers serve their own needs together.

11.2 The first arrangement is a departmental undertaking. The second is a public corporation.

11.3 The price difference is $\text{Tk } 92 - \text{Tk } 85 = \text{Tk } 7$ a bottle. The yearly saving is $2,000 \times \text{Tk } 7 = \text{Tk } 14,000$. Check: $2,000 \times \text{Tk } 85 = \text{Tk } 170,000$ and $2,000 \times \text{Tk } 92 = \text{Tk } 184,000$, a difference of $\text{Tk } 14,000$.

11.4 A state enterprise, probably a public corporation, suits it. Water is essential, needs large capital and serves everyone at a price that families can pay. One risk is loss from low prices or political orders, which taxpayers would then cover.

CHAPTER XII · FOREIGN TRADE

12.p1 No. If Salim's cost of one shirt were also 2 kilograms of rice, both neighbours would pay the same price in rice for a shirt. Neither would have a comparative advantage, so trade would bring no gain.

12.t1 The tariff is 20 per cent of $\text{Tk } 10,000$, which is $\text{Tk } 2,000$. The new price is $\text{Tk } 10,000$ plus $\text{Tk } 2,000$, which is $\text{Tk } 12,000$.

12.t2 Before the tariff, the imported bicycle at $\text{Tk } 10,000$ is cheaper than the local one at $\text{Tk } 11,500$. After it, the local bicycle at $\text{Tk } 11,500$ is cheaper than the imported one at $\text{Tk } 12,000$. The government gains tax and the local maker gains sales. The customer loses, because the lowest price rises from $\text{Tk } 10,000$ to $\text{Tk } 11,500$.

12.1 (a) visible; (b) invisible; (c) visible; (d) invisible; (e) invisible. Goods are visible trade, and services such as hotel stays, freight and bank fees are invisible trade.

12.2 Balance = $6,000$ minus $18,000 =$ minus $12,000$, a deficit of $\text{USD } 12,000$. In taka, $12,000$ times $120 = \text{Tk } 1,440,000$.

12.3 Balance = $60,000$ minus $25,000 =$ plus $35,000$, a surplus of $\text{USD } 35,000$. In taka, $35,000$ times $120 = \text{Tk } 4,200,000$.

12.4 Price before the tariff: 500 times $120 = \text{Tk } 60,000$. Tariff: 10 per cent of $\text{Tk } 60,000 = \text{Tk } 6,000$. Total: $\text{Tk } 66,000$.

12.5 An hour of the doctor's time treating patients is worth more than an hour of typing, so she loses less by hiring the assistant. In the same way, two countries each gain by making the goods that cost them least in other goods and trading, even if one country is better at making everything.

CHAPTER XIII · EXPORT AND IMPORT PROCEDURE

13.p1 The letter removes the risk of not being paid by a stranger, because a bank promises payment. The

risk that remains is that the papers may not match the letter, so the bank may refuse.

13.t1 The exporter asks the customer to amend the letter or corrects the invoice, then presents the papers again before the time limit ends. The exporter bears the delay and its costs, because the error was in the exporter's paper.

13.t2 Reason to accept: the customer may be reliable and the sale may be large. Reasons to refuse: the exporter then has no bank promise of payment, and the customer may fail to pay.

13.1 Accepting the order; receiving the letter of credit; shipping the goods; presenting the documents to the bank; receiving payment. The letter comes before shipping so that payment is promised before the goods leave.

13.2 Gain: less cost and paperwork. Risk: the exporter has no bank promise and must trust the customer to pay after the goods have been delivered.

13.3 Register as an importer and obtain any licence; send an indent to the supplier; ask the bank for a letter of credit; receive the goods and the papers; complete customs clearance and pay duty; collect the goods.

13.4 A charter party hires the ship; it proves that the ship was hired. A bill of lading receipts the goods; it proves loading, states the terms of carriage and shows who may claim the goods.

13.5 Tariff: government talks and information from the Export Promotion Bureau. Standard of quality: training in quality for exporters. Lack of finance: export finance through banks and Bangladesh Bank.

CHAPTER XIV · MULTINATIONAL CORPORATIONS

14.p1 The home country is Canada, where the headquarters stands. The host countries are Bangladesh and Kenya, where the company operates through a factory and a shop.

14.t1 Gains: jobs for 500 people and the wages they earn; money, skills and taxes that the company brings. Losses: profit sent to the home country; fewer chances for local managers; possible harm to local garment businesses.

14.t2 Two examples: a rule that the company train local managers, which protects local employees' chances to rise; and a rule that it meet standards for safety and pay, which protects workers and the environment. Other sensible conditions are accepted, if the protection is named.

14.1 Gains: jobs, money for building, skills, taxes, exports, better goods for customers (any three). Losses: profit sent abroad, strong competition for local owners, dependence on decisions made abroad, lower standards where the law is weak (any three).

14.2 No. A host country is one where the company operates through a branch or subsidiary. Shipping books from London is exporting, and Larkspur would control no operation in Bangladesh.

14.3 The parent is the company in India, and the subsidiary is the garment company in Bangladesh, because the parent owns 70 of every 100 shares and so controls it. The home country is India and the host country is Bangladesh. It is foreign direct investment, because the money buys a lasting business.

14.4 List value: 500 times GBP 16 is GBP 8,000, and 8,000 times 150 is Tk 1,200,000. Discount: 25 per cent of Tk 1,200,000 is Tk 300,000. Price after discount: Tk 900,000.

14.5 An exporter makes its goods at home and sends them across the border, so it controls no operation abroad. A multinational company owns or controls operations in more than one country, usually by owning most of the shares of a company or by running a branch.

CHAPTER XV · INSTITUTIONS THAT PROMOTE BUSINESS IN BANGLADESH

15.p1 Tk 10 is the face value and Tk 15 is the premium. The sale is in the primary market, because the company sells new shares and keeps the money.

15.p2 The company receives Tk 1,000 in the primary sale of 100 shares. When Rina sells her 10 shares, Rina receives the Tk 120 and the company receives nothing.

15.p3 The Securities and Exchange Commission, the regulator, investigates the broker. The stock exchange runs the market where the trade took place.

15.t1 Reasons to list: shares become easy to trade, and the company can raise money from the public. Reason not to list: the company must publish information and follow the exchange's rules.

15.t2 $\text{Tk } 20,000 \div \text{Tk } 400,000 = 5$ per cent of profit. The owner should also weigh the information, contacts and voice with the government that membership gives.

15.1 Regulate: the Securities and Exchange Commission. Trade: the Dhaka Stock Exchange and a stock broker. Promote: the Export Promotion Bureau. Serve: FBCCI.

15.2 Total: $50,000 \times \text{Tk } 30 = \text{Tk } 1,500,000$. Face value part: $50,000 \times \text{Tk } 10 = \text{Tk } 500,000$. Premium part: $50,000 \times \text{Tk } 20 = \text{Tk } 1,000,000$. It is a sale in the primary market.

15.3 It is the secondary market. The selling owner receives $1,000 \times \text{Tk } 35 = \text{Tk } 35,000$, and the company receives nothing.

15.4 An export processing zone, where buildings, power and port links are ready and some taxes and duties are reduced; or the Export Promotion Bureau, which gives information on foreign markets and help with fairs.

15.5 The Securities and Exchange Commission approves the offer; the exchange lists and trades the new shares; stock brokers handle sales for investors; the export processing zone authority gives the site and its benefits.

CHAPTER XVI · BUSINESS COMBINATION AND INTEGRATION

16.p1 A cartel. The sellers agree on a price but each keeps their own stall, so they stay independent; nothing is bought or merged.

16.t1 Vertical. The mill and the bakery stand at different stages of one product, flour and bread, so joining them is vertical, toward the source.

16.t2 Opportunity: a secure supply of flour. Threat to the baker: being tied to her own mill when another is cheaper. Threat to the other bakers: the mill may refuse them flour or raise the price.

16.1 Horizontal. Both bakeries stand at the same stage, making and selling bread, so they were competitors.

16.2 Vertical, moving toward the source. Opportunity: a secure supply of paper. Threat: being tied to its own mill even when another is cheaper.

16.3 A cartel. Each owner stays independent and no mill is bought, while in a merger one company absorbs another and only one remains.

16.4 A takeover. The buyer controls the main decisions of the second company, which continues to exist; a buyer that holds shares in several companies in this way acts as a holding company.

16.5 Lower cost appears in the Tk 360,000 yearly rent saving. The payment of the price of Tk 1,800,000, and whether the customers and staff of Padma Stationers would stay, need more facts.

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What is a business, and what makes one succeed? This treatise answers from the beginning. It begins with the factors of production and the aims of enterprise, and moves through the sole proprietor, the partnership, the joint stock company, the cooperative and the state enterprise. It then follows trade across borders, from export and import procedure to the multinational corporation, with a look at the institutions that promote business in Bangladesh. Each chapter opens with a puzzle, closes with review questions, and needs no earlier knowledge.